NCC Ltd. (NCC)

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Call: Aug 2022

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National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G
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Bandra (E)
MUMBAI - 400 051.
Symbol: NCC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Fort
M U M B A I – 400 001.
Code: 500294

Dear Sir(s),

Sub: Submission of Transcript of the conference call under Regulation 30&46 of the SEBI (LODR) Regulations, 2015

Please find enclosed herewith the transcript of the earnings conference call that took place on August 10, 2022 with analysts discussing the performance & financial results of Q1 of the F.Y. 2022- 23. The transcript is also available on the Company ’s website at https://ncclimited.com/analysts.html.
The Transcript includes list of management attendees and the Q&A’s, any assents/dissents and open points.
Please note that no unpublished price sensitive information was shared/discussed in the earnings call.
Kindly take the above information on record.

Thanking you,

Yours faithfully
For NCC LIMITED.

M V Srinivasa Murthy
Company Secretary & EVP (Legal)
Encl : As above

“NCC Limited
Q1 FY 23 Earnings Conference Call”

August 10, 2022

MANAGEMENT : M R. KRISHNA RAO - EXECUTIVE VICE PRESIDENT ,
FINANCE & ACCOUNTS, NCC LIMITED

MR. P. V. VIJAY KUMAR - VICE PRESIDENT ,
FINANCE, NCC LIMITED
MR. NEERAJ SHARMA - HEAD OF STRATEGY &
INVESTOR RELATIONS, NCC LIMITED
MR. K. DURGA PRASAD - GENERAL MANAGER,
FINANCE, NCC LIMITED
MODERATOR: MR. MOHIT KUMAR - DAM CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY23 Earnings Call of NCC Limited, hosted by DAM Capital Advisors. As a reminder, all participant lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note, that this conference is being recorded.

 I now hand the conference over to Mr. Mohit Kumar from DAM Capital Advisors Limited. Thank you, and over to you, sir.

Mohit Kumar: Thank you, Aman. On behalf of DAM Capital, we welcome you all to the NCC Q1 FY23 earnings call. From management today, we have with us, Shri Krishna Rao, Executive Vice President, Finance & Accounts; Shri P. V. Vijay Kumar, Vice President, Finance; Shri Neeraj Sharma, Head of Strategy & Investor Relations, and Shri K. Durga Prasad, General Manager, Finance.

Without much delay, I'll hand over the call to the management for their opening remarks, which will be followed by Q&A session. Over to you, sir.

P. V. Vijay Kumar: Good afternoon, everyone. Welcome to NCC quarter one FY23 earnings investor call. I thank each one of you for taking time to attend this. I hope I am audible properly. Before we start, I will just spell out a small disclaimer clause and then we shall go into the subject. The statements made here or in the presentations uploaded by the company are to our best of knowledge true and any forward-looking statements are subject to certain factors beyond control of the company officiants and management. And hence, the audience are adv

ised to use
their discretion in their own analysis accordingly.

Now, we shall go into taking the performance of the company for this Q&A into account. I will briefly start with opening remarks followed by Q&A. I have my colleagues CFO for Krishna Rao Garu, GM, Durga Prasad Garu, and Neeraj, Head, Strategy & Investor Relations present in the call, who may take your questions eventually. Considering the time limitation, we request the audience to limit to one or two questions per person. Okay.

We'll come into the main subject now. Our economy has shown its dexterity in passing through tough challenges in the last two years. You're all aware of that. As you may recall, NCC after posting degrowth of 13% in FY21, it has recently raised back in FY22 posting 37% growth. In many sectors we see near pre-COVID level of activity. However, while the pandemic is still around, geopolitical tensions are affecting the ambience of our economy. A strong growth momentum pushed the real GDP in Q3 of '21-'22 to 106% of pre-pandemic Q3 output of 2019-'20. Also, GST collections during April 2022 stood at INR1.67 lakh crore, registering a double digit growth of 20% compared to corresponding period last year, and 46.7% higher than the corresponding pre-pandemic level.

India's economy grew 7.5% to 8% in FY22 and is expected to grow 7% to 7.5% in FY23.

Future going forward, it seems government is rightly supporting the infrastructure segment, construction segment as well. In the recent budget, you can see the government giving a lot of thrust on infrastructure spending and weighed it has a good option to drive consumption and growth in the economy. The economic survey also observed that gross fixed capital formation exceeded three pandemic level on the back of ramped up public expenditure on infrastructure. The government has also emphasized on expanding road network and more emphasis on giving boost to PM Gati Shakti plan and PM Aavas Yojana as well.

You may note that NCC sort of comprises of 57% from Buildings division, 18% from Water &

Environment division and rest in Roads, Mines and Electrical etc. So, we are well placed to encash these opportunities.

Notwithstanding all this good news, the economy is facing still challenges in terms of high inflation, falling rupee, supply chain disruption, pressures on commodity prices, etc. However, I mentioned that NCC is well placed in terms of its contract execution and we have adequate protection in terms of the contract provisions. Considering all this, NCC is well placed in terms of order book at a level of INR40,616 crore. We have started this quarter by bagging INR4,456 crore of contract in this quarter. The main orders during the quarter bagged is the wastewater treatment plant at Malad, Mumbai, which has INR3,833 crore of EPC company. Of course, it has a O&M component of INR1,854 crore as well.

I will touch upon briefly the financials for the Q1 FY23 now. We have achieved a top-line of INR2,990 crore with an EBITDA of INR281 crore and PAT of INR120 crore. This means we have recorded a growth rate of 56% in top line, and 132% in bottom line. EBITDA levels remained at 9.51% compared to 10.55% in the previous year. Slight dip in EBITDA margins is on account of increased material cost. However, compared to previous quarter, the EBITDA margins improved by 100 bps mainly on account of mellowed down increase in material costs in the first quarter.

Though the overall financing costs increased from INR103 crore in corresponding quarter last year to INR108 crore during the Q1 FY23, the revenue has increased by 56% and hence the effect below EBITDA is positive. And hence, you can see the PAT margin also increasing. Our overall debt remained at IN

R1,707 crore as against INR1,936 crore at the end of FY22.

I may indicate here that 3.63% of revenue remained as a financing cost. So, if I can share you share with you the breakup of financing costs, LC charges stood around INR7.05 crore. BG Commission stood around INR23.11 crore. Interest on CC WCDL stood at INR30.82 crore. Interest on term loan, INR4.14 crore, interest on mobilization advance stood at INR27.21 crore and balance, others. I may also share that promoters have brought in INR106 crore towards subscription of warrants issued to them. This indicates the conviction of promoters in the business. With a proposed subscription, the promoters' holding will stand at 21.11% of total holding.

And at the end of the quarter, receivables stood at INR2,395 crore compared to INR2,492 crore in the previous quarter. The reduction is mainly on account of improved collection of receivables. The receivables period has come down from 125 days same quarter previous year to 94 days of the quarter ended FY23. This resulted in efficient turnover of working capital cycle. We have drawn INR1,487 crore of CC WCDL limits from banks. Compared to previous quarter, this is higher by FY22 gross.

As you are aware, RBI have increased the repo rates during the quarter three times. We are able to see an immediate increase in interest rate so far as much of the loan portion is in WCDL form. Interest coverage ratio for the quarter stands at 2.88 times while it was 2.05 times same quarter previous year.

As you are aware, the last quarter, we have successfully completed divestment of NCC Vizag Urban which holds about 98 apex in Vizag, the cash flow out of divestment are expected to accrue this year, about INR150 crore during the year and loan repayment of INR318 in next two years' time.

If I may touch upon briefly the consolidated financials also, we have registered INR3,351 crore of revenue on PAT of INR130 crore, which is 61% and 160% higher compared to the same quarter previous year. At consolidated level basic EPS stands at INR2.13 as against INR0.82 in the corresponding quarter previous year.

Coming to the last part of my briefing, we remain bullish on our economy considering infrastructure spend revenue growth. However, this is challenged by geopolitical tensions, global financial market conditions, international commodity market dynamics etc., which will drive the trajectory of the economy. Still, we have the threat of pandemic around looking to the health emergency declared by U.S. and lockdown implemented by China.

Our Board has mulled over the outlook and has felt it is prudent to watch and wait before we crystallize on the guidance part. Though the immediate guidance is not available at the end of this quarter, maybe, I personally feel, EBITDA levels more or less should continue and PAT is likely to be the improved level as this quarter. And of course, top line possibly it may hover around 15% to 20% range growth. However, we still have to crystallize the numbers at the Board level and then we need to furnish these numbers to you guys.

 With this brief, now, I will hand over to my colleagues and we are open to questions now. We'll take questions. I request one or two questions per participant. Please consider we are here for next 45 minutes here. And I open the forum now to open the questions.

Moderator: Thank you very much, ladies and gentlemen. We will now begin the question-and-answer session. We have the first question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: First of all, congratulations on a great set of numbers. Sir, my first question, as you mentioned that, still we haven't crystallized in terms of the guidance, but still just trying to underst

and15%
to 20% revenue growth that, do we see that is on the much lower side? And likely we can we can surpass that number? And on the EBITDA margin front on the full-year basis, can we see a 10% number at least?

P. V. Vijay Kumar: See, the exact guidance is not provided by the Board head. But however, looking to the trend 15%, 20% is a safe figure to assume in the top line. The EBITDA stood at 9.5% this quarter and as you have rightly assumed, possibly, it has a basis we may continue at the same levels to 10% or something like that. And with the improved turnover, the PAT margins also are likely to improve. We are at now 5.28%, sorry, 4.01%. This may also hover around 4.5%.

Shravan Shah: Okay. And other question is in terms of the order inflow. So, including the recent one, the July one, so, around I think INR6,100 order is already there. So, for the full-year, last time we have said that around INR14,000 crore, INR15,000 crore kind of inflow are we looking at? So, what's the update on that? And I need a couple of data points, particularly on the balance sheet side. So, what's the standalone gross debt and unbilled revenue and subsidiary order book in the console order book number that we have given?

P. V. Vijay Kumar: Okay. As far as the order book is concerned, now, it is a net figure what we are given to you, INR4,000 crore odd, and of course, I have expanded it briefly in my initial introduction, there is an O&M component of…there is a majority component INR1,854 crore. And this trend is likely to continue. Compared to last year it was much higher than the order book position what we have, orders what we have bagged in the last year.

Now, coming to your other questions, your gross debt position, right?

Shravan Shah: Yes. So, gross debt, unbilled revenue and subsidiary order book. So, that was around 3,058 crore as on March. So, what's the number as on June?

Krishna Rao : Yes. Yes. With regard to the orders of the subsidiary companies, we have executed during the quarter INR265 crore turnover. And now at the end of the quarter, it stands at INR2,778 crore. There may be a possibility of INR1000 crore or so, to get an order to this, by the end of the financial year.

In regards to unbilled revenue, we have at around INR2,895 crore unbilled revenue and unbilled revenue is, the more we execute the number of projects, the unbilled revenue is going to increase further. And more particularly, this is two reasons. One is, that with regard to the UP projects where the billing pattern has been changed. For every village Gram Panchayat, we need to submit a separate bill, that is why it is going to go up. Number one. With regard to the other project cities, a stage-wise billing, thereby, we need to wait for the completion of the stages and protocol. These are with regard to the unbilled revenue.

And coming to the debt moment, debt stands at the beginning of the financial year is INR 1,184 crore and we have taken because 56% more in revenue growth, we have drawn around INR 547 crore working capital and we too have a repaid missionary and other loans to the tune of INR,24 crore. So, net debt stands for the quarter is INR1,707 crore. That is with regard to the standalone. And the consolidated level, there is a reduction in Urban, to the tune of INR33 crore. So, with regard to that consolidated debt at the end of the quarter stands at 1,753 crore. So, the increase in the quarter by INR450 crore.

Moderator: The next question is in the line of the Vibhor Singhal from Phillip Capital. Please go ahead.

Vibhor Singhal: Sir, just continuing on the debt part. So, now that we have released debt of around INR1,700 crore level, up more than INR500 crore from the last quarter ending, of INR1,200 cror

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approximately, how do you see this debt proceed through the year? What are we looking as the year ending debt figure for us?

P. V. Vijay Kumar: See, if you have observed during this quarter and last quarter also, the debt has substantially come down. That is mainly on account of the faster, efficient turnover of the working capital cycle, we are less dependent on the debt. Going forward, the same trend will continue. We are, at this level, we will continue to have the same level. However, we are optimistic that there can be a slight reduction also.

Vibhor Singhal: So, you're expecting debt could be at INR1,700 crore level at the end of the year, but maybe there is some reduction?

P. V. Vijay Kumar: See, there could be a reduction because we are not providing you the exact guidance in terms of revenues and profitability. I will not be able to exactly comment upon what would be the debt level too. So, going by the general expectation of 15%, 20% growth in the operations and reduced operating cycle, there could be possibly a reduction.

Vibhor Singhal: Got it, sir. And sir, from the Vizag liability, how much cash have we received till now and how much cash are we expecting in this year?

Krishna Rao : Yes. This is as of 31st March 2022, we have received a INR47.5 crore and as per as the shareholders agreement, the secondary tranche is due in September ‘22, that is INR52.25 crore and December 22, the same amount, third tranche and the last and fourth tranche is by March ’23. INR152.5 is expected to realize in this financial year.

Vibhor Singhal: Okay. So, this, the announcement that we had made the time of the land deal, those milestones remain the same? September, December and March each of the three dates, we should receive around INR50 crore in this year?

Krishna Rao: Correct. And with regard to, that is with regard to the equity and there is a loan component to the tune of as of March, INR310 crore. As per the agreement, we are expected to get realization in two years that is on or before March 2024 with 10% monthly compounded interest.

Vibhor Singhal: Got it. Sure. And in two years that will be repaid?

P. V. Vijay Kumar: Sure. Yes.

Vibhor Singhal: Fair enough. Got it, sir. Also, sir, so, if I could just get the order book breakup, if possible in terms of different segments?

Krishna Rao: You wish to have a division-wise?

Vibhor Singhal: Yes. Division breakup of the INR40,000 crore order book that we have.

Krishan Rao: Yes. Yes. Building division, INR25,302 crore stands at 62%. Roads, INR908 crore, 2%. Water & Railways, INR6,565 crore at 16%. Electrical, INR2,641 crore, 7%, and Irrigation, INR1,070 crore, 3%. Mining, INR3,888 crore, 10%. All others put together, INR250 crore at 1%. This totaling to INR40,616 crore at the end of.

Vibhor Singhal: Got it, sir. Sure sir. Sir, just one last question from my side. Sir, we were very optimistic about the bullet train project between Mumbai and Ahmedabad earlier, but almost all the bidding in Gujarat were of course, taken by larger companies. Now, that the land acquisition process has started in the state of Maharashtra, are we looking to bid for those projects and are we hopeful of getting any contracts on that project?

Neeraj Sharma: See, this is Neeraj Sharma. You have rightly summed up the development of the past. But going forward we are quite hopeful, but, our considered view on this subject is, it will be take lot of time for the project to come up for bidding. But as and when the project comes up for bidding, we would be very much interested to put our bid on the table.

Vibhor Singhal: Because there is one bid for the underground station at BKC. Are we looking to bid for that?

Neeraj Sharma: No. That on

e and maybe the C3 package. The package that is going to come up in the state of Maharashtra, there is a big bid due and we will also consider that tunnel part. This road, this track needs to be go underground from the Mumbai. We will definitely look at that project too. And as and when this comes for bidding and we'll see. So, there are a couple of packages that is still expected to come up for bidding in about later say about 6 to 12 months' time.
Moderator: Our next question is from the line of Nikhil Abhyankar from DAM Capital. Please go ahead.

Nikhil Abhyankar: Congrats on very good set of numbers. I just wanted to know our Group exposure to a company is in the tune of around INR13 billion. So how do you see this number by the end of the fiscal year? Are there any reductions possible in it?

P. V. Vijay Kumar: Yes, the total exposure to the Group stands at INR1,302 crore end of March 2022, which has substantially come down from, I'm sorry. You are talking about exposure to the group companies, right?

Nikhil Abhyankar: Yes.

Krishna Raor: Okay. Exposure to the group companies as at the end of June 30th, 2022 is INR 1,292.39 crore. We are confident that we are able to maybe get another INR100 crore reduction during FY22-23.

Nikhil Abhyankar: Yes. I just wanted to ask, earlier you have already said that you are not giving any revenue guidance as of now, but I wanted to know, quarter-on-quarter our margins have improved by 100 basis points and certain commodity prices have also come down. So, do you see any substantial increase in the margin going forward?

P. V. Vijay Kumar: This is a very likely scenario. That's what I just briefed in the introduction because the commodity prices are mellowing down and subject to notwithstanding all these global factors, possibly we may see an increase of another 50 bps or something like that.

Nikhil Abhyankar: Okay. So, somewhere around 10…?

P. V. Vijay Kumar: We are yet to get a complete guidance from the Board.

Nikhil Abhyankar: When can we expect that, sir in the next quarter?

P. V. Vijay Kumar: Let us see. Our Board is seriously looking at various options and know how to give you the right guidance which is very realistic to all the investors. So, we hope so.

Nikhil Abhyankar: Okay, and just one last question, sir. We have seen some very positive news coming from the receivables from Andhra Pradesh government in the last two quarters. So, what is the recovery in this quarter and where do you see in this fiscal?

Krishna Rao: Yes, this quarter from Andhra Pradesh, we have received INR117 crore and in July alone, we have also received INR 44 crore with regard to the APTIDCO the work continuing, and we are getting realized, not only the outstanding, unbilled revenues also.

Nikhil Abhyankar: Understood, sir. And what can be the total this thing?

Krishna Rao: It all depends upon the balance works to be completed. We can --- in this financial year, we may expect around INR300 crore out of the old projects.

Nikhil Abhyankar: INR300 crore from the old projects?

P. V. Vijay Kumar: Yes.

Nikhil Abhyankar: Okay.

P.V.Vijay Kumar: You know, how the moment happens in AP government. So, it depends on that.

Moderator: Our next question is from the line of Ashish Shah from Centrum Broking. Please go ahead.

Ashish Shah: Sir, just coming back to the AP exposure, if you can just leave us with a number that is outstanding exposure as of June ’22?

Krishna Rao: Yes. As of end of June, we have the net receivables for INR 496 crore and retention money INR238 crore.

Ashish Shah: Right. Is there any other component or these two are the only outstanding components?

Krishna Rao: Only these two. Nothing else.

Ashish Shah:

Right, sir. Also, in terms of our outlook for inflows, what is the kind of number that we might target this year and especially, where are you seeing the opportunities? Are you seeing more in the water side or we can expect something more on the building side? So, if you can just directionally ride us, from where should we expect the inflow for this year?

Neeraj Sharma: See, as you are aware about this, water projects, Jal Jeevan Mission, we are seeing lots of bidding activity in the sector, as well as there are also a lot of opportunities in buildings, as well as roads. There are projects that is coming up for bidding in distribution sector as well. So, we, and of course, not to forget about the Metro sector. So, we are targeting opportunities in these five, six sectors in a very, very planned manner. And as and when the project come up for bidding, we definitely do a proper evaluation of the project. We try to look at the client. We try to look at the funding pattern. We try to look at the location. We try to look at the competition, then accordingly, we decide whether to bid or not.

Ashish Shah: Right. Sir, sorry to push you on this, but is there any number you have in mind for the inflow for the financial year?

Neeraj Sharma: My colleague has already answered this question in great detail earlier, that we do not have a guidance as we speak. So as and when we will have a number, we will definitely share that with you. But as we speak, we do not have a number to talk about at this moment.

Moderator: Our next question is on the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Sir, I just wanted to understand more on the revenue front. Now FY22 itself was a low base because of the first quarter, right, the second wave. So that's the reason we grew about 55%, 56% this quarter. Now, ideally, a 15%, 20% kind of a revenue growth looks conservative, given, I mean, even if we kind of do not grow in the remaining nine months on Y-o-Y basis, we will still be able to achieve a 20% growth, right. So, just wanted to understand, do you think that's a little conservative, the numbers that we have talked about?

P. V. Vijay Kumar: Your instinct could be right. You see the run rate, quarterly run rate if you see, we are there at around INR3000 crore his quarter and possibly, generally, going by the trend the last two quarters you will see much higher activity in the construction, which is a general to any company in the construction sector. So, I'm just giving you a hint, if the same run rate
 continues, 15%, 20% is quite achievable number. Of course, as I said, we will share with you in case when we have exact number on this.

Moderator: Our next question is from the line of Rohit from Antique . Please go ahead.

Rohit: So, I just missed out on the order backlog from Water segment. What exactly is the outstanding order backlog looking like?

Krishna Rao: INR6,565 crore as the backlog for the quarter.

Rohit: And if I recollect it correctly, this was like INR8,000 crore in the last quarter, which means roughly INR2,000 crore is the execution.

Krishna Rao: No, no. INR7,192 crore was at the beginning of the quarter and INR660 crore was the execution.

Rohit: Okay. Okay. So, if I understand it correctly, this has to be executed in a very short span of time, right? So, this means this number should largely be exhausted by the end of the year. Is that a fair assumption?

P.V Vijay Kumar: Not necessarily. You see Jal Jeevan mission focuses on the last mile connectivity to the households. Now, for each of the location the survey needs to be done, the approvals need to be obtained. So, feasibility is also supposed to be worked out. So, there are various number of parce

ls of talukas, mandals and all that. So, that way it is not as expected, the pace cannot be as expected but this is how it goes.

Rohit: Okay. But is there any closure date that you have at this point? I mean, this project will probably spill over next year as well? Is that what you're trying to say?

Neeraj Sharma: You see, the exact completion date as I said, these are the factors which will determine the completion date. So, possibly you may look at them the next span of like, it may spill over like next two to three years or something like that.

Rohit: The next two to three years?

P.V Vijay Kumar: Possibly, but that is subject to each mandal, each Taluka, how it is happening. The kind of progress the state government is showing. So, subject to that. Otherwise, ideally, we can talk about that.

Rohit: Yes. And in the building and housing segment’s execution, there is no slow moving orders or something like that, which spills more than two years of execution cycle, right?

Krishna Rao: No, these vary. Each order, they have as per the contract agreement, two years to five years. It varies depends upon and as per the contract agreements and the availability of the clearance from the client, it continues, and we are executing as per the contract agreements.

Rohit: So sir, coming back to this Water Project, you highlighted that there are lot of opportunities. Can you quantify any number, addressable opportunity that you have in mind?

P.V Vijay Kumar: It is quite complex to answer that. We're working in detail. With the Board approval, we should be able to share with you in due course. But however, that's right now not on the table.

Moderator: Our next question is from the line of Meet Parikh from Anand Rathi. Please go ahead.

Meet Parikh: So, I just wanted to ask, what is the cash position at the end of the quarter?

K Durga Prasad: INR552 crore. Cash and bank balance is INR552 crore.

 Meet Parikh: Okay. So, you mentioned that the related party transaction has come down from INR1,300 crore to INR900 crore. So, can you give a break up on how this has come down around INR400 crore?

Krishna Rao: This we have been mentioning that we were able to disinvest NCC Vizag Urban, where there is an equity of INR50 crore and debt to the tune of INR300 crore. So, that is at the INR350 crore. This is the reduction.

Meet Parikh: Okay. And sir, lastly, on the press release, which you have put out with the results, it says around INR4,000 crore worth of orders have been announced during the quarter, but according to the announcements on the BSE, the orders have been quite high. They have been around the tune of INR6000 crore. So, any mismatch on the order inflow?

Neeraj Sharma: I will answer that question The reason is you are also taking into account the orders which are announced last month, that is in July. So, if you discount that, we are talking only about the first quarter, right, from April to June. Then that number matches. We have announced few orders.

P. V. Vijay Kumar: And I have indicated to you in my initial briefing, the major component is INR1,854 crore of O&M component. So, that is not concerned because that needs to be implemented over a period of like 15 years or something or so. So, that is not factored in when we talk about the order book position.

Moderator: Our next question is from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: And sir firstly, commendable job done by the team. Very, very, improved set of numbers. Sir firstly, would like to understand some more color on the numbers, whether the factors which enabled you to setup improved margins are the sustainable numbers? So, can you explain more on the continuity of th

ese numbers and sustainability of the numbers? Sir, I was looking at the sustainability of these margins. This quarter, I think so, we have posted one of the best PBT numbers on a console level. So, are these numbers sustainable going forward? Have we put the ship in order that these numbers can be looked forward at the margins, which we have posted for this quarter?

P.V Vijay Kumar: See, one critical factor that would determine the margin would be the commodity prices. But however, if you see in the recent trend, there is a mellowing down in the overall commodity prices. So hopefully, I think looking to the macroeconomic conditions, like downward trends in the China and U.S. economy, I think this should continue. So based on that, we are optimistic that the EBITDA margins would continue and possibly there is a kind of improvement too.

Saket Kapoor: Okay. So, when we look at these two line items, firstly, the subcontract work bill, and the finance cost, these are the percentage of sales and how do these two line items should shape up? Specifically, subcontractor work bill, because when we look at your March numbers, we posted a turnover of INR3,478 crore and the subcontractor work bill were added to the tune of INR1,448 crore. Whereas, on a top line INR3300 crore, INR3321 crore, we have a subcontractor reduction of INR200 crore when the topline has gone down by INR150 crore. So, would like to understand how this line item of subcontractor work bill will pay on the turnover pipe?

Krishna Rao: Say the subcontracting varies project to project, number one, division to division and again from the stage to stage. So, absolutely, it is not practicable and possible to compare with the turnover and the subcontractor expenditure of one quarter and one division with the data of the next quarter. So, it varies.

Neeraj Sharma: If I may add some color to the answer given by my colleague, it depends on the project mix in this particular quarter. There are things that we prefer to subcontract. Let us say that we are planning to start a project. So, before we start the project, you know this land development, I'm
 just giving you an example, or this boundary walls. So, we prefer to subcontract. So, when we are talking about a quarter number, this depends on the what project mix we are really looking at? The project is at what stage of the execution? Then accordingly, these numbers change.

Saket Kapoor: Right. So, as a percentage, what should we look as the subcontractor bill segment as a percentage of top line?

Neeraj Sharma: See, it would not be possible to give a number, but I can share my experience with you. Maybe you can look at the last three years number and take a weighted average. So that will give you some numbers to work out your PBT kind of calculation.

Saket Kapoor: Just two small points and then the can you close this. Only two points. Firstly, on the finance cost part, sir. What have been our blended cost of funds and what percentage of sales should we look at the finance cost line item?

P. V. Vijay Kumar: Yes, the average financing cost, I mean the average rate if you talk about, it is 8.67%. And as a percentage of revenue, it is 3.63%.

Moderator: We will move to our next question from the line of Nikhil Kanodia from HDFC.

Nikhil Kanodia: Sir, I just wanted an update. What is the update on the arbitration on the SEMB Corporation and TAQA India?

Neeraj Sharma: About the SEMB Corp part first, the counter arguments are expected to start on 15th of this month. And we are hopeful that, you know, by the end of this financial year, we will have some clarity. On the TAQA part, TAQA part as well, there are two, three parts of the litigation, and you know, all of them are in

different stages. It will take a while, you know, to get some clarity. Incidentally, we got an award in our favor about INR9 crore from this Madras High Court recently. But we believe that that has been subsequently challenged. So, it will take a while. It is very difficult to talk about a timeline. You know how this whole judicial process works. It will take a while.

Nikhil Kanodia: Okay. So, in case of AP, you have mentioned about the revenues that you would have booked in Q1. As on the, at the end of the quarter, what is the outstanding order backlog?

Krishna Rao: From AP?

Nikhil Kanodia: Yes, from AP.

P. V. Vijay Kumar: Is it the overall backlog or is it particular to any AP?

Nikhil Kanodia: Sir, particular for AP.

Krishna Rao: AP, old and the new. altogether is INR3,279 crore orders at the end of the quarter.

Nikhil Kanodia: Okay, sir. Understood. And sir, in case of Sea link project, so, is there any impact of the change in the government?

P. V. Vijay Kumar: Which?

Nikhil Kanodia: Sea Link project.

Neeraj Sharma: Let me let me answer your question. As per the evidence available on the table, we have no reason to believe that you know there is going to be any change whatsoever in the project. We are deeply engaged with the client, as you are aware that project of this magnitude and this complexity takes a lot of time to get finalized. So, we are deeply engaged with the client. We are in the process of signing the contract.

 Moderator: We'll move to our next question from Parvez Qazi from Edelweiss.

Parvez Qazi: So, just two questions from my side. Was there any revenue contribution from our international project in this quarter?

K. Krishna Rao Only INR3 crore. This is a project at the closure stage.

Parvez Qazi: And secondly, what was the CapEx that we have done this quarter?

K. Krishna Rao: INR57 crore.

Moderator: Thank you, ladies and gentlemen.

P.V. Vijay Kumar: Thank you so much. We will conclude the call now. I thank each one of you for participating in the call and we are available for any of your queries. You can send us a mail. You have our contacts and all that. So, I once again, thank each one of you for taking time and participating in this call. So, we'll see you next. Thank you so much.

Moderator: Thank you very much.

Neeraj Sharma: Thank you.

P. V. Vijay Kumar: Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of DAM Capital Advisors Limited that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Nov 2022

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(Formerly Nagarjuna Construction company Limited)
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Ref. No.: NCCL/ Regulation 30/2022
Date : November 15, 2022

National Stock Exchange of India Ltd
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Bandra (E)
MUMBAI - 400 051.
Symbol: NCC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Fort
M U M B A I – 400 001.
Code: 500294

Dear Sir(s),

Sub: Submission of Transcript of the conference call under Regulation 30&46 of the SEBI (LODR) Regulations, 2015

Please find enclosed herewith the transcript of the earnings conference call that took place virtually on November 9, 2022 with analysts discussing the performance & financial results of Q2 of the F.Y. 2022-23. The transcript is also available on the Company's website at https://ncclimited.com/analysts.html .

The Transcript includes list of management attendees and the Q&A's, any assents/dissents and open points.

Please note that no unpublished price sensitive information was shared/discussed in the earnings call.

Kindly take the above information on record.

Thanking you,

Yours faithfully
For NCC LIMITED.

M V Srinivasa Murthy
Company Secretary & EVP (Legal)
Encl : As above

Transcript - NCC Limited Q2 FY23 Earnings Conference Call -1 -
NCC Limited
Q2 FY23 Earnings Conference Call
Event Date / Time
Event Duration : 09/11/2022, 12:00
Hrs. : 1 hr. 8 mins 38
secs.
CORPORATE PARTICIPANTS:
Mr. R.S. Raju
Director (Projects)
Mr. Krishna Rao
Executive Vice President, Finance and Accounts
Mr. P V Vijay Kumar
Vice President

Mr. Neerad Sharma
Head Strategy & Investor Relations
Mr. K. Durga Prasad
General Manager (Finance)

Q&A PARTICIPANTS:

1. Shravan Shah : Dolat Capital
2. Nikhil Abhyankar : Dam Capital
3. Ranodeep Sen : Mas Capital
4. Ash : Elara Capital
5. Deepak Poddar : Sapphire Capital
6. Saket Kapoor : Kapoor & Co
7. Chandramouli : Individual Investor
8. Prashant Hazariwala : Individual Investor

Moderator

Good afternoon, ladies and gentlemen. I am Pelsia, moderator of NCC Q2 FY23 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder all participants lines will be in listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and then 0 on your touch tone telephone. Please note this conference is recorded. I would now like to hand over the floor to Mr. Mohit Kumar from DAM Capital. Thank you and over to you sir.

Mohit Kumar

Thank you, Pelsia. On behalf of DAM Capital, we welcome you all to the NCC Q2 FY23 Earnings Call. From the Management side, we have with us Shri R.S. Raju , Director (Projects). Shri Krishna Rao, Executive Vice President (Finance and Accounts), Shri P V Vijay Kumar, Vice President (Finance), Shri Neerad Sharma Head Strategy & Investor Relations and Shri K. Durga Prasad, General Manager (Finance). Without much delay, I'll hand over the call to the management for the opening remarks, which will be followed by a Q&A session over to you, sirs.

Vijay Kumar

Good afternoon, everyone. This is Vijay Kumar, Head Finance and Vice President. I welcome all of you for the H1 FY23 Earning Investors Call. I thank you all for taking time to attend this. Before we start, I'll read out every disclaimer and then we shall go into the subject. The statements are made here or in the presentations u

ploaded by the company are to our best of knowledge to and
any forward-looking statements are subject to certain factors beyond control of the Company Officials and Management and hence the audience are advised to use their discretion in their own analysis accordingly. Now, we shall go into taking the performance of the company for this Q2 into account. I'll briefly start with opening remarks followed by Q&A.

I have my colleague R.S Raju Director, CFO Mr. Krishna Rao, GM (Finance) Durga Prasad and Mr. Neerad, Head Strategy and Investor Relations are present in this call, who take your questions. Considering time limitation, I have a request, all audience please allow others to get a chance and limit yourself to one or two questions briefly, so that all can be accommodated. Now, we'll start now, so internationally, almost all economists are showing certain pain points in a major or minor way. We are in a peculiar situation arising after the COVID coupled with the global tensions causing supply chain disruptions. The theories in economies are like we are seeing them now after several years or decades of gap in their own way they are structured.

During his peculiar, troubled times, India has shown its resilience in bouncing back. If you observed main drivers of Indian economy, it is topped by infrastructure construction spending,

followed by consumer spending, which is since picking up. Thanks to the cascading effect of government spending and improved CapEx program across the states. The graph CapEx formation in effect 2022 has shown up nearly 16% while government at center embarked on various CapEx programs like Pradhan Mantri Awas Yojana, with an estimated budget of 48,000 crores, Jal Jeevan mission with an estimated budget of 60,000 crores etc. Meanwhile, private consumption expenditure as an indicator of demand in the economy, that contributes the most to the GDP, grew at 7.9%.

It is clearly now, a play of CapEx coupled with private consumption. The good part of India is the economies need to be matured and still offers good revenues. As you see India surpassed England as fifth largest economy in the world. This is the moment the companies, which have good business mix like NCC, which is into building, water, electricity, roads, mining, etc., are well positioned to capture all the opportunities in different segments. NCC with the size of 40,000 Crores of order books in all these segments remain as one of them spearheading companies in construction segment. Global inflation forecast is expected to be in the range of 8.8% in FY22 and as not shown so much affect during FY23 as well.

Primarily, arisen as a spillover effect of COVID relief measures, undertaken by various nations, the money supply has been substantially induced into the economies to support the civic life. The balance sheets of Federal Reserve and European Central Bank have expanded by 110% and 88% respectively, between January 2020 and December 2021. While RBI balance sheet blew up nearly 36% respectively. This helped us to stay behind the inflation band. However, we are also importing the effect of inflation into our economy arising due to supply chain disruptions, fall in rupee due to hike in interest rate in the west, causing dollar flight and impacting current account deficit.

Towards this end, RBI tried to address the problem by increasing repo rates, cumulatively by 190 days between May 2022 to September 2022. As a consequence, the rate of interest across the bank have arisen. I mentioned here that NCC the average rate of interest from April 1, 2022 to equals 8.6% gone up 8.7% as on September 2022, and most of our working capital is remained in the form of working capital demand loan. So, while average BG and LC commissions rates remain at the same level so far. So, we are yet to see the full impact of inter

est rates. While this
being so the global hiking commodity prices seem going down, though the levels were not

restored compared to previous year due to fears of recession in large economies like China, US, England, etc.

The experienced management and well-built contractual structures ensured to manage the cost not to slip beyond limited levels even the whole industry and economy are showing visible slippages in cost. Coming to the last part of my briefing, we remain bullish in our economy considering the infrastructure spend driven growth, the Indian economy will grow at an average real GDP growth of 6% during 2022-2030. On the other hand, China and US with the average

real GDP growth of 2% and 2.7% respectively. So, the high investment rate, which matches some of the peaks of earlier years, continues to be supported by CapEx of central government, which cumulatively in the current year has reached 2.3 lakh crores to until August 2022, 35% higher than the level of corresponding period of last year.

However, the input price volatility is still a concern and conditions prevailing internationally like Ukraine wars, stringent lockdown conditions followed by China and possible recessionary trends in major economies do determine the delta in which economy will see. I'll now pass on to my colleague, Mr. R.S Raju Director to bring out the salient features of a financial performance too you. As I said, please get the chance to others too and choose and limit your questions without repetitions.

R.S Raju

Thank you, Mr. Vijay Kumar. Good afternoon to all of you. I'm R. S Raju, Director (Projects). I will brief about the performance of the NCC at consolidated touching about the performance of the group companies individually. Thereafter, I will hand over to Mr. Krishna Rao, CFO of the company. He will brief about the financial performance of the company and its standalone basis. The company consolidated will.

Moderator

Ladies and gentlemen kindly stay connected while we connect the management team back on the call. Ladies and gentlemen kindly stay connected while we connect the management team back on the call. Ladies and gentlemen kindly stay connected while we connect the management team back on the call. We welcome the management team back on the call please go ahead, sir.

R.S Raju

Shall I go?

Moderator

Yes, sir.

R. S Raju

Okay. At the group level performance of the company. Company has reported revenue of 3,405 crores as against 2,601 crores on the corresponding quarter of previous year, a growth of 31%. It is reported a gross profit of 518 crores against 435 crores, growth of 19%. The company gross profit margin level this quarter reported 15.4% against 16.9% decline of about 10% in this quarter.

All of you know that there is a dramatical change in the material prices as compared with the previous year.

The prices went up like anything from the previous year, starting from third quarter and up to the end of the last year, and also some of the commodities still increased in the first quarter of the current year, but now the prices of commodities started coming down, some of the products, but not all commodities. As a result, the company a dip in the gross profit margin in the second quarter happened. Company has reported EBITDA for 310 crores against 266 crores a growth of 16% and also a dip happened in the EBITDA level from 10.3% to 9.2 about 1% dip happen at EBITDA level the reasons are more or less same.

We come to the net profit reported 131 crores against 114 crores a growth of 15% on plain comparison, but when you take out the exceptional item what we reported in the second quarter the previous year, about 31 crores, the net operating profit compared reported for th

is quarter is
131 crores as against 83 crores of the corresponding quarter the previous year resulting a 57% growth in the net profit. If we come to the QoQ, there is no much variation almost all the results are flat right on the revenue to the bottom line. As far as individual company's performance is concerned, from a group companies, all companies together reported a turnover of Rs. 368 crores and a profit of 9.33 crores.

There are two companies reporting the turnover in significant level and the third one is Infrastructure Limited, that is reported a 13.77 crores. Now NCC Urban is concerned as reported 82 crores as against 147 crores of the corresponding quarter of the previous year. And other big company in console level is a Pachhwara coal mining it is an upcoming company reported a turnover of roughly to 280 crores as against 228 crores of the corresponding period of the previous year. There is a significant growth happen in this company. As far as profit is concerned there is no any significant change, year reported a 9.33 crores as against 9.64 crores because there is no significant change in the top line.

When you come to the NCC Urban, inverter company wise though, there is a fall in the turnover, compared to the corresponding quarter for the previous year. In the previous year in the same quarter some additional revenue booking is happened because of the internal accounting policies and certain projects, so make sure you recognize the income as a result more income is reported in the corresponding quarter of the previous year. But to come to the profit margin level, there is a significant improvement happened in the profit margins of the NCC Urban Infrastructure Limited. First quarter also reported a growth in the profits, second quarter also reported some more growth in the profits. And in this quarter, they reported a path of 15% as against 10% of the corresponding quarter of the previous year.

Similarly, when you come to the other company, Pachhwara Coal Mining Private Limited, there is increase in the top line from 228 crores to 280 crores and EBITDA also there is an improvement

from 8.9 crores to 11 crores and PAT company reported 8.2 crores against 6.7 crores of the corresponding quarter of the previous year. Here, the important point to note here is the group companies earlier used to report losses because of various problems associated with those companies. And now, gradually the business, we have closed in some of the group companies and the inflows are happening from those companies in terms of monetization of the assets, both the equity as well as the loan.

So, going forward, we are not expecting the companies to report the losses in the Group company level in both urban and as well as the Pachhwara coal mining companies report profits as a result at console level profit increases YoY, earlier always in the group level, the group level profit is lower than the standalone profits, but now, the situation changes. Now gradually the console profit more over the standalone profit, which helps ultimately to report a good EPs and good return on net worth. At console level, the debt standing at 2,002 crores as of 30th September as against 1,753 crores an increase of roughly 250 crores in the second quarter.

And CapEx is increased 74 crores basically the increases belong to the parent company and there are no increases in the group companies either debt or CapEx. The cash flows for the second quarter generated from rock operations is around 8 crores and used for investing activities 64 crores again generated from financing activities about 15 crores. This is about in general the performance of the company at a console level. Going forward, about the company we expect that company grows further because of the positive outlook for the Infra and restructuring of the compa

ny's monetization of the investments and loans as a result the loss-making companies will not arise. The further cash flows happen from the group companies into the parent company as a result the capital employed in non-core business comes down and the capital employed in core business increases as a result the overall return on capital employed increases going forward.

Companies have now adequate resources to handle any expansion as contemplated YoY. Organized bandwidth also the company increases to convert the market opportunities into the company's business. So, we expect a positive aspect going forward for the company and it goes back to the level of 2018-19 where we reported 12,000 crores plus revenue thereafter certain setbacks happened to the company as a result some degrowth happened and followed by the again COVID years impact and now the company has come to a good position and going forward it reports and growth YoY. So, this is about the group company level will now handle over to Mr. Krishna Rao to brief about the standalone finances.

Krishna Rao

A very good afternoon. Order book summary, order set beginning of the financial year 39,361 crores, orders received in six months 7,117 crores, value of the works executed during the six months 6,458 crores order book stands at end of the six months 40,020 crores. Major orders received during Q2 is HLL Infratech service. This is to building funds by central government during

the 27 months and the value is 946 crores. Next order is Rural Water Supply and Sanitation Odisha, this is to water division and the funding by State Government, duration is 24 months, value of order 910 crores. The last Executive Engineering PWD Capital, Guwahati order is to building division, funded by State Government. Duration is 48 months value is 393 crores. We have also received orders in October and November up till for water division we have issued two orders, one is from Odisha and Gujarat, valuing 1,056 crores and for electrical division, it is 321 totaling to 1,377 crores.

The operating performance at standalone level revenue for the quarter is 3,037 crores compared to the corresponding Q2 2,223 crores achieved a growth of 37%, and the gross profit achieved for the quarter is 493 crores as against the corresponding quarter of 397 crores achieved a growth of 22%. There is slight improvement in the gross profit compared to the Q1 0.04%. EBITDA to 89 crores as against the corresponding quarter of 237 crores achieved growth of 22%. PAT for the quarter is 122 crores and once we eliminate the exceptional item in the corresponding quarter, the PAT is going to stand at 73%, growth achieved is 67%. The salaries and administrative expenses there is a slight increase- 25 crores, and administrative 9% compared to the revenue growth of 37% is normal.

And Interest & Finance charge there is a slight increase because of the BG and LCS mode utilization. Cash flow generated for the quarter from operations is 51 crores, and cash flow used is equivalent amount 51 crores. Cash flow from financing activities is 50 crores, as a result net increase in cash utilities 50 crores as against the corresponding quarter of 32 net increase in cash. The receivables compared to Q1 increased to 2,792 crores, an increase of 397 crores and the debt collection period stand at 95 days as against March 97 days, there is a slight improvement, and the debt position is at the beginning of the quarter 1,707 crores. We have utilized it because of the growth of the business more working capital 278 crores. A debt, which net end of Q2 is 1,985 crores.

With regard to the loans, investment and advances from the subsidies we were able to collect 15 crores, 13 crores from NCC Urban Infrastructure and 2 crores from Nagarjuna Construction International as a result to that extent of 15 cross

there is a reduction in the exposure to the group companies. Retention money stands at 1,925 crores slight increase by 37 crores. Unbilled revenue remains at the same level 2,895 crores. Margin money because of the more LCS and BGs increased from 534 crores to 551 crores increased by 17 crores. Borrowing, I have mentioned that the increased by 278 crores. Retention money is slightly increased from 1,121 crores to 1,147 crores, 27 crores increase. Mobilization advance there is a decrease by 15 crores stands in 2,006. CapEx in the second quarter is 93 crores and first quarter is 56 crores totaling to 148 crores. It is all about standalone financing results.

P V Vijay Kumar

Yeah, we can start the Q&A session. Please, as I said please restrict your questions to 1 or 2 per participant, so that others can also participate. And now I request participants to pose the questions please.

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the Q&A session. If we have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so, by pressing * and 1 again. Ladies and gentlemen, if you have any question please press * and 1 on your telephone keypad. There will wait for a moment while the question queue assembles. The first question comes from Shravan Shah, from Dolat Capital, please go ahead.

Shravan Shah

Thank you. Congratulations on a good set of numbers. So, my first question is in terms of the guidance. So, now are we going to give a formal guidance. So, in the first half, we have done 46% revenue growth. So, how do we see for the full year, and you have already mentioned in terms of that growth will be continuing YoY going forward? So, first is on the revenue guidance and secondly, in terms of the EBITDA margin, how do we see and order inflow for the year, how do we see?

R. S Raju

Yes, as far as the growth is concerned for the current year, the first six months company reported about 45-46% growth, but the thing to be noted here at a pre-COVID level is there in the first half of the previous year and in the previous year, there is a ramp up in the top line as improvement is there in post-COVID levels. As a result, in the previous year, third and fourth quarter also company reported a significant level. As compared to the first half year, certainly this growth 45 percent is growth reported, but the same level of growth would not be there, because last year second half already reported a level 2700 of 3100 level of turnover by the company.

So, basing on the current scenario, then we revealed the quarterly and we expect a further 20% growth in the second half year and overall growth of 30% is maintainable for the company for the year as a whole. And you also asked about the YoY again next year also probably understand that the growth more than growth. But okay, the next year onwards already decided to give the guidance in the beginning of the year itself. Since already substantial period is over in this one

and management decided at this point of time, it is not advisable or not good to give in between the guidance, but the expected number of levels is 30% over the previous year.

Shravan Shah

On the EBITDA margin and order inflow and date, which has increased close to 800 crores and standalone in the first half, so how do we see by year end?

R. S Raju

And the order flow already happened about 7,117 crores and some more orders also we received, in the October month and orders are also there in the pipeline, so basing on with the total pipeline and not respective of roughly 10,000 crores already is there and per year as a whole, we expect the growth of 30% in th

e order book and thereby, booking for the year would be around 16,000
crores. As far as EBITDA is concerned now the company has reported EBITDA of almost 9.6% and going forward, we expect a further improvement from this 9.6 level and it we expect-- that it touch the 10% for the EBITDA level.

Shravan Shah

Lastly on the debt level funds are so, which has increased 800 cores. So, by year end, do we see further some improvement in working capital and the debt level to come down?

R. S Raju

Yes, you are right and now the company that they have taken up big size of projects and there is a ramp up in the executional levels. Majority of the projects are mobilized and reached 20, 30, 40% level and we augmented the total execution levels as a result we pumped about 800 crores into the projects to achieve this 30% the level of growth. Generally, in the construction in the first and second quarter the working capital cycle increases and the funds goes in the projects, but third and fourth quarter the collections improve as a result the debt also in third and fourth quarter decline happen, general historically when you verify and for this year also we expect the reduction of some 800 crores to 700, 600 crores as a result that debt position comes down by the year end from the present level of 1985 crores. We expect about to 1500 crores or so, so from this level about 400-500 crores improvement we expect by the year end.

Shravan Shah

Okay. Thank you, sir and all the best.

Moderator

Thank you. And the next question comes from Nikhil Abhyankar from DAM capital. Please go ahead.

Nikhil Abhyankar

Thanks for the opportunity and congrats on a good set of numbers. Sir, we have already sold our Vizag lands and we were supposed to receive the second tranche of installment. So have we received it till now, so can you just give a clear picture?

R. S Raju

We have not received, but during the last meeting they sought for the three months of grace period and there we expect that payment in the December, in this third quarter. And the next phase also we get by March.

Nikhil Abhyankar

Okay. So, all 5 billion will be received by March end.

R. S Raju

Not all, out of three one tranche is pending. One tranche we expect in December, another tranche in March and one tranche to skip into the next year.

Nikhil Abhyankar

Okay, so just to clarify the around 375 crores we'll receive in this year one we have already.

R. S Raju

No, that is not the schedule of payments, I explained about the equity part whatever the equity be 50 crores-50 crores, like that they have tranches. But as far as the loan is concerned that is outstanding is about 320 crores is there, that the loan as per the agreement is payable part in the FY2223 and part in the FY2324. The deadline for the total loan repayment is 24th March.

Nikhil Abhyankar

Okay. And sir, what is the status on receivables from Andhra, sir?

R. S Raju

Yes, as Andhra is concerned, there is a good improvement to about the collections from the Andhra and now, the exposure as far as Andhra is also concerned has come down dramatically to 3153 crores. As far as payments are concerned, in the current year, in the six months period 202 crores we collected and in October also we received 34 crores. As a result, the long pending receivables from the old projects has come down dramatically. And about new projects that anyhow they're going, and the payments are coming. And in the new projects some pending are there some four, five months receivables relate to the ADB projects.

Otherwise, the payments relating to the old projects, particularly relating to the Capital City projects, where two segments are there. One is roads, other one is bu

ildings. Only to that extent
pending are there. In the billing spot again, some improvement is happened. The Government asked us to complete the housing or the Multistoried houses for the and other things. And payments also they're making for the project. So, net-net there is a very good deduction happened, hardly 150 to 200 crores pending should be there with relation to this Capital City Project.

Nikhil Abhyankar

Understood sir. And just one last bookkeeping questions I did not get the taxes earlier, so the retention money is 1,925 crores and unbilled revenue is 2,895 crores. Mobilization advances 2,006 crores and so what is the loans to contractor?

Krishna Rao

1,433 crores.

Nikhil Abhyankar

Okay, sir. Thanks a lot. That's all from my side. All the best.

Moderator

Thank you. I request the participants to restrict with two questions in the initial round and join back the queue for more questions. Next question comes from Ranodeep Sen, from MAS Capital, please go ahead.

Ranodeep Sen

Thanks for the opportunity. Just wanted to understand what's the share of government in the 40,000 crore orderbook that we have and a continuation to that question, are we going to focus on any of the upcoming infra themes like airports, hospitals and data centers? Thank you.

Neerad Sharma
Yeah, good morning. Our business is primarily from the Government Sector, when I say-- when I use this word Government Sector, I am talking about Central Government, their agencies as well as State Government and their agencies. So, primarily the exposure that we have is from the government business. Coming back to these two sectors, we are, actively participating in all the upcoming airports bids. In fact, we have recently completed this Guwahati Airport about couple

of months back and we are currently already in the process of completion of this Lucknow Airport and Patna is also in very advanced stage of construction. So, we do participate in these sectors.

Ranodeep Sen

Thank you, sir. Anything in the data science space?

Neerad Sharma
Data science, primarily the projects which are coming up in data center is on the development mode. So, we are very selective, in that segment as we speak, so you have to have your equity you have to develop and then rent it out to the various IT and IT services company. So, we are currently studying this segment, but we have not participated in any of these bids as we speak.

Ranodeep Sen

All right. Thank you so much.

Moderator

Thank You. Next question comes from Ash from Elara Capital, please go ahead.

Ash

First question, could you throw some light on the international exposure I know it's very insignificant as of now, but like to get exposure on how much amount has been received or how much payment is yet to the received?

R S Raju

As far as International is concerned, and the construction business, we have stopped and almost all the parts are over only one project is left over about 30 to 40 crores, in Qatar Petroleum that

would be completed by March of this year. As far as payments are concerned, we yet to get balance of 80 to 85 crores from the International LLC company out of which in the current year another 35 to 40 crores we expect by March and balance in the second year. Certain receivables are there for the International LLC Company relates to the two projects that to happen to pay the amount the back to the NCC.
Ash
Also could you give the revenue on the orderbook breakup for each and every sector?
R. S Raju
You were asking revenue as in every sector wise?
Ash
Yes.
R. S Raju
Okay. Our CFO, Krishna Rao will tell the numbers. We tell you about the end figure order book as of 30th September, 2022 division wise, you we are asking revenues.
Ash
Re

venue as well as orderbook, both and if you could just give the YoY companion for revenue that also will be good.
Krishna Rao
Revenue in six months billing division stands at 3,195 crores represents 49%. Order book at the end of September 25,269 crores constitutes 63%, roads 432 crores stand at 7% of the revenue closing other 714 crores represent 2%. Water and environment revenue for six months is 1,374 crores represents 21%. Closing order stands at 6,797 crores stands 17%. Electrical revenue is 528 crores, stands at 8%. Closing order book is 2,365 crores 6% of the total order book. Irrigation turnover is 202 cross is 3% and order book at the end of six months is 1,080 crores 3%. And mining turnover is 687 crores represents 11%, and order book at the end of half year 3,357 crores 9%. Others is the minors 35 crores order book is 229 crores. Thank you.
Ash

Also, I wanted the quarterly break up you gave the six months break up for revenue division. So, could I get for this quarter as well as the same quarter last year?

Krishna Rao

Unless six months. We have arranged for 6months, we will tell that later.

Ash

Okay. Thank you so much.

Moderator

Thank you. Next question comes from Deepak Poddar from Sapphire Capital, please go ahead.

Deepak Poddar

Hello, thank you very much for the opportunity. I just wanted to understand, in your opening remarks you mentioned about that full impact of rate hike is still left to come into our interest cost. So just wanted to understand what is the incremental cost in rupees, crores we're talking about in terms of interest outgo?

Krishna Rao

Yeah, the finance costs for Q2, it stood at 123 crores, while in Q1 it was 108 crores. So, for H1 together it goes up to 230 crores as compared to 270 cores in the previous year in H1.

Deepak Poddar

That I know. So I'm asking not the reason, I'm asking what the incremental interest full impact, I mean, you said the full impact will come in coming quarters right in terms of higher interest costs. So, what is the incremental interest cost one can expect going forward, because what this will impact.

PV Vijay Kumar

From , April to September, there have been four hikes which is aggregated into 190 beats, whereas, we have seen only 10 beats increase in our fund base limits and there is no increase in non-fund base limits. So, the hiked interest rate is yet to be known, how much it is going to be, in

which range, it is going to be, which is yet to be known. Once the renewals happen, what we predict is, as far as the fund base interest rates are concerned possibly it might go another 0.4 to 0.5% with the fully year impact and non-fund based, we clearly don't see much of increase maybe at the maximum we can see 0.1% or 0.2%.

Deepak Poddar

Okay, so, on an average our interest costs can increase by about 0.3, 0.4% right I mean overall.

Krishna Rao

At average that is safe zone to consider.

Deepak Poddar

Okay, this QoQ increases interest cost is because of higher debt levels?

R. S Raju

Not only high debt level, because the company operations are increasing as a result of the quantum of VGs and quantum LCs increased. The cost of BG and cost of LC is more out there than this deck. Only the debt in this quarter increased about 270-280 crores.

Deepak Poddar

Okay. I Understood. That's it from my side, all the best to you sir, thank you.

Moderator

Thank you. Next question comes from Saket Kapoor from Kapoor & Co, please go ahead.

Saket Kapoor

Firstly, it's a small understanding, you mentioned a 30% growth on the top line we have done for the first half this should be the outlook of execution for H2, is that understanding, correct?

R. S Raju

No, the first h

alf year, we reported a growth of 45%, okay? For the year as a whole, when you ask for the year as a whole, what the growth was the previous year when you come to that point, we said that 30% growth we expect for the year as a whole for the previous year.

Saket Kapoor

Okay. So, on a top line of 11,000 crore we are expecting a growth of 30%.

P V Vijay Kumar

Yes, you are right. We do not have a specific pointed figure from a board as a guidance these are certain things you know looking to the past we can, assume in a safe zone.

Saket Kapoor

You are completing the sentence, sir.

R. S Raju

What ultimately we mean here is 30% overall growth for the year compared to the previous year.

Saket Kapoor

Correct. And our total proportion of 40,000 crores how much is the operation and maintenance contract partner as a revenue and for the first half how much we are booked in O&M part.

R. S Raju

Yeah, in this order book, this O&M part particularly the big project what we received from the Brihan Municipal Corporation Mumbai, t, where big content 1800 crores there that we have not included in the order book. As the revenues happens after some time after five years, six years, so we are not included in this one. Only in this order book, small wind up projects are there, roughly 5-6 or 7% would be there.

Saket Kapoor

Okay, the order book of 40,000, 1800 is attributable to that Mumbai project, part and that I think so, seven to eight years down the line that will start included in the revenue.

Neerad Sharma

This O&M contract, that my colleague had just talked about has not been accounted for. This project will take about six years to get developed, then the O&M will start that will continue for about 16 years, the value is about 1,600 crores. So, in the order book that we are talking about are 40 odd 1000 crore, all that we have accounted for from this project is about 3,833 crores.

Saket Kapoor

You mentioned the cost of fund at 8.65%, is the blended cost, for us?

R S Raju

Yes, blended cost.

Saket Kapoor

We see it going up by another 0.35 basis point going ahead, that is what our expectation is.

Krishna Rao

That is what safely we can assume.

Saket Kapoor

Okay, so when we look at the cash flow, 8.68, okay. So, when we look at the cash flow part, we find the income tax payment to the tune of 99 crores for the first half. So, with 99 crores is totally attributable for this fiscal year or do we have a prior period item also being paid for this quarter, out of the 99 crores?

R S Raju

This tax payment advanced tax, tax payment maybe you're asking the –

Saket Kapoor

Yes, net income tax paid the funded line item, which was 99 crores.

R S Raju
No, 99 crores, it is a deduction. Generally, we won't pay any money for the tax from our end. 2% the client deduct from our RA Bills and also they deduct the 2% from the advance payment also. The liability is different, this advance is different. Generally, the payment whatever we made to the income tax department is higher than the tax liability. So, the profit and loss account show us what are the liability of the company for the past half year, that comes roughly about.

Saket Kapoor

It is 72 crores, Sir.

R S Raju
Yes, that is the liability and what you talk is about the advance payment.

Saket Kapoor

Okay, last question said about the investment property and investment property under construction, what are these two-line items, that investment property of Rs. 185 crores and investment property under construction at the tune of Rs. 103 crores.

R S Raju
Under construc

tion means, it is still under progress. Primarily this is the Jubilee Landmark, where
the property is developed by the Mantri Developers, where we have some part as a landowner, and investment property means whatever completed flats or other part is there, that line item represents that part.

Saket Kapoor

So, this Rs. 185 crores is the inventory in the form of investment in property that we are carrying and Rs. 103 crores we are holding the land parcel, on which the property will be developed?

R S Raju
Some are land properties, and some are completed flats. Roughly, we have about Rs. 70 to 80 crores completed flats, which are in sale and some of the flats sale has happened in the 1st and 2nd quarter, and the balance is about the land pocket.

Saket Kapoor

So, these Rs. 103 crores, you will realize over a period of time?

R S Raju

Yes, this we will realize over a period of time. This is also we realize, about the investment property. That is also we realized, if you see that on the numbers, last year by March 22, we have Rs. 160 cores. Now it has come down to Rs. 143 crores, about Rs. 17 crores we are realized in the first two quarters. Similar realization will also be there in the next two quarters.

Saket Kapoor

Thank you for all the very, very candid answers. For the other incomes knock off, you mentioned that last year has other income component of Rs. 32 crores. So, when we look at the console part, the other income component was Rs. 20 crores for September 21 and for this quarter it has gone up to Rs. 32 crores, so if you could explain what were you trying to convey?

Krishna Rao

That our income also represents partly, the profit what we earn on the sale of the property, what just now we discussed that one. And other income also represents the dividend payment what we received from one of the subsidiary company. So, these are the two elements which are on the high side compared to the earlier period.

Saket Kapoor

Sir, you were knocking out some Rs. 30 crores earlier in your opening remarks, some Rs. 30 crores other income thereby showing the profit would have been, yes.

R S Raju
That is Rs. 31 crores what we knocked out.

Saket Kapoor

Okay, right sir. And thank you for all these the details, that was my mistake, I stand corrected Sir.

Moderator

Thank you, we have a follow up question from Shravan Shah from Dolat Capital, please go ahead.

Shravan Shah

Thank you, Sir. Two questions first is in terms of the group exposure. So, currently we have over Rs. 1,292 crores. So, by year end how do we see how much this exposure will be reducing?

R S Raju

Rs. 187 crores we expect in this current year, so in terms of loans and in terms of equity, both put together we expect Rs. 200 crores part. That Rs. 893 crores and the total exposure is Rs. 1,446 crores at this moment, and about Rs.119 crores we expect to realize by March so, the exposure come down to Rs. 1,200 crores across by March end.

Shravan Shah

Sorry, sir. As of September, the group exposure is Rs. 1292 crores, or the number is higher?

Vijay Kumar

I talked about from March 22.

Shravan Shah

Okay. So, from March 22, we are expecting close to Rs. 200 crores to be reducing. Second is, in terms of the CapEx we mentioned so, in cash flow it shows Rs. 125 crores, but you said Rs. 148 odd crores we have done in first half. So, how much for the full year we are likely to do the CapEx at standalone level.

Vijay Kumar

Rs. 225 crores.

Shravan Shah

Okay. And lastly, in terms of the retention money you mentioned, is it Rs. 1852 crores or Rs. 1925 crores?

Vijay Kumar

Rs. 1925 crores.

Shravan Shah

Okay. Which is the one on the asset side Rs. 1925 crores, okay.

And then other income, now
should be, on the stand alone should be slightly coming down, so from Rs. 30 to 33 crore that we have seen in the 1st and 2nd quarter, so it should be now reducing in the 3rd and 4th quarter.

Vijay Kumar

No, more or less in the same level should be there.

Shravan Shah

Okay. That's it from my side. Thank you.

Moderator

Thank you. We have a follow up question from Nikhil Abhyankar from DAM Capital. Please go ahead.

Nikhil Abhyankar

Thanks for the opportunity again. Sir, we had earlier mentioned that the run rate for JJM orders in FY23 would be somewhere around 50 billion if I'm not wrong, so how much have we done in

H1 and what is the guidance for the remaining year?

Vijay Kumar

Can you repeat this question please?

Nikhil Abhyankar

What is our run rate JJM orders in H1 and what is the guidance for FY23?

Krishna Rao

Yeah, we have achieved a turnover in Q1 Rs. 646 crores and in Q2 Rs. 814 crores, in six months' time, it is Rs. 1460 crores. So far, we have achieved all the projects together 27%, so balance orderbook stands at Rs. 7,861 crores.

Nikhil Abhyankar

Okay. And can we expect similar execution in H2?

R. S Raju

Similar, or little more than the first six months also.

Nikhil Abhyankar

Okay. Sir our tax rate is low in Q2, any specific reason?

R. S Raju

Repeat me?

Nikhil Abhyankar

The tax rate in this quarter is lower at 19%.

R. S Raju

In the current quarter, we have received or some payments from the income tax department, relating to certain long pending disputes with the department, and we got an order in our favour from the Appellate Tribunal, and we received about Rs. 10 to 14 crores, as a result the tax rate has come down for this quarter.

Nikhil Abhyankar

Understood. Thanks a lot Sir.

Moderator

Thank you. Next question comes from Chandra Mouli, an individual investor, please go ahead.

Chandramouli

Hello. What about the pending cases sir, it's been long pending?

R. S Raju

Two cases are there. Now, as far as Semb Corp case is concerned, the arbitration proceedings more or less over, they are at the end stage. In the next one or two months, the balance proceedings take place. Basing on the project scenario, we expect an order in the March 23. And about the second case, TAQA , is still in progress, but for the amicable settlement, the dialogues are happening between the two companies, and one round discussions over in the last month,

and there is a hope to get an amicable settlement, and if amicable settlement is arrived, in six months' time the case gets closed.

Chandra Mouli

Sir, in worst case scenario, is there any cash outflow from the company, or have we already provided everything?

R. S Raju

As far as Semb Corp is concerned, we are not expecting any cash outflow and we expect a cash inflow of Rs. 650 to 700 crores. As far as TAQA is concerned, there is an outflow and for that one, we made a provision in the books of account roughly about Rs. 100 to 120 crores outflow will be there.

Chandramouli

Okay, if that is the case, it is only the positive expectation of about some Rs. 600 crores, even the worst-case scenario, am I right?

R. S Raju

Right And this liability pass on NCC Infra Holdings Limited, and Infra Holdings Ltd., get similar amount from its subsidiary that is from Brindavan Infrastructure Company Ltd., that is why that project getting closed in another one and half years, and inflow of about Rs. 100 crores is there from that company, that company utilize that Rs. 100 crores for the TAQA settlement thing.

Chandramoul

i

Thank you.

Moderator

Thank you. Next question comes from Prashant Hazariwala, an individual investor, please go ahead.

Prashant Hazariwala

Hi, good afternoon, sir. So, my question is like, we used to do around 12% of EBITDA margin and now we are at 9% of EBITDA margin, so how do we expect for H2, what kind of EBITDA margin you can expect from H2?

R. S Raju
We expect second half, an increase from that of H1, that would be stand at 10.2% or 10.3% level. As a result, for the year as a whole, we expect 10% EBITDA.

Prashant Hazariwala

Other income, what kind of other income we can expect going forward? It has come down to Rs. 32 crores?

Krishna Rao

We have already answered, at the same level and varying about to 5 to 10% this side or that side.

Prashant Hazariwala

Okay, so it's like, it's a one-time kind of thing, right? Other income, we can expect it for quarter to quarter, right?

R. S Raju
They're not one-time items. They represent, other income represents my interest income on the loans given to the group companies, number one. The interest on the margin money, what I have with the banks now. Some rental income would be there, dividend income is there, the profit on the sale of properties is there. Not a sudden and exceptional item, if the activity closed, only then the other income gets closed.

Prashant Hazariwala

Right, so if we take out the profit on the sale of the properties, what kind of other income we can extract quarter on quarter? So if you take out this profit from the sale of the property, that can be one time. So, what kind of other income we can expect?

Krishna Rao

Every year as a whole Rs. 10-15 crores will be there in the profit on sale of property.

Prashant Hazariwala

Okay, we used to do 180. Last year we have moved to Rs. 270 crores. So, what if we can take an all-inclusive, we can expect Rs. 250 crores yearly?

Krishna Rao

What is your question, is not clear. Voice is also breaking.

Prashant Hazariwala

Okay, all right.

Vijay Kumar

We are reaching the closing part of the meeting now. Maybe we'll take another one or two questions. That's all. Please cooperate.

Moderator

Thank you, sir. That will be the last question for the day. I would now like to hand over the floor to management for closing comments.

Vijay Kumar
Thank you everyone for your patient listening. And we are available to you by mail. In case you have any questions, you can always reach us. Thanks again for taking time and attending the call.

Vijay Kumar

Thank you all.

Krishna Rao

Thank you.

R. S Raju

Thank you.

Moderator

Thank you, sir. Ladies and gentlemen, this concludes the conference call for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a pleasant day.

Note: 1. This document has been edited to improve readability
2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Feb 2023

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Ref. No.: NCCL/ Regulation 30/2023
Date : February 15, 2023

National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block G
Bandra – Kurla Complex
Bandra (E)
MUMBAI - 400 051.
Symbol: NCC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Fort
M U M B A I – 400 001.
Code: 500294

Dear Sir(s),

Sub: Submission of Transcript of the conference call under Regulation 30&46 of the SEBI (LODR) Regulations, 2015

Please find enclosed herewith the transcript of the earnings conference call that took place virtually on February 9, 2023 with analysts discussing the performance & financial results of Q3 of the F.Y. 2022-23. The transcript is also available on the Company's website at https://ncclimited.com/analyst-column.html

The Transcript includes list of management attendees and the Q&A's, any assents/dissents and open points.

Please note that no unpublished price sensitive information was shared/discussed in the earnings call.

Kindly take the above information on record.

Thanking you,

Yours faithfully
For NCC LIMITED.

M V Srinivasa Murthy
Company Secretary & EVP (Legal)
Encl : As above

"NCC Limited
Q3 FY '23 Earnings Conference Call"
February 09, 2023

MANAGEMENT : MR. R.S. RAJU – DIRECTOR PROJECTS – NCC LIMITED
MR. P.V. VIJAY KUMAR – VICE PRESIDENT FINANCE – NCC LIMITED
MR. NEERAD SHARMA – HEAD STRATEGY AND

INVESTOR RELATIONS – NCC LIMITED
MR. K. DURGA PRASAD - GENERAL MANAGER
FINANCE – NCC LIMITED
MR. S.M. RAJU – DEPUTY GENERAL MANAGER,
FINANCE AND ACCOUNTS – NCC LIMITED
MR. P. SURENDER RAO – ASSISTANT GENERAL
MANAGER FINANCE – NCC LIMITED

MODERATOR : MR. ASHISH SHAH – CENTRUM BROKING

Moderator: Ladies and gentlemen, good day and welcome to the NCC Limited, Q3 FY '23 Results and Future Outlook Discussion, hosted by Centrum Broking Limited. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ashish Shah from Centrum Broking. Thank you. Over to you sir.
Ashish Shah: Yes. Thank you, Darwin. On behalf of Centrum Broking, I welcome everybody to the NCC Limited to Q3 FY '23 results conference call. Today we have from the management, Shri. R. S. Raju, Director, Projects, Shri. A. Vishnu Varma, Director, Projects, Shri. P. V. Vijay Kumar, Vice President, Finance, Shri. Neerad Sharma, Head, Strategy & Investor Relations, Shri. M. Srinivasa Rao, Chief General Manager, Finance and Accounts, Shri. K. Durga Prasad, General Manager, Finance, Shri. SMVSR Raju, Deputy General Manager, Finance and Accounts, and Shri. P. Surender Rao, Assistant General Manager, Finance.
So I'll hand it over to the management for the opening remarks and after, which we'll have a Q&A session, over to you sir. Thank you.
P.V. Vijay Kumar: Good morning everyone. This is Vijay Kumar, Vice President, Finance. I welcome everyone to the NCC Q3 FY 2023 earnings investor call. I thank each one of you for taking time to attend this. Before we start, I'll read out disclaimer and then we shall go into the subject. The statements made here or in the presentations uploaded by the company are to our best of knowledge are true and any forward-looking statements are subject to certain factors beyond control of the Company Officials and Management, and hence the audience are advised to use their discretion in their own analysis accordingly.
Now, we shall go into taking the performance of the company for this Q3 into account. I'll briefly start with opening remarks followed by Q&A. I have my colleagues Mr. Subba Raju, Director; Mr.Neerad, Head, Strategy & Investor Relations, Mr. Durga Prasad, GM, Finance, SMVSR Raju, DGM, Finance and Accounts, and Mr. Surender Rao, AGM, Finance present in the call, who will take your questions. Considering time limitation, we request the audience to limit to one or two questions, so that everyone gets an opportunity within the given limited time.
Let us start now. I think I'll start with the opening remarks. We are in a peculiar situation in the economic history now. The periods in the economies are like we are seeing them now after several years or decades of gap in their own way they are structured. It all started with the pandemic induced contraction of the global output followed by the Russian-Ukrainian conflict leading to a worldwide surge in inflation.
The central banks across economies led by the Federal Reserve responded by a synchronized policy rate hike to curb inflation. The rate hike by the US Federal drove capital into the US

market causing the US dollar to appreciate against most currencies. This led to the widening current account deficit and increased inflation pressures on the net importing economies like us.
The rate hike and persistent inflation has led to the lowering of global growth forecasts for 2022 and 2023 by the IMF in its October 2002 update of World Economic Outlook.
Added to these problems of Chinese economy further contributed to weakening of the growth forecast with inflation persisting in advanced economies and the Central Bank's hinting at further rate hikes, downside risks to the global economic outlook appear elevated. However, despite all these issues, agencies worldwide continue to project India as the f

astest growing in major
economy at 6.5% to 7% in FY 2023. So this optimistic growth forecast stem in part from the resilience of the Indian economy seen in the rebound of private consumption seamlessly replacing the export stimuli as the leading driven growth. The uptick in private consumption has also given a boost in production activity resulting in an increase in capacity utilization across sectors.

Internally, almost all economies are showing certain pain points in a major or minor way in a peculiar situation arising after COVID, coupled with global tensions causing supply chain disruptions. During these peculiar troubled times, India has shown its resilience in bouncing back. If you observe, main drivers of Indian economy is top by infrastructure construction spending, followed by consumer spending, which is since picking up thanks to the cost-cutting effect of government spending and include capex program across the states.

Total investment infrastructure is planned to be around like 4.5%, 4.7% of GDP. So this is very well for the industry as a whole. In 2022-'23, the states also have budgeted an increase in capital outlay by 38%. So as per RBI report, Union Budget 2023 capital investment has also increased by 33% to INR 10 lack crores. So this is pertinent to note that at this level of spending, our nominal GDP will be at the rate of 10.2% growth. And companies like NCC, which are into multi-fold operations like buildings, water, electricity, road, mining and all, they are so well positioned to capture all the opportunities that are happening in the various segments of infrastructure in India.

So NCC will be the book size of INR 41,862 crores of order book of all these segments remain as one of the spearheading companies in construction segment. I am coming to my last part of briefing. We remain bullish over economy considering infrastructure spend driven growth. The Indian economy will grow at average nominal growth in double digits from 2022-2030. The high investment rate which matches some of the peaks of earlier years continue to be supported by capex of central government.

I now pass on this to my colleague Mr. Subba Raju, Director, to bring out salient features of our financial performance to you. As I said, please consider a chance to address to and choose and limit your questions without repetitions.

Subba Raju: Thank you Mr. Vijay Kumar. Good morning to all of you. First I take to you, first, order books, thereafter consol Company Performance and thereafter, Standalone Performance and thereafter

I briefly touch about the Balance Sheet items, but I restrict to the some of important points and thereafter if anything you people require through question answers we clarify those items.

So if we come to the Order Book In the current quarter, the company secured about INR 5033 crores and further in January month also the company secured INR 1754 crores. So the total orders for the nine months period we take about INR 12,612 crores. So if you take up to January '23, the total orders so far secured by the company INR 14,367 crores. So we have about L1 orders INR 3,000 crores as on date. So we show that in the current nine month period the order booking is relatively better than the previous years.

Now the order book with all these stands at INR 41,862 crores. So if we come to the performance of the company, on a consol level has reported a turnover of INR 3,904 crores against INR 3,033 crores increase of 29%. In the earlier quarters you might have observed about the growth is about 40% is there and now the growth for the third quarter reported as 29%. The gross profit margins in terms of absolute terms increased from INR 464 crores to INR 626 crores a growth of 35% in terms of gross prof

it margin percentage it has come down from 16.27% to 15.38% further the
reasons already we explained in the first two quarters because of the material input prices compared to the previous year there is an increase happened, but softening is happening from the second quarter onwards, but compared to the previous year nine months, still the prices the commodity input prices are still higher than the prices what prevailed in the first nine months of the previous year as a result the margins impact is there.

Now comes to the EBITDA, increased from INR 276 crores to INR 376 crores, but in terms of percentage there is also increase in the EBITDA from 9.11% to 9.64%, a 0.53% increase happened at EBITDA. Coming back to the PAT, there is a significant improvement happened in the PAT level about more than 100% jump from INR 76.42 crores to INR 157.70 crores. In terms of percentage, the net profit is increased from 2.52% to 4.04%. And comes to the EPS, also there is almost a double increase happened from 1.3x to 2.5x.

This is about the Q3. on a year-on-year basis and slightly I mentioned about the quarter-on-quarter, if you take the quarter-on-quarter there is an increase in the revenue by 15% from INR 3,405 crores to INR 3,904 crores and gross profit also increased from INR 518 crores to INR 626 crores, a 21% increase. And EBITDA also increased from INR 310 crores to INR 376 crores and in terms of percentage from 9.11% to 9.64%. PAT increased from INR 131 crores to INR

157.70 crores about 20% growth. In terms of percentage from 3.8% to 4%. So this is about the third quarter performance relating to the year-on-year and quarter-on-quarter.
Now coming back to the nine months comparison, performance of the nine months performance comparing with the same corresponding period of the previous year. The revenue increased from INR 7,017 crores to INR 10,660 crores, about 38% growth. And gross profit increased from INR1,260 crores to INR 1,645 crores, 30% growth, but the gross profit declined from 16.47% to 15.66% the same reasons what I explained just now. EBITDA increased from INR 754 crores to INR 994 crores. EBITDA percentage there is a decline from 9.84% to 9.43%. So nine months

are concerned, but third quarter concern some increase happened. PAT increased from INR 240 crores to INR 418 crores about 74% increase in the nine months operations. In terms of percentage it is increased from 3.12% to 3.9%. EPS also increased from INR 3.9 to INR 6.7.
So this is the console company performance and within the console company there are two to three group companies are there and standalone and before going to the standalone, I will touch briefly about the other companies performance. Now all group companies together reported a turnover of INR 534 crores against INR 309 crores an 88% jump in the group companies turnover also. And the PAT reported is INR 8.04 crores against a loss of INR 14.55 crores in the corresponding quarter of the previous year, in which there are two companies primarily reporting the turnover.
One is, the MDO coal mining project, a subsidiary company called as Pachhwara Coal Mining Private Limited, which reported a turnover of INR 468 Crores in this quarter against INR 249 Crores of the corresponding quarter of the previous year. NCC Urban reported INR 66 Crores against INR 89 Crores. There is a decline happened in the turnover for Urban in this quarter. OB Infra , of course it is an annuity payment more or less similar for all the quarters INR 14.31 crores now against INR 13.75 crores Similarly the PAT of these group companies PCM PL reported INR 13.86 crores against INR 7.3 crores of the last year NCC urban reported INR 9.8 crores against INR 8 crores and OB Infra reported 3.16 crores against 5.32 crores
This is about the group primarily these three companies in terms of turnover and the profit. Now we coming back to our stand

alone. The first one is, third quarter performance. In third quarter
the revenue of standalone increased from INR 2,724 crores to INR 3,370 crores, an increase of 24% and gross profit an increase of 28% from INR 463 crores to INR 587 crores.. Gross profit also increase happened from 17.13% to 17.73%. So the EBITDA increase happened from INR 293 crores to INR 349 crores, a growth of 19%. In terms of percentage, decline is happened EBITDA from 10.93% to 10.53% PAT increased from INR 91 crores to INR 150 crores a 65% growth in the PAT. So in terms of percentage it is increased from 3.34% to 4.45% and EPS from INR 1.49 to INR 2.41. So this is about the performance of third quarter.
In the third quarter, all the costs already about direct cost I explained in terms of gross profit margin. Only the two elements which are interesting to note here is about interest cost. In this quarter the interest cost reported INR 137 crores against INR 116 crores for the corresponding quarter of the year. For this the reason is primarily increase in the debt level that is one and the other one is the increase in borrowing cost. it is a it has a little impact on borrowing cost as you know that like this is happening in the borrowing cost for all the companies. But in terms of percentage, it is declined from 4.27% to 4.1% because of increase in the volume of the operations. In administrative cost also this time we have seen some steep increase happen. It is because of the some donations given by the company.

Now employee cost in terms of percentage has slightly has come down in terms of percentage. Of course in terms of absolute always when the activity is going on the headcount and other things, but as far as operating, [inaudible 0:18:30] have declined compared to the previous year.
Now quarter-on-quarter, this immediate quarter comparison, the revenue increased from INR 3,037 crores to INR 3,370 crores from the second quarter to third quarter,. The gross profit margins increased from INR 463 crores to INR 575 crores, about 24% increase. Gross profit margin increased from 16.09% to 17.73%. EBITDA increased from INR 293 crores to INR 349 crores, about 19% growth from the immediate previous quarter.
EBITDA in terms of percentage also there is an increase from 9.61% to 10.53% and increases from INR 122 crores of the previous quarter to INR 150 crores in the third quarter, about 23% increase. So in terms of percentage increase happens from 4.01% to 4.45%. This is about the

three months performance and nine months, just I'll touch nine months performance. in a broader line. The revenue increased from INR 6,859 crores to INR 9,396 crores about 37% growth. Similarly in the gross profit a 28% increase has happened, in EBITDA 26% increase has happened and in the PAT 59% increase happened. EPS rose to INR 6.3 from INR 4.05. So that is the nine months performance and the important the balance sheet items come to the debt.
So in this third quarter, the debt has come down from INR 1,985 crores to INR 1,946 crores a decline of INR 39 crores. So you observe that in the last two quarters there is a steep increase what's happened in the debt. For that one there is a good reason. There is a big jump is happening in the activities. Earlier it was a INR 10,000 crores company in the previous year, but now a 30% growth is anticipated and 40% increase in the volume of the activities increased in the first two quarters as a result the resources like working capital also increased, but not in the proportionate level.
So as a result the debt level increased in the first two quarters, but in the third quarter, decline started. Decline happened about INR 39 crores. And going forward, we expect that the debt further decline in the fourth quarter by about INR 200 crores to INR 300 crores. It must have INR 1,600 crores to INR 1,700 crores by March '23.
In group companies al

so, there is no debt. Almost all the companies have become debt-free. So bearing INR 5 crores debt is there in the NCC Urban Company. So the same level what we earned this time over the same level is in the group company's debt.
And coming to the capex and in the first two quarters also you have seen there is a significant increase in the capex. It indicates how the activity is increasing in the company. On par with the increase in the activity, the capex is also increasing. In this third quarter also the company spend INR 95 crores for the capex together for the nine months period the capex was INR 243 crores so in Q4 the expected capex would be around INR 30 crores to INR 40 crores it may not be the same level so it may be around INR 30 crores to INR 40 crores.

So the investment properties one item is the balance sheet has come down from INR 263 crores to INR 230 crores about INR 33 crores decline in the nine months, but in third quarters a decline is happened by about INR 16 crores.
So come to the trade receivables so come down from INR 2,792 crores to INR 2,675 crores by INR 117 crores despite the increase in the volume despite the increase in the revenues for turnover, but the trade rates which still stands on almost the same level without any increase. It indicates how the collections of the company in this quarter as well as in the first two quarters The debt collection period has come down from 97 to 91 days in nine months.
Investments. There is no change in investments in the nine months period or the third quarter. But come to the loans, the loan figure has come down from INR 401 crores to INR 391 crores in the nine months period. In some of the small companies have repaid the loans like NCC Urban and NCC International Services Omen, in little. But the major part we are supposed to get is from the NCC Vizag Urban that is first we are supposed to get the sale consideration and what we are supposed to get the sale consideration in December quarter, we have not received that one, December quarter. That's the defer by another one or two months so that we expect to receive in this quarter, what our trends are supposed to get by December '22.
Now, come to the other income and you might have seen there is an increase happening in the other income. The increase primarily on account of the sale of one land property happened in the third quarter. It represents about INR 18 crores and also same time sale of these flats, the already developed properties are there with NCC. So that represents about INR 11 crores, together INR 29 crores is the part of the other income. The interest income is about INR 17 crores and also dividend income of INR 6 crores and the miscellaneous income is INR 5.4 crores, altogether about INR 57 crores what we refer to as the third quarter. So the major element is profit on sale of the land and as well as the other flats.
Coming to the AP projects, the amount collected in Q3 from AP clients and capital city project is about 122 crores.. The total current year assets come down of AP projects, now that some projects which are moving slowly and some projects particularly the Capital City projects there is no movement. But all projects together in the current nine months period, so I am in the subject AP projects. So in the AP projects some improvement happened in the collections in the nine months period of the current area.
As a result, the outstanding current assets including the trade receivables, work-in-progress and other monies have come down. And in the nine months period, about INR 325 crores amount we have realised . As a result, the amount has come down by INR 325 crores. So there are two parts. One is running projects and another one is struct projects. The running projects, about INR 170 crores or so, collections have happened from that of March '22 and in the stuck projects,

the amount ou

tstanding, the net amount outstanding has come down from INR 165 crores to INR 164 crores after adjusting the mobilization advance.

So you are more to other aspects like material cost, working capital, other things as and when you people ask the questions we will clarify. So with this our remarks end and you can start about your questions and to answer by a team of people are available here and they answer the appropriate things to the questions.

Moderator: The first question is from the line of Mohit Kumar from DAM Capital.

Mohit Kumar; Congratulations on a good set of numbers. My first question is on the improvement in the margins to happen Q-o-Q. Do you think this can sustain over next two years -- for the next quarter and the FY '24 given the decline in commodity prices? That's the first question.

The second question is on the revenue guidance. I think we're given 30% growth outlook for FY '23. Do we maintain that?

Subba Raju: So your question is about the margins and another one is about the revenue guidance. The second one, first I will answer about the revenues. So whatever we know, we indicated in the previous calls also 30% to our internal. So 30% is maintainable and it is achievable by the year end, 30% growth.

As far as margins are concerned, there is a decline happening in the first quarter and also in the fourth quarter of the last year. But now there is steady increase happening in the margins. It is along with the softening of the metal commodity prices happening in the market. So in the fourth quarter also we expect another 10 to 20 base points improvement in the margins.

Mohit Kumar: The bigger question is can you go back to our 11% margin, which you used to do earlier?

Subba Raju: Yes, but the thing is, the outside market, how the market moves. But certain commodities moving in one direction, certain commodities are moving in other direction. That is one. And number two is there is also a competition in the market. Now the company taken a stand that to report more volumes. So when you want more volumes and you want more growth, 20% to 30% growth, naturally we have to compete. We have to get at a competitive price to the tenders. As a result, certainly 0.5% to 1% margin sacrifice would be there at the time of tendering. So all these things are important. But at PAT level, ultimately gross margin if there is a decline, but PAT level, the company is targeting to maintain 5%-plus. That is the thing.

Mohit Kumar: So one more question. How much you mined in Q3 in Pachhwara? And how do you expect it to ramp-up over next few quarters?

Subba Raju; Yes, Pachhwara is doing well. In fourth quarter also it ramp-up and it reports more than what it reported in third quarter. And going forward also it has good prospect to report more and more turnover. Here it is the Pachhwara coal mining, the rated capacity is 15 million tons a year. It is already touching, now touching in this month and in next year it is supposed to produce 15 million tons. So once 15 million tons reached, there after the turnout in a steady manner, except any escalation and other things. So in the next year, the company reports the rated capacity 15

million tons. It has geared up to produce coal to such an extent only from the client's side. The client also provides everything, then the company has no problem to produce 50 million tons of coal every year.

Moderator: The next question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, before asking the question, a humble request, if you can reduce the time for your opening remarks and allow more questions from the participants. It would be a great, that's a simple humble request. My question is in terms of the order inflow, you mentioned that we are L1 in INR 3000 crores. So if I add that then INR 17,400 crores order inflow is

there. So how much more we can look at in this quarter and what about the next year? Can the similar kind of performance INR 15,000 crores, INR 18,000 crores inflow is possible? So because of that, the related thing is that in terms of the revenue growth, definitely this year we will be looking at 30%. So next year, similar 15% growth on the top line front is possible?

Subba Raju: Yes, now for the current year, as you said, 17,000-plus including the L1 are there. And there are good possibilities to reach 20,000 crores also by March '23. As far as [inaudible 0:33:36] is concerned, as the company has its own strategic plans to increase the turnover year-on-year for which definitely the order book also increases, because the company has plans and it is

expanding and also entering into new verticals. So next years also the similar level or a little bit more than the similar level also is possible.
Shravan Shah: Second is a couple of data points I need sir, on the balance sheet side. So what is the gross date, inventory number, debtor's number, cash balance payable, mobilization advance, unbilled revenue, retention money, and the group exposure?
Management: Too many numbers.
Subba Raju; That is why he asked us to reduce the opening time. Thank you for your suggestion. And some of the numbers we read out. And the pay receivables already explained, INR 2,675 crores.
Unbilled revenue, INR 3,486 crores, retention money INR 1,900 crores, the debt already we indicated INR 1,945 crores, what are the other numbers you want?
Shravan Shah: Cash balance, payable number, mobilization advance?
Subba Raju: Cash balance, INR 131 crores. Margin money deposits, INR 540 crores..
Shravan Shah: Sir, mobilization advance last quarter, it was INR 2,006 crores. So what's the number this time?
Subba Raju: INR 2,081.
Shravan Shah: INR 2,081. Trade payables, sir?
Subba Raju: INR 4618 Cr.

Shravan Shah: And the group exposure in terms of the loans, you said INR 391 crores. So investment is how much, or you can give the total exposure in terms of the investment?
Subba Raju: Whatever we have the same number, INR 895 crores, investments.
Shravan Shah: INR 895 crores. And the last one is in terms of the order book of the -- existing order book, INR 41,862, how much is the subsidiary mining order that is the Pachhwara mining. So I just wanted a standalone order book number?
Subba Raju: INR 2,000 crores.
Moderator: We have the next question from the line of Ash Shah from Elara Capital.
Ash Shah: First of all, congratulations for great set of numbers. So first of can you just give me the revenue breakup from different segments for this quarter?
Subba Raju: Yes, you can consider these figures. Revenue for this nine month period…
Ash Shah: Yes.
Subba Raju: The buildings, INR 3,942 crores. Transportation, INR 1,565 crores. And here we reclassified the earlier segments or divisions. We made the buildings and the roads into buildings and transportation. As a result, all the works of these flyovers and metros, we have classified from the buildings into the transportation. To this extent, some difference would be there from that of the earlier numbers and current nine months numbers. And come to the water and railways, the revenue is INR 2,257 crores, electrical INR 787 crores, irrigation INR 248 crores, mining INR 1,243 crores, others INR 62 crores, international INR 7 crores, Total into INR 10,102 crores.
This is the revenues for the nine months period.
Ash Shah: And one more question was on the Bangalore Metro site. There were news reports that there was a mishap that happened. Can you just provide some colour or if there is any inquiry or if there is any stoppage of work on that front?
Neerad Sharma: Good morning, this is Neerad. First of all, this is a very unfortunate incident. This includes loss of life. This is a very, very unfortunate incident. We under

stand that our client has already appointed a couple of experts to study, analyze and come out with the possible lab tests. So as we speak, we are deeply engaged with the client and as and when we receive any more information on this subject we would be happy to share with you.
Ash Shah: So is the work still on or has it been stopped right now?
Neerad Sharma: Currently, I think nothing is going on, but they are taking a view they possibly want to change a couple of design points. So it will take some time, but we have no reason to believe that it won't move forward, but it will take some more time.

Ash Shah: And how much will it contribute to our existing order book, if you could just provide a brief number or something?
Neerad Sharma: See, the total order book for these three packages are INR 2,167 crores. There are three packages in Bangalore Metro.
Moderator: The next question is from the line of Vasudev from Nuvama.
Vasudev: Just two data-related points, what is the execution that we did in nine months, including the international orders? And if you can give the order book split segment wise?

Subba Raju: No. Already we given...
Neerad Sharma: Just now the figures have been given.
Subba Raju: Nine months revenue figures we're given. If you want beyond that anything, you please ask us.
Vasudev: So if you can give order book split based on different segments?
Subba Raju: Okay. Segment-wise, and figure as of 31, March '22. INR 41,862 crores, we will give this. The buildings, INR 20,089 crores, transportation, INR 4,518 crores, water and railways, INR 8,814 crores, electrical INR 3,429 crores, irrigation, INR 1,773 crores, mining INR 3,003 crores, others INR 229 crores, internationals INR 7 crores, totaling to INR 41,862.
Vasudev: And sir, what is the status of our Jal Jeevan Mission project?
Subba Raju: What is the?
Management: Jal Jeevan Mission Project, JJMP.
Subba Raju: About 25% of the execution happened for the water projects we received and gradually increasing quarter-on-quarter the execution. In fourth quarter also, we expect about INR 800 crores or so, by this year-end about 35% to 40% of the value of the orders will be completed.
Moderator: The next question is from the line of Prem Khurana from Anand Rathi Shares.
Prem Khurana: Congratulations on very good set of numbers. So my question was with respect to the Vizag land sale. I think we were supposed to receive our payments, but we gave them an extension last quarter, and since then we've given them an extension one more time. So the agreement that we have with the buyer, does it have any end date in terms of beyond which you won't give them any extension? Because I think we were supposed We also received some money in September and there was some due in December, but in September we did not receive any money and in December again, I mean you said they have sought extension for another two-odd months and the transaction does not carry any risk because we have already received some payment of INR 50 crores for the response receipt?

Subba Raju: Yes, now in the initial first five, six months or ten months, this is a business This is a big land pocket and after they take out that one and they carried out the due diligence process and whatever the shortfalls are there, those shortfalls also from outside are taken time to complete those things. As a result, some delay is happening to take, to carry out the real estate process, what they envisaged. As a result, some delay is happening for which along with them, some part of that is also happening from outside. As a result, they requested us to defer the payment. So we defer the payment. Now, it's supposed to come by December 31, but it has not come. Now in this month, February month, they issued to pay that amount. And by March quarter, another stage we expe

ct to get. And for this, where our delay is happening, on the delay amount they agreed to pay the interest.
Prem Khurana: Even on the equity part or only on the loan?
Subba Raju: Interest also. First the equity part I explained. Once equity part is cleared, then they go to the loan part. The loan part linked with the project performance. So the moment they start sales, out of the sales amount, 70% to 80% amount they put into the escrow account to clear our loan. There is a mechanism originally in the agreed talks.
Prem Khurana: And on Andhra exposure, is it possible to share the amount of the total exposure in terms of order backlog and how would the split be between let's say capital, the projects that are still not moving for us and the orders which are going good for us now and we are realizing payments on a regular basis. That will be all from my side. Thank you.
Subba Raju: The book of the Andhra now stands at INR 5,000 crores. Earlier about INR 18,000 crores or so is there now gradually has come down and we are sticking to that level only and we are not taking only bearing this funded projects if any funded project, particular set of government funding is there only selectively one or two projects we have taken and the projects whatever earlier taken which are under execution including the APTIDCO projects. So at bearing this Capital City projects, as per the projects are going but not at the speed which is supposed to go but at a little slower path the projects are going. So at this moment roughly about INR 5,000 crores.
Prem Khurana: How much would be Capital City in this INR 5,000-odd crores?
Subba Raju: In the Capital City, now, there are no virtually, there are no, we have removed those orders, Capital City orders from the order book. Earlier, that INR 18,000-odd crores are there. So understanding this scenario, the new government, we have removed those Capital City project orders. Only one order is there that is MLA, MLC quarters that we earlier we submitted 88%. Now they asked us to complete. That order is about some INR 50 crores to INR 100 crores will be there. That we are executing and they are also releasing the payments.
Prem Khurana: So just one last if I may please. I think there was this announcement by the Chief Minister of the state Andhra, where they have decided on the Capital City now. I mean Vizag is the capital city.

So how would that impact the pace of execution of the existing order backlog? Because now

they will be focused on Vizag right? I mean if it is as we have decided that we will go with Vizag, so how will they change the execution for us on this INR 5,000 crores number?
Subba Raju: Now that was their changing of Capital City for the last two years. But Capital City at this moment we don't have any order related to Capital City in our order book. So Neerad Sharma also explained about or the AP what you are asking?
Neerad Sharma: See these two incidents are not related, this shifting of new capital to Vizag was an announcement that was made in the past. The projects that we are doing in the AP are not related to Capital City projects. In the past we have removed these projects from our order book. So as we speak the orders that we are executing there, are all moving orders, maybe at a slower pace. But it has nothing to do with the Capital City project that we had taken a couple of years back.
Moderator: The next question is from the line of Nikhil Abhyankar from DAM Capital.
Nikhil Abhyankar: Congrats on the good set of numbers. So can you give us any status on the Sembcorp arbitration?
Subba Raju: Yes. Last time also we told that, now the final round of the arbitration, now they scheduled in February month. So in February month, the final round of hearings will be completed and we expect the final outcome by May or June.
Nikhil Abhyankar: May or June next year. And the process that we

are expecting are somewhere around INR 600 crores, INR 700 crores?
Subba Raju: That too depends upon the outcome. We have the positive feeling on that one, since we have the good grounds, we have some good merit points.
Nikhil Abhyankar: So then, have you started the execution at Malad Sewage Treatment Plant?
Subba Raju: Yes, started. All the mobilization works and other planning, design, form all these procedures, license approvals, all the works are going on. Physical work may take another one month or so.
Neerad Sharma: There is lot of design and engineering involved in the project of this complexity. So currently the project is in that stage. Once that hurdle is crossed then the question comes of really starting the construction. That will take couple of months time.
Nikhil Abhyankar; And just a final question, sir. Of the 150-odd billion order inflows that we have received, around 95 billion has been from the water segment. So do you see the trend continuing this year and as well as the next year given that the JJM capital outlay has remained the same for next year?
Neerad Sharma: You are talking about the Jal Jeevan Mission, right? So, currently we see very healthy order pipeline in J. J. Mission. There are a lot of projects who have identified villages, they are doing the preparatory work required and the order pipeline is very healthy. But as you are aware we have already very good exposure to JJM. So we look at the projects carefully where these

projects are coming, how is client really and to roll those projects out and accordingly we decide to bid. But the order pipeline continues to be very healthy.
Nikhil Abhyankar: Just a final question sir, I am based out on the inventory, the quantum of inventory as of December '22, can you just give that?
Subba Raju: INR 916 crores.
Moderator: The next question is from the line of Ashish Shah from Centrum Broking.
Ashish Shah: Sir, first question is on the donation part which you mentioned. Could you quantify how much was that amount in the third quarter and what was the nature of this donation?
Subba Raju: Those things, okay, those details, so I can't say. The amount is about to total several millions is there, maybe around INR 32 crores to INR 40 crores.
Ashish Shah: Secondly, there is also a note which mentions the survey operations of the income tax in the last quarter. So, any update that you would like to share on what has been the further development on that aspect?
Subba Raju: As now they come in the month of November '22, so now there is so many irregularities so happen in the market to the new GST Act comes. So in the GST certain irregularities have happened and certain vendors have done some game play with the GST. As a result to the suppliers we have standard services and supplies. Down the level, so many small, small supplies are there and based on the last two years, certain irregularities taken place at our vendors and so as a result of the DGCA, the GST Department also conducted a survey of this information and we have provided information and other things.
But here is the thing to be noted here is, as per the GST Act provisions, if the vendors fail to comply with the GST provisions, if they fail to discharge their GST liability, ultimately the

recipient is also responsible to pay the GST liability. As a result, I am the end user, so the Department has come to us, whatever input as credit they are mentioning their bills, since they have not discharged their GST, so don't take that input as credit into your books of accounts, you are not eligible to use that input as credit. Like that, the GST Department has indicated us. So after thorough service study and collecting information from the vendors and other things, as a result of these GST irregularities happened at various subcontractors and vendors. Now NCC posted to revert the input as credit saying tha

t it is not a qualified input as credit. Now after that, using that information, again the income tax department wants to verify about the details of such vendors and they come to our office and ask us to provide the details. So some of the information they have collected at that time and some of the information they asked which required some time and we are collecting and compiling that information and some more information is yet to submit. And at the income department also, water and food they collected,

they are also carrying out the proceedings. So we expect in another two, three months, the penalty of the survey will be known. As on this date, nothing is there.

Ashish Shah: So if you can just quantify the amount that we are talking about, the input credit which has not been allowed, at least even temporarily?

Subba Raju: About INR 80 crores to INR 85 crores.

Moderator: We have the next question from the line of Saket Kapoor from Kapoor Company.

Saket Kapoor: Just in continuation to the GST input credit part, so that amount of INR 80 crores to INR 85 crores, whenever would be ascertained would be directly flowing to the bottom line, sir, what would be the treatment of the same going ahead?

Subba Raju: This INR 85 crores is collectable from the vendors. When vendors are discharged, ultimately the liability goes to them and we have debited to them and we have collected some of the amount. We have already written their books in the payables and the claims. We have adjusted some amounts and some of the amounts under collection from the vendors.

Saket Kapoor : So that is lying in the payable segment. That credit would when received would be a square off from the payable segment. It will not be going to the P&L part anymore? Correct, sir?

Subba Raju: That is correct.

Saket Kapoor: Coming to the margin outlook part sir. You mentioned that going ahead as the business size improves and we are looking for other verticals, we are looking at PBT margins of 5.5%. We did above 6% for this quarter. If you could clarify what is our margin outlook going ahead in terms of the 30% growth in revenue that is expected for FY '23, over last FY '22?

Subba Raju: Yes, as far as growth is concerned, 30% is achievable for the current year. As far as the margins are concerned, already might out there in the last three quarters out there. And some improvement quarter-to-quarter happen, and in the fourth quarter also, better margins will appear particularly at the PAT and EBITDA levels. But altogether, it may not be 5.5% per year as a whole. For the fourth quarter, it may touch 5% or so. So because already the operations are affected with the increased prices in the first two quarters, we cannot recoup all these things at a time. But in the next year, there is a good chance of to further improve from 5%.

Saket Kapoor: Sir, we posted 6% PBT number for December quarter. So we are expecting a decline for the fourth quarter or it will be in line?

Subba Raju: On the PBT margin?

Saket Kapoorl Yes, PBT margin sir.

Subba Raju: EBIT margin improvement would be there from the third quarter.

Saket Kapoor: For the third quarter. Okay. So then the improvement is on 6% base there. The base for Q3 is 6%. So it would be plus of northward of 6%, the PBT number, margin number.

Subba Raju: Your question is not clear actually.

Management: I will tell you.

Saket Kapoor: Yes. Sir, the PBT for the December quarter is INR 241 crores on a revenue of INR 394 crores. That works out to around 6%. Correct me there. So for the fourth quarter, the PBT margin will be northward of 6%. This is what we are anticipating?

Subba Raju: We expect more than 6%.

Saket Kapoor: Correct, sir. And other expenses also, so you please clarify once again, what is the reason for the increase in other expenses from INR 71 crores to I

NR 111 crores Q-on-Q basis. And year-on-
year also?
Subba Raju: Already, I explained in my initial remarks and also someone also ask about the increase on that term. We already two times explain that one.
Moderator: Ladies and gentlemen. Will take the last question from Manish Shah, an individual investor.
Manish Shah: Sir, I wanted to ask about this Bangalore Metro project. What will be the future impact due to this, for future orders?
Neerad Sharma: It is difficult to assess at this point of time, at the end of the day as per contract, we are responsible to the client. And we understand that the client is also investigating what are the possible lapses on whose part. So it is very difficult to quantify. We are really, nobody really knows. They have appointed, we believe, couple of consultants, design experts. So unless and until, we receive a formal communication from the client, there is very little that we can add at this point of time.
Manish Shah; But this is the second incident with us in the metro thing so in future also we'll get metro orders or we have been stopped by bidding for metro orders?
Neerad Sharma: Sir, as we speak there is no change in the contract that we have signed with the client. If there is any communication, if there is anything new that we know of, we would be happy to share with you. Thank you very much.
P.V. Vijay Kumar: Thank you everyone. I think we'll end this call. We thank Centrum Capital for taking the lead in arranging this call and we thank each one of you for taking time and attending this call. Please do reach us, in case you have any further queries separately.
Subba Raju: Thank you all.

Ashish Shah: Thank you sir. Thank you, all the participants.
Moderator: Thank you very much sir. I now hand the conference over to Mr. Ashish Shah for any closing remarks.
Ashish Shah: Yes. So we'd like to thank the participants for attending this call. And thank you, management for letting us host this call.
Moderator: Thank you very much, sir . On behalf of Centrum Broking Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2023

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Ref. No.: NCCL/ Regulation 30/2023
Date : June 02, 2023

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Code: 500294

Dear Sir(s),

Sub: Submission of Transcript of the conference call under Regulation 30&46 of the SEBI (LODR) Regulations, 2015

Please find enclosed herewith the transcript of the earnings conference call that took place virtually on May 29, 2023 with analysts discussing the performance & financial results of Q4& Financial year ended March 31,2023. The transcript is also available on the Company's website at https://ncclimited.com/analyst-column.html

The Transcript includes list of management attendees and the Q&A's, any assents/dissents and open points.

Please note that no unpublished price sensitive information was shared/discussed in the earnings call.

Kindly take the above information on record.

Thanking you,

Yours faithfully
For NCC LIMITED.

M V Srinivasa Murthy
Company Secretary & Sr.EVP (Legal)
Encl : As above

"NCC Limited
Q4 FY '23 Earnings Conference Call"
May 29, 2023

MANAGEMENT : SHRI. R.S. R AJU – DIRECTOR PROJECTS – NCC
LIMITED
SHRI. S ANJAY PUSARLA – EXECUTIVE VICE
PRESIDENT , FINANCE AND ACCOUNTS – NCC L IMITED
SHRI. K K RISHNA RAO – EXECUTIVE VICE
PRESIDENT , FINANCE AND ACCOUNTS – NCC L IMITED

SHRI. P. V. V IJAY KUMAR – VICE PRESIDENT ,
FINANCE – NCC L IMITED
SHRI. NEERAD SHARMA – HEAD, STRATEGY AND
INVESTOR RELATIONS – NCC L IMITED
SHRI. M. S RINIVASA RAO – CHIEF GENERAL
MANAGER, FINANCE AND ACCOUNTS – NCC L IMITED
SHRI. SMVSR R AJU – DEPUTY GENERAL MANAGER,
FINANCE AND ACCOUNTS – NCC L IMITED
SHRI. P. S URENDER RAO – ASSISTANT GENERAL
MANAGER, FINANCE – NCC L IMITED
MODERATOR : MR. VAIBHAV SHAH – JM FINANCIAL
Moderator: Ladies and gentlemen, good day and welcome to the NCC Limited Q4 and FY'23 Earnings Conference Call hosted by JM Financial. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vaibhav Shah from JM Financial. Thank you and over to you, sir.
Vaibhav Shah: Yes, thanks, Faizan. On behalf of JM Financial Institution Securities, I welcome everyone to Q4 and FY'23 earnings conference call of NCC Limited. Today, we have from the management, Shri. R.S. Raju, our Director of Projects; Shri. A. Vishnu Varma, Director, Projects; Shri. Sanjay Pusarla, Executive Vice President, Finance and Accounts; Shri. K Krishna Rao, Executive Vice President, Finance and Accounts; Shri. P. V. Vijay Kumar, Vice President, Finance; Shri. Neerad Sharma, Head, Strategy & Investor Relations; Shri. M. Srinivasa Rao, Chief General Manager, Finance and Accounts; Shri. SMVSR Raju, Deputy General Manager, Finance and Accounts; and Shri. P. Surender Rao, Assistant General Manager, Finance.
We will begin with opening remarks from the management, after which we will have the Q&A session. Over to you, sir.
P.V. Vijay Kumar: Thank you, Vaibhav. Good afternoon everyone and welcome to NCC Q4 FY'23 earnings investors call. I thank you all for taking time to attend this. Before we start, I'll read out a small disclaimer and we shall go into the subject.
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P.V. Vijay Kumar: So I may continue now. So the statements made here or in the presentations uploaded by the company are to our best of knowledge are true and any forward-looking statements are subject to certain factors beyond control of the Company Officials and Management, and hence the audience are advised to use their discretion in their own analysis accordingly.
Now we shall go into the performance of the company. For this Q4 into account. I'll briefly start with certain opening remarks followed by Q&A. Prior to announcing My colleagues who are present here, I am happy to introduce that Mr. Sanjay Pusarla, who has taken over as new CFO and he is also present here.
Sanjay Pusarla: Hi, everyone. This is Sanjay Pusarla.
P.V. Vijay Kumar: Now, let us start. Barely the pandemic preceded, the war in Ukraine broke out in February 2022. Price of food, fuel and fertilizer rose sharply. As inflation rates accelerated, central banks of advanced countries scrambled to respond the monetary policy tightening.
Many developing countries, particularly in the South Asian region, faced severe economic stress as a combination of weaker currencies, higher import prices and the rising cost of living and a strong dollar making debt servicing more expensive too much to handle.
In the second half of 2022, there was a spike for governments and households. Commodity prices peaked and then declined. In the near-term, the acute pressure was released, although the prices

of some commodities remain well-above their pre-pandemic levels. The capital expenditure program of the central government, which increased 63.4% in the first eight months of FY'23 was another growth driver of the Indian economy in the current year, crowding in the private capex since the January-March quarter of 2022.
Further, FY'23 we have seen RBI tightening its monetary policy increasing repo rate couple of

times from 4% to 6.5%. I may share here that we have seen to the extent of average 8.5% to 9.3% increase in the interest rates of the borrowings of the company. Anyway these forecasts including the advanced estimates released by NSO, now broadly lie in the range of 6.5% to 7%. Despite the downward region, the growth estimates for the FY'23 is higher than the almost all major economies even slightly above the average growth of the Indian economy in the decade leading up to the pandemic.

IMF estimates India to be one of the top two fast-growing significant e

conomies in 2022. Despite

strong global headwinds, tight domestic monetary policy, India is still expected to grow between 6.5% to 7%, and that too without a base effect. It is a reflection of India's underlying economic resilience and its ability to recoup, renew, and reenergize the growth diverse in the economy.

While that is so, NCC is well-placed in terms of diversified execution capabilities. It has presently the orders on hand worth of INR50,244 crores, having accretion of INR25,895 crores of orders in FY 2023. I'm happy to share with you that this is the highest ever order book achieved by the company. Also, I'm sure you will appreciate that we touched INR13,503 crores of revenue on a standalone basis and INR15,701 crores on a console basis. This is growth of nearly 35%. Our console EPS stands at INR9.77, as against INR7.91 previous year. The numbers and details of the same are already furnished in the presentations uploaded in the website.

Coming to the last part of my briefing, while my other colleagues will go into detailing of the numbers, I may share with you that we are set to encash opportunities in all the spaces we are present and have plans to enter into new segments like defense, railways, under the ground, tunneling, etc. Our management felt that we should be able to grow by 20% in FY 2024 with more or less same EBITDA margin and PAT margins going up by 50 basis.

So with this conclusion with the opening remarks, I will now pass on to my colleague Mr. R.S. Raju, Director, to bring out salient features of financial performance to you. As I said, please consider the chance to others too and choose and limit your questions without repetitions.

R.S. Raju: Hi, good afternoon to all of you. Thank you to my colleague, Mr. Vijay Kumar. He has already briefed about the macro environment around surrounding the construction industry. And all of you aware that the environment is not that much favorable to the companies, and we expect a positive environment going forward.

Now we have uploaded the quarterly and yearly results to our company's website. And, thereby, we avoid the reading of the detailed numbers here to save the time, or otherwise to give more time to you for asking more questions and thereby answers.

Company, already the pointed out by this, some of the analysts that the good results were given by the company. So I believe that the performance of the company this quarter and for the year is almost too high in all aspects.

So I want to touch the key highlights of the performance for the fourth quarter as well as for the year as a whole. The highest ever annual order inflow of INR25,895 crores for the year as a whole. Similarly the order book crosses INR50,000 crores mark first time ever. Now stands at INR50,244 crores and reported highest ever annual console revenue INR15,553 crores. Similarly, reported highest ever consolidated tax of INR609 crores.

The brought down debt, the debt level below INR1,000 crores mark, the lowest in the last one and a half decades, INR974 crores. It is almost the first time the value addition by the group companies to the bottom line by about INR40 crores, highest ever dividend 110% for the FY'23. The lowest trade receivables collection days in last five years is 87 days, then the lowest working capital days in the last five years is 107 days, and efficient conversion of order book into execution registering lower book-to-bill ratio of 2.98 times.

This is about some brief highlights of the performance of the company. And now going to the order book. In the year as a whole, the order book grown by 113%. Order book grown from INR39,361 crores to INR50,244 crores is the growth of the order book, about 28%. The order secured by the company excluding in the fourth quarter of the year about INR13,283 crores. It is also an ever higher in a particular quarter.

The average order book size, if y

ou see, is also highest ever, about INR4,578 crores. So it gives

that a strong book on hand with diversified portfolio and increased order value -- average order value. So we believe that it gives a good momentum going forward and to report good volume of revenues in the years to come.

The order book composition division-wise, the order book revenues division-wise are given in the website. So, thereby, the reading of the numbers division wise I am not giving. But if anyone

requirement after seeing the website, just we will read out basing on the questions raised from the investors.
Now, operating performance if you take about the console level, the revenue reported for the fourth quarter is about INR4,981 crores as against INR3,492 crores, a 43% growth. Similarly, EBITDA reported 72% growth in the fourth quarter, INR465 crores against INR270 crores. PAT excluding exceptional items, if you take that one, it is reported INR217 crores against INR61 crores, about a growth of INR156 crores.
All of you know that last year in the fourth quarter, company reported an exceptional gain on the sale of the NCC Vizag Urban property. As a result, the exceptional item is more in the fourth quarter of the last year. If you consider that exceptional item in the fourth quarter, the net profit is INR242 crores against which current quarter is INR191 crores. If you compare that one, again, a negative growth is there. But once you exclude that one, there's a positive growth of about 200% or so.

If you come to the 12-month period of the console, it is reported, including other income, about INR15,701 crores against INR11,000-odd crores, a growth of 40% per year as a whole. We observe that there is a continuous growth in the last two years, as well as in third year. The three consecutive years, the growth has shown first year, 30%, last year, 40%, now again, 40%. On average in the three years, I believe that one company has reached almost 100% growth levels.
Now come to the EBITDA, reported 43% growth for the year as a whole. Similarly, PAT, excluding exceptional item, reported 127%. Is it correct?
P.V. Vijay Kumar: 127% considering the…
R. S. Raju: After excluding the exceptional item of the earlier years. So that is the performance of the console, both for fourth quarter and 12 months.
And come to the standalone, the fourth quarter reported a revenue of INR4,047 crores against INR3,179, a growth of 27%. The revenue primarily driven by the buildings division and the water division in this particular quarter, EBITDA increased by 15% EBITDA increased by 15% and EBITDA margin increased from 8.52% to 10.55% in this quarter, primarily the increase on account of lower input prices in Q4 comparing to the Q4 of the previous year, and the receipt of INR41 crores claim from one of the BOT, SPV, it is Western UP Tollway Limited that company has received certain claims from NHI in turn and NCC also earlier made a claim with SPV for its EPC contract.
Overall INR41 crores in this quarter, the company received that amount. The PAT also reported INR178 crores against INR109 crores represents 64% growth over the corresponding year.
See this growth again due to increased turnover decides the reasons what we indicated for the EBITDA. This is post-quarter performance. Now come to the 12 months performance on standalone basis reported a revenue of INR13,504 crores, a growth of 35%. Similarly EBITDA also reported a growth of 35% and PAT is 16% growth before excluding the exceptional item and after excluding the exceptional item.
And after excluding the exceptional item, the growth in the PAT is 65%, a PAT of INR569 crores against INR344 crores. The revenue increased by 35%, primarily driven by the buildings division, particularly Jal Jeevan projects of UP, ITC in Nauroji Nagar of New Delhi and Lucknow Airport, were some of the projects which have contributed more into the t

op line.
When we come to the other income, in this year, the other income is increased from INR108 crores to INR152 crores, an increase of INR44 crores, which mainly represents by the profit or the gain on sale of investment property. There are 2 elements in this investment property. One is the land what we sold in Q3 and other one is Tellapur flats, the sale of those investment property, both together contributed INR44 crores gained for this year as a whole. That is only the reasons for increase in the other income for the year FY '23.
When we come to this balance sheet, just I will read through the highlights of the balance sheet rather than reading the numbers. In the year financial year '23, the company has built up capex

by about INR232 crores for executing its larger size metro projects and the high rise buildings.
Reported fixed assets turnover as high as 9.6 times of financial year '23 and exhibited an efficient working cap management by reporting working capital days as low as 107 days.

Basing on overall improvement of balance sheet, already basing on H1 finances, the credit rating, we got enhanced credit rating from IND A to IND A+. But now again, basing on the annual results, we expect a further improvement in credit rating listing IND A+. The reported gross on its core business, that is after excluding the investment group companies, as high as 15.3% for FY '23. So only the debt equity ratio further improved to 0.15 times.

When come to the cash flows, our standalone, continuous positive cash flows from the operating activities, now reported INR873 crores against INR1,296 crores of the previous year. And net cash flows used in investing activities is INR132 crores against INR131 crores. And as a result, the free cash flow is INR741 crores as against INR1,165 crores of the previous year. The net cash flows used in financing activities is INR749 crores against INR1,099 crores. The balance sheet, both the sides, both assets and the liabilities side reported good numbers, good improvement. And the balance sheet, ultimately result into to the lower debt of INR900 crores odd. And when you come to the net debt after adjusting the cash balances, it has come down to INR182 crores.

Now I would come to the other significant matters. AP projects, there is no any big change and the outstanding from AP Capital City projects have come down from INR264 crores to INR157 crores. So the exposure towards the AP Capital City project at this moment stands at only INR157 crores, and bank guarantees stands at INR267 crores. There is a further decline from INR346 crores of the opening value to INR267 crores in this year.

As far as Sembcorp is concerned, we inform you that the arbitration proceedings are over and the arbitration we believe that order is under preparation, and we expect between June to September 23, the arbitration award. Similarly, the Taqa on the stands, current year, we made a provision of INR14 crores for Taqa liability towards interest in place, settlement is yet to take in place. And management is trying for amicable settlement, and we hope that in a couple of months the settlement may arise.

And in terms of Group companies loans and advances, in the current year FY '23, the investment we received back from NCC International assuming about INR41 crores. Similarly, the loan what we've given NCC Urban also entire loan balance of INR22.31 crores we received back. As a result, some inflows happened from the group companies in the FY '23, and also the mobilization advance when you see that there is a good amount of mobilization advance received in this year about INR750 crores.

All these aspects primarily driven to bringing down my debt level to below INR1,000 crores and net adjusted debt level to INR182 crores. If you take the trade receivables, there is also an improvement in the trade receivables, which on a macro level showin

g that there is a reduction
in the trade receivable days from 97 days to 87 days. And in terms of space, there is an improvement in trade receivables in the Telangana state, A.P. state and in U.P. state, also improvement is there, but because of more work done in the U.P. that trade receivable stands

higher than other states as of 1st March '23. And there is a significant improvement happened in the realization of the world trade receivables more than 3 years. So there is an improvement from that figure.

So overall, I can say there is an improvement and also the current year's some of the claims also be received with the whole long one. And the company unbilled revenue, unbilled revenue, in fact, is a little increase, that is only a 1% increase over the financial year '22, happened in the current year because of the more of EPC nature projects. But there is no any significant increase when you compare to the percentage of UBR to turnover in the last 4 years. It is ranging from 21% to 24%. In the year, FY '20, it is 21%, in FY '21, it is 24%, In FY '22 it is 23% and in FY '23, again, 24%, more or less in the same range in terms of UBR in proportion to turnover.

This is in general about the company's performance. If any left over areas basing on the questions, if you ask by, we will clarify those things. Now I'll pass on...

P.V. Vijay Kumar: Thank you, my colleague, R.S. Raju for detailing the numbers. If anybody has questions they can go ahead now. As I said, please consider the chance for others too and choose and limit your questions without repetitions. Yes, please go ahead. We'll take the questions.

Moderator: Thank you very much. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: First of all, congratulations on robust performance...

Shravan Shah: Yes. So first of all, congratulations on robust performance and historic performance on across all the parameters. First, just wanted to clarify, in opening remarks, we said in terms of the guidance of 20% revenue growth for FY '24, same EBITDA margin, does that mean the EBITDA margin for FY '23, which was around 10.1% or fourth quarter 10.6% and MPM

improvement by 50 bps, it is from FY '23 and also the order inflow, how much are we looking at for this year FY '24?
R. S. Raju: Yes. Now the guidance we've given on the top line increase about 20%. Similarly, the order inflow also we're expecting the similar level. And come to the margin level, we expect at the bottom line net profit level, about 50 basis points, roughly 40% to nearly 40% growth from the previous year.
Shravan Shah: Sorry, sir, you said 40% growth in profit that you are looking at in FY '24.
R. S. Raju: No, the top line growth is 20%.
Shravan Shah: Yes, that I got last line, you said a 40% growth. So at net profit margin, we are looking at 50 bps increase in the net profit margin or we are saying that 40% growth in PAT?
R. S. Raju: Yes, yes, 50 basis points or 40% similar to that roughly, at the net profit level.
Shravan Shah: Okay. Got it. And second, in terms of the days that we have reduced now significantly, so how are we looking at the levels and also in terms of the finance cost, which is around INR500-odd

crores for this year, so INR510 crores. So how one can look at in terms of the finance costs for this year?
R. S. Raju: In terms of debt, we further expect to reduce by another INR100 crores or INR200 crores since the company had the 20% growth plans. And again, here, 2 important subjects to talk on the debt. One is the Sembcorp, another one is NCC Vizag Urban. So if these 2 positive aspects or outcomes are declared in FY '24, the debt will come down drastically another INR500 crores, INR600 crores, INR700 crores.
So it depends upon the outcome of these 2 major elements. And the NCC Vizag Urban in the curren

t year as per the terms, we didn't receive the amounts and basing on the latest status review with the buyer in FY '24, the equity portion of INR150 crores expect to release, and the loan part is there. That too they are asking for another 2 years, that is '24-'25 and '25-'26. This is at this moment, the schedule of realization of this NCC Vizag Urban.
Shravan Shah: Okay. And then in terms of the finance costs...
R. S. Raju: Finance cost in terms of percentage, it comes down to 3.9% to 4% from the top the 4.6%. And in terms of absolute terms, it could be there around INR500 crores to INR520 crores.
Shravan Shah: Okay. Lastly, sir, the data points on the balance front, returns on money, mobilization advance, unbilled revenue and group exposure. So also, if you can split into the loans and investment to group companies.
R. S. Raju: That we will read out to those numbers after the call.
Shravan Shah: Sorry sir, you said you will read out at the end of the call.
R. S. Raju: Yes, the end of the call.
Moderator: The next question is from the line of Prem Khurana from Anand Rathi.
Prem Khurana: Congratulations on good set of numbers this quarter. Sir, so what I want to understand was, so it's been an extraordinary year in terms of order inflows. But if you can help us reconcile the number because when I look at the announcement that you made on the stock exchanges, the number that I get is lower than what you reported in your presentation or in the press release for the results. So what would explain this difference? Because as far as I know I think the announcement that you made on the stock exchange for Q4, the number works out to be almost INR6,000-odd crores. And if I were to look at our press release for the results and adjust for the first 9-month number, it was probably more than INR13,000-odd crores. So if you could help us understand the gap, please?
R. S. Raju: And now that issue is there primarily 2 odds represent that difference, JJ and MDO, the 2 projects, one is MDO project, in MDO project too. we got 30 years project, that is INR30,000 crores at that time. So including INR30,000 crores at a time into the order book does not reflect the performance, that's why internal management taken a call equal to 3 years part of value we are including in the order book.

But every year, we are adding at the year-end basing on the progress of the project. So that contributed about INR3,000 crores in the order book now, that is one aspect. The second aspect is the Jal Jeevan projects. The Phase 2 we got and Phase 3 projects also they have given. So Phase 3 projects, initial also Phase 2 projects when they given, the order value on a tentative

basis they mentioned, they cancelled that value and subsequently they crystallized basing on the number of villages and the number of bore wells to erect basing on that they are giving.
And as a result, after DPS prepared for the villages identified. So basing on that, the DPR, the values they're arriving and entering the contract on a piecemeal basis for various districts for various villages, where this is running into hundreds.
So in the fourth quarter, from February '23 to March '23, in these 2 months, the agreements they concluded that value is roughly about INR4,200 crores or so. And further to that on some increase decrease in scope in various projects are there. All this put together, around INR6,000 crores whatever difference you are asking that represents.
Prem Khurana: And sir, when I look at the order backlog, how much would be from our own subsidiary companies, Pachhwara, how much would that number be?
R. S. Raju: Pachhwara Coal Mining is about INR4,393 crores order book backlog, what we consider order book of INR50,000 crores.
Prem Khurana: Sure. And the second was, I mean, we've seen significant drop in our debt number, but I'm assuming a part of this is also because Q4 generall

y tends to be very strong in terms of receipts
most of these government agencies authorities really payments to ignore their budgets, fair to assume at least in H1, we will get to see that go up again because January H1 tends to be a little slower in terms of payments, right, to understand I mean we could have similar situation wherein you will be able to receive significant amount and that would come down. But H1, is it fair to assume that the number could go up?
R. S. Raju: That is the working capital cycle of the construction industry. If you see the last 2, 3 years, what we observed is correct, coming down in the fourth quarter at the March month, particularly going up again in the Q1 and Q2. The trend would be continued, but how much is it in the same level or not, that is different thing, but the trend continues, particularly for the coming down the debt in this year is, the more orders the company secured in the terminal part of the last year?
As a result, more mobilization advances are received, and also more collections were happened in the fourth quarter, particularly in the UP projects, where Jal Jeevan projects we are executing, all this, again, helped to bring down this debt. Again, the Q1, Q2, the debt will go up and again will come down. That scenario would be continued.
P.V. Vijay Kumar: As a matter of principle, you need to compare the same number at the end of Q4 of last year and Q4 of this year. If you do that, it's INR1,184 crores was the bank balance outstanding at the end of Q4 FY 2022, compared to the same quarter this year, the debt has been come down to INR980 crores. Even that way, you can see the significant decrease in the debt.

Prem Khurana: And sir, just one last one is, Vizag Urban, we have taken some trying to get our payments in place we have received only one tranche. Is there any risk of this deal not going through? Or it will only be extension that you would have to extend and the payments will come for sure and also it could help us understand whether the land has been put to use by the buyer or it is still lying idle with the buyer?
R. S. Raju: There are 2, 3 aspects are there. One is particularly the real estate market in Andhra Pradesh, since it is a big pocket of land. The market is not that much favour to them to sell as they plan as they committed to pay out of the proceeds. And the loan, what they committed is to pay by using the proceeds from the further sale by them. And the initial also some time, more time taken for documentation or digitalization or survey or identification or any small, small issues. But prima facie, there is no any big issue as far as the land or legality and other are concerned, only it is market perception.
P.V. Vijay Kumar: You see, in the equity portion, we expect that it should flow within this year itself. However, the debt portion of INR300 crores plus interest, it will flow in another next 2 years.
Moderator: The next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: And congratulations on a very good set of numbers and strong work on balance sheet. My first question is on the, is it possible to provide us the order.
P.V. Vijay Kumar: Can you just be louder please?
Mohit Kumar: Is it possible to provide the order book breakup between central government, state government and private agencies? And how much is exposed to Karnataka stage government, that's the first question.
R. S. Raju: Just we will tell you in a couple of minutes, those numbers. Now the macro, the classification of the order book is, the central government to orders funding-wise, we break down into the funding wise. The central government funded projects are INR15,600 crores, state government funded projects are INR22,600 crores, PSUs INR7,000 crores, totalling to about INR50,000 crores.
Mohit Kumar: Understood, sir. So are you classified A

GRO into central government funded? Is the right
understanding?
R. S. Raju: To now ADB and AIIB banks funding also there. And the central government funding, the UP projects, 51% by the central government, that alone is there now about INR1,000 crores or so on orders..
Mohit Kumar: Direct exposure to Karnataka state government.
R. S. Raju: Now if we take the central government, to the Karwar projects, Seabird projects, create INR2000 crores plus orders are there that is from the central government. Like that, all we added wherever the central government to be the major driver for the payments.
Mohit Kumar: Understood sir. Any exposure to the Karnataka state government funding?

R. S. Raju: Exposure is about INR4,000 crores.
P.V. Vijay Kumar: It represents 8% of the total order book.
Mohit Kumar: And have you seen any slowdown in this after the government taking over these any slowdown in the execution.
R. S. Raju: Less than a month is over, isn't it? But the orders what we have INR4,000 crores, they were received primarily 3 years back, 2 years back, 1 year back. The orders what we received in the year '22, '23 hardly about to INR1,097 crores, which represents 2% of the total order book. And my team when we reviewed with the team, they are not anticipating any stoppage or this one for this even recent four projects.
And our exposure is not there in the last projects of four numbers of INR1,097 crores. In fact, we received mobilization advance so from two projects and the money of the government probably has given us about INR26 crores, which we analysed in the mid. So as far as exposure of all the projects put together INR4,000 crores is not that much in the books of accounts in terms of trade receivables, in terms of UBI or retention money etcetera.
So we are not foreseeing any impacts or any effects going forward on this one. And we have to wait and see about the latest 4 projects. In that 4 projects also, what we received about 4, 5 months back, and 2 projects we received 2 months back like that of the year.
Mohit Kumar: Understood, sir. My second question is, sir, is it possible for you to lay out the order outlook segment-wise for FY '24? And are you targeting a flat order inflow? Or are you targeting 20% higher order inflow than FY '23?
R. S. Raju: Flat to increase inflow of projects. Yes.
Moderator: We'll take the next question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: Sir, congratulations on a good quarter and the year. My first question is on international business. So can you help us like any update on the international business because we're planning to shut it down, focus on domestic, can help us with that.
R. S. Raju: Yes, already, international business for the last 2, 3 years, people are working on the closing and almost reached 95%, 96% to close the transactions. All the projects are over, only one project is in execution. There is a lot of people expecting another 3, 4 months, they reach the final phase of that project. As far as the collections are concerned, also happened in the year FY '23. And they paid back about INR41 crores. Now the investments outstanding to get back from International Oman is about INR38 crores.
Parikshit Kandpal: Okay. So net exposure in international market is only about INR38 crores now?
R. S. Raju: INR38 crores is Oman. And another exposure INR220 crores is there, NCC Infrastructure Holding Mauritius Limited where one asset is there, that the Harmony Dubai project asset like

basing on the asset realization, the balance net exposure comes down, INR224 crores is there as of 31st March '23 in the books of accounts.
Parikshit Kandpal: My second question is on debt reduction. So you said that there has been a big jump, only INR750 crores left.
P.V. Vijay Kumar: Your voice

is very low. You need to be little louder.
Parikshit Kandpal: Okay. So you said that the debt has reduced significantly, but it is on the back of also a large part of mobilization advance, increase in mobilization advance. So I think you received INR750 crores of mobilization advance in this year. I just wanted to get a sense how much was the mobilization advance standing as of third quarter and as the fourth quarter? And are these interest

bearing?
R. S. Raju: Now the fourth quarter, the 31st March '23, standing INR2,755 crores. And by third quarter ending, it stands at INR2,100 crores.
Parikshit Kandpal: Not much change. So INR2,075 crores you are saying as of fourth quarter end.
R. S. Raju: INR750 crores change is there.
Parikshit Kandpal: Okay INR750 crores is change. that is a big jump in. Yes, that has gone to a reduction in your basically bank borrowing, sir. And these mobilization advance are interest-bearing, all these incremental INR750 crores?
R. S. Raju: Majority of these are interest-free advances. But if you take the company's core, almost 50%, 50% level are the interest-bearing and non-interest bearing.
Parikshit Kandpal: Okay. 50% is interest bearing, rest is.
P.V. Vijay Kumar: What I'm going to say to the stage is please restrict your questions and give chance to others. We'll conclude the call.
Moderator: We'll take the next question from the line of Rohit Natarajan from Antique Stockbroking. Please go ahead.
Rohit Natarajan: Sir, if I understand it correctly, you are looking at flat order inflow this year, FY '24. Can you help us understand which are the big ticket projects that you're looking in, then you're looking at the high-speed rail package C3 in your assumptions? Or are you looking at the UP-based water projects. Can you give us some colour on those pictures?
P.V. Vijay Kumar: In the heretical, my colleague, Mr. Neerad Sharma will explain about this.
Neerad Sharma: Right. See, essentially, our business is a play on the opportunities available in the market. So high-speed railway, when new packages come up for bidding, we definitely do participate. We have participated in the past as well. Other than this, there are a couple of other big opportunities. JJM we have already touched upon in the morning.

We have substantial order book from this space and a lot of projects are coming up for bidding. And we have a big division devoted to electrical projects. So I hope you are aware about this RDSS scheme of the government. So a lot of projects are coming up there as well. So it's really a play whenever the projects are ready for bidding as and when they are announced, we definitely intend to bid for those projects.
Rohit Natarajan: I appreciate that part, sir. My second question will be more on the non-fund-based limits, which we were planning to enhance it to INR15,000 crores plus some fund base limits we have almost like INR2,200-odd crores. What is that position looking like at this point in time?
P.V. Vijay Kumar: Now, the total limits available with the company is INR15,200 crores now including non-fund-based limits of INR13,000 crores and INR2,200 crores of fund-based limits. This is spread over 14-bank consortium led by SBI. And as of now, we are comfortably pleased with the meeting our BG requirement and LC requirement and all that. So now based on this financial performance of this year and outlook for this year, we are going to seek additional limits from the banker's consortium very soon.
Moderator: The next question is from the line of Parvez Qazi from Nuvama Group. Please go ahead.
Parvez Qazi: Congratulations for the great performance and also thanks for uploading the presentation before the call. Sir, 2 questions from my side. First, what would be our pending order book in Andhra Pradesh? And also what would be our overall receivables from these projects? And the second is what i

s the kind of capex that we expect to incur in FY '24?
R. S. Raju: As far as AP art book is concerned, there are two parts. One part is about the old project which we secured prior to the change of the bond means. The old projects now add to a due date of transit of only INR700 crores and subsequently, we secured some other new projects, those projects stand at INR2,709 crores totalling to INR3,400 crores on the orders of Andhra Pradesh state, which represents about 1.5% to 1.6% of the order book.
As per exposure is concerned, we have an exposure now about INR157 crores relating to A.P. Capital City projects. earlier it was INR264 crores. Similarly, the bank guarantees, earlier or at the end of the previous year, we have INR346 crores. Now it has come down to INR257 crores. These are the numbers about the A.P projects.
Parvez Qazi: On the capex guidance, sir?
R. S. Raju: Capex for the year '23-'24 you are asking. So about INR275 crores or so planning. It depends upon how we receive the new projects. We cannot give the exact figure, only in case estimate for what we consider in the business plan. If you get any new verticals in the projects like tunnelling, we will let to speed time projects, again, the capex gets increased.
Parvez Qazi: Sir, lastly, what was the execution in the international this year?

R. S. Raju: Well, terminal part, very small part is there that was over, balance of INR5 crores to INR6 crores or INR7 crores is there. So last year, execution is -- so including what we got the claims about INR245 crores, in the top line INR45 crores is participated from the international.
Moderator: The next question is from the line of Vishal Periwal from IDBI Capital. Please go ahead.
Vishal Periwal: One clarification, but the guidance on revenue growth and margin that has been given, that's for standalone or console, sir?
R. S. Raju: Standalone.
Vishal Periwal: Okay, fine sir. And one another question is on the credit rating, I think you did mention briefly that a couple of factors that are probably the improvement that we have seen in financials. So can you guide what exactly goes into the improvement of credit rating and when this review is expected, sir?
P.V. Vijay Kumar: See, the general surveillance is due sometime down. The last time, if you see, the rating was taken in mid time review and was enhanced from A to A+. This time also we are requesting them because of the substantial performance posted by the company, and there is a tremendous change in the numbers in terms of ratios. So we're asking them for the midterm review. Hopefully, let us see how the things will move.
Vishal Periwal: Okay. And maybe one last question. Karnataka government, you mentioned that the total order book is around INR4,000-odd crores, so is this the macro work?
P.V. Vijay Kumar: You see, this question is already explained. What I request is people should restrict their questions and then give a chance to others in looking to the limited time we have. All right. Okay. Anyway, what's your question?
Vishal Periwal: No, my question was like Karnataka state government order is INR4,000-odd crores. So this includes the Bangalore metal work?
R. S. Raju: Yes, includes the Bangalore metro rail works.
P.V. Vijay Kumar: That itself represents INR2,000 crores in it now.
R. S. Raju: Which is jointly funded by central government.
Moderator: We'll take the next question from the line of Deepika Bhandari from PhillipCapital. Please go ahead.
Deepika Bhandari: Congratulations on great set of numbers. I just see the 2 questions from my side. Sir, any comment on Sembcorp arbitration and Taqa?
R. S. Raju: That already we have explained that one on the arbitration process is over and arbitration order is under preparation, we are talking about Taqa, there is no any significant improvement over the Taqa

, we are trying for amicable settlement with Taqa, that may take some time.
Deepika Bhandari: Okay. Sir, another last question from my side. The order book and order inflow does not include the April orders that you have received, is my understanding correct?
R. S. Raju: You're right.
P.V. Vijay Kumar: We may take one or two questions now, and we are at the close of the session, please.
Moderator: We'll take the next question from the line of Jiten Rushi from Axis Capital. Please go ahead.
Jiten Rushi: Congratulations on good set of numbers. Sir, my question would be on order inflow and the revenue -- you've given.
Moderator: Mr. Rushi, sorry to interrupt you, please use the handset mode, the audio is.
Jiten Rushi: Can you hear me now?
Moderator: Yes, sir.
Jiten Rushi: So in terms of the revenue guidance, we are giving 20% top line growth. Sir, my question would be, what would be the contribution this year some newer projects or the projects like almost INR13,000 crores plus we have 1 in Q4. So we are expecting the INR16,000 crores of revenue only from the old order backlog? Or we can expect something from the newer projects in FY '24 as a contribution to revenue.
R. S. Raju: So 85% to 90% from the existing orders and 10% to 15% to participate from the new projects.
Jiten Rushi: This new project, which are won in Q4, right, sir?
R. S. Raju: Yes, yes. New projects means new projects, which are going to get in the year '23, '24.
Jiten Rushi: Sir, any L1 projects as of now? Can you highlight L1 projects in terms of value and segment?
R. S. Raju: We will not disclose L1 projects. But you know that in April, we received about INR3,000

crores. And in a couple of days, the company also put in website the orders received in the May month.
Jiten Rushi: Sir, just last thing, you are expecting INR26,000 crores of income this year, but considering being an election year and from December, you're expecting code of conduct, do you feel that this INR26,000 crores inflows we can achieve this year with only now 7, 8 months remaining, how confident are you from this, particularly which segments can broadly drive, you've explained electrical division, but not in terms of value, but in terms of value which sectors, how confident we are from which government agency, we can get more orders in terms of value and this year being election year. Can you please highlight on that, sir?
R. S. Raju: All verticals are working on that one and more of electrical division, the biggest orders opportunity in the market was there. So company is continuously working on those things.

Similarly, the company also working on the new verticals like tunnelling, bullet proof trains. So the major broad opportunities are there in the market. People are working accordingly and the business plan is there. But whether we receive or not, that is a different thing again. What is the plan of the company is we explained.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Vaibhav Shah for closing comments. Thank you, and over to you, sir.
Vaibhav Shah: Thank you sir for giving us the opportunity to host the call. Any closing remarks from your end.
P.V. Vijay Kumar: Yes, I think this is all right. Now we'll close the call. Thank you, everyone, for taking the time. I thank Vaibhav from JM Financials for arranging this call successfully. Thank you. Thank you, each and everyone.
Vaibhav Shah: Thank you, sir.
Moderator: Thank you. Ladies and gentlemen, on behalf of JM Financials, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

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Ref. No.: NCCL/ Regulation 30/2023
Date : August 16, 202 3

National Stock Exchange of India Ltd
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Bandra – Kurla Complex
Bandra (E)
MUMBAI - 400 051.
Symbol: NCC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Fort
M U M B A I – 400 001.
Code: 500294

Dear Sir(s),

Sub: Submission of Transcript of the audio conference call under Regulation 30&46 of the SEBI (LODR) Regulations, 2015

Please find enclosed herewith the transcript of the earnings audio conference call that took place on August 11, 2023 with analysts discussing the performance & financial results of Q 1 of the FY 2023 -24. The transcript is also available on the Company's we bsite at https://ncclimited.com/analyst -column.html .
The Transcript includes list of management attendees and the Q&A's, any assents/dissents and open points.
Please note that no unpublished price sensitive information was shared/discussed in the earnings call.
Kindly take the above information on record.

Thanking you,

Yours faithfully
For NCC LIMITED.

Sisir K Mishra
Joint Company Secretary Encl : As above

"NCC Limited Q1 FY '24 Earnings Conference Call "

August 11, 2023

M
ANAGEMENT : SHRI. R.S. RAJU – DIRECTOR PROJECTS – NCC
LIMITED
SHRI. SANJAY PUSARLA – EXECUTIVE VICE
PRESIDENT , FINANCE AND ACCOUNTS – NCC LIMITED
SHRI. NEERAD SHARMA – HEAD, STRATEGY AND
INVESTOR RELATIONS – NCC LIMITED
MODERATOR : MR. ASHISH SHAH – JM FINANCIAL INSTITUTIONAL
SECURITIES LIMITED

Moderator : Ladies and gentlemen , good day, and welcome to the NCC Limited Q1 FY '24 Earnings Conference Call hosted by JM Financial Institutional Securities Limited.

As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded .

I now hand the co nference over to Mr . Ashish Shah from JM Financial Institutional Securities Limited. Thank you , and over to you , sir.

Ashish Shah: Thank you, Darwin . A very good evening to everyone . On behalf of JM Financial, I welcome all of you to the 1st Quarter FY '24 Earnings Conference Call of NCC Limited.

Today, we have from the management Shri. R.S. Raju, Director of Projects; Shri. Sanjay Pusarla, Executive Vice President, Finance and Accounts; Shri. Neerad Sharma, Head, Strategy & Investor Relations.

So, over to the management for opening remarks and we will follow -up by a Q&A after that. Thank you.

R.S. Raju: Thank you, Mr. Ashish Shah. Good evening, ladies and gentlemen . A warm welcome to all of you into the Q1 financial year ' 24 Investors Conference Call of NCC Limited .

The presentation containing the performance of Q1 FY '24 was uploaded on the stock exchange and in our website at around 11 a .m. today. Now, I will take you through the key highlights of the quarters and thereafter we will take you to the questions and answers .

So, as usual , the disclaimer before briefing on the Q1 . The presentation that we have uploaded on the stock exchange and our website yesterday including the discussions that we will have in this call contains or may contain certain forward -looking statements relating to NCCL business prospects and profitability which are subject to several risk and uncertainties and actual results could materially differ from those in such forward -looking statements .

So, before going to the Q1 results , just I will touch about two lines about Indian economy . All of you aware about global economy passing through difficulties , particularly severe inflation , but India has remain s as stable despite the global impacts .

In the 1st Quarter key performance indicators indicating the sustainable experience in Indian economy , the growth momentum is likely to continue on stable ready crop production, expected normal monsoon, softening of cost of materials and services . So, as seen from the reports , the

healthy balance sheet of all banks and corporate, supply chain normalization followed by declining in uncertainties conditions and favorable for a continued CAPEX cycle in sectors like infrastructure , power , defense etc.

So, now I will brief the operating and finance performance of NCCL for the Q1 FY '24 . This quarter , we believe that the company performed well in major performance parameters . So, as far as order book is concerned , the company secured good amount of orders Rs. 8,054 crores , a growth of 83% over the corresponding quarter the previous year .

The major orders received in this quarter are given in the presentation uploaded in the website . Among those , an order from Haryana International H orticultural Marketing Corporation Limited, an EPC mode value of Rs. 2 ,199 crores. Second one, State Water and Sanitation Mission, Govt of Uttar Pradesh. So, another one is from Adani , a value of Rs. 1,144 crores , Navi Mumbai International Airport .

So, the o rder book as of 30th June ' 23 stands at Rs. 54,110 crores , highest ever recorded . Our order book is well diversified and spread across various states . Right now, we have 31 % of orders from UP where both UP and the Central Government given priorities with adequate fund allocations .

So, coming to the operating performance of consol . So, first, I will brief you on the cons ol performance of Q1 FY '24 . This quarter reported a turnover of Rs. 4,407 crores as against 3,351 crores, achieved a growth of 32 % over the corresponding quarter previous year .

The gross profit reported as Rs. 626 crores as against 501 crores , a growth of 25 %. The GPM reported 14.3% as against 15.1%. The EBITDA reported Rs. 409 crores as against 308 crores, a margin of 9.84% against same margin of 9.27%. The PAT reported as 174 crores against 130 crores , an increase of 34 % over the corresponding quarter of the previous year.

If you come to the Group company's performance besides the NCCL , the parent company , in the Group companies , PCM PL has reported more turnover of Rs. 466 crores as against 265 crores in the corresponding quarter . And NCC Urban has reported a turnover 74 crores as against 88 crores. The quarter Group companies turnover report s in this quarter Rs. 541 crores as against 361 crores, a growth of 50 % on a year -on-year basis .

PCMPL , this is one company doing the MDO type of business , mine development and operation along with BGR where we have 51 % stake, and this company started about five years ago , and it achieved almost whatever required milestones to achieve by this time , all are in place, and accordingly, the production also going smoothly.

But now some other important milestones like clearances from the forest land and getting the forest land into the cooperation , these are the milestones , and 90% of the these milestones were completed and 10 % still remaining , and we expect the han ding over of the forest Land by the forest department takes place in couple of months . Once that forest land comes to this one and the total land which are required for the operational project up to 30 years will be in the control of the MDO.

Now come to the standalone financials. On standalone basis, t he company reported a revenue of 3,866 crores against 2 ,990 crores, a growth of 29% . The revenue increased primarily due to more revenue from the Buildings and Electrical division which had done good progress in UP Jal Jeevan Mission projects .

The gross profit reported as Rs. 588 crores as against 465 crores, a growth of 27 %. Now the gross profit margin this qua rter is 15.3% against 15.7% . But here, there is a dip of 0.4% in the GPM , but effectively , there is no change in GPM in Q1 compared to the corresponding quarter previous year . Once we exclude the one -time item of claim , Rs. 11 crores accounted in the Q1 of previous year .

The company has posted an EBITDA of 381 crores against 281 crores registering a growth of 35%. In terms of percentage, the EBITDA is 9.9 % against 9.5% of the corresponding quarter previous year. So, there is a 0.4 % increase is reported , the increase in EBITDA primarily on account of the increase in revenue .

PAT reported as Rs. 162 crores against 120 crores , an increase of 35 % over the corresponding quarter of the previous year. So, the net profit margin reported is 4.2 % against 4%, and EPS reported as 2.58% against 1.97 %. So, as far as gross margin is concerned , the input prices , if you see in the Q1, it is observed that there is a reduction in some of the input prices , but still some of the products , the decline is not happen and some products , some input prices like aggregates , sand, and this cement and this ready mix concrete, some increase still is there in those projects , and we believe that the decline whatever happened can be seen more in the Q2 since the decline gradually happen , not at the beginning of the quarter .

Just come to the cash flows , on standalone basis , the cash flows used in the operating activities is Rs. 123 cr

ores against 521 crores on year-on-year basis . The net cash flows used in the investing activity is 37 crores against 111 crores on year -on-year. So, the net cash flows from financial activity is 203 crores against 478 crores year -on-year.

You may have observed that there is significant improvement in both operating cash flows and investing cash flows , which results in a reduction in debt year -on-year and the reduction in working capital da ys. So, that is about operating performance .

Now, moving on to balance sheet . Some of the items I will touch upon . So, the CAPEX increased in this quarter shortly 27 crores . The inventory is increased by Rs. 168 crores from the previous quarter which in line with increas ed volume of construction activity .

Trade receivables increased only by 82 crores , which hardly as against 29% growth in turnover , which reflects improved collections from the clients . The unbilled revenue stands at Rs. 3,679 crores as against 3 ,225 crores . So, the increase is in line with the increase in construction activity .

Coming to liability side, the debt is increased from Rs.980 crores to Rs.1 ,306 crores, an increase of Rs.32 6 crores. Generally, in the construction industry, the collections are lower in the 1st Quarter . As a result, the debt increases in the 1st Quarter of every year, but the quantum of increase in Q1 is much lower than the normal increase happen in the last couple of years .
Mobilizatio n advance is increased from Rs 2 ,755 crores to Rs 3 ,323 crores.
So, about segment results, I want to touch. Now , the management of NCCL and Board decided to provide segment results from the 1st Quarter onwards of FY '24 . So, in order to disclose more information to the investors about the focus of NCC in long term on construction and real estate businesses, t he segment results are uploaded in our website and put in the stock ex change portals.
We have broadly classified the total business into three s egments . Main segment is construction represents 98 %. The second segment is real estate represent 1.6%. And the third segment is others , like BOT projects . It represents 0.3% of the total revenue .
So, in th e segment results, the assets used in the core construction business works out to Rs. 15,484 crores, represents 87%. So, basing on the segment res ults, the ROEs in construction works out some around 18% , which is higher than the normal RO Es what we report from the financial statements of the NCC standalone balance sheet.
So, coming to the future outlook of the company . So, the order book of 54,110 crores contains larger side projects than what we have in earlier years . Now in the current 1st Quarter , we have received 12 numbers projects value 8,154 crores, average ticket size of 679 crores .
So, the o rder what we received from Brihanmumbai Municipal Corporation waste w ater treatment project , OM is 3,833 crores received a year back , and now it requires lot of permissions before starting out the project .
So, almost all the permissions were obtained , and these permissions as per the contractual conditions of the under conditions , we are require d to submit to the High Court or Supreme Court and take the clearance from that court. So, in a week's time, it is going to be submitted . All these documents are ready .

So, we expect the permissions in a month's time and therefore , the work can be taken up in two months period. But already the mobilization works like mobilization of the equipment , manpower and other things are in place. So, the big project may be started in November or December and thereafter this project to start to post the revenue into the results .
The next biggest project is the UP Jal Jeevan Miss ion project , 16,500 crores now picked up the progre

ss and report a substantial turnover , nearly 30 % in 1st Quarter of financial year ' 24. We believe that this project reports substantial turnover going forward which ultimately helps the company to reach its guidance of 20% growth given for the year ' 23-'24. The management is also very confident to achieve its revenue guidance of 20 % for FY '24.
As far as cost of construction margins are concerned , we believe that we have seen the softening of the majority of input prices in the 1st Quarter , and we expect th e softening contin ues basing on the global inflation and Indian inflation decline trend . There is a latest news that there is a cooling in inflation U.S . in the month of July '23.
So, there is a good amount of orders in the pipeline , and the company also secured about 1,919 crore since July month, the details of which we have uploaded into the website . So, basing on the strong order book, we believe that the company going forward maintains it to the growth journey in the years to come.
So, this is all about from the company side , and rest of the things like NCC Vizag Urban, Sembcorp , Tata, Investment Group Companies , AP projects , during the question-and -answer sessi on, we will address whatever the required clarifications so as to save the time at this moment .
So, now over to Mr . Ashish .
Moderator: Thank you very much, sir. We will now begin with the question-and -answer session . The first question is from the line of Shravan Shah from Dolat Capital . Please go ahead .
Shravan Shah: Sir, my first question is , now considering the , including the L1 of GMLR and July 1, 900 order inflow , we have received close to 13 ,160 odd crore inflow . So, by year end , how much more are we looking at ? Can it be a 20 ,000 crore plus kind of an order inflow ? And will it also lead to what we are guiding a 20% revenue growth? Can it be a more than 25% kind of a revenue growth for this year ?
R.S. Raju: Yes, Mr. Shah. About this order book, the opening in the quarter one is very encouraging and the pipeline now looks also good . So, based on the momentum what we have , definitely the 20,000 crores plus orders we expect to receive in this year ' 23-'24. And about the guidance , management is confident to achieve the 20% whatever guidance is given and further increase

from 20 %. That is depends upon by how much time the new orders really report the revenue after completing the beginning form alities, permissions , approvals and other things , since they are the big number size of orders are coming .

Shravan Shah: And in terms of the , now the margin also can we start seeing improvement in margin ? And for full year, can we see a 10 .5% kind of a margin? Or will it remain at this kind of a 10% margin , EBITDA margin ?

R.S. Raju: Yes, about the EBITDA margin , about the new projects , we have that facility to enhance the margin , but the ord er book what we have , it contains , there are two parts of orders . One is pre -COVID orders an d the post-COVID orders . So, pre-COVID orders are concern ed, there is a pressure on the margins because the time overrun , and as a result the expenditure whatever now incurring, so it is not getting fully observed. As a result , some pressure margin is there for the pre-COVID projects . So, as a result , the margins , there is a possibility , a little 0.2% or so at EBITDA level and at the net profit level, last time we said that one , we expect about 0 .5% improvement over the previous net profit margin .

Shravan Shah: And then last two , one data point . What is the retention money ? And in terms of the , if the momentum continues , can we see the same 15 %, 20% kind of revenue growth next year also FY '25?

R.S. Raju: Yes, the company plans to maintain that 15% plus the growth in the turnover , and since we have the

strong order book at this moment , it is possible to achieve that kind of growth.

Shravan Shah: And retention money as on June ?

R.S. Raju: The June, there is no difference in the returns money in the 1st Quarter also, whatever figure we have as of 31st March , within the same level except some 10 crore to 2 0 crore change .

Moderator: Thank you. The next question is from the line of Faisal Zubair Hawa from HG Hawa & Company . Please go ahead.

Faisal Zubair Hawa: Sir, do we have any kind of expectations from Telangana government for any irrigation orders going forward? That's one. And secondly, sir, how do you see , you know, HAM projects coming up in irrigation also? Because there are some states which are talking about having HAM projects in irrigation? And third is, how do you see the NHA I pipeline going forward ? Will we also participate in BOT projects apart from HAM projects in NHAI?

Neerad Sharma: Yes. So, you have asked three questions . Firstly , we are already executing a project in irrigation sector for the Telangana government . The project is already very much live . Going forward , you know, the HAM projects are not only coming in irrigation . They are now becoming more popular

in other segments of the infrastructure market as well, but we continue to be very selective, you know, on HAM projects . We do bid for a few projects on HAM model in roads . And going forward , you know, we see a lot of opportunitie s coming up, about 50 % of the market size from NHA I and MoRTH which is expected to be get awarded on HAM or BOT mode . So, we are alive to the opportunities , and as and when we are able to identify a good project , we will definitely decide to bet .

Faisal Zubair Hawa: Sir, my specific question with regards to irrigation was whether we will get more orders from Telangana government ?

Neerad Sharma: We have to s ee. See, irrigation otherwise also, irrigation continues to be a relatively small division for us . So, we are a bit selective in irrigation projects .

R.S. Raju: See, generally , not much focused in irrigation projects in Telangana. Earlier also we don't have any big projects or occupying any good amount of orders of Telangana . And NCC i s not particular to go for the irrigation because at this moment , NCC have a good order book . So, it is looking a t different type of projects and irrigation we are not focusing that much because seeing how the budget allocation, other things . Generally for irrigation projects , the budget allocation , there uncertainty is there . So, as a result , generally , we are not that much focused or keen to quote the irrigation projects .

Neerad Sharma: Irrigation continues to be a state subject , you know, talking specifically , though there is a new scheme that is launched by the Central Government Pradhanmantri Gramin Sichai Yojana, but the allocation continues to be very small . So, you know, we are very selective. This is not really a focused d ivision for us . We are very much , you know, interested in other verticals where so many good, you know, high value big projects are coming up for bidding . So, we are more focused in that segment of the market .

Moderator: Thank you. The next question is from the line of Ramanan from MK Ventures . Please go ahead.

Ramanan: Couple of questions from my side. One is, you know, as you left it to us to ask the question, you know, where are we on Sembcorp and also on the receivables from the Vizag subsidiary land sale? That's one. And second is , you know, what would be our overall L1 ? How much would we

be L1 in how many projects like or what quantum of projects ?
R.S. Raju: Now about first question about Sembcorp, earlier also we have expressed about the status . Now Sembcorp arbitration process is over and the order is under dictation , and according to the

timeline given to them is September 30th . Before that, they are supposed to issue the order . So, we expect the order anytime in the September month .

About Vizag Urban, now the amounts , we have not received any amount in the 1st Quarter . The amounts which they agreed to pay is one installment in September and a second installment in December and a third installment in March . So, at this moment , since already last time we expressed certain (Inaudible 00:25:27) after what happened to the new party, because of the delays , some process , they also seen certain difficulties to take forward the business . As a result , some sl ippage is there in releasing the payments . So, as on date, about 500 crores outstanding is there both for the equity and as well as the loan payment . So, these are the three installments they agreed to pay .
Ramanan: Will we get interest on this? Will we get interest on the delays?
R.S. Raju: Yes, along with interest they pay. Along with interest.
Ramanan: And is there any risk of , you know, this getting more further delayed or the deal not going through ? Any risk is there?
R.S. Raju: Yes, at this moment , yes. As originally scheduled , that was not taken place. So, now they are asking extension of time . So, we agreed only in this September , December and March . So, we hope that in those times they pay , but there is uncertainty also there . We can't say that 100 % to takes place that one basing seeing the retested momentum in that particular location. It is a real estate business. Generally, it depends upon several factors .
As far as L1 orders are concerned , yes, we have number of L 1 authors , but L1 and pipeline orders are there, but we will not disclose the value and other things before getting the LoIs a nd before putting into the website .
Moderator: Thank you. The next question is from the line of Ankita Shah from Elara Capital . Please go ahead.
Ankita Shah: Sir, could you highlight some of the key projects which we have bidded and where the awarding is yet to get completed or L1 is yet to be announced? So, some of the big projects that we are looking which are a part of our pipeline .
Neerad Sharma: Ankita , good afternoon. This is Neerad. See, f irstly , you were already aware about the, you know, this project in which we are L1 , this mobile project, right? GMLR.
Ankita Shah: Yes.
Neerad Sharma: So, that project , you know, we are just L1 . And it's a sort of, you know, very forward looking kind of a statement to talk about the projects in which we are planning to b id or we are L1 or we are targeting . It's a sort of forward looking statement , but let me add a color . So, in a normal

course of business , you know, whenever we have the qualification , whenever we have the risk appetite, we will bid for all big projects , but it would be a little premature to talk about which projects we are targeting , you know, whether we are going to win those projects or not .
Ankita Shah: No, I completely understand whether we win or not , but just to understand how big is the pipeline and whic h are the key projects which are in the pipeline . We may, may not get it . That is a different thing , but I just want to know which are the projects in the pipeline for this financial year, given that we are not very sure whether , you know, how many projects will come out for bidding in this year given that is also, you know, we have enough upcoming election . So, that was the thought process I asked.
Neerad Sharma: See, Ankita, I would like to then answer this question little differently . I would lik e to talk about these schemes . For example, you know, the bi d signature schemes of the Government of India like RDSS , so a lot of projects are coming in different states . If you want I can

identify six, seven
big states in which these projects are expected to roll out . The JJ Mission continues to be a very active, you know, pipeline of projects . So, as and when the opportunities come up for bidding , we try to see the projects , try to understand what the project is all about , where is the project , you know, those kind of risk analysis we will do , and then we will decide to bid for the project . It is really not right platform to talk about all the future projects that we are planning to target .
Moderator: The next question is from the line of Chandra Mauli , an individual investor . Please go ahead.
Chandra Mauli: Sir, Sembcorp , you said that by September you will come to know . So, what is the likely amount

that we receive, sir, if things goes fine ?
Neerad Sharma: I will answer this question . See, Mr . Chandra Mauli, this is really a judicial process , you know, and we should not be really sitting in judgment as to what the possible judgment is going to be or I think it is sufficient to say that we have put forward our arguments . We have submitted all the documents that we thought are helpful . Now let us leave it to the judges , you know, the wise panel to take a final call and let us wait for a couple of months . We expect a final decision by September end .
Chandra Mauli: What about the other one , Tata ?
Neerad Sharma: Sub judicially, my dear friend, you know, it is not the right platform to talk about it or rather sit in judgment on a possible judgment , you know .
Chandra Mauli: No, I am not asking . I am not asking about this . You clearly answered. I am talking about the other one which is pending .

R.S. Raju: Mr. Chandra Mauli, let's not discuss about the Tata. A long pending case is there , but in the recent past, there is some progress on the Tata discussions . So, there are two , three line of discussions held with the Ta ta, and there we are trying for a amicable settlement , and we hope that amicable settlement will be reached in two to three months' time . There is a good progress on the Tata issue , and also in a positive manner to the NCCL . We will let you know once the next progress happens .
Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Sir, but in both the cases , Sembcorp and Tata, net -net we will not be having any cash outgo. Rather whatever the amount , though we will not mention the amount , but at least we will get some cash amount . That's the way one can look at .
R.S. Raju: Yes, in case of Sembcorp, we will definitely get some cash amount .
Shravan Shah: And for Tata, do we have to pay some cash amount?
R.S. Raju: In Tata, some payment requirement would be there, but there would not be, it will not affect any, the financials. Th e enough adequate provision whatever we made and we expect that the case gets settled within that amount.
Shravan Shah: Second is in terms of the date level though we mentioned that it has increased 1300 crore, but by yearend, will it be lower than 800 crore?
R.S. Raju: Yes. Now there are several issues to determine at this moment . So, basing on the normal , in the normal course of business , yes, there is a possibility , but there are several issues which required to take place like Sembcorp. If Sembcorp and Vizag Urban , beyond the normal course of business , certain issues are there , which really gives an inflow , but we don't have any such uncertain outflows are there. But at the same time, the company is looking for growth, so looking for the bigger size of projects . So, when it is looking for a bigger size of project , generally , some type of initial investment may require. So, it depends upon the kind of orders and other things , but in principle , basing on the normal business , yes, certainly

, some more amount by the yeare nd comes down .
Shravan Shah: And then for NCC Urban Vizag, 500 crore we need to receive, but this year how much if everything goes as per plan, three installments, how much a re you planning to get ?
R.S. Raju: No, in NCC Urban, NCC Urban you are asking, is n't it? Vizag urban.
Shravan Shah: Vizag.

R.S. Raju: Vizag Urban 150 crores is the amount which to r eceive in the year '23-'24.
Shravan Shah: And in the presentation , sir, when we talk about the net d ebt, we have taken only 271 crore cash versus cash flow in the balance sheet. When we show in the other slide in the presentation , it is 804 crore .
R.S. Raju: No, there are certain deliberations and opinions on that one as we have another 500 this margin money deposits . But the marg in money deposit s we kept under the unencumbered deposits . So, for certain purposes we take them into account . For certain purpose s, we eliminate. So, in such an analysis , the cash and bank surplus now it's excluding the margin money deposits . That figure what we consider now .
Shravan Shah: And any broad idea in terms of the just to reconnecting to the previous participant 's question, broadly, how much amount of projects that we have bidded and where the outcome has yet not come?
R.S. Raju: Outcome until that bi ds outcome ?
Shravan Shah: Yes, where we have b idded and the outcome has not come , where the final outcome has not been

announced?
R.S. Raju: What kind of amount of bi ds, you are asking amount of bids?
R.S. Raju: Yes, how much value of projects we have bidded? Let's say, 40,000 crore, 50,000 crore we have bidded and still the outcome has not announced.
R.S. Raju: That would be there around 25 ,000 crores to 30, 000 crores bidded. It changes mo ment to moment that one .
Moderator: the next question is from the line of Nikhil Abhyankar from ICICI Securities . Please go ahead.
Nikhil Abhyankar: Sir, we were L2 and in Ahmedabad and Mumbai Railway Station redevelopment project , and I think Ahmedabad will get re -tende red. So, when should we expect the tender ?
Neerad Sharma: You are talking about Ahmedabad. The Delhi tender is expected, you know, the pre -bid meeting is already done and the revised tender documents are expected to be issued shortly . The Ahmedabad I believe they are again trying to , you know, rework the estimate. As you are aware, the last time the tender had come and we did participate in that tender . That was subsequently canceled . So, that is also , you know, planned shortly in next , let us say , next about a qua rter, in the next three months ' time.

Nikhil Abhyankar: So, we will be participating alone , in a JV?
Neerad Sharma: We have the qualification in all these tenders. We participate on our own.
Nikhil Abhyankar: And these are the large railway stations . So, any opportunities in the smaller railway station redevelopment tenders ?
Neerad Sharma: There are so many , you know . In fact, there are about 500 odd, you know, railway stations which are planned for the redevelopment . So, the pipeline is very healthy , very strong , but it takes time.
Nikhil Abhyankar: But when we look at the smaller ticket project …
Neerad Sharma: Yes, it takes time really . It takes time, and some projects , as you are aware, because you are tracking the sector , some projects are also coming on PPP mode , like Vijayawada and at couple of other locations . So, the pipeline continues to be very healthy , but it takes time for the client to really develop the project , approve the design, then issue the tender documents , but as and when reasonably size projects come up for bidding , we will definitely participate . We have the qualification , and we do have the expertise to execute these kind of projects .

Nikhil Abhyankar: And sir, the second question is regarding RDSS . So, we have pending orders as well for the infra development portion of it , but will we be participating in smart metering orders as well ?
Neerad Sharma: Yes, we will be . We will be . You know, it's an inherent part of the RDSS scheme. If you really talk about the market size, there are about , you know, 25 crore meters which are expected to be installed . Only about couple of crores have been awarded . So, we will definitely participate in these projects as well .
Nikhil Abhyankar: So, have we then finalized from where will we source these meters and everything?
Neerad Sharma: We have to . We have to . There are so many , you know, there are so many meter manufacturers in the market in India , outside India . So, we will definitely , you know, finalize the agreement with them and then bid for these projects . Incidentally , we have participated in these projects in the past , but unfortunately, we are not successful , but we have participated in few bids in the past, last six months , let's say .
Nikhil Abhyankar: Sir, is it allowed to import smart m eters for these projects ?
Neerad Sharma: See, when we talk about smart meters , you know, we have to again look at these, there are three, four important parts of these smart meters , knock down meters , the smart part , the GSM part , you know, so some it depends . It depends . Whosoever is able to meet Indian standards , you

know, then those meters can be imported as well , but there are so many big manufacturers in India as well .
R.S. Raju: Make in India .
Neerad Sharma: Yes, Make in India . So, why to really look outside India when , you know, good quality meters at attractive price points are already available in India ?
Moderator: Thank you. The next question is from the line of Parvez Qazi from Nuvama Group . Please go ahead.
Parvez Qazi: Sir, my first question is regarding our exposure your subsidiaries , what would it be at the end of the Q1?
R.S. Raju: The exposure in the subsidiary combination in the Q1, there is no any significant change , and there is no any increase in the investments bearing 1 crore or 2 crore change in the investments . So, at this moment , also there are no t any loans to Group companies . Only the Vizag Urban, that is not a Group company now that amount to what we need to get from the new buyer of that

company . But going forward, we have the plan s and some part of the amount which supposed to get from International LLC . Some part of the amount we expect in the second quarter . And other than that one is another BOT project is there in the NCCIHL . That is going to be completed in a year's time . At that time again some capital buyback or some route they choose and at that time we expect some inflow from that company . So, by yearend , some 50 crores to 1 00 crores reduction we expect in the Group companies .

Parvez Qazi: And what is the kind of CAPEX that we envisage to inc ur in FY '24?

R.S. Raju: We plan, we given in the budget in our internal , we plan about 275 crores . So, in the 1st Quarter , hardly we spend about 27 crores or 28 crores . So, it depends upon the CAPEX, spending of CAPEX. It depends upon the quantum of kind of projects .

Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities . Please go ahead.

Parikshit Kandpal: So, my question is on your exposure to Karnataka project . So, if you remember , there was a media item where they had said that all the works will be stopped and Karnataka, so did we face any impact on account of that ? Is there any of our work stopped because of that ?

R.S. Raju: Now in Karnataka, you know that we have three major projects among the others about this Metro from City to airport , the Metro projects . All t

he three projects put together about 2, 150 crores are there. These projects are going on and other projects after the post elections , some

slowness is happened because of the new department and the new Ministries and verifying the priorities and other things , but in a weeks back , they issued a GO canceling the orders whatever issue d earlier . So, thereby , now the normal position again coming to the normal position . So, during these three months period, there is a slow, but not completely stopped the works . There is slow momentum . Because of this , certain payments not happen. So, going forward , we hope that things go as usual . Moreover , these three Metro projects represent more amount in the Karnataka projects .

Parikshit Kandpal: So, what will be the works ' value of the works where they have been impacted because of this decision of the government?

R.S. Raju: The total value of projects would be around 4,000 crores . Out of this , 2,000 crores these Metro projects and other projects , seven to eight projects , in which , again , some three projects we received about on the fourth quarter and third quarter of the last year . So, those works we also received the mobilization advances .

Parikshit Kandpal: So, when do you expect the Lo A for the GMLR project ? The G MLR project which you won on JV with J Kumar , so when do you expect to get the letter of award and when do you expect the work to start?

R.S. Raju: That is more normal . That is generally in a month's time before a month generally they takes place. We cannot precisely tell one week or 10 days , but a normal course generally , so basing on the priority of the work by the client, so we can expect 15 days to one month time that LOA.

Neerad Sharma: And the work i s expected to start in October this year . So, you know, as Mr . RS Raju says in about a month's time or so , we should be able to get the Lo A.

Moderator: We will continue with t he next question which will be from the line of Vaibhav Shah from J M Financial . Please go ahead.

Vaibhav Shah: Sir, our mobilization advance of 3,300 crores, so what is the interest -bearing portion ? What is the rate of interest ?

R.S. Raju: Now in this moment 50 to 50 ratio is there interest bearing and non-interest bearing .

Vaibhav Shah: And the rate of interest ?

R.S. Raju: Average 10% is there for all the projects . Weighted average.

Vaibhav Shah: And sir, our CAPEX guidance of 265 crores, 270 crores , does it include the CAPEX for the tunneling project ?

R.S. Raju: No, no, this is excluding tunneling project what CAPEX we generally budgeted or planned for this year , excluding that type of major missionary oriented projects .

Neerad Sharma: And you have said that . Mr. Shah, I take back to , you know, the last call that we had in May when Mr . R.S. Raju had commented specifically that , you know, this is generally , this is a general CAPEX. If we are able to get some high big ticket, you know, this kind of project tunneling , we will have to consider extra CAPEX. So, this statement was categorically made at that point of time also in the last week of May , and I think that was made very clear that , you know, this would be over an d extra this CAPEX of 275 crore .

Vaibhav Shah: And sir, how would be your accounting for this project ? So, it would be a one-line item or line-

to-line basis?
Neerad Sharma: I have not understood your question. Are you talking about the JV?
Vaibhav Shah: Yes.
Neerad Sharma: Yes. Our share would be approximately 50%. So, if you want to talk in terms of value , it would be close to 3 ,000 crore .
Vaibhav Shah: No, so accounting in P&L, how will it be ? It is line -to-line consolidation or ?
R.S. Raju: Generally, that modalities not yet reached. It depend

s upon after getting the LoA and the formation of joint venture and after reaching the understanding , work sharing understandings . Generally , according to my pre -understandings , the work gets shared about 50: 50. So, you know, when they get to work shared, only to the extent of 3,000 crores, the revenue recognition takes place.
Vaibhav Shah: Sir, what was our JJM revenue in 1st Quarter ? And what is the annual guidance for FY '24 ?
R.S. Raju: Which project ?
Neerad Sharma: JJM.
Vaibhav Shah: JJM.
R.S. Raju: Jal Jeevan Mission projects , in the 1st Quarter , those projects reported about 1, 200 crores , only 30% of the Q1 turnover . And in the rest of the quarters also , they report around 4 ,500 crores to

4,600 crores . And for the year as a whole, about 5,800 crores to 6,000 crores we expect the revenue from those projects .
Vaibhav Shah: Sir, lastly , are we qualified for the Pump Hydro projects ? And are we looking to bid for such projects in future ?
Neerad Sharma: See, most of those, you know, pumped power storage projects are coming on PPP mode , most of them really . So, as of now , we are not really bidding for , you know, this kind of investment projects , but if we are able to tie up with a good partner and, you know, he is able to bring the equity, then we might decide to really bid for the project . We are just studying the sector as we speak .
Moderator: Thank you. The next question is from the line of Prem Khurana from Anand Rathi Shares. Please go ahead.
Prem Khurana: When I look at the way we have been able to manage in terms of order ad dition o ver the last one and 15 odd months , it seems to have been very , very good for us . Just if you could talk about the comp etition that you witness these days ? I mean , the kind of orders that we have been able to manage, would you say, I mean , this has come because your success ratio with these orders would have gone up or the opportunity size has gone up in a big way, which is , I mean, everyone and anyone is able to kind of share orders these days ?
Neerad Sharma: See, Mr. Khurana, the infrastructure sector, you know, it has always been very , very competitive , and we cannot really talk about the competition in a generi c manner . In different verticals , you know, there would be different competitors . And in some projects , we will have better qualification , you know, we are maybe in a better geared up to execute those kind of projects . So, we target those kind of projects . We delivered . Competition continues to be , you know, healthy . It is, I mean , but in different verticals . We are not only present in one vertical . In different verticals , generally , the competition would also vary.
Prem Khurana: But sir, any number that you would be able to share , like, three, four years , like, I mean , if your success ratio on an average, I mean , across the sector put together was let's say 10 odd percentage if you bid for 100, I mean , was able to find success with 10. What would that number be today, I mean , if you were to kind of give it a guess ?
R.S. Raju: We then again need to dig down, you know, in each of these verticals , there are different players , you know, who are , for example, I mean , just to add some color to your question . If you talk about the highways , roads and highways , you know, the people who are active there are quite different from the people who are competing with us . We just touched upon JJM , Jal Jeevan Mission or water vertical . The people who really compete with us in our electrical T&D would be drastically different from the people who compete with us in, let us say , mining division . So,

we need to really dig down to each of these verticals and, you know, then talk about the competiti on. I would pr

efer to take this , Mr. Khurana , offline with you .
Prem Khurana: And sir, second question on, if you could share the Andhra Pradesh exposure with us, I mean, in terms of order back log, how much is it (Inaudible) 53:54 and the balance sheet exposure as

well, please?
R.S. Raju: About the Andhra Pradesh, the order backlog is about some 3,000 odd crores.
Neerad Sharma: 3,400.
R.S. Raju: 3,400 crores is their order backlog.
Prem Khurana: And sir, how much of would this be just the old orders, I mean, which were moving little slow for us and we used to pace out as per the payments that we used to receive?
R.S. Raju: In this order book about some projects they have budget allocation and those projects are in progress, but some project they do not have any budget allocation. Payments are also pending quite some time. Thereby , we have also stopped those projects and waiting for the payment to progress on those projects .
As far as Capital City projects are concerned , there is an improvement as far as bank guarantees are concerned . We have collected 100 crores from the Capital City projects where some 200 crores plus pending is there earlier and the outstandings , you know, that one Capital City projects have come down to 150 crores , and in this quarter , there is not any further collection happened on the Capital City project. The same figure continues.
But we are pursuing with the AP government, and they are putting a proposal about the issue of the bonds for all the contractors to whom the government have the dues relating to the Capital City project , but as per the projects, we have brought down the exposure , and we are picking and bidding for the projects where 100 % budget allocation is there . So, at this moment , the exposure is 3,350 crores in order book .
Moderator: Thank you. We will move to the next question, which will be from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Sir, fund -based, non-fund -based limit last time what we have talked about 15 ,200 odd crore, is it the same? And how much is utilized ?
R.S. Raju: Non-fund -based limits we have about 1,000 crores or so are there limits availability , and fund -based limits hardly we have 2,200 crores and utilization is there about 1 ,200 crores, 1, 300 crores .

Moderator: Thank you. Ladies and gentlemen , we have no further questions . I would now like to hand the conference over to Ashish Shah for closing comments . Over to you , sir.
Ashish Shah: Thank you, Darwin . On behalf of JM Financial , I woul d like to thank everybody for participating in this calls, and a special thank you to the management of NCC for giving us the opportunity to host this call. Sir, any closing remarks from your side ? You may please go ahead.
R.S. Raju: Thank you all for eagerly participating in now earnings call and I thank you all once again . If you have any further questions or queries, you are welcome to contract Mr . Usurla Sanjay Neerad Sharma who is heading the investors and also CFO – Mr. Sanjay Pusarla. Thank you all.
Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited , that concludes this conference. Thank you for joining us . You may now disconnect your line .

Call: Nov 2023

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Date : November 14, 202 3
National Stock Exchange of India Ltd
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Bandra (E)
MUMBAI - 400 051.
Symbol: NCC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Fort
M U M B A I – 400 001.
Code: 500294
Dear Sir(s),
Sub: Submission of Transcript of the audio conference call under Regulation 30&46 of the SEBI (LODR) Regulations, 2015
Please find enclosed herewith the transcript of the earnings audio conference call that took place on November 10, 2023 with analysts discussing the performance & financial results of Q2 of the FY 2023 -24. The transcript is also available on the Company's website at https://ncclimited.com/analyst -column.html .
T
he Transcript includes list of management attendees and the Q&A's, any assents/dissents and open points.
P
lease note that no unpublished price sensitive information was shared/discussed in the earnings call.
K
indly take the above information on record.
Thanking you,
Yours faithfully
For NCC L imited
M V Srinivasa Murthy
Company Secretary & Sr.EVP(Legal)
Encl : As above

"NCC Limited
Q2 FY2024 Results Conference Call"

November 10, 202 3

ANALYST : MR. ASHISH SHAH – JM FINANCIAL

MANAGEMENT : SHRI. R. S. RAJU – DIRECTOR (PROJECTS) – NCC LIMITED
SHRI. SANJAY PUSARLA – EXECUTIVE VICE PRESIDENT (FINANCE & ACCOUNTS) – NCC LIMITED
SHRI. NEERAD SHARMA – HEAD STRATEGY &

INVESTOR RELATIONS – NCC LIMITED
SHRI. SRINIVAS RAO – CHIEF GENERAL MANAGER
(ACCOUNTS) – NCC LIMITED

 Moderator: Ladies and gentlemen, good day and welcom e to NCC Limited Q2 FY2024 Results Conference Call hosted by JM Financial . As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then " 0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ashish Shah . Thank you and over to you Mr. Ashish Shah !
Ashish Shah : Thank you Malcolm . On behal f of JM Financial I welcome everybody to the Q2 FY2024 Earnings Conference Call of NCC Limited . We have f rom the management today Shri . R S Raju, Director (Projects), Shri. Sanjay Pusarla, Executive Vice President, Finance & Accounts and Shri. Neerad Sharma, Head Strategy & Investor Relations so I hand over the call to the management now for their opening remarks after which we can have the Q&A. Thank you.
R. S. Raju : Thank you Mr. Ashish Shah. Good morning ladies and gentlemen. A warm welcome to all of you into the Q2 FY2024 investors earnings conference call of NCC Limited . First of all we are thankful to JM Financial Services for organizing this concall. T he presentation containing the performance of six months and Q2 FY2024 was uploaded on the stock exchange and in our website at around 11 p.m. yesterday . Now I will take you through the key highlights of the Q2 and six months . Thereafter we will take you t o the question and answer session.
Disclaimer before my briefing on the Q2 the usual disclaimer of the presentation that we have uploaded on the stock change and our website yesterday including the discuss ions that we will have in this call contains or may contain certain forward looking statements relating to NCC L business prospects and profitability which are subject to several risks and uncertainties and act

ual
results may materially differ from those in such forward looking statements . Now about to Indian economy or infra construction that I do not want to touch on that one because to give more time for the question and answers , if any questions on that one we will answer it at proper time.
Now before g oing to the operating performance I would like to brief on the key matters take n place in Q2 which were partic ipated in this Q2 finances . The first one is Sembcorp's arbitration Award. I n this quarter this arbitration award is received in September 2023. A ll of you know that this arbitration award process took more than five years time and the award was not in line as expected by NCC L. NCCL noticed that some of the claims not properly addressed by the arbitration tribunal as such , the matter was referred to outside legal firm to identify the grounds if any available to ascertain further legal proceedings . However a matter o f prudent accounting principles NCC L has given effect for the difference amount of Rs.351 Crores in books of accounts after adjusting the existing presence of Rs.57 Crores there is an imp act on P&L by Rs.351 Crores but cash flow concern there would not be any cash outflow there would be a cash inflow of Rs.198 Crores. In fact this award is given as Rs.198 Crores payable to NCCL by Sembcorp so as a result there would be a cash inflow would be there in the coming months but at the same time in the same quarter we have received a positive settlement agreement with NHAI

 for one of the road project s for Rs.152 Crores which given effect in the results of the Q2 and this transaction has a positive impact in the P&L account but both the claims together impacted revenue by Rs.199 Crores and PAT by Rs.149 Crores. B ecause of this impact at PAT level of Rs.149 Crores a significant amount all the margins gross profit margin, EBITDA margin and net profit margin all the margins related from that of a normal course and going to the other big aspects taking place in the Q2 NCC L secured four major orders . One tunneling project and three electrical smart meter projects totaling to Rs.11293 Crores which would further fuel the growth of the company going forward and SPVs out of these four projects we require to create special purpose vehicles for three projects for two s mart meter projects and one for tunneling projects so we have incorporate SPVs as per the terms of the contract and the further proceedings including finance closure are in good progress . NCC Vizag Urban we have received Rs.20 Crores out of Rs.50 Crores in September 2023 installment from GRPL toward sale consideration of NCC Vizag urban. The balance Rs.30 Crores they promis ed to pay before November 15, 20 23. The balance to installment December 2023 and March 2024 they issue to pay within due date. A s far as guidance is concerned we have given 20% grow th guidance for top line for the year 2023 and 2024 . In the first half year we have exceeded the guidance to what the target basing on the guidance of 20% be internally stipulated for six months exceeded this by 5% and the management is confident to achieve the guidance given for FY2023 -FY2024.
Then we go to the order book . As far as order book is concerned the company secured good

amount of orders Rs.12289 Crores in Q2 a growth of 362% over corresponding quarter of the previous year . The major orders recei ved in this quarter are given in the presentation uploaded in the website . Among them four are b ig orders one is the Thane metro project that is tunneling project , two from Maharashtra State Electricity Distribution Company Limited and one from Bihar Distribution Company Limited and another one is another tunneling project as I said . Now the order book as of September 30, 2023 stands at Rs.61796 Crores highest ever order book. T his Rs.61796 Cror

es is after eliminating the O &M part of those four orders about Rs.2600 Crores or so. T hese three orders of Electro Smart Meters project given for a duration of 10 years and out of 10 years first two to three years primarily ex ecution, erection of this smart meters and completion of the project order scope would happen but then in seven years the contractor requires to kind of operate, maintain and hand over the asset to the client so what we done is in the order book the first three years whatever revenue comes that to that extent we include in the book and the balance seven years mainly of operational maintenance that we kept aside. O nly we take that part when the fourth year comes into the start of that O &M period . Our order book is well diversified and spread across various s tates. Right now we have 28% of orders from UP where both UP and central government have given priorities for the presumed projects and with adequate fund allocation . So far the payments are good as a result the progress of those products going well . Now come to the NCC L Q2 operating performance . First of all I will brief the n umbers relating to the standalone Q2. I n this quarter the company performed well in m ajority of the performance parameters . On standa lone basis the company reported revenue of Rs.4283 Crores against Rs.2950 Crores in a year a growth of 45% on year -on-year basis . The revenue primarily driv en
 by buildings and electrical divisions which in turn due to good progress achieved in the UP Jal Jeevan Mission Projects . The gross profit reported as Rs. 503 Crores against Rs.483 Crores a growth of 4%. T he company has posted an EBITDA growth of Rs.279 Crores against Rs.289 Crores. In terms of percentage the EBITDA reported as 6.5% against as 9.61% of the corresponding quarter of previous year . The PAT reported as Rs.69 Crores against Rs.122 Crores so here you might have observed about the decline in the profit margins which primarily as I said we have given an impact of two , one positive claim and one negative claim together impacted the margins by Rs.149 Crores.

Now I would like to just i nform how the margins when we exclude these two non -routine items . So in this quarter non-routine items were accounted that is Sembcorp arbitration award an adverse impact of Rs.51 Crores and a normal claim from road project s Rs.150 Crores. The net impact of these two items Rs.100 Crores impact at revenue level and gross profit margin level , EBITDA and at net profit level it is affected Rs.149 Crores. O nce we ex clude this negative impact of Rs.149 Crores the net profit works out to Rs.218 Crores for the Q2 as against Rs.122 Crores reported in the corresponding quarter previous year showing a growth of 79% over corresponding quarter , so this type of adjustments and impacts are also there on the Q2 of consolidated results and also this impact either is six months results of both standalone and consolidation s o in this quarter the other inc ome reported as Rs. 27.7 Crores as against Rs.31 Crores of the corresponding quarter of the previous year . This is about Q2. N ow I move to the six months standalone operating r esults .

On standalone basis the company reported revenue of Rs.8121 Crores against Rs. 5908 Crores a growth of 36% year -on-year. T he revenue increased primarily due to more revenue from buildings division which in turn due to good progress in UP Jal Jeevan Mission Projects . The gross profit reported as Rs.1091 Crores against Rs.948 Crores a growth of 15% . The gross profit margin in six months is 13.44% against 15.90% . The company has posted an EBITDA of Rs.659 Crores against Rs.570 Crores registering a grow th of 16%. The EBITDA margin is reported as 8.12% against 9.56% of the corresponding period of previous year . PAT reported as Rs.231 Crores against to Rs.242 Crores. N ow I m

ove to the c onsolidated financials Q2.

This quarter reported turnover of Rs.4720 Crores as against Rs.3820 Crores achieved a growth of 40% o ver corresponding quarter of previous year . The gross profit reported as Rs.539 Crores against Rs.518 Crores a grow th of 4.10% . The GPM reported 11.4% as 15.2%. T he EBITDA reported Rs.304 Crores aga inst Rs.310 Crores a negative growth of 2%. The PAT reported as Rs.85 Crores against Rs.138 Crores a decline by about 37% over the corresponding quarter of previous year . The six months consolidate d results this quarter reported a turnover of Rs.9100 Crores against Rs. 6695 Crores achieved a growth of 36% over corresponding period of the previous year . The gross profit reported as Rs.1165 Crores as against Rs. 1019 Crores a growth of 14%. The EBITDA reported Rs.713 Crores against Rs.618 Crores a growth of 15%. T he PAT reported Rs.271 Crores against Rs.275 Crores a decline of 1.5% on year -on-year basis . Next I will brief you about the group compa nies, individual companies performance.

 All of you know that we have only at this minute three companies which are reporting the revenues . One is Pachhwara Coal Minin g Private Limited which is doing the mining project and other was NCC Urban doing the real estate business and the third one is (inaudible) 15:32 road annuity project . In the group companies PCM has reported turnover of Rs. 338 Crores as against Rs.280 Crores in the corresponding quarter of previous year and NCC Urban has reported a turnover of Rs.95 Crores as against Rs.82 Crores in corresponding quarter of previous year . The total group companies together reported a turnover in this quarter as Rs.435 Crore s against Rs.368 Crores a growth of 18% on year -on-year basis . This incre ase is mainly driven by mining project being executed by PCMPL. The g roup companies performance in six months. T he first six months where the group companies reported Rs.804 Crores as against Rs.645 Crores on year-on-year basis. NCC Urban has reported a turnover Rs. 169 Crores as against Rs.170 Crores. T he total group companies reported turnover in the six months as Rs.975 Crores as against Rs.730 Crores a growth of 33.56% on a year-on-year basis . As far as cash flows are concerned , the cash flows generated in the operating activities is Rs.159 .54 Crores taken as Rs.53.2 0 Crores. T his is one of the best quarter reported a significant amount of cash inflows from the operating activities . Despite the expansion taking place at the project and despite the 40% increase in the vol ume of operations at project level. The net cash flows used in the investing activity is Rs.79 Crores against Rs.53 Crores. S imilarly the net cash flows used in financial activity is Rs.135 Crores against a trial of Rs.50 Crores in the corresponding quarter of the previous year .

Now moving on to balance sheet . The first one is the capex increase in this quarter by Rs.43 Crores. T he company has not spent any big amounts on capex in the Q2. I n first six months period of the capex is Rs.90 Crores, i nventor ies increased by Rs. 19 Crores from the previous quarter which in line with the increased volume of construction activities . In the first six months period inventor ies increased by Rs.268 Crores, a s a percentage there is no big increase in the inventories comparing to the kind of progress what the projects are doing . Trade receivables, the trade receivables increased only by Rs.61 Crores as against 43% growth in turnover which reflects an improved collections from the clients . In the six month period the trade re ceivables increased only by Rs.179 Crores as against 36% growth in turnover . The trade receivable days significantly c ame down to 70 days is almost it is the lowest in the last seven to eight years . Unbilled revenue the unbilled r evenue stands at Rs. 3646 Crores as against R

s. 3679 Crores. There
is a slight decline despite increase in construction activities . There is a decline on unbilled revenue from the previous quarter . Overall there is a decline in the unbilled revenue from a peak level of 24% to 22% .

Now coming to the working capital, there is a phenomenal improvement happen in working capital in the current six months period of the year . The working capital is in creased by about 11% as against 39% growth in the turnover . You know that there is a big order book and the company needs to wrap up the progress but despite all these things the working capital increased happened only 11%. The working capital as a percentage turnover recorded as 26% as against a peak of 55% in FY2021. E arlier it almost touched 50% of the turnover of the working capital level now it has come down to 26%. In working capital, similarly working capital plays a lot of

 improvement reported a decline from 194 days in FY2021 to 89 days this half year FY2024 first half year; this is the ever lowest in t he last five years period .

Coming to the li ability side, the debt has increased from Rs.1306 Crore s from first quarter ending to Rs. 1470 Crores by September 2023 an increase of Rs.164 Crores. G enerally in the construction industry the collections are lower in the first six months as a result the debt increases in the six months of every year but the quantum of increase in Q 3 is much lower than the nor mal increase happened in the last couple of years . The mobilization advance is decreased in the Q2 from Rs.3320 Crores to Rs.3224 Crores a decline of Rs.90 Crores. Coming to investment there is no change in the investments in the half year or in the Q2. N ow I request the JM Financial Services to continue further from the con call. Here we have my colleagues Mr. Sanjay Pusarla , and Mr. Neerad Sharma and Mr. Srinivas Rao and we will answer the questions.

Ashish Shah: Malcolm you can open for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. Ladies and gentlemen we will wait for a moment while the question queue assembles. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Thank you very much Sir and first congratulations on great set of numbers particularly on the execution and the order info front Sir, s o I understand we are not giving any guidance or upgrading the guidance on the execution but roughly trying on the direct ionally front trying to understand that normally the second half is relatively much better on the execution front versus

the first half so last year also was the case, s o broadly looking at the current run rate 3 6% kind of
a topline growth that we have seen in this first half is it fair to ass ume that we should be having at
least 30% plus kind of a growth this year and the way the order inflow is that definitely you can update how much more are we expecting the order inflow so considering that even the next year
also one can see a 20% plus kind of a revenue growth so that is directionally I am correct ?
R. S. Raju : As far as guidance is concerned what we have given the 20% growth on the topline and the first
six months our achievement is almost close to or that one w hatever guidance we have given and
going forward in the next six months as you observed earlier the percentage of execution
generally good in the second half than the first half but here because of certain nature of projects ,
the execu tion increases happen in Q2, so e arlier the type of increase not there in the Q2 but in
this year in the Q2 more because of the various projects big size of projects are in the good
position to e xecute and in the second half as you said that there is a good amount of order book
and order value is increasing but whatever orders we received in the first half year or in the

Q4 of
the previous year they are big size orders are there like this Malad project , now tunneling project
and the se smart meter projects but these projects require certain pre-execution proceedings
including the finance closure so January takes some time to really turn out the report and in FY2024-FY2025 good visibility is there to report good turnover from these projects and in the
second half generally basing on the first half year performance, we believe that and definitely
 some execution would be good and thereby I mentioned in my marks that management is
confident to achieve the 20% guidance so thereafter there may be some increase could be there
but we are not going to increase or change any guidance at this moment .
Shravan Shah: In terms of the margin level so if we adjust the claim so full 1H is 10.3% kind of a n EBITDA
margin so that number is susta inable and previously we were talking in terms of the further debt
reduction also so from here on obviously if we fight and we will get the cash flow maybe at later
stage but broadly considering whatever we have so how much more we can see the debt
reduction and accordingly the fina nce cost reduction?
R. S. Raju : As far as now margins are concerned , the main c ompany philosophy is since there is a
competition in the market now we at the gross profit margin level there a compromise is there
where bid ding the projects but at the bottom level from EBITDA level onwards improvement is
is looking by the management were reporting by increasing the the t opline that is the philosophy
in such way we are moving . So now in the second half whatever normal margins now the first
half Q2 got impacted because of this one t ime in the transactions but Q2 and Q3 remains as we
reported in the Q1 so in normal course excluding those transactions for the year as a whole we
expect an EBITDA and we given guidance as 10% but it may go 10.1 % to 10.2% so there would
be a growth over the previous year in the EBITDA percentage and similarly in the net profit also
increase would be there. We reported last year 4.2% and current year there is a chance of
reporting 4.5% plus at net profit level .
Shravan Shah: Sir I was asking in terms of the order inflow so further how much are we looking at to get the
more orders so how much we are planning to bid by March end and to get ?
R. S. Raju: As of now we already secur ed Rs.20000 Crores orders as against Rs.26000 Crores mandate
guidance we have given. S o now we are confident that we definitely achieve the Rs.26000 Crores
order book basing on the present flow of orders and there is some chance to exceed that one so it
may go another 2000, 3000 and 4000 plus of what guidance we have given.
Shr
avan Shah: Got it and lastly on the data point Sir so you have mentioned the mobilization a dvance if you can
repeat the retention money and unbille d revenue number and the investment is I hope the
subsidiary, JV loans a nd investment is the amount the same Rs.1230 Crores which was there in
the previous quarter ?
R. S. Raju : You are not giving chance to the others . Total questions appear that you are asking . JM
Financial, Mr. Ashish Shah just you tell me whether to proceed further to answer .
Shravan Shah: This was data point so it can help everybody .
Moderator : Thank you. The next question is from the line of Mohit Kumar from ICICI Securities . Please go
ahead.
 Mohit Kumar: Good afternoon Sir and thanks for the opportunity . My question is in the slide number 32 you are
saying that there is a need to enter into new ver ticals to grow at 20% does it mean that we are
expecting a slower growth in the existing verticals in the near ter m and hence there is need to
enter into a new segments and i f you can help us with the new segment which you are trying to
enter into ?
N

eerad Sharma : Mr. Mohit the fa ct of the matter is it is not that we do not see lot of visibility in the existing verticals . The infrastructure market in India is evolvi ng at a very fast pace. F or example if you talk about the tunnel projects it was not an active market about a decade back so smart meter I am just giving you an example to answer your question in totality. We are always looking at what are the new avenues for growth , what are the new projects which are coming up for bidding and accordingly we try to have the competence , the qualification and then decide to bi d for the projects . So the pipeline of the project continues to be very healthy in the existing vert ical as well as th e new ones but we are not going whole -hog we are a bit selective in these new vertic als. As we have already shared with you we have just started with a big tunnel project in the City of Mumbai we have taken three smart met er project s so this is what we intend to do so as and when the new opportunities come in the newer verticals , we will try to see what kind of projects are those , what is the competence required to do that, what kind of investments if any is required, and what kind of you know competen ce is required in terms of people skill , then we decide to bid for those projects .

Mohit Kumar: Sir my second question is smart meter opportunity right ? We have not done I think electrical or smart metering ever in our history so do you think that how will you go on bringing those competencies and building those capabilities so that we execute at reasonable profit margin especially big orders?

Neerad Sharma : Mr. Mohit I agree with you that this is a new market but this is an emerging area reall y and we have done lot of distribution projects . This is a kind of project that we are doing i n the Jal Jeevan Mission. What is the Jal Jeevan Mission essentially is all about ? It is about giving the retail connection and retail ta p connection to the households . In the smart meters we are trying to do the same thing . What is required to be done here is to provide these smart meter connections to all the households and we have done lot of distribution projects and we know the clients . In fact we have been active in this vertical. We have been working with this State Electricity Board for about two de cades now and all these projects are promoted by them so we understand th e space and we believe what it takes to succeed in this space.

Mohit Kumar: Thank you.

Moderator : Thank you. The next question is from the line of Nikhil Abhyankar from ICICI Securities . Please go ahead.

 Nikhil Abhyankar: Thanks for the opportunity . Sir my question is regarding we will be entering into the election season in the next six months so do you see that any order for the final arbitration will be hit say after January or Febr uary so whatever the orders come in should happen till December and January?

Neerad Sharma : Yes you have asked a very good question. We are entering into this very exciting festival of elections. The state elections followed by c entral elections but we already have the buffers in place as my colleague Mr . Raju has already shared with you w e are already sitting at the highest order book in our history that is about Rs. 61797 Crores so close to Rs. 62000 Crores so even if though I do not agree with this view th at after the elections are announced there w ill not be any project but even if theoretically let us say that the proposition that you are trying to make is correct . In that eventuality also we have sufficient orders on our books to continue to execute till the new pipeline of projects are announced and awarded .

Nikhil Abhyankar: Right Sir understood and Sir also what is the status for Dhaka arbitration and what is the total claims for that arbitration ?

R. S. Raju : Dhaka certain dev

elopments are there. N ow a lready we explained about the legal status earlier . In this quarter there are some amicable settlement proceedings are going on so there are good chances to get resolved through mutual discussions and other things . That process is almost 70 % to 72% is over and we expect some amicable settlement between the two parties so as a result the pending legal proceedings and other things gets closed so there will not be any and we are not expecting any big amount over what provision we made in the books of accounts to happen.

Nikhil Abhyankar: How much are the provisions?

Moderator : Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital . Please go ahead.

Deepak Poddar: Thank you very much Sir for this opportunity. Sir just a clarification, you mentioned PAT margin of 5% plus in this year right that is what you mentioned to one of the participant earlier ?

R. S. Raju : 4.8%.

Deepak Poddar: 4.8% ?

R. S. Raju : 4.5% we mention in my initial answer .

Neerad Sharma : But what your question is .

R. S. Raju : 4.5% plus.

 Deepak Poddar: 4.5% plus okay fair enough and I think our adjusted EBITDA margin in this quarter was around
10.8% right so ideally second half is generally much better than your first half I think so ideally
this a margin of 10.1 % to 10 2% is not that on the conservative side ?
R. S. Raju : For the year as a whole you are asking ?
Deepak Poddar: Yes that is what you mentioned right 10.1 % to 10.2% EBITDA margin?
R. S. Raju : It depends upon the mix of several divisions we have and several efforts are there. It depends
upon the mix. G enerally the band 0. 25% in between it will vary so we are confident to at least
report 10.2% level for the year as a whole.
Deepak Poddar: I understood and my second question is on your debt outlook I think we have seen increase in
debt and I think we had earlier guided that FY2024 and debt on a Y-o-Y basis from FY2023 base
it would be lower by about Rs.100 Crores to Rs.200 C rores so where do we stand in that front
and how do we see the interest cost because our inter est cost ha s always been on the increasing
trend so some understanding on interest and debt would be helpful ?
R. S. Raju : Now as far as interest cost is concerned there are two parts so one is the interest on mobilization
advance and other one is interest on our loans . As far as the loans are concerned there is no any
good increase in terms of interest because mobilization a dvance is increasing and mobilization
advance also the mix of the advances . One is interest bearing advances t he other one is non-
interest bearing advances and that mix moves that is where most more interest bearing advances
are there then as well as the interest cost goes but always we should see with reference to the
topline. If you see with reference topline there is a decline in the interest cost from the previous
year and any year decline is happening in terms of percentage. W hen the company grows about
30% to 40% actually the debt also suppo sed to grow but somehow the debt is under control so in
this year since the more orders have come and big orders have come where the smart met er
projects is a different type of semi an d UTR hybrid nature of annuity project s that one it requires
the initial investment by the company . Only the payment will come over a period of 10 years
from those projects as a result some part of investment or infusion of the capital into the three
projects required . As a result going forward there would be some increase in the debt level
increases but it is in correspondence to the growth in the t opline. In terms of turnover the interest
cost we expect a decline but not in the absolute terms . So as far as the Q3 also in the Q3 we are
anticipating any big increase in debt but Q4 and and thereafter in FY2025 the debt increase

maybe there.
Deepak Poddar: So what is the debt level we are targeting in FY2024?
R. S. Raju : In FY2024 the de bt level is around Rs.1500 Crores to Rs.1600 Crores another Rs.200 Crores to
Rs.300 Crores leve l.

 Deepak Poddar: Rs.1500 Crores to Rs.1600 Crores of FY2024 end?
R. S. Raju : Yes.
Deepak Poddar: That is it from my side. Thank you so much. All the very best.
Moderator : Thank you. The next question is from the line of Deepika Bhandari from PhillipCapital. Please
go ahead.
Deepika Bhandari: Sir thank you for taking my question. Just two questions from my my end that i n the first half we
have taken significant amount of orders so do we see our capex to increase next year th an the
usual range ?
R. S. Raju : Yes capex basing on the present nature of projects we are not forcing any significant increase in
the capex . The next year we required to buy the tunneling machines and in SPV the tunneling
project we are required to buy that again in the special purpose vehicle so how that company
structure, whether the company borrows on its own and buys equipment and so when they
equipment on consolidation that part again comes into the balance sheet like that. S ome naturally
it is a c apital intensive project thereby some capex would be there . For electrical smart meter
projects we are not expecting any significan t capex for those projects so there may not be big
increase unless we get any road projects or mining projects . When we get mining project a
significant increase will be there in the capex . It depends upon the nature of projects so as on date
whatever projects are there are, are secured and we are not any significant increase in the
capacity. It would be the normal level of Rs.300 Crores or so.
Deepika Bhandari: My next question is because we have won recently so many orders which might be on the
mobilization state so as on this September 31, 2023 what percentage of order book was not
contributing into our revenue if you can just give us a rough percentage ?
R. S. Raju : If you consider Rs.20000 Crores what we secured in the current year out of which 70 % to 80% of
others w ill not participate in the current year turnover. 15% to 20% orders participate in the
second half.
Deepika Bhandari: Sir that means Rs.15000 Crores to Rs.16 000 Crores of the total order book was not contributing
as on September into our reven ue?

R. S. Raju : Correct.
Neerad Sharma : But there will be some contribution in the second half .
Deepika Bhandari: That is it from my side. Thank you and all the best.
 Moderator : Thank you. The next question is from the line of Prem Khurana from Anand Rathi Shares . Please go ahead.
Prem Khurana: Thank you for taking my question Sir and congratulations for a very strong execution during the quarter . Sir my question w as to understand our thought process with the way we are thinking about the business now so as I see it when I look at some of these orders that you have been able to manage in the recent past like the tunneling project which is very large for us and even the advanced metering systems seems as if you are willing to commit your balanc e sheet now right because the tunn eling project you would need to kind of go and I understand it could be SPV level as well but either you are willing to take more debt or you w ould be required to infuse some money and go and buy a TBM and even with a dvanced metering sys tem there will be some infusion from your side so does it mean we are open to kind of come in our balance sheet to kind of get some more orders where you feel this money would be able to generate and do great whatever it is, to what extent would you be willing to kind of take more such projects wherein you will be required to kind of commit your balance sheet ?
R. S. Raju

: As far as th ese projects execution are concern ed there are two parts o ne is tunneling project you ask me the other one is this smart m eter project . As far as smart met er projects are concerned already my proje ct manager Neerad Sharma explained though they are big in size we have the earlier experience in the same segment that is electrical distribution works . This is nothing but again the type of nature but the payment terms a type of annuity and it is a big size order. Number of electric meters smart meters to erect in various places like water. In Jal Jeevan water parts how we are doing retail connection to each and house like that each an d house we have to erect the new meters and additional thing is the supporting s oftware system to link each and everyone to the c entral process so that is there, so as far as this process concerned management at this mo ment is not facing and the team is now they build up to take up to execute this projects and though it is a big platform problems would be there. It is a new but it is a managerial level at this moment the management is there. A s far as tun neling project is concerned definitely it is a new ve rtical and earlier we do not have experience in tunneling but we have experience in the road. Only one tunneling operation of the tunneling is the one new item so we thereby we and secured this project with a joint venture of Vijay Kumar where they have the experience of execution of this type of projects earlier so jointly we will execute this project so thereby we do not foresee any big problems so certain challe nges would be there but it is manageable with the help of the other partner .
Prem Khurana: No Sir basically I think I coul d not convey what I want to understand so I want to understand in these sort of projects right you would need to infuse some equity in the SPV s so internally is there any change in the thought process wherein you are are willing to invest money in some of these asset ownership businesses so let us say in advanced me tering you would have to put in money , tomorrow you could go and decide I want to go bid for road hybrid wherein you would be required to put in money and to what exte nt would you be willing to commit your balance
 sheet towards such projects wherein you would be required to stay back with these project for some time?
R. S. Raju : Now these SPV s we created separate SPV s. These SPV s on SPV level making a finance model whereby to mobilize the funds partly through the debt and partly by e quity so when our share of equity is required about for all the projects put together at this mom ent we expect about Rs.400 Crores to Rs.500 Crores e quity infusion would be there that is over a period of two years or so. In a year about Rs.22 Crores to Rs.250 Crores equity NCC needs to invest to that extent our balance sheet gets adjusted or gets affected.
Prem Khurana: Just one bookkeeping could you please give me the breaku p of order backlog in terms of how much is the Rs.61800 odd Crores how much is for the s tandalone entity and how much would be with the subsidiary like let us say for MDO and advanced metering system which would not reflect in the s tandalone operations and possibly if you c ould share that break up please?
R. S. Raju : Now from these two SPVs we secur ed the electric smart meters. Ou t of three one i s directly received by the NCC, n o SPVs required and NCC execute the project that is Rs.2400 Crores or so and other two projects which appear in the first of all which appear in the SPV books of accounts . Now we are structuring that SPV again award that EPC content to the NCC so whatever EPC contract to be done in the first two to three years to complete the project to that extent the y give to the NCC. That value is about Rs. 3660 Crores that appears in the NCC books

of accounts and

some part appears in the SPV and that SPV part is about Rs.927 Crores. A gain
totally the subsidiary companies the order book as on this date basing on the structure stands at
Rs.7732 Crores and NCC stands at Rs.54000 Crores. T ogether Rs.61796 Crores and further
another point to be noted here is the O& M part of these three elect ro smart met ers project
totaling to Rs.2690 Crores is kept aside out of the order b ook. This we consider into the order
book only when the O& M date starts that is roughly in the fourth year of the project starting.
Prem Khurana: I have a few more but I will come back in the queue. T hank you and all the very best for future.
Moderator : Thank you. The next question is from the line of Parvez Qazi from Nuvama Group. Please go
ahead.
Parvez Qazi: Good afternoon. Thanks for taking my question and congrats for great order intake. Sir two
questions from my side one if you could provide us what i s the total exposure to subsidiaries JVs,
etc., that we have and second what is the status of payment on the Andh ra project percentage and
the stat e is also going to go to electi on soon? T hank you.
R. S. Raju : You are asking about the Andhra projects. As far as Andhra projects exposure i s concerned there
are two parts o ne is the capital city projects and other one is other than the capital city projects so
in the c apital city projects the exposure in terms of fund based and non-fund based. As far as
bank guarantees are concerned there is a significant decline happened from the level of 300 and

 300 to 200. N ow it comes to nearly Rs.1 20 Crores. A s far as capital city exposure at the
beginning of the year we have Rs.157 Crores n ow it has come down to Rs.147 Crores. For the
running projects there may not be any big change in the running projects . Whatever we have
there every month we put the bills and every month bills w e are getting . Whatever outstanding is
there as of March 31, 202 3 the same level is there now and as far as further exposure is
concerned we are not taking any new orders from AP State and also the execution of the projects
what projects are there wherever fund allocation is there only we are doing such projects to bring
down or to control the exposure till the f und position of the government improves . Any further
clarification you need ?
Parvez Qazi: No Sir just the exposure to subsidiary as such?
R. S. Raj u: As far as subsidiaries there is no change in the first six month period. I n the first six m onths we
did the investments weighing Rs.875 Crores at the beginning of the year the same level is also
there. S ame level is also there as of September 2023.
Parvez Qazi: Sure Sir. T hank you.
Moderator : Thank you. The next question is from the line of Ash Shah from Elara Capital . Please go ahead.
Ash Shah: Sir can you provide the standalone and subsidiary order book for Q2 FY2023 outstanding one?
R. S. Raju : Now th e order book as of September 30, 2023 for standalone stands at Rs. 54000 Crores and
subsidiary compan ies is Rs.7700 Crores totaling to Rs. 61796 Crores.
Ash Shah: I was asking for Q2 FY2023 that is September 30, 202 2?
R. S. Raju : In comparison ?
Ash Shah: Yes.
R. S. Raju : Same quarter previous year .
Ash Shah: Now we have about Rs. 7700 in subsidiary companies at this moment corresponding to the same
September 2022 that would be around Rs. 3500 Crores or so.
R. S. Raju : Also second question would be could you thr ow some light on the pipeline that we are seeing
right now if you could quantify it sector wis e or the overall pipeline or something like that if
possible?
Neerad Sharma: We continue to see very healthy pipeline of project coming up for bidding. F or example in our
biggest division buildings and housing, the transportation we get to see lot of elevated corridors
and lot of bridges kind of structur

e . The same way the Jal Jeevan Mission , the water supply, rural

 as well as bulk water supply projects continues t o be very interesting space and we continue to
see lot of lot of opportunities and lot of bi ds coming up. The same is true for the electrical
division when we speak about the smart meter projects or the distribution side we continue to see
lot of healthy projects but it is not really helpful to put a number why because these projects may
not get decided in next six months or 12 months. A n infrastructure project takes lot of time to
develop , to get permissions , to get the funding, get all the permissions in one place and then they
bid out so even if l et us say that that number is X t hat number X may not get decided in next six
months or 12 months so that is the reason, we do not really wish to share that number because
that is not something that gives you a meaningful informat ion to estimate our performance for the
next few years .

Ash Shah: That is all from my side. Thank you.
Moderator : Thank you very much . The next question is from the line of Saket Kapoor from Kapoor Company . Please go ahead.
Saket Kapoor: Thank you Sir for the opportunity . Sir first due to paucity of time we are having only two questions so Neerad what is the best way to get in touch with you post the call ? You also elaborate on that and secondly Sir on the MDO business I think so some mine development SPV we have done earlier that was about to yield results now so what is the update on the same?
Neerad Sharma : Surely firstly I will a nswer your first question first. Y ou please note down my number and email . If you are ready then we will tal k about the MDO project so that you can reach out .
Saket Kapoor: Yes Sir pleas e.
Neerad Sharma : Otherwise in the presentation and on the website the email IDs and numbers are already given so you please note down my number 90003 26123.
Saket Kapoor: Thank you Sir.
Neerad Sharma : To connect with you. N ow your next question was about this MDO project this mine development project right ?
Saket Kapoor: Yes.
R. S. Raju : So now the MDO project basically it is given for 30 years time stand and we started the project . At the beginning the client is able to provide the land and other facilities to some extent . As a result the mine plan approval is taken for a period of five years and in place of 30 years so the five years period is almost over and for the ba lance 25 years whatever format is require d that is procuring forest land, procuring stage two clearance and R& R this revise d mining plan for 25 years , revised mining lease for balance this coal extraction all these things for the last one and half year are there, n ow they were completed and the WPD of the client , it is the obligation of the

 WPD sale to procure all these things . Now the client completed those formalities and hand over the forest land and we started working in that one tree cutting and then starting mine other side and the shifting of villages and settlement of their R&R issues all are in progress and as a result the extraction of (inaudible) 1:1:26 coal is continuing so last year we achieved the final milestone of achievement of (inaudible) 1:1: 35 15 m illion tonnes per year that we have achieved . So as on this date whatever obligations are ther e or milestones are there for the MDO it is in place and within the time are in place. S imilarly the WPD they are also putting lot of efforts whatever is come and whatever facility is required that they are also cooperating and they are providing . As a result we are able to report good amount of turnover on quarter -on-quarter. So for the current year we have given target of about Rs.1500 Crores or so and that we ar e confident to achieve to Rs.1500 Crores turnove

r and for the first half year the company repo rted turn over of Rs.804 Crores. S o about t ransportation 100 is there transportation from mine mouth to the railway siding t hat is 55 km distance and as per the original document the WPDC L agreed to provide the railway siding up to the pit mouth in a period of five years but there is no good progress as far as railway siding is concerned . Still the transportation going by the trucks of this distance of 10 km. Now we and WBD as an alternative plan till the railway siding comes into the place worked out variou s options and identified another two routes to reach the railway si ding, another two railway siding stations identified and the second one already we started transporting this one . More than 50% now we are transporting through the second road and also identified another road now and that strengthening of third route is going on and once this come s into operation to some extent the density in the transportation of the roads comes down but this is one problem at this moment of the transportation of the coal but of course this is an obligation of the WPDC L to provide the facility but as far as MDO is concerned it is performing whatever it requires to do so at this moment we can say that the project is going well.
Saket Kapoor: Sir a very small point I joined late so depending upon the the scalability of execution the last H2 the last year H2 and this year H 2 what kind of growth are we looking in terms of the execution getting scaled up ?
R. S. Raju : Last year H 2 we accounted certain pending bills in the Q4 whatev er they kept spending. T he escalation bill dispute is there with the WPDC L. E arlier they had not escalation . There is a dispute between the two parties and the dispute is resolved and finally agreed by the client and they certified the bills in the Q4 as a result Rs.250 Crores or so happened in the previous year . The same Rs.250 Crores will not come in this year so as a result we stand at Rs.1500 Crores to Rs.1600 Crores and in the second half also Rs.800 Crores plus about Rs.850 Crores to Rs.900 Crores in the turnover may stand .
Saket Kapoor: No Sir I was looking at company as a whole , last year we clock ed yes Sir it was my second question only if I would just complete it?
R. S. Raju : The company as a whole you are asking.

 Saket Kapoor: The company as a whole Sir, we did topline on consolidated close r to Rs.6700 Crores fo r H1 and
ended the year Rs.15500 Crores so how should this H2 look in terms of a comparison with last
year that was my question and all the best to the team ?
R. S. Raju : As comparing to the last half year, last year cons ol about Rs.7000 Crores. Roughly Rs.6700
Crores t opline we reported and on that one 20% growth would be there Rs.8200 Crores to
Rs.8300 Crores.
Saket Kapoor: So H2 will be lower than H1 Sir in that case?
R. S. Raju : No.
Saket Kapoor: H1 we have done Rs.9100 Crores so if we are looking for Rs.8200 Crores for H2 that means
sequentially it will be lower ?
R. S. Raju : So it is not low .
Neerad Sharma : It will be more or less in the same range. M aybe it is Rs.9150 Crores in the first half and it may
lead to Rs. 9300 Crores or Rs. 9000 Crores.
R. S. Raju : Now last time say Rs.6000 Crores to Rs.7000 Crores or so we have given the topline for second
off and this 20% comes to about Rs. 8500 Crores or so , so another Rs.600 Crores is differen ce
there so the same level would be there.
Neerad Sharma : I would answer your question little differently . We have already given guidance for 20% growth
and we cont inue to stick to that t arget so we will hopefully surpass that number .
Moderator : Right thank you. I hope that has answered your question.
Saket Kapoor: Yes it is answer ed. T hanks.
Moderator : Thank you. As there are no further questions from the pa rticipants I now hand

the conference
over to Mr. Ashish Shah from JM Financial for the closing comments . Please go ahead Sir.
Ashish Shah: Yes on behalf of JM Financial I would like to thank everybody for participating in this call . Also
a big thank you to the management for allowing us to host the call . Sir any closing remarks from
your side that you woul d like to make .
P. S. Raju : I thank you very much JM Financ ial Services for organizing the call and I thank all the
participants and I also thank for the questions that were ask ed by you and we hope that we
clarified all the questions and whatever questions we have not answer ed and if any further
clarifiactions require d you may please contact our strategic plan head Mr. Neerad Sharma. His
phone numbers are availabl e in the investors’ presentation . Thank you all .

 Moderator: Thank you very much . On behalf of JM Financial that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2024

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Ref. No.: NCCL/ Regulation 30/2024
Date : February 13, 2024

National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block G
Bandra – Kurla Complex
Bandra (E)
MUMBAI - 400 051.
Symbol: NCC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Fort
M U M B A I – 400 001.
Code: 500294

Dear Sir(s),

Sub: Submission of Transcript of the audio conference call under Regulation 30&46 of the SEBI (LODR) Regulations, 2015

Please find enclosed herewith the transcript of the earnings audio conference call that took place on February 08, 2024 with analysts discussing the performance & financial results of Q3 of the FY 2023-24. The transcript is also available on the Company's website at https://ncclimited.com/analyst-column.html .

The Transcript includes list of management attendees and the Q&A's, any assents/dissents and open points.

Please note that no unpublished price sensitive information was shared in the earnings call.

Kindly take the above information on record.

Thanking you,

Yours faithfully
For NCC Limited

M V Srinivasa Murthy
Company Secretary & Sr.EVP(Legal)
Encl : As above

"NCC Limited
Q3 FY '24 Earnings Conference Call"
February 08, 2024

MANAGEMENT : MR. R.S. RAJU – DIRECTOR PROJECTS – NCC LIMITED
MR. SANJAY PUSARLA -- EXECUTIVE VICE PRESIDENT , FINANCE AND ACCOUNTS – NCC LIMITED
MR. NEERAD SHARMA – HEAD STRATEGY AND INVESTOR RELATIONS – NCC LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the NCC Limited Q3 FY '24 Earnings Conference Call hosted by JM Financial. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vaibhav Shah from JM Financial. Thank you, and over to you, sir.
Vaibhav Shah: Thank you, Rio. On behalf of JM Financial, I welcome everybody to Q3 and 9-month FY '24 Earnings Conference Call of NCC Limited. We have from the management today, Shri R.S. Raju, Director, Projects; Shri Sanjay Pusarla, Executive Vice President, Finance and Accounts; and Shri Neerad Sharma, Head of Strategy and Investor Relations. So I hand over the call to the management now for the opening remarks. After which, we will take up the question-and-answer session. Thank you, and over to you, sir.
Management: Thank you, Mr. Vaibhav Shah. Good evening, ladies and gentlemen. A warm welcome to all of you into the Q3 FY '24 Investors Earning Call of NCC Limited. The presentation containing the performance of 9 months and Q3 FY '24 was uploaded on the stock exchange website and to our website. Now I will take you through the key highlights of the third quarter, and thereafter, we will take you question and answers.
So before my briefing, the usual disclaimer of the presentation that we have uploaded on the stock exchange and our website yesterday, including the discussions that we will have in this call contains or may contain certain forward-looking statements relating to NCCL business prospects and profitability, which are subject to several risks and uncertainties, and actual results may materially differ from those in such forward-looking statements.
Now before going to the company's results, just I want to touch to the -- only 1-minute on the performance. All of you know that the elections were held and in some of the states, governments are also changed at Telangana, Rajasthan, Chhattisgarh, Madhya Pradesh, etcetera.
So here, the impact of the change of the governments, if you look at in that angle, the impact on order booking slightly would be there, some delay in the process would be there, generally change of government, change of the departments, those things happens. And -- but our focus is not there much in the Rajasthan, Chhattisgarh and Madhya Pradesh.
Telangana, of course, we are already earlier -- in the early of this year and the last year, we have slowed down in terms of order booking and also in terms of execution. So in terms of execution, since we don't have much orders in the states, we are not foreseeing any major impact on account of elections and changes in the government. But the elections which we are going to get for general elections in this -- another -- in another few months, definitely, we'll have an impact on the order bookings and slowness in the process of the orders.

And of this election code, no other new tenders or new awarding as major policy changes and other things won't happen. As a result, some delay would be there as far as order booking is concerned. But as far as NCC is concerned, already, we built a good amount of orders in our order book. As such, we are not foreseeing any impact in terms of revenue booking in the coming '24-'25.
The Finance Minister in the budget already a few days back vote-on-account budget given in the parliament where the Finance Minister announced a boost in existing states, including the preservation of government run self-help groups and said that government will built 20 million affordable houses in the next 5 years, actua

lly 30 million houses built already.
Over the last 3 years, the government has stepped up spending on roads, bridges and other infrastructure as a way to boost the economy and create jobs. The budget foresees an increase in capital expenditure on such long-term projects by another 11% from last year to INR11.1 trillion, even as the government's overall spending rises at a slow of 6%. The pace of increase in capital spending is lower than in the previous year.

This -- with this, I want to brief the NCC's third quarter performance. First of all, I want to explain about the orders. Before that, the special orders what we received in the second quarter, first quarter and what the status of those orders progress. 2 SPVs were created in terms of the contract for the execution of the electrical smart meter projects. 1 SPV called as NCC Amisp Ray Private Limited created for Nashik zone of Maharashtra and another SPV called NCC Amisp Marathwada Private limited for Aurangabad zone.

In these orders, there is a mobilization advance facilitating about INR987 crores for 2 projects of Maharashtra and 1 project of Bihar. And another third project we received from Bihar government, but for which no SPVs required to create. So the financial tie-up and the financial project is in progress, and we expect that financial project complete by March '24. For both equity and debt, the institutions have been identified and they've shown interest to invest.

As far as debt part is concerned, SBI Caps recommended to SBI, and it is under process. These projects require an equity investment of around INR500 crores, this INR500 crores is for the totalling to 3 projects. And out of INR500 crores, NCC required to increase this equity investment or offload the equity investment. So NCC proposed to offload 50% of the equity with the premium of INR8 to INR10 per share, with which NCC requirement to increase come down to around INR100 crores to INR150 crores.

So several banks -- industrial banks showing interest to invest in equity and discussions are in advanced stage, and we are confident to close both the equity and debt mobilization before the end of March '24. And another group of projects where NCC now getting good progress and a good volume of turnover is UP Jal Jeevan projects. So there is a good progress in execution of the Jal Jeevan projects in UP, and these projects contributed significantly in Q3 and 9 months top line for increasing the turnover of the 9-month period of current year.

Out of the total amount of INR16,900 crores, we have executed up to December '23 about 43%. In the next quarter, we expect to complete another 10%. So it may take another 1 year to complete the total Jal Jeevan projects, both second phase and third phase.

So now I come to the order book on a consolidated basis. So we have order book at the beginning of the quarter on a consolidated basis of INR61,786 crores. Orders received in Q3 is INR796 crores. Orders executed, INR5,151 crores in third quarter. So the balance orders on 31/12/2023 is INR57,440 crores. The target orders for the current year is INR26,000 crores, against which the company secured in 9-month period about INR21,238 crores.

Now balance orders to get -- to achieve the target is about INR4,762 crores. So basically, the orders what we tender submitted has also where L1 declared and the management is confident to achieve its guidance order book of INR26,000 crores. And we have a loan order for about INR4,000 crores. And today, we got INR1,250 crores LOA. So based on which, the management is confident now to achieve the INR26,000 crores order book.

Our Q3 operating performance, first, I will brief the stand-alone Q3. In this quarter, the company performed well in majority of the performance parameters. On a stand-alone basis, the company reported a revenue of INR4,747 crores against INR3,373 crores, a growth o

f 41%
on year-on-year basis. The revenue primarily driven by buildings and electrical divisions, which in turns driven by UP Jal Jeevan Mission projects. The gross profit reported as INR727.60 crores against INR587.40 crores, a growth of 24%.

The company has posted an EBITDA of INR479.33 crores against INR348.80 crores, an increase of 37.42% against corresponding quarter of previous year. Now PAT reported as -- at INR212.82 crores against 149.88 crores, an increase of 42% of the corresponding quarter. The other income reported as INR26.27 crores as against INR57.41 crores of the corresponding quarter.

Now I come to the 9 months stand-alone. The company reported a revenue of INR12,868.39 crores against INR9,335 crores, a growth of 39% on a year-on-year basis. The revenue increase primarily due to more revenue from buildings division, which in turn due to good progress in UP Jal Jeevan Mission projects.

Our gross profit reported as INR1,819 crores against INR1,435 crores, a growth of 18.47%. The gross profit margin in 9 months is 14% against 16% in the previous year. The company has posted an EBITDA of INR1,138.44 crores against INR918.68 crores, registering a growth of 24%. The EBITDA margins reported as 8.85% against 9.84% of the corresponding period. PAT reported as INR444.12 crores against INR391.54 crores.

As far as cash flows are concerned on a stand-alone, in third quarter, the cash flows of INR114 crores generated from the operating activities as against INR220 crores on a year-on-year. The net cash flows used in the investing activity is INR67 crores against INR25 crores year-on-year. The net cash flows used in financial activity is INR159 crores against INR195 crores.

That is about the stand-alone.

Now I move to the consolidated operating performance. This quarter reported a turnover of INR5,250 crores as against INR3,909 crores, achieved a growth of 34.5% of corresponding quarter of previous year. The gross profit reported as INR764.85 crores as against INR626.16 crores, a growth of 26.15%. The gross profit margin reported 14.54% as against 15.8%. The EBITDA reported INR505 crores as against INR376 crores, a growth of 34%. The PAT reported as INR230.96 crores against INR168 crores, a growth of 37.2% of the corresponding quarter of previous year.

Similarly, for 9 months period, the reported turnover of INR14,350 crores against INR10,604 crores, a growth of 35.4% of the corresponding. The gross profit reported a growth of 17.31%, the EBITDA reported a growth of 22.5% and PAT reported a growth of 13.2%. In terms of group company's performance is concerned, the PCML, that is Pachhwara Coal Mining Private Limited doing the mining business, reported a turnover of INR445 crores as against 468.12 crores in the corresponding quarter of previous year. NCC Urban has reported a turnover of INR66 crores as against to the same figure of INR66 crores in the corresponding quarter of previous year.

So the total group company's turnover reported in this quarter is INR514 crores as against INR533.67 crores, a little lower than the previous corresponding quarter. So 9 months performance as a group company is PCMPL has reported INR1,249 crores as against INR1,013 crores in year-on-year. NCC Urban reported INR235 crores against INR236 crores. And the total group company's reported turnover of -- turnover in this 9 month is INR1,490 crores against INR1,163 crores, a growth of 18%. So this is about the operating performance of both stand-alone and the consol.

Now I move to the balance sheet items. The first item was balance sheet investments. There is no change in the investments -- in the capex. In third quarter, we had spent about INR36 crores on capex. And in the 9-month period, we spent INR135 crores. In Q4, we expect gross capex. And so that the year would be below INR200 crores. Inventories increased by INR115 crores in this

quarter on the -- which is in line with increased volume of construction activities.

In the 9-month period also, there is an increase by about INR382 crores from INR1,078 crores to INR1,460 crores. So since the top line growing between 35% to 40%, it is inventory requirement purchasing, keeping stock to augment the progress – the stock is increased. As far as trade receivables are concerned, no increase in trade receivables in third quarter as against 12% growth in turnover, which reflects improved collections from the clients.

In the 9-month period, also the trade receivables increased only by INR177 crores, but the increase is about 6% as against 35% growth in turnover. So the trade receivables days significantly come down to 61 days, lowest in the decade. In third quarter, there is no increase in trade receivables.

Retention money has come down from INR1,930 crores to INR1,420 crores an opening balance of FY '23 reduction. Unbilled revenue now stands at INR3,953 crores as against INR3,647 crores quarter before. The unbilled revenue as percentage of turnover is 23% as against 24% recorded in FY '23.

And come to working capital, there is a phenomenal improvement in working capital in the current 9 months period of the year. The working capital has increased by about 22% as against 38% growth in the turnover. The working capital as a percent of turnover recorded as 70% as against a peak of 55% in FY '21. Just 2 years back, our working capital gone up to 55% of the turnover, gradually coming down. Now it comes to 29%.

Similarly, in working capital, a lot of improvement have been reported. It declined from 194 days in FY '21 at peak level to 92 days in 9 months by end of December '23. This is the lowest in the last 5 years period. Now come to debt. There is not any change much in the debt position in the third quarter comparing to second quarter. We expect that debt stands around INR1,300 crores to INR1,500 crores by this year-end...

Vaibhav Shah: Sir, I'm sorry to interrupt you, but may we request you to speak a little closer to the mic.

Management: Okay. Thank you. Now other significant matters of the company. NCC Vizag Urban, you are aware that the transaction was closed some years back, 2, 3 years back. So in this quarter, we have received the instalment of INR52 crores from GRPL that is second instalment. And third

and fourth instalments are due by December '23 and March '24. So the buyer confirmed that they're organizing the payments, both instalments before 31 March '24. But we hope to get at least 1 instalment before March '24 and another one in April or mid-May '24.
Sembcorp. You are aware that the Arbitration Tribunal has given an award for a total amount of INR187 crores payable by Sembcorp to NCC. Sembcorp has paid INR146.81 crores, pending balance amount of INR51 crores. Sembcorp has challenging the award under Section 34 of the Act before Commercial Court and we came to understand that they are challenging the award in respect of awarding interest of INR35.87 crores on the settlement amount. And on the cost of -- another one is cost of arbitration of INR20 crores. We understand that for this INR50 crores, they're challenging in the court. But at the same time, we know that NCC has filed an application under the Section 34 of Act before Commercial Court Hyderabad. Challenging the award to the extent of NCC claims rejected by the Tribunal and also the claims of Sembcorp allowed by the Tribunal. So we are at that stage now.
And another major legal issue pending is TAQA. So there is a good progress settlement. Discussions are going on, and we have worked out a scheme of payments to be made if the scheme is accepted by both the senior top-level management.
And we are not foreseeing any major further liability. Only whatever liability -- interest liability is there for this current year, and we hope that with that on

e and whatever already
provided in the books of accounts, plus the interest for the current year. To that extent, we expect the matter gets closed.
[Inaudible] concerned, orders at the beginning of the year, INR684 crores. New orders received, INR3,190 crores. Total orders, INR3,875 crores. The outstanding of these capital city projects have come down from INR157 crores to INR147 crores by December 31, '23. BGs of total projects outstanding at the beginning of the year, we have got INR244.29 crores relating

to capital city projects. BGs collected in third quarter, INR80 crores. BGs collected in 9-month period, INR278 crores. And BGs outstanding is INR68 crores of the capital city.
Our trade receivables outstanding of the -- for all the projects together, INR270 crores. Working progress outstanding, INR204 crores. Total current assets outstanding of all AP projects, both old and new, INR672 crores. Mobilization advance, INR47 crores. So persisting mobilization advance, roughly, we have INR630 crores for all trade receivables, working progress, retention money, all figures put together.
The last item is credit rating. We have received a handful credit rating from India rating as IND A1+ positive for short-term loans. So this is about brief of the NCC's third quarter financial performance. Now we will open for the questions and answers. And we request that each participant to limit and try to stick to two questions to allow the time for the other participants.
Moderator: First question is from Shravan Shah from Dolat Capital.
Shravan Shah: Congratulations on another robust quarter. Sir, before asking a question, it's a humble request. If you can assign someone else to speak for the opening remarks because your voice is not clear. We have missed so many numbers. So that's the humble request if it can be done.
My first question is in terms of the now for the 9 months, we have seen a 38% kind of revenue growth. So when we were looking at 20%. So obviously, the numbers will be on the higher side. So if you can help us for the fourth quarter or maybe full year how much we are looking at? And at the same time, on the order inflow, if you can re-announce or re-state in terms of the Q1 order and that you have received and is it at the stand-alone level or at the consol level?
Management: Okay. As far as this revenue is concerned, in the first 9 months period, we achieved about 35% growth over the previous year. Now for the fourth quarter also, we expect a growth of 25% to 30%. But year as a whole around 32%, 33% growth at this moment are there. As far as order inflow is concerned, already, we have provided details for the 9 months. And for the fourth quarter, we have on hand the L1 order about INR4,000 crores. And just today, we received 1 LOA about INR1,250 crores. So both put together INR4,000 crores, plus INR1,250 crores put together INR5,250 crores.
So once we -- these LOAs materialize -- 80% to 90% of the LOAs, we expect to materialize by before March. So thereby, the INR26,000 crores figure we touch, those are the circumstances. And in these orders, there are no any SPV orders -- SPV order on a stand-alone basis. Only 1 order is there, that is INR2,500 crores, we got under the joint venture. 50% related to the NCC, that is INR1,250 crores. And I think no need to create any SPV. As such, there is no any subsidiary company orders we explained in the INR5,000 crores.
Shravan Shah: Okay. Okay. Got it. And obviously, we don't provide the guidance for the next year. I understand once the Board approves. But directionally, in terms of the -- given the size of the

order book, the momentum will continue for FY '25?

Management: Yes. That is in next 20 days, next 20 days, all the divisional-wise senior management people sitting to work out the SPV program, SPV, understanding the electi

ons impact in various states
and also understanding the -- what the orders available in the market. So basing on that, we will arrive about -- next year's targeted order book.
Shravan Shah: Okay. Okay. And on the margin, it will be on the 10% plus kind of a margin that will continue at EBITDA level for the next year also? Or will there a chance for an improvement?
Management: But now for the fourth quarter, we expect to continue these margins. And sometimes 10 base points also increase may happen in this fourth quarter. But for the next year, also, the same margins or some improvement we expect, but not be lower than these margins.
Shravan Shah: Okay. And the request, if you can repeat all the balance sheet numbers, sir, inventory, trade receivables, trade payable, mobilization advance, retention money, unbilled revenue, investment in the group exposure because we were not able to understand the numbers spoken by you. So that's my request.
Management: Okay. In brief, I will tell you the numbers. Now if you take the property, plant and equipment, the INR1,162 crores; investment property, INR212 crores; investments, INR875 crores. There is no change in the mix or combination of the investments in various companies. And inventory is INR1,460 crores; and trade receivables, INR3,122 crores; retention money, INR1,423 crores; unbilled revenue, INR3,953 crores.
Mobilization advance is INR2,907 crores. There is a decline from INR2,755 crores -- no, no, there's decline from the previous quarter figure of INR3,224 crores to INR2,907 crores. So these are the balance sheet numbers. Do you want any other numbers on the balance sheet?
Shravan Shah: Trade payable, sir. Trade payable.
Management: INR4,442 crores.
Moderator: Next question is from Deepak Poddar from Sapphire Capital.
Deepak Poddar: So first up, I missed the point on the debt side. So what did you mention? So what's the outlook on the debt for this year as well as the next year?
Management: Yes. As far debt is concerned, now standing as on 31 December '23, that is third quarter ended, is INR1,,473 crores. And second quarter end, you know that same level is there. Now by fourth quarter end, that is this year-end, we expect this figure around, again, INR1,300 crores to INR1,500 crores this year.
Deepak Poddar: How much
Management: INR1,500 crores.
Deepak Poddar: One second, please.
Management: It is between INR1,300 crores to INR1,500 crores.

Management: It's a ballpark number. It's an estimate at this point of time.
Deepak Poddar: Yes, yes. So INR1,500 crores is what we expect, right?
Management: Yes. For the next year, you know that some new projects, large-sized projects we've taken up. There -- for those projects, the equity investment, which required to increase by NCCL, we estimated to invest next year is about to INR100 crores or less, not beyond INR100 crores. As per debt is concerned for these 2 SPV part, we have tied up with the -- tying up with the investment bankers or financial institutions, and there won't be any debt outflow from the NCC into these SPV companies.
And as far as power project is concerned, further debt tie-up is being made. As a result, there won't be any much significant debt except for INR50 crores to INR100 crores for the next year. So as a result, on account of these big projects, SPVs, there won't be any cash outflow from the NCCL in the coming year in a significant manner, except INR100 crores to INR200 crores. So as a result, we expect the debt still would be there below INR1,000 crores or so, possibilities are below INR1,000 crores bearing any exceptional items for those further.
Deepak Poddar: Okay. So what I understood is FY '25, we are targeting our debt to be less than INR1,000 crores, right?
Management: Yes.
Deepak Poddar: Okay. Okay. Understood. And that is driven by, I mean, lesser investment in SPVs and minimal capex that might be

required, right? And the cash flows that you are getting will kind
of help in reducing your debt, correct?
Management: Yes.
Deepak Poddar: Fair enough. And for the next year, FY '25, I mean, what can be the growth range we can look at? I mean, is there any kind of range that you can indicate for
Management: This, we will able to tell you after the budget approved by the Board of -- the Board in the next Board meeting.
Deepak Poddar: Okay. So that's in 20 days after the fourth quarter, you're saying?
Management: After fourth -- not after four quarter or along with the fourth quarter.
Management: In the May, when we announce the results, we will...
Moderator: Next question is from Pranav Furia from Antique Stock Broking.
Pranav Furia: Thank you for the opportunity and congratulations, sir, on the good set of numbers. My question is from the order book, how much is executable in the next, say, 2 to 3 years?
Management: Repeat this?

Management: He is asking out of the total order book, how much in next 2 to 3 years?
Management: Now about for the next year how much we execute, that figure we will get in the couple of days. And if you ask us in general question, 80% to 85% is executable in the next 2 to 3 years -
- in 3 years.
Moderator: Next question is from Parvez Qazi from Nuvama Group.
Parvez Qazi: Congratulations for a great set of numbers. I'm sorry if you've mentioned these numbers earlier. I just wanted the total borrowings and the cash at the stand-alone level?
Management: What figure we've given is on a stand-alone level and without considering the cash balances.
Management: Today, as on date, the borrowings is INR1,473 crores.
Management: After considering the cash balances.
Management: If you take the cash equivalents, it is around INR1,370 crores.
Moderator: Next question is from Parikshit Kandpal from HDFC Securities.
Parikshit Kandpal: Sir, my first question is on this equity, you were talking about what are these SPVs you are investing in equity and I couldn't understand that.
Management: No clarity on the equity investment in the SPVs.
Management: Now -- you want more clarity on the investment by NCC into the smart meter SPVs?
Parikshit Kandpal: So how much is the investment in smart meter SPVs? You said INR100 crores or so I missed that number?
Management: The investment would be INR100 crores to INR150 crores in the smart meter SPVs by NCC. That is also takes place in 2 years' time, need not be at a time.
Parikshit Kandpal: Okay. So INR100 crores to INR150 crores on NCC stand-alone, we put the investment in the smart metering SPV over.
Management: That's it.
Parikshit Kandpal: And you said that you will dilute some stake at the premium of INR8. So what is that? Total requirement was how much only?
Management: Total requirement.
Parikshit Kandpal: You was talking about some premium, right, INR8 premium, you will dilute.
Management: Yes, yes. Now the requirement to -- for the 2 projects relating to the SPVs is basing on the primary estimation is about INR400 crores equity requirement. Out of which 50% NCC
proposed to offload and 50%, it wants to invest. Out of 50%, again, some premium also NCC

is expecting. So about INR100 crores or so we may get in terms of premium also. So INR300
crores coming from outsiders, another INR100 crores only required to invest by the NCC,
which may -- maybe in 2 years or 3 years.
Parikshit Kandpal: Okay. Got it, sir. And both these SPVs are the smart metering SPVs?
Management: Yes, both are smart meter SPVs. And actually, we got 3 projects, 2 are on the SPVs, and 1 project is executed by NCC directly.
Parikshit Kandpal: And are these -- EPC value of these contracts part of the order book and projects EPC part?
Management: EPC part is taken in NCC order book.
Parikshit Kandpal: Okay. It's already Just on the -- second question

was on this Dubai real estate, what's the status
there? What is the total exposure as of now? And is there any proof of monetizing or receiving
that monies in the near future? Sir, what is the total exposure on the Dubai now on the landing
sheet for the real estate project? And how do we intend to resolve or get that money? What

could be the time period of receiving those monies?
Management: Which project?
Parikshit Kandpal: Dubai real estate.
Management: Dubai real estate, Harmony.
Management: The Dubai Harmony project, in fact, now the project, we are re-examining it, and we have already appointed some consultants that are taking up with RERA in Dubai. Likely that the project will become live, and there are some investors who are showing some interest. Probably in a couple of months, we'll be getting back the project into our hold. And new investors who are interested, they will be joining us in this project.
Management: The exposure of NCC as on maybe is about INR220 crores on the project.
Parikshit Kandpal: And what could be the realizable value after you launch? So potentially how much cash flow can this project generate for this?
Management: It is very early to tell about that. But one thing is sure that there is good development in Dubai market also. People were now showing a lot of and a lot of interest.
Management: Basing on the terms what we entered earlier, the share of the dollar per area 2 year supposed to get is much more INR220 crores.
Parikshit Kandpal: Okay. Because I understand earlier we used to have exposure of about INR600 crores on this project. So you said you sold a part of that project. That's why it's come down to INR220 crores? Okay. I'll take this offline.
Moderator: Next question is from Vishal Periwal from IDBI Capital.

Vishal Periwal: And sorry, I think I have to take a few numbers again. One is the total equity investment in smart meter, you mentioned -- one, you mentioned INR100 crores to INR150 crores. And then there is one more where we'll be diluting something and INR300 crores incremental. So can you just clarify like what is the total requirement that we've been doing in FY '25?
Management: Total requirement in FY '25. So the total equity infusion will be made by NCCL is around INR100 crores to INR150 crores in a period of 3 years. And in the first year, that is FY '25, it may be there about INR50 crores to some INR70 crores or INR80 crores.
Vishal Periwal: Okay. And then there's one more thing you mentioned like where will be diluting something and then probably incremental requirement is INR300-odd crores. What exactly is that?
Management: Repeat me, repeat me.
Vishal Periwal: Yes. No, no -- so basically, you mentioned on smart meter INR100 crores to INR150 crores one number. And then you mentioned one more number of INR400 crores to INR500-odd crores.
Management: That is -- total equity requirement is INR400 crores. And also, we -- when you -- when we consider Bihar, another INR120 crores when we decide, say, a different model. So since the Bihar is at this moment under NCCL, only it requires in the form of some working capital infusion them from the NCCL and it is not an equity or not a debt, number one.
Number two, for these 2 projects, INR400 crores equity requirement is there. Out of INR400 crores, NCC is proposed to offload 50%, that is INR200 crores to the outsiders. So that also, we expect some premium. So if the premium is received, so that in place of INR200 crores, INR300 crores infusion will be happened from the outsiders, which ultimately reduce the equity increase the requirement of NCCL from INR200 crores to INR100 crores.
Vishal Periwal: Okay. And in the subsidiary one, which you mentioned, when the investors will come, so how the phasing is expected in terms of equity investments?
Management: What is that?
Management: It is already shared, 50%-50%?
Vishal Periwal:

No, no. So is it like -- I mean, FY '25, what is the investment in this subsidiary and then '26 or anything number that you have?
Management: FY '25, that subsidiary company's requirement you're asking, or...
Vishal Periwal: Yes, sir. Yes, sir.
Management: Out of INR400 crores, about 50% to 60%, 70% requirement will be there in the first year and balance takes place in the second year.
Vishal Periwal: Okay. And then we would like to understand, eventually, we have to put in INR400 crores to INR500 crores and then like probably the value unlocking can happen after that.

Management: No. If I explained to you very clearly that out of this INR500 crores, 50% we are trying to offload. Okay, new investors are going to come in. Out of this INR200 crores also, probably we'll be getting some premium on the -- from the investor that will reduce my equity component outflow to INR100 crores. That's what it is explained.

Vishal Periwal: Okay. Yes, sorry. Thanks for that. And can you also explain what is the nature of...

Moderator: Mr. Periwal, I'm really sorry to interrupt, but maybe request you to rejoin the queue as there are several participants waiting their turn.

Thank you. The next question is from Saurav Gujral from ICICI Prudential Asset Management.

Saurav Gujral: Just on the smart metering part, are you open to more of such orders in terms of smart metering? And does the arrangement which you talked about in terms of raising money in the SPV level so that we don't have to lever our balance sheet. Is it an arrangement we are entering into with some or something or taking more orders?

Management: You have asked two questions. First question was about whether we are interested or keen to get more projects, right?

Saurav Gujral: Yes, on the smart metering fund.

Management: We expect a lot of fresh new projects to come off or bidding. So we will really evaluate all these projects whenever they come off for bidding. So we have to really assess the risk, what kind of funding commitment is required, and there is a learning curve. We have already taken 3 projects. So we will decide on case-to-case basis.

Saurav Gujral: on the balance sheet exposure or the equity investment, similar type of arrangement we will be looking at where we have to invest less and just focus on the execution of the EPC part?

Management: Yes, yes. All the options are open, so this project has got very good visibility. So when we -- the equity portion we have already explained in several questions that we have answered. The -- as far as debt is concerned, we are already in advanced stage of discussion with the SBI Caps and SBI. They are willing to take the whole exposure of the book. So debt is not a problem. Equity, we have already explained to you how do we intend to move forward for the equity investment.

Management: And in fact, we have mobilization advance also in this quarter.

Management: Correct.

Management: So that is also flowing in.

Management: So there are 2 mobilization advances also, 12% and 10.5%. So funding is not something that really bothers us. So we really look forward to execute the project.

Saurav Gujral: Okay. Just second question is on the recent announcements like we had this NHAI claim amount last quarter. Any update by when we are expecting that, along with the update on this Vizag land deal?

Management: Two things you were asking. One is on the NHAI claim. We have already received the money in our SPV and the documentation is in progress. And out of the money received also, partly, we have received some money, yes. And as regards to Vizag Urban, already Mr. Raju has explained. But I would like to reiterate out of INR152 crores investment, INR52 crores they have already received in the current quarter and expect that next 2 instalments, which are due before March '24, at least 1 in

stalment we'll get before March '24 and the second instalment, we expect somewhere in April.

Moderator: The next question is from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: Sir, what is our stand-alone order book as of the third quarter?

Management: Stand-alone order book third quarter is INR50,154 crores. I repeat INR50,154 crores.

Vaibhav Shah: Okay. And sir, what could be the value of smart meter orders that you have taken in this backlog?

Management: It is about...

Management: It is INR3,660 crores.

Vaibhav Shah: Is it pertains to all the 3 or the 2 of them?

Management: No, no, 2 of them because 1 is being executed in NCC, 2 are being executed in SPV. And wherever we are executing an SPV, we have taken the order back to NCC as equity contract that is valuing about INR3,650 crores.

Vaibhav Shah: Okay. Got it. And what about your third order?

Management: Third order will be executed in NCC itself.

Vaibhav Shah: So it is there in our current book, right?

Management: Yes. That's right.

Management: Right.

Vaibhav Shah: Entire value is there currently? Or the only the EPC part as of now?

Management: Generally O&M, we don't include. And rest of the things, it is there.

Management: Only EPC portion...
Management: Only EPC portion.

Moderator: The next question is from Saket Kapoor from Kapoor and Company.
Saket Kapoor: Sir, for the O&M part, can you please repeat the numbers, sir? What is the -- of the order book, the O&M constitute?.
Management: For the major?
Saket Kapoor: No, the entire order book -- out of the entire order book.
Management: Out of the entire order book if you are asking, INR8,000 crores, it will be there O&M, sir.
Saket Kapoor: Okay. And sir, for the 9 months, the revenue from operations, what portion is under the O&M? How much of the...
Management: So right now, I think, on hand, I don't have that number, but NCCL will help you out.
Management: No, I will explain, I will explain. -- question, repeat your question?
Saket Kapoor: Yes, sir. Sir, out of the total revenue booked for the 9 months, what is the proportion of O&M in the revenue booked?.
Management: If we you know O&M figure is there in the current 9-month figure, what O&M we are telling you is the O&M orders we have not included in the present order book that relates to the 10 years long O&M amount.
So the 10 years lifespan projects have not yet started. As a result, that O&M part is not there in this 9-month period. It only -- this part will come in the course of time. And some other O&Ms would be there. Some projects, 2 years O&M, 3 years O&M. But those shorter span O&M, we used to include in the order itself. So in the present 9 months period, this longer O&M period, turnout is not there.
Saket Kapoor: Okay. So it is not actually for this year itself?
Management: Yes.
Saket Kapoor: Sir, for the Jal Jeevan projects, if you could just give again the numbers, how -- what portion of the order book we have executed? And also in terms of the receivable cycles, how are the receivables for this project in particular? And do you think -- do you find that there will be more addition to be made as the government is trying to add more districts under this or more package, have you -- are you receiving more interest in the project continuity of the same? Or is it done with the ordering?
Management: Do you want me to tell?
Management: Firstly, you give the numbers.
Management: Numbers. Okay. Now the total Jal Jeevan projects awarded to NCCL are about INR16,700 crores. Out of which 43% of the orders were executed by this December end. And another 5%,

we expect to complete that is about INR1,700 crores by March end. So the balance orders roughly 50%, that basing on the present schedule takes another 1 year to complete. By

December, majority of the part will be completed. And by March, virtual completion takes, place.
Moderator: Next question is from Nikhil Abhyankar from ICICI Securities.
Nikhil Abhyankar: In continuation to the earlier question, sir, again, in this budget, there has been a substantial allocation to water department. So where do you exactly see the opportunities coming from for JJM going forward? And are we willing to participate in those?
Management: Yes, I fully agree with you that the locations are increasing year-on-year for this -- everything related to the whole value chain of the water, be it water supply, portable water supply or STP or WTP, all these kind of projects are coming up. And we already have a very healthy order book from this vertical.
In the last quarter, if you really see, we had announced a couple of orders that we have recently bagged from the state of UP. So we are really active in this space. In fact, it is our considered view that we are one of the very few players who have done all kinds of projects in the water space. So we continue to study the projects whichever are coming up for bidding. And accordingly, we decide to bid.
Nikhil Abhyankar: And sir, receivables are not a problem for these projects?
Management: The JJM project will -- this is not really a problem. The problem is to complete all the projects, provide the right connection, complete the documentation. And as and when these bills are certified, the payment is not really a problem.
Nikhil Abhyankar: Okay. Understood. Sir, you also mentioned about water treatment plants. So will we be

sticking only to municipal contracts or government contracts? Or are we also looking to get
into industrial water treatment?
Management: See most of the projects that are really coming up or that have really come up for bidding are
from the municipal corporations only. The industrial water treatment plants -- yes, I mean,
there are only a few projects. But if there are big projects or big size, we will definitely
consider.
Nikhil Abhyankar: So something like a desalination, do you have capacities for desalination?
Management: Yes, yes, desalination is something that we are very much interested. We are studying this
space. We have tried to participate also for new projects as far as desalination is concerned.
The only issue here is mostly our focus is to execute EPC projects. Several projects in
desalination space is coming up on booth kind of model. So that is really a challenge. Not the
execution of the project..
Nikhil Abhyankar: Understood. Sir, just a final question on smart metering. You will be doing 1 project on the
stand-alone books. So from what I understand for smart metering is that once you execute,

after that we'll start getting the annuities. So the one which you're executing on stand-alone,
how exactly will you start -- how exactly will you book the revenues for this?
Management: Now how -- in the beginning, how we structured the EPC part of work, the content awarded by
the SPVs to the NCC's parent company. So the turnover gets booked in the parent company
relating to the EPC content. And at the same time, the SPV companies also -- those amounts
also get booked, but in the consolidation, that amount get eliminated. And the latter part about
the annuities, primarily comprised the interest and other things that only gets booked in the
SPV books of accounts. But that is about 40% of the total order value and 60% is about the
EPC value.
Nikhil Abhyankar: Okay. 60% is the EPC. Sir -- and we are able to tie-up for the supply of meters over here? We
don't have any problems over that?
Management: Right.
Management: We are being actively in touch with a lot of players who have this kind of offering. So as of
now, as per the contract that we have signed with the client, we first need to demonstrate the
successful connectivity of these meters with th

eir billing system, that is the ERP system of the
client. And in between, there is a lot of IT network, a lot of IT architecture, starting with the
GSM radio frequency kind of connectivity.
So we are considering all the -- studying all those aspects. And maybe in the next couple of
months, we should be able to finalize the vendor because it is not really a choice that we have
to make. We have to also take the approval from the client. Once the client approves, then we
have to start ramping up.
Moderator: We'll take that as the last question. I would now like to hand the conference back to Mr.
Vaibhav Shah for closing comments.
Vaibhav Shah: On behalf of JM Financial, I would like to thank everybody for participating in the call. Also, a
big thanks to the management for allowing us to host the call. Sir, any closing remarks from
your end?
Management: First of all, on behalf of the company, thanks to the JM Financial Services for organizing this
investors earnings call. And I also thank all the participants and their well participation in this
earnings call. So thank you all. Good night to all.
Moderator: Thank you very much. On behalf of JM Financial, that concludes this conference. Thank you
for joining us, ladies and gentlemen.

Call: May 2024

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Ref. No.: NCCL/ Regulation 30/2024
Date : May 20, 202 4

National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G
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Bandra (E)
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Symbol: NCC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Fort
M U M B A I – 400 001.
Code: 500294

Dear Sir(s),

Sub: Submission of Transcript of the audio conference call under Regulation 30&46 of the SEBI (LODR) Regulations, 2015

Please find enclosed herewith the transcript of the earnings audio conference call that took place on May 15, 202 4 with analysts discussing the performance & financial results of Q 4 of the FY 2023- 24. The transcript is also available on the Company's website at https://ncclimited.com/analyst -column.html .

The Transcript includes list of management attendees and the Q&A's, any assents/dissents and open points.

Please note that no unpublished price sensitive information was shared in the earnings call.
Kindly take the above information on record.

Thanking you,

Yours faithfully
For NCC L imited

M V Srinivasa Murthy
Company Secretary & Sr.EVP (Legal)
Encl : As above

"NCC Limited
Q4 FY '2 4 Earnings Conference Call "
May 15, 202 4

M
ANAGEMENT : MR. R.S. RAJU – DIRECTOR PROJECTS – NCC LIMITED
MR. SANJAY PUSARLA - EXECUTIVE VICE PRESIDENT ,

FINANCE AND ACCOUNTS – NCC LIMITED
MR. NEERAD SHARMA – HEAD STRATEGY A ND
INVESTOR RELATIONS – NCC LIMITED
M
ODERATOR : MR. VAIBHAV SHAH - JM FINANCIAL

Moderator: Ladies and gentlemen, good day and welcome to Q4 and FY 24 Results Conference Call of NCC Limited, hosted by JM Financial. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Vaibhav Shah from JM Financial. Thank you, and over to you, Mr. Shah.
Vaibhav Shah: Yeah, thank you, Manav. On behalf of JM Financial, I welcome everybody to the Q4 and FY 24 Earnings Conference Call of NCC Limited. We have from the management today, Shri R.S. Raju, Director Projects, Shri Sanjay Pusarla, Executive Vice President, Finance and Accounts,
and Shri Neerad Sharma, Head Strategy, and Investor Relations. So I hand over the call to the management now for their opening remarks, after which we can begin the Q&A. Over to you, sir.
Neerad Sharma : Hi, good evening, everyone. At the very outset, I thank each of you for taking out time to attend this interactive meeting. As you are already aware, I have with me my colleagues, Mr. R. S. Raju, Director Projects, and our CFO, Mr. Sanjay Pusarla. About 15- 20 minutes back, we have uploaded the results on the Stock Exchange website and one investor's presentation as well. Hope you have been able to download the presentation and go through the numbers. As you are aware, we have declared an excellent set of numbers for the fourth quarter and for the financial year 2024. I will hand over to Mr. R. S. Raju.
R.S Raju: Good evening to all of you. Thank you, Mr. Vaibhav Shah. Before we read about the financial results of the company for the Q4 and the 12-month period of the FY24, I want to give the introductory remarks. Thank you, Mr. Vaibhav Shah. Good evening, ladies, and gentlemen.
A warm welcome to all of you into the Q4 and the 12 -month period of the FY24 Investor Earnings Call of N CC Limited. The presentation containing the performance of Q4FY24 and 12-months was uploaded on the Stock Exchange website and in our website. Now, I will take you through the key highlights of the fourth quarter and thereafter, we will take you to the
questions and answers.
Before my briefing on the Q4, the usual disclaimer of the presentation that we have uploaded on the Stock Exchange and our website , including the discussions that we will have in this call,
contains, or may contain certain forward -looking statements relating to an official business prospects and profitability, which are subject to several risks and uncertainties, and actual results may materially differ from those in such forward -looking statements. N ow, coming to the
current period, all of you are aware t hat this is the general election year and lots of elections are completed in some parts of the country, and the remaining parts, the elections are going to be held in a couple of days.
These elections, followed by some state-listed elections in the year 2024, may have an impact on order booking, but little impact on the progress of the NCCL business. Before going to the

results, just I want to mention about the significant matters which have taken place in the 12 - months period, and more specifically in the fourth quarter. The SPVs, smart meters.
You are aware that the company has secured three smart meter projects value of INR7,403 crores. Out of three, two projects we require to incorporate SPVs, and accordingly we have incorporated two SPVs for two projects, valuing INR 5,756 crores. The work-sharing between SPVs and NCCL, the SPVs have given contract value of INR 3,660 crores by retaining at SPV level INR 2,095 crores.
The equity tie

-up for these two projects is in good progress, and investment bankers show an interest to invest, and the management will decide the modalities in a couple of weeks. As far as debt tie -up is concerned, we have already approached banks, and SBI Caps has recommended our debt application to SBI, and we expect the sanction in a couple of days from the SBI.
As far as Bi har smart meter project is concerned, NCCL doing on its own, already started the

work, and erection is done for some sample testing meters. The sample testing is in progress by the client. And other major projects which NCCL doing is UP, Jal Jeevan, Ni gam projects. There is a good progress in execution of these Jal Jeevan projects in UP, and these projects contributed significantly in Q4 and 12 months in the topline. Out of the total orders of IN R16,900 crores, we have executed up to March 24, about 53%.
It may take another one year to complete the major part of Jal Jeevan projects, second phase and third phase. And Malad project, you know that we received a larger size project valuing INR3,802 crores a year back, we received, but now we received the environmental clearance to proceed further for execution of the project.
So, already other facilities are mobilized, and in 24 -25 this project expected to report a good progress. NCCL Vizag Urban, we have received INR 52 crores in 23 -24, and another INR 65 crores we received in the April -May 24, and aggregating to INR 119 crores, the receipts happened. The balance of INR 35 crores against equity consideration, we expect to receive in 24-25. And apart from that one, we also expect to receive another INR 50 crores against the loan from the buyer of the project.
Sembcorp, you are aware that the arbitration tribunal has given an award for a total amount of INR198 crores, out of which we received INR 151 crores, and balance INR 45 crores pending.
And both the companies went to the, again, court under Section 34, and the outcome, it takes some more months to know. As far as AP projects are concerned, there is not any major change,
and we have about INR 701 crores at the beginning, and now the order, the value has come down to INR598 crores, related to the capital city project s.
As far as BGs are concerned, we have INR267 crores value of business at the beginning of the year. Now it has come down significantly to INR 67 crores, a decline of nearly INR 200 crores in the 12-month period of the year under review. So, similarly, the outstandings have come down from INR 157 crores to INR 147 crores. And another significant matter tak en place is settlement
of TA QA. All these quarters, we use it to tell about the status of the TAQ A, and in the last meeting also we expressed that amicable s ettlements are in progress.

Now, the settlement, amicable settlement is reached between the two parties. According to the settlement, we require to pay INR 175 crores on installment basis, out of which INR 90 crores was made in March 24, and balance INR 85 crores payable in two instalments in 24- 25. On account of this settlement, there is an impact on P&L of NCC IHL about INR 55 crores and same is observed in the Q4. In the PTTL, another case pending related to the PTTL or associate company, the lenders of PTTL made a claim in NCLT agains t PTTL. In Q4, we have received a settlement award from NH AI, and they deposited in the Consortium Bank account for further distribution to all the lenders.
All the lenders have given no objection certificate, and accordingly the PTTL pending case is now closed. And another transaction is NCC IHL vs. GEVPL. All of you are aware that GEVPL has invested 37% in NCC IHL, and at the same time NCC IHL has invested its money equivalent to that in the form of Debentures in GEVPL. So, in Q4, NCCL has acquired the investment from GEVPL. As a result, NCC IHL now has become 100% subsidiary of NCCL.

GEVPL, in turn, uses the sale consideration to redeem its OCDs held by NCCIHL. So, these are the major significant transactions taking place in 12 months as well as in the fourth quarter. Now,
coming to the fourth quarter performance the first I will disc uss on the order book. So, order
book at the beginning of the year we have INR50,244 crores, and in fourth quarter we received INR6,044 crores and in fourth quarter we have executed INR5,949 crores.
As a result, the closing order book now stands at INR57,536 crores, as against INR50,244 crores, showing a growth of 15%.
So, we targeted for the year the new orders about INR26,000 crores, but company received orders INR27,283 crores, a little more than its plan. So, the order s
executed in 12 months period is INR17, 891 crores. Similarly, the order size increased significantly from INR578 crores of last year to INR780 crores.
In the year 23 -24, we secured 35 number of orders. So, this is about the order book. Now, I want to brief the operating and financial performance of NCCL from the Q4. On stand -alone basis, the company reported a revenue of INR5, 487 crores against INR4,047 crores, a growth of 36%.
The revenue primarily driven by the buildings division and electrical divisions, which in turn driven by the UP Jal Jeevan Mission project mostly. The gross profit reported as INR771 crores against INR634 c rores, a growth of 22%. Similarly, the gross profit margin reported is 14.2% against 15.8%, a decline by 1.7%.
The company has posted an EBITDA of INR510 crores against INR424 crores, an increase of 20% against the corresponding quarter of the previous year. The PAT reported INR188 crores
against INR178 crores, an increase of 6% over the corresponding quarter. The EBITDA margin

reported is 9.4% against 10%. The other income reported for this quarter is INR42 crores against INR31 crores.

Coming to the cash flows, stand -alone Q4. On stand -alone basis, the fourth quarter, the cash flows of INR1,146 crores generated from the operating activities, as against INR1,123 crores year-on-year. The net cash flows used in investing activities INR148 crores against cash flows generated INR55 crores. The net cash flows used in financial activities INR615 crores against INR1,082 crores.

Coming to the 12-month stand- alone operating results the company reported a revenue of INR18,459 crores against INR13,504 crores, a growth of 37%. The revenue increase is primarily due to more revenue from building and electrical divisions, again good pro gress from the Jal Jeevan Mission project. The gross profit reported as INR2,590 crores against INR2,170 crores, a growth of 19%. The gross profit margin in 12 months is 14.14% against 16.25%. The adjusted gross profit margin for 12 months period is 15.7% as against an adjusted margin of 15.52% of the previous year.

We know that in the second quarter some major impact happened on account of S embco rp settlement. As a result, we have worked out adjusted margins. So, the adjusted gross profit margin when compared to the previous year, there is a decline, but the decline is only to the extent of 0.45% over the previous year. The company has posted an EBITDA of INR1,648 crores against INR1,343 crores, a growth of 23%.

The EBITDA margins reported as 9%, adjusted EBITDA is 10% as against same 10.06% of the corresponding period of previous year. It means there is not any big change in EBITDA margin on apple to a pple comparison. P AT reported as INR631 crores aga inst INR569 crores, PA T margin 3.4% but adjusted P AT margin is 4.57% as against 4.2% of the previous year. Cash flows for 12 months on standalone basis, nearly INR1,248 crores generated from the operating activities as against INR873 crores of the previous year.

Net cash flows used in investing activity is INR333 crores against INR132 crores. Net cash flows used in financial activity is INR7

07 crores against INR749 crores. The above cash flows indicate that there is a significant increase in the operating cash fl ows from INR873 crores to INR1,298 crores in 2023-2024, which shows the kind of collections and the kind of working capital management done by the company.

So that is about the standalone. Now I want to brief Consol Q4. This quarter reported a turnover of INR6,530 crores against INR4,980 crores at a growth of 31%. The Gross Profit reported as INR851 crores against INR692 crores at a growth of 23%. The Gross Profit Margin reported as 31.1% against 13.8%. The EBITDA reported INR554 crores against INR462 crores at a growth of 20%.

Now the PAT reported as INR210 crores against INR185 crores at a growth of 14% over the corresponding quarter of previous year. Now I will go to the 12-month consol. This 12-month period reported turnover of INR20,971 crores against INR15,701 crores at an increase of 34%. The Gross Profit reported INR2,780 crores against INR2,336 crores at a growth of 19%. The EBITDA reported INR1,983 crores against INR1,459 crores at a growth of 22%. The PAT reported INR711 crores against INR609 crores at a growth of 17%.

Next, I will briefly touch about the group companies. There are two companies actively reporting the top line and the profits. One is Pachhwara Coal Mining Private Limited. Another one is NCC Urban. So in this 12-month period, the Pachhwara Coal Mining Private Limited has reported turnover of INR1,829 crores against INR1,780 crores of the previous year.

Similarly, NCC Urban has reported turnover of INR389 crores as against INR370 crores in the corresponding 12 months of the previous year. So the total group companies reported a turnover in this 12 -month period is about INR2,533 crores as against INR2,199. 78 crores a growth of 15%.

So the standalone company reported growth of 37% and this group companies reported a topline growth of 15%. Coming to the balance sheet in this investment. The investments in this quarter increased from INR875 crores to INR1,033 crores which on account of the acquisition of the NCC IHL from the GEVPL .

Next capex in fourth quarter we have spent INR114 crores and in the 12-month period we have spent about INR249 crores. The inventories slightly increased in the 12-month period from INR1,078 crores to INR1,434 crores about INR356 crores and this increase i n this period is in

line with the increase in the volume of activities.
As trade receivables, the trade receivables declined by INR150 crores in the 12 -month period from INR2,945 crores to INR2,791 crores though there is an increase in the top line. The trade receivable days for the year under review significantly come down to 57 days from 87 days almost the lowest in the decade.
Retention money also significantly has come down from INR1,930 crores to INR1,595 cr ores. It declined by about INR43 5 crores which in turn due to receipt of settlement amount from Sembcorp . The unbilled revenue increased from INR3,225crores to INR3,859 crores an increase of 20% as against an increase of 37% in the top line. The UBR in terms of percentage of turnover has come down from 24% to 21%.
The next item is working capital. There is a significant improvement in working capital days from 102 days to 76 days , lowest in the decade. As a percentage of turnover it is reported 20% of sales or revenue as against 29% of the previous year.
In terms of value the kind of working capital has come down from INR3,870 crores to INR3,700 crores despite increase in activity by 36 %. The debt has come down from third quarter to fourth quarter by about INR400 plus crores and stands now at INR1,005 crores. Compared to the opening debt of the year there is a slight increase of INR25 crores in the debt. In the previous investors call meeting we said that the debt may stand at INR1,300 crores or so by the year -end, but n

ow it stands at INR1,000 crores beca use of the good collections that happened from the clients in March -24.
The mobilization advance is decreased from INR2,755 crores to INR2,311 crores a decline of about INR440 crores. So, there is no increase in debt, but there is a decrease in mobilization advance which shows companies' working capital management.
Next, we come to the ratios. The Ro CE reported for FY24 is 14.04% as against 13.41% of the previous year. Similarly, the return net worth i.e. PBT by net worth reported 13.56% as against 12.95%. On a consolidated basis, the RoCE reported is 15.77% as against 14.41%. Another significant matter taking place here is the credit rating.

We received an enhanced credit rating AA minus from the Care Ratings. So, with this, we expect further improvement in our term loans, our working capital loans, our BGs, LCs, costs we are expecting some improvement in the cost point of view. The last but n ot least item is about the guidance.
We have given guidance for order booking for FY23 -24 as INR26,000 crores whereas we have achieved INR27,283 crores and top line we have given a growth of 20%, but we achieved 37%. So, for the year 24-25 we give a guidance on order booking about 20,000 to 22,000 considering the present market env ironment particularly the general elections, followed by some state assembly elections. And the top line growth guidance about 15% plus as against 20% guidance given in the last year.
Similarly for the EBITDA margins we have already seen about the margins how the margins. So we expect the EBITDA margin 9.5% to 10%. However, these numbers are subject to impact of the elections, if any. Now, this is about the brief on the NCCL Q4 and 12 months operating results. Now, the session is open for the participants for their questions, and we answer the questions.
Moderator: Thank you, sir. We will now begin the question-and -answer session. We have our first question from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: Good evening, sir. Congratulations on a good set of numbers. My first question is on these margins. Our margins used to be 12% it has been declining from 12% to 10%. When you're guiding against a softer margin against 50 basis point correction . Given the outlook, do you think any chance of margin surprise in FY25 and are we targeting a slightly higher number as we go forward, maybe a couple of years henceforth? Can we expect a better margin more than 10%?
R.S Raju: As now I have got the margins. Now the company's focus is on to secure more orders and other size orders and in the market, there is a competition and to get the orders we have to compromise at 1% or 2% at the gross profit margin level. So this has been the experience for the last two, three years. As a result, the company decided on its philosophy to quote, to get more orders and do more turnover.
And as a result, 35% each year, 35% growth, company reported on the top line. And though the gross margins are lower, but ultimately maintain the bottom -level margins at PBT -PAT level, improve the margins at that level. That is the focus we are making. But the company's plan, we are making an improvement in the net profit marg ins year -on-year, at least by 50 base points every year. So like that, the company management philosophy is there. So accordingly, the business model is there.

So the EBITDA margins, as a result, last year reported 10%. Now, again, 9.5% to 10% we have given as guidance. So as far as order booking is concerned, this year is an election period. And definitely, five to six months period, every company loses in gett ing the orders. We don't know how the things take place. But we have given 20,000 to 22,000 as the minimum benchmark to secure. So if there is no impact -- good impact on the front of the elections, so we may get more orders. B

ut a minimum of 20,000 to 22, 000 is the benchmark the company has kept.

Neerad Sharma : Mohit Kumar if I may add a couple of things. Firstly, this is also a function of the competition prevailing in the space. As the space gets more competitive, generally, the price levels tend to go down. But I think it is better to look at the profits, the PAT or PBT, wh atever that you prefer in terms of absolute numbers, I mean in rupees crores . Then you will see a clear direction that we are moving northwards always. And going forward, the guidance that we have shared with you, that is 9.5% to 10% is for the current year, that is FY' 24, '25. Going forward, next couple of years, our intention is always to keep the needle moving.

Mohit Kumar: My second question is, what are the capex and equity invested for FY '24? And what is the guidance for capex and equity investment in FY '25?

R.S Raju: In FY '24, we spent about INR285 crores. And for FY '25, we are targeting to spend about INR250 crores.

Mohit Kumar: This is on the capex side. On the equity side, sir? Equity investment in the subsidiaries?

R.S Raju: As equity investment, it varies between INR100 to INR175 crores. Depends upon the requirement and progress of the recently received smart meter projects.

Mohit Kumar: So the total number will be below less than INR2 billion for FY '25. For everything. Am I right, sir?

R.S Raju: Yes.

Mohit Kumar: Understood, sir. Thank you and all the best, sir. Thank you.

Moderator: Thank you. We have our next question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, I need data points on retention money as of March, mobilization advance, and loans to associates and subsidiaries?

R.S Raju: Please note down. The retention money is INR1,505 crores. The mobilization advance is INR2,311 crores. The other item you asked is UBR, right?

Shravan Shah: Sir, loans to subsidiaries and associates?

R.S Raju: He is standing at INR 509 crores.

Shravan Shah: 2509.

Sanjay Pusarla: No, no. 509. I think we will repeat again for your benefit. Retention money has gone down from INR1,930 crores in the last year to INR1,505 crores. And mobilization advance, it has gone down from INR2,755 crores to INR2,311 crores. The loans, it has come down from INR549 crores to INR509 crores.

Shravan Shah: So total investment in subsidiaries and associates including investment and loans now is INR1,544 crores?

R.S Raju: Yes, you are right.

Shravan Shah: Okay. And couple of clar ification, you mentioned the TAQ A settlement. So in this fourth quarter how much we have INR55 crores you mentioned this is booked in other expense or where it has been booked?

Sanjay Pusarla: It was shown as an exceptional item.

Shravan shah: And the prior year tax of INR36.82 crores in FY '24, is the entirely in the fourth quarter or?

R.S Raju: It is not entirely in the fourth quarter. It is over a period of 12 months.

Shravan shah: And sir, now how do we look at in terms of the debt level and in terms of the finance cost for FY '25?

R.S Raju: Yes, finance cost now for the current year in terms of percentage works out to about 3.23% is the interest cost for the year '23, '24. And for next year we expect some 30 to 40 base points reduction.

Shravan shah: So as a percentage of revenue we are seeing some reduction. So does that mean on absolute level also INR595 crores finance cost will reduce in FY '25?

R.S Raju: The same level about INR10, INR20 crores in that level will be there. There won't be any significant change.

Shravan shah: And on the working capital and the debt level, how it will look by end of FY '25?
R.S Raju: So w e are targeting now we have INR 1 005 crores, and we are targeting to reach INR500 crores by end of FY '25.
Shravan shah: And working capita

l any further improvement possible?
R.S Raju: Working capital in terms of working capital days, yes still two, three days reduction would be there. But in absolute terms for some amounts get increased for 15% plus growth. But in terms of days or in terms of percentage a little reduction we expect.
Shravan shah: Okay, thank you sir and all the best.
Sanjay Pusarla: Thank you.
Moderator: We have our next question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: Yes sir, hi. Congratulations on a good quarter. So my first question is on the stake purchase of 37% for INR240 crores. So we can understand the rationale behind this and how did you arrive at INR240 crores of con sideration ? And what are the assets, balance assets in this entity?
R.S Raju: This is an old transaction. Originally the transaction taken place some six, seven years back. At that time there is a pre- understanding are there. At that time the GEVPL is a partner in our NCC

Power Company. So at that time basing on the restrictions or conditions we used the GEVPL shares to transfer to the Sembcorp . And in turn we have given a stake in our NCCIHL equivalent to that amount. The rights we have given to GEVPL , 37% stake in the NCCIHL. The same time the NCCIHL has invested the similar amount in the form of CCDs or Optional Control Debentures in GEVPL . So in all the books the transactions are continuing for the last 5-6 years. We are waiting for the swapping of this transaction for a period of time. Now in the current year we have taken up this exercise and exchanged the same thing. It is nothing but a swapping of the transaction, cancelling or closing of the transaction. So, we reacquired the stake of 37% from GEVPL at a predetermined price.
It is not the market driven price and other things. And the same amount they used for redeeming the debentures issued by them to the NCCIHL. This a mong the three companies this transaction has taken place. It is nothing more or less a paper type transaction. The transaction entries are closed in the books of accounts. As a result, now NCCIHL has become a 100% subsidiary of NCC. There is no profit, there is no loss in the transaction.
Neerad Sharma : Mr. Parikshit, this is not really a new transaction. This is something that we have just affected . This was an agreement that we entered into several years back.
Parikshit Kandpal: Is it a cash item or a non -cash item? Non -cash item.
Neerad Sharma : Non-cash item, the fact of the matter is you are aware that long back we had one power asset. And we wanted to sell that power asset to Sembcorp , the acquirer. But due to some permissions we could not sell. Because we had to transfer all the coal linkages and everything. That is the reason this arrangement was made between us and Gayatri. In other words, this is just the unwinding of the pre -agreed milestone. So, this is just a sort of paper transaction if you prefer that word. There is no ca sh involved in this.
Parikshit Kandpal: That is, what I wanted to check if it is cash or non-cash item.
Neerad Sharma : I hope that answers your question.
Parikshit Kandpal: Yes, Secondly, on the order pipeline, given that almost half of this year will go around elections, government formation, so ordering is expected to get delayed. But which sectors? Are you looking at new sectors to compensate for the shortfall? Are you looking at solar projects? So, to build up the order book, are you open to take subcontracting works or beauty toll projects from other dealing developers? Because I think you don't invest in equity intensive projects in both segments. So, any sense on how do you intend to make up for the shortfall?
Neerad Sharma : Yes. But see, the prospective pipeline of the projects which we expect to come up for bidding, post the elections, we continue to see a very

healthy pipeline. And at least in 3, 4 major verticals in which we are present in a major way, such as our buildings division, our transport division, the water division, electrical T&D, we continue to see a very h ealthy pipeline of projects.
So, in light of that fact, you must have noticed that we have sort of toned down our order inflow guidance for the current financial year. These two verticals that you are talking about, solar EPC

and doing plain vanilla kind of contract for the BOT players, we have looked at this space in the past.
But it doesn't really make sense for a company of our size, our cost structure, to really get into those kind of businesses. But if a suitable opportunity presents itself in front of us, we are open to look at this possibility. But not to say that these 4, 5 verticals in which we have a lot of exposure, we expect a healthy pipeline o f projects to come up for bidding.
There may be a delay, quarter here or quarter there. But we think this award should pick up post the elections, July, August. And that said, we have one of the highest order books that is already available with us. That gives us a good visibility. Even if there is a delay, let us say a quarter here or there, we have more than sufficient amount of orders already available with us to execute.
All that we need to do is to go out and execute.
Parikshit Kandpal: Okay. And just the last question. Now we have settled a lot of historical claims dating back like 7 years, 8 years, 10 years. Now, I think you did mention about having Pondicherry project, PTTL . I think you mentioned about NCLT claims. So any more, further write -offs or diminution in value or exceptional item expected in FY'25? So, if you can quantify anything more coming in from future settlements. Any last ticket item pending to be issued?
Sanjay Pusarla: At the moment, we do not foresee anything which is material. Even if it is there, small things may be there. But nothing material we are foreseeing now for the year FY'25.
Neerad Sharma : In fact, this last year, that is FY'23, FY'24, has been a year of clean -up. If you are a person that tracks the company closely, last 5 -6 years whenever we got an opportunity to interact either with an investor or an analyst, we got asked this question, what is happening to Sembcorp ? What is happening to TAQA ? What is happening to this Vizag real estate divestment? We are happy to report that in a single year, we have cleaned all these things. We have put all these demons to rest. So, we are sort of starting with a relatively clean slate now.
Parikshit Kandpal: And this Pondicherry project, nothing is to be written of, right? NCLT settlement which you spoke about in Q1.
Sanjay Pusarla: Nothing more. Our settlement we reached with NHAI , that is the settlement which has been agreed with the Consortium of Lenders also. And this has been received from NHA I and paid to the lenders. And the case is completely settled now.
Parikshit Kandpal: And this from the Vizag, how much is pending to be received, both as equity and both as part of debt repayment?
Neerad Sharma : INR33 crores is the equity part that we have to receive. The debt would be about Close to INR350 crores debt.
Parikshit Kandpal: When will the debt come? When will the debt get paid off?
Neerad Sharma : In the next two years. That is, our target is March 26.
Parikshit Kandpal: Thank you.

Moderator: Thank you. We have our next question from the line of Ketan Jain from Avendus Spark. Please go ahead, Ketan Jain.
Ketan Jain: Good evening, sir. Am I audible?
Sanjay Pusarla: You are audible. Yes.
Ketan Jain: Yes, sir, what is the rate of interest are you seeing at financing smart meter projects?
Sanjay Pusarla: It is between 9.5%, to 10%. And the term sheets are now under discussion with the l

enders.
Ketan Jain: Thank you, sir. That was my question. Thank you.
Moderator: Thank you. We have our next question from the line of Prem Khurana from Anand Rathi Shares & Stock Broker . Please go ahead.
Prem Khurana: Yes. Thank you for taking my question, sir. And congratulations on a good set of numbers. Sir, I joined a little late. In terms of the smart metering orders, we were supposed to have a partner in place which would have reduced capital intensity. So, any progress there? Have you been a ble to find any partner? Where are we in terms of stage of discussion with the partner?
R.S Raju: Equity investment in smart meters. Now, according to our calculations, the equity investment requirement for those projects is INR500 crores. For the two projects which are being handled by the SPVs and other project anyhow, it is doing by NCC on its own.
So, for these two projects, the equity investment is about INR500 crores. So, at this moment, the NCC is looking partly to increase from its own and partly from the others. And the discussions are also taking place, are taking place already with the inves tment bankers. And investment bankers show interest to invest. But we have not decided the modalities, how much amount , or what is the premium. Those modalities will take place in another couple of weeks.
Prem Khurana: But then, we want to do it. It is not that we would be very particular about the valuation, or we want to have certain premiums.
R.S Raju: All the discussions, interactions went with the investment bankers. We also prepared the models and the

paperwork, everything we have done. But the modalities, the management decided in a
couple of days, based on the requirement.
Prem Khurana: Sir, in the second, if you could help me reconcile the cash flows, I was looking to understand
the non-co re-parts little better. So, this quarter, if I am not mistaken, you said you have paid
INR90 odd crores to TAQA, right? And the balance would go next year. INR85 odd crores
would go to TAQA next year.
R.S Raju: Yes.
Prem Khurana: And how about the NHAI? NHAI amount came and then went to the lenders, right? So, we did not benefit or lose out on any cash because of that settlement or the claim.

R.S Raju: Yes, there is no any benefit of that one. Only some expenses we incurred with the banks that are
already absorbed in the year 2023 -24.
Prem Khurana: Sure. And the Sembcorp money came in Q3 or Q4, sir?
R.S Raju: In Q3, we received that money.
Prem Khurana: Okay. And how about Vizag, sir? Was there any money which was received during Q4, or it
came after Q4? I mean, April or May, I think you said in your opening remarks, you received some INR65 odd crores.
R.S Raju: Vizag. Vizag real estate money, we received some part in March 2024 and some amount we received in April and May 2024. INR65 crores we received in – INR67 crores we received in
April and May 2024.
Neerad Sharma : Mr. Khurana, all the equity payments that we had to receive from them has come but INR33 crores. So, about INR200 odd crores equity that we had to get from the buyer, we have already
received minus INR33 crores.
Prem Khurana: Sure. And the loan amount that is due, I mean, it still continues to carry that…
Neerad Sharma : But that is something that is expected to come back to us in next two years' time on March 26th.
In this year also, they promised to pay IN R50 crores against the loan besides this equity amount.
The other thing is, the agreement that we have signed with the buyer has a clause that says that
there is an Escrow account that is going to get opened. Whatever real estate sales which are done
for this project comes to this account. So, in the kind of secured payment for us.
Prem Khurana: Sure. But I am not sure how would this work. I will speak to you on this offline because I thought
the money needs to go into an Escrow ac

count which would be held through the RERA account
and then only…
Neerad Sharma : No, sure. Mr. Khurana, we have made a full proof agreement. I would be happy to discuss this
with you post this call.
Prem Khurana: Sure, sir. No problem. Can you help me with the UBR number, please? I mean, I miss that number.
Neerad Sharma : 21% of the revenue is the UBR number he is asking. It is 21% of the revenue.….
R.S Raju: The INR3,800 crores is there in the books as of 31st March 2024 and it works out 21% of the turnover and there is a decline from 24% to 21% in this year.
Prem Khurana: Sure, sir. Thank you and that's it from my side. All the very best.
Moderator: Thank you. We have our next question from the line of Anupam Gupta from IIFL Securities. Please go ahead.

Anupam Gupta: Yes, thanks for the opportunity, sir. Just one question on the execution guidance which you have
said 15% revenue growth. So, far during the election period have you seen any impact on
execution till date?
Neerad Sharma : Mr. Gupta, it's a forward -looking kind of a statement. We have not really finalized the numbers
for the quarter.
Anupam Gupta: I am not asking for the quarter, sir. I am asking for the year only. I am asking for the year only,
sir. For your guidance, if 15% that is fine but given the order book, it ideally can be higher. So,
I was just checking the election part of it. Has it so f ar had any impact on execution at all?
Sanjay Pusarla: Yes, there is some kind of impact because of the elections in the last one, 1.5 month. The activity
is - because you know, primarily NCC has got all the government projects only. The activity
was going on and the payments and all were not being released o n time, okay. So, there is
definitely an impact because of this.
Anupam Gupta: Okay, okay. I understand.
Neerad Sharma : But elections are still midway, Mr. Gupta still it will take time for us to thoroughly assess
because we are not really working on 10, 15, 20, 30 sites. We have lot of sites to really work
that number out. But there would be some impact. But whether that impact is minus 20%, 10%
or minus 30%, that is difficult to assess at this point of time. I would be happy to answer that question at the time of the first quarter call.

Anupam Gupta: Sure. And sir, one question related to the equity investment review said which can be up till INR175 crore s for this year. So, will this number change once you have a partner for the smart
meter projects or is this your share which you will put definitely in this year?
R.S Raju: At this stage, we cannot say. There is a real possibility. Once the partner joins again, the
understanding between the partner…
Neerad Sharma : Mr. Gupta, it is not really a call that we can take on our own. Whenever we are talking about a
partnership, partner will also come to the table with some preconditions he would also - there
are people who want to have, only 26%, there are people who are wanting to have 50%, there
are people who are wanting to have 76%. So, its' really finally boils down to the partner that we
really decide to get into an agreement with and what are the terms and conditions who is going
to take this console l evel of debt on his balance sheet. So, this is something that we have to really
negotiate and decide. And we have still not reached that milestone. Once we are close to that
milestone, we would be happy to share that with you.
Anupam Gupta: Sure. And just one final clarification, capex you said for this year would be INR220 crores ,
right?
Sanjay Pusarla: 250.
Anupam Gupta: 250, okay.

Sanjay Pusarla: It is INR250 crores. And there is one more project which we are executing, which is a GMLR
project. In that GMLR project, also there is a requirement for TBM machine, but that is expected
to come only in March 25 and April 25.

That is the reason we have not kept that in the current
year.
Anupam Gupta: Okay, fine, sir.
Moderator: Thank you. We have our next question from the line of Vaibhav Shah from JM Financial. Please
go ahead.
Vaibhav Shah: Sir, out of the total cash of INR1044 crores, what would be the margin money?
R.S Raju: INR630 crores - INR660 crores. Margin money.
Sanjay Pusarla: You are asking about margin money with the banks?
Vaibhav Shah: Yes.
Sanjay Pusarla: What is your question, Mr. Shah?
Vaibhav Shah: What is the margin money out of the total cash of INR1, 044 crores?
R.S Raju: INR625 crores - INR660 crores.
Neerad Sharma : Yes. INR660 crores.
Vaibhav Shah: Okay. And sir, out of the guidance of INR250 crores for capex, it includes the smart meter,
which is on our books, right?
R.S Raju: Generally, the smart meter process does not require any significant amount of capex.
Vaibhav Shah: So, the equity investment would be in terms of capex, right? For that particular project which is on our books.
R.S Raju: Yes. In the capex, there is not any significant requirement only hardly INR5 crores INR10 crores
or INR20 crores only would be there for the smart meter projects, the missionary kind of a requirement.
Vaibhav Shah: I am talking about the equity investment that we have to do in the project, which is on our books,
the Bihar smart meter project.
Neerad Sharma : You are talking about the equity investment, or you are talking about the capex?
Vaibhav Shah: No, no, equity investment for the Bihar project. So that should come in capex, right, which is on
our books directly.
R.S Raju: Okay. Okay. That normally we call it as a working capital. So, for Bihar project, generally we
pump the working capital. So, we consider it as any further to money required, we draw in the
form of working capital from our routine banks.

Vaibhav Shah: Okay. So could you tell the amount, ballpark number that would be required over the lifetime
for that project?
Sanjay Pusarla: In this year , I don't think we require much amount because we have got the mobilization advance
also. Okay. So in the initial year, we may not require because even we have to install that initial 25,000 meters, test it, then we have to start installing the balance wor k. So probably in this year,
we may not require much of the amount.
Vaibhav Shah: Okay. Thank you, sir. That is it from my side.
Moderator: Thank you. We have a follow -up question from the line of Shravan Shah from Dolat Capital.
Please go ahead.

Shravan Shah: Sir, my question has been answered. Thank you.
Moderator: Thank you. We have our next question from the line of Saket Kapoor from Kapoor Co. Please go ahead.
Saket Kapoor : Yes. Namaskar to the team and congratulations on very steady set of reported numbers. If we take the other items.
R.S Raju: Thank you.
Saket Kapoor : Sir, when we look at the note number seven, we find that revenue from operations for the current year have a negative impact of INR 199 crores . So, taking this into account, the total impact is around INR240 crores for this quarter? The exceptional item, line item should be taken as.
Neerad Sharma : Could you please repeat your question?
Saket Kapoor : Sir, when we look at the consolidated notes to accounts, note number seven, it speaks about revenue from operations for the current year is a negative of INR 199 crores .
Sanjay Pusarla: Yes.
Saket Kapoor : Okay. For the ye ar as a whole, it is INR199. Okay. I got my answer.
Sanjay Pusarla: That's right. That happened in quarter two.
Neerad Sharma : Mr. Kapoor, if you recall, this relates to the Sembcorp settlement. We had made this announcement in the second quarter. And the presentation in the investor presentation, if you go to the slide number 16, that explains, without this adjustment, how the numbers look like.
Saket Kapoor : Co

rrect. Sir, you spoke about this UP SWSM project, execution gaining speed. That is, we executed around INR 6,000 crores for this year. So, what is the pending size, pending order size, and how are the receivables for this project? And Q4 number if you could give in the absolute number terms.

R.S Raju: Okay. INR4,000 crores . Now, the total order size is INR 16,900 crores. By March ' 24, we executed 53 % of the value of the orders, and 47 % remains out of the INR16,700 crores. And roughly about INR 8,000 crores, or INR7,500 crores will be there.
Saket Kapoor : For the March quarter, sir, can you give the execution number for this project only, the absolute number?
Management: By the March quarter, it is INR 1,555 crores.
Saket Kapoor : And the preceding quarter, the December quarter was?
R.S Raju: So in each quarter, roughly INR 1,500 crores is going on. So roughly we may be able to complete by March ' 25. If any, another INR 1,500 crores may fall into the ' 25, '26. It depends upon the how the movement declined because the general election is there and also the state election is also there in UP. These are the two big obstacles. So if no obstacle is there, certainly 90% of the project should be completed by March ' 25.
Saket Kapoor : Why is the different payout lower this time, sir, even after improved numbers and improved cash flows?
Sanjay Pusarla: Repeat, repeat us.
Saket Kapoor : The different payout as a percentage of profitability has been maintained at last year's level. Although the profitability has improved, the cash flows have improved significantly, why has the different payout been kept at the same level as it was last year ?
R.S Raju: Based on the various strategies, management and the board decided to go for 100%.
Sanjay Pusarla: To maintain the same dividend.
R.S Raju : There is a good payout ratio, 20 % to 22 % payout ratio.
Neerad Sharma : And wait for the next couple of years. We have still a lot of things to do, very excellent set of numbers next year, and who knows, we might have some very interesting plans for the shareholders in the next couple of years.
Moderator: Thank you, sir. We have a next question from the line of Parikshit Kandpal from HDFC Securities, please go ahead.
Parikshit Kandpal: Just one clarification, these three smart metering projects, two are under SPV in the equity investment mode and the Bihar one is under the EPC mode , right?
Sanjay Pusarla: No, no, Bihar is in NCC only.
Neerad Sharma : All these projects essentially, Mr. Parikshit, are similar kind of projects, more or less similar kind of arrangement for all the projects, similar kind of payout, similar kind of duration. The only difference is in the state of Maharashtra, they have, as per the contract conditions, we were expected to form two SPVs and these projects have been awarded in the SPV. The other state

that is Bihar, it is a similar kind of project, but they have not asked us to really incorporate a

separate SPV. This has been awarded to the listed parent company. That is the only difference. Otherwise, more, or less the projects are similar.
Parikshit Kandpal: So that means that while you are investing INR 500 crores in equity in the two SPVs, so what Anupam was asking the same thing I wanted clarification. So what will be the investment or equity investment required for the Bihar projects?
R.S Raju: We are not talking about equity investment for Bihar.
Neerad Sharma : Why do you need equity investment in the first place , if its order is directly placed on a company? Why do you need equity investment in the first place? You need investment working capital. You have to procure meters, you have to test meters, you have to install meters and you have to demonstrate the successful connectivity and t he billing cycle starts for each of

the villages, their milestone payment s. So, y ou don't really need equity investment t hat is the SPV.
R.S Raju: We increase the money in the form of working capital.
Parikshit Kandpal : Sir your returns and revenue come over the concession period and y ou are investing a short -term working capital to finance the purchase of the meter which shall give you revenues over the life of the project?
Neerad Sharma : Let me take couple of minutes of your time to explain how the project is getting to get financed. Firstly, there is a handsome amount of mobilization advance in all these projects. If you really consider the three projects it would be about INR1,000 crores advance. Secondly in this project you have to really test about 25,000 meters in the first 7 months. Once the meters are tested, once they are fully commissioned you start installing the remaining meters. And as and when you install the rem aining meters, the revenue cycle starts. So what it essentially means is post 7 months in the next month let us say that we are able to install 10 lakh meters, 5 lakh meters or 2 lakh meters. The revenue cycle for those meters would start. It is not that we have to wait for 27 months and then the revenue cycle for all these meters would start.
R.S Raju: In the first 3 years nearly 60% of the order value gets completed and the revenue gets reported and also the margins also gets reported for the first 3 years. Balance 4 0% only relates to the O&M part. The rest from fourth year to ninth year takes place.
Neerad Sharma : I hope that answers your question.
Parikshit Kandpal : But how do you calculate IRR then b ecause last time you mentioned about IRRs and equity investments. So it's a little bit confusing that two projects you are financing through equity structure one through working capital and the revenues accrue because these smart meters will sit in your gross block as capex.
Neerad Sharma : Could you please repeat your question?
Parikshit Kandpal : Will these smart meters sit on your gr oss block as your assets or especially the Bihar one? So will these sit on the gross block on your asset or how do you treat that on the asset side?

Sanjay Pusarla: This will not go to as a gross block. As per the IndAS we need to create this as a financial asset. It will not go to gross block. It will be in the financial asset.
Parikshit Kandpal : Got it. Okay, I'll separately discuss this with you. But I understood now.
Neerad Sharma : It’s better to discuss separately.
Moderator: Thank you. W e have our next question from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar : Sir, one more clarification, sir. Is this Bihar project is similar to the ot her smart meter project, i s there a difference between the contracts ?
Neerad Sharma : The only mode of award of the contract is different. Essentially all the three projects come under the same flagship scheme of the Government of India that is RDSS. The scheme gives the state the right how do they really intend to place the order. So that is the only difference. Essentially the nature of the project, the revenue model, everything remains the same. It's the part of the same scheme of the Government of India that is RDSS.
Mohit Kumar : Are the payment terms different for the Bihar project or is it similar?
Neerad Sharma : By and large similar.
Mohit Kumar : Understood, sir. Thank you. I'll take it offline.
R.S Raju: Mr. Vaibhav. Can you please restrict for the last two questions?
Moderator: Okay, sir. We have our last question from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Sir, out of this INR57,536 crore s order book as on March what's the value of the SPV or the subsidiary? So what's the standalone order book as on March 24th?
Sanjay Pusarla: About 90% is standalone. About 9% is subsidiary.
Shr

avan Shah: Sorry, sir. Do you have any specific number?
Sanjay Pusarla: Yes, out of INR57,536, INR5,693 is towards the subsidiary.

Shravan Shah: INR5,695.
Sanjay Pusarla: Yes.
Shravan Shah: Okay. Thank you, sir .
Moderator: Ladies and gentlemen, that was the last question for today and I now hand the conference over to Mr. Vaibhav Shah for closing comments.

Vaibhav Shah: Sir, one last question from my side. What is the profitability in the Pachhwara MDO project for FY24 , PBT is INR71 crores?
R.S Raju : Now in Pachhwara coal mining the profitability is 4% of the project value at SPV level.
Vaibhav Shah: So for FY24, what would be the PAT?
R.S Raju: The PAT percentage is again 3.2. T here won't be any expenses only the income tax and after removing 35% income tax 3% remains at the PAT level 2.9% or so. That means roughly about INR60 crores should be there at the PAT level and it is dis tributable in 51% -49% ratio to the two partners. We have 51%. We get the 51% of that PAT of INR 60 crores.
Vaibhav Shah: Okay. So on behalf of JM Financial, I would like to thank everybody for participating in this call. Also a big thank you to the management for allo wing us to host the call. Sir, any closing remarks from your side?
R.S Raju: Okay. Thank you, Mr. Vaibhav and also thanks to all the participants for this Investor's Call of the NCC for the Q4 and the 12 months. So good night to all of you.
Moderator: Thank you. On behalf of JM Financial that concludes this conference. T hank you for joining us and you may now disconnect your lines.

Call: Aug 2024

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Ref. No.: NCCL/ Regulation 30/2024
Date : August 13, 202 4

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Bandra (E)
MUMBAI - 400 051.
Symbol: NCC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Fort
M U M B A I – 400 001.
Code: 500294

Dear Sir(s),

Sub: Submission of Transcript of the audio conference call under Regulation 30&46 of the
SEBI (LODR) Regulations, 2015

Please find enclosed herewith the transcript of the earnings audio conference call that took place on August 6, 202 4 with analysts discussing the performance & financial results of Q 1 of the FY 202 4-25. The transcript is also available on the Company's website at https://ncclimited.com/analyst -column.html .
The Transcript includes list of management attendees and the Q&A's, any assents/dissents and open points.
Please note that no unpublished price sensitive information was shared/discussed in the earnings call.
Kindly take the above information on record.

Thanking you,

Yours faithfully
For NCC LIMITED.

M V Srinivasa Murthy
Company Secretary & Sr.EVP (Legal)
Encl : As above

"NCC Limited Q1 FY25 Earnings Conference Call "

August 06 , 202 4

MANAGEMENT : MR. R. S. RAJU – DIRECTOR (PROJECTS), NCC
LIMITED
MR. SANJAY PUSARLA – EXECUTIVE VICE PRESIDENT
(FINANCE & ACCOUNTS), NCC LIMITED
MR. NEERAD SHARMA - HEAD (STRATEGY &
INVESTOR RELATIONS), NCC LIMITED
MODERATOR : MR. VAIBHAV SHAH – JM FINANCIAL

Moderator: Ladies and gentlemen, good day and welcome to NCC Limited Q1 FY25 Earnings Conference Call hosted by JM Financial.
As a reminder, all participant line will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation conclude s. Should you need assistance during the conference call, please signa l an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vaibhav Shah. Thank you and over to you , sir.
Vaibhav Shah : Thank you . On behalf of JM Financial, I welcome everybody to 1 Q FY 25 Earnings Conference Call of NCC Limited.
We have from the Management today Shri R. S. Raju - Director (Project s), Shri Sanjay Pus arla - Executive Vice President (Finance & Accounts) and Shri Neera d Sharma - Head (Strategy & Investor Relations).
I hand over the call to the Management now for their Opening Remarks . Over to you, sir.
R. S. Raju : Thank you , Mr. Vaibhav Shah. Good evening, ladies and gentlemen , a warm w elcome to all of you into the Q1 FY25 Investors Earning Call of NC C Limited . The Presentation containing the performance of Q1 FY25 was uploaded on the Stock Excha nge website and to our website.
Now , I will take you through the key highlights of the 1st Quarter and thereafter we will take you to question and answers . The interaction is broadly divided into three following sections.
In the first part, I will talk about a brief overview of the business environment and prospects for our Company . In the second part, our CFO will brief about the financial performance of t he Company for the 1st Quarter . In the third part, w e will attempt to answer all your questions and clarifications.
Before going into the details , the usual disclaimer of the Presentation that we have uploaded on the Stock Exchange and our website today, i ncluding the discussions that we will have in this call, contains or may contain certain or forward -looking statements relating to NC CL business prospects and profitability, which are subject to several risks and uncertainties and actual results may materially differ from those in s uch forward -looking statements.
Now, w hen you come to the guidance , we have given a guidance for order booking in the range of Rs. 20,000 -Rs. 22,000 crores for FY24 -25. The other pipeline of NCCL is very strong at this mome nt and we expect that the Company will achieve the given guidance for the order booking. We have given a guidance of 15% growth in invoice booking against which in 1st

Quarter , we achieved 23% despite the elections and steep high temperatures at various pl aces. Therefore , we are confident to achieve guidance given for FY25 for invoice booking.
With respect to the margins , the Company achieved 9.3% EBITDA margin in Q1 as against guidance given for the range of 9.5 %-10% for the year as a whole. So, going forw ard, we expect to reach 9.5 % EBITDA margins.
Com ing to the earlier visit to discuss AP projects , now all of you are aware that there is a change in the Government in AP. So, NDA-led Government is there now and particularly the earlier Telugu Desam Party , it is a pro -development or pro-infra development nature of government. So, when you take how the prospects in the AP now , so there is a positive outlook with respect to the AP projects now. The orders relating to Capital City abandoned 4 years back , now the re is a chance to restart of those orders. Further, the pending payments relating to the projects awarded by 2019 are going to materialize in a couple of months. With this, there is an overall positive outlook with respect to AP projects for the Company from the growth perspective.
Further in the recent budget, all of you are aware that about R

s. 15,000 crores specific
allocation made for the development of the Capital City projects. And further other allocations were also given for the infra development ac ross Andhra Pradesh. So, with this, the NCC Company have good opportunity to again restart the works and to realize the whole pending amounts. Similarly, in the Union budget is a special allocation of funds given by Rs. 26,000 crores for infra development and Rs. 22,000 crores funds for Bihar state . In Bihar state , NCC is doing already several works. So, here also we have the chance to get the orders besides the orders from all over India.

About the de bt of the Company as far as debt is concerne d, there is an increase in debt from that of the previous year by about Rs. 815 crores. So, there are two primary reasons for increase in the debt. The first one is generally in construction industry, the debt increase in the first and second quarters and comes down in third and fourth quarters. The second reason is because of elections , there is a slow process in releasing bills and allocation of funds by the clients. But in subsequent month in July 24, the Company received nearly about Rs. 500 crores , the payment pending in the 1st Quarter . With this, the debt position also now comes down.

As far as NCC Vizag Urban is concern, in t he 1st Quarter we received an amount of Rs. 67.25 crores relating to the sale of our equity investment and a balance investment of Rs. 33 crores we expect to receive in 2-3 months period.

Now , I will hand over this mike to Mr. Sanjay – our CFO, to take up the second part detailed brief on the operating and financial performance of the Company .

Sanjay Pusarla : Good afternoon, everyone. This is Sanjay Pusarla - EVP and CFO of NC C Limited. I am going to give you a brief on the performa nce of the Company at the standa lone level and the consolidated level.

At the standalone level, the Company has achieved a turnover of Rs. 4,747 crores which is 23% higher when compared to the same quarter of the last year. Similarly , in the case of EBITDA also , there is an improvement and the EBITDA for this year 1st Quarter is Rs. 439 crores a s against Rs. 380 crores in the previous year.

Similarly , same PAT also, there is an increase of about Rs. 38 crores, that is Rs. 200.74 crores in the 1st Quarter of 24 -25 as against Rs. 162 crores of the last year. There is an increase of about 24% in the PAT level . For the consolidated level, the turnover at the consolidated level is Rs. 5,558 crores as against Rs. 4,407 crores showing a n increase of 26% and at EBITDA level, the increase is 21%. C urrent year, it is Rs. 478 c rores as against the previous year, Rs. 409 crores . At PAT level attri butable to the shareholders, the current year it is Rs. 209.92 crores precisely against Rs. 173.5 4 crores , which is a 21% increase.

And the order book position as on the beginning of the year , the order book was Rs. 57,536 crores and we have received an or der of Rs. 408 crores in the 1st Quarter . After eliminating the exhibition in the 1st Quarter , the order book stands at Rs. 52,626 crores as at the end of June ‘24.

And coming to the trade receivables , as it was explained earlier, the debt position has little bit increased because of the 1st Quarter . As it is in the nature of the construction industry , the 1st Quarter debt level s will be little higher . Besides that because of this election the corrections were little hampered and re alizatio ns were slow ed down. So, the debtors stand at Rs. 3,654 crores as against Rs. 3,063 crores as on same date of the previous year and compared to the 31st March, it was almost like Rs. 900 crores higher when compared to 31st March.

The debtors collection per iod as at June ‘24 stand at 86 days as against 57 days of 31st March, but when you compare with the same period of th

e previous year, it was 82 days. That means it
is 86 days in the current quarter as against the 8 2 days are the same period of the last year.

Coming to the advances like mobilization advances, there is an increase by Rs. 100 crores and it stands at Rs. 2,425 crores as at the end of March ‘24 and the interest -bearing advances, of which 72% of the advances will be interest bearing , about 1 ,751 crores and the average interest works out to 9.5%, which is less than what it was there as on March ‘24 which is 9.72% and a year before , it was 10 .72%. The average interest rate has come down by almost like 22 basis points when compared to March ‘24 .

And I will be explaining about the unbilled revenue . Unbilled revenue as on 30th June is Rs. 4,719 crores as against Rs. 3,859 crores in the March ‘24 which is 25% of the turnover . When compared to the previous year , previous year it was 21% and this year i t was 2 5%. The increase in the unbilled revenue is due to the reasons which we have explained before . There

was slowdown in the billing process, but a ll these things were cleared in the month of July.
So, as regard s debt position, I think Mr. Raj u has already explained to you that the debt as on 30th June '24 is Rs. 1,819 crores as against Rs. 1,005 crores as at the end of March '24 , showing an increase in debt utilization by Rs. 814 crores. So, the finance cost when we compared with the last year, the finance costs have come down from 3.45% to 3.25%. The gross finance cost is Rs. 153 crores and the net finance costs after eliminating the income and in terms of interest is coming to Rs. 132 crores, which is 2.8% in the 1st Quarter of this year and compared to the same period of the last year at 3.03% . The interest cost is coming down to this extent.
So, now, the session is open for question and answers.
Moderator: Thank you very much. We will now begin the question and answer session. The first quest ion is from the line of Mohit Kumar from ICICI Securities. Please go ahead , sir.
Mohit Kumar : My question is, sir, on the new government, do you think the old projects can be revived meaningfully if I remembe r correctly, I think orders worth 100 billion was got cancelled last time in 2019?
R. S. Raju : Now , there are three parts we can discuss in the AP projects. In 2019, the government has cancelled certain orders. And at the same time, they abandoned certain order s. They have not cancelled t hose orders, but they are in the force. And certain orders , they asked us to continue and that we are being continuing those others. About the Capital City projects , which are there in the ports now, but only the amounts are outstanding from the client. Wo rks are abundant, but they have not cancelled those orders. So, those orders since the Capital City now coming up, we have every chance and the government also asked us to restart those works, but whether we take up those projects at the given rates and ot her things is a big question to see. So, therefore, lot of discussions takes place between the client and the NCC. And basing o n the conclusions, so roughly at this moment we can say about Rs. 5,000 crores those orders may restart. About the orders cancel, that is again a different outlook , the government again will come up with a new step or they may revive those others and how they are at this moment , we cannot talk on that one, but we have to wait for some time to have more clarity about the government's conclusion on that one.
Mohit Kumar : Sir, my second question is on the order inflow. We started with a very soft quarter in Q1 in terms of order inflow. While you are seeing that some of your competitors have received a

decent amount of order inflow espec ially post June. How do you think about the order prospects for the balance of the year

and which are the segments where you are more positive compared to last year?
R. S. Raju : In the 1st Quarter , yes, about order pipeline concern, we have a strong order pipeline and we have some orders waiting for the LOS orders. So, once those LOS comes , then in the first half year, whatever the guidance we have given and mostly we achieve that guidance for even first half year al so. So, for the year , as a whole at this moment , Company is confident to achieve whatever guidance given for the order booking.
Moderator : Thank you very much. The next question is from the line of Shravan Shah from Dol at Capital. Please go ahead , sir.
Shravan Shah : Sir, just to clarify in the sense that we are saying that 15% revenue growth for this year and 23% we have already done. So, is there a possibility that this number or growth of 15% can even go up to 18 %-20% for this year ?
R. S. Raju : Yes, th at one basing on the present , whatever progress tak en place in the 1st Quarter , there are chances, but in the third and fourth quarter , the invoice booking out of the new orders to secure in the year 24 -25 is to be seen, is not it? We have not got any or ders into our books of accounts, only we are waiting for the LOS . So, bearing that one , definitely 15% plus would be there in the invoice booking in the remaining quarter s. In the second -half year , at that time , we can comment on that one about how the third and fourth quarter progress . At that time again, we will confirm you on that one.
Shravan Shah : And on the margin front , in the presentation, we said that 9.5% -10%, but in your opening remarks, you said 9 .5%, so slightly on the lower band of the margi n, so that is what we are seeing, w hatever the orders that we have won and we are about to execute where we are likely to see a slightly lower margin and that is what we are saying , maybe we can achieve a lower band of 9 .5% of EBITDA margin ?
R. S. Raju : Yes, in the guidance, what we given 9.5% -10% the range we have given, so the 1st Quarter we achieved about 9.33 %. So, as a result at this moment , the minimum range band whatever is there 9.5 %, we are confident to achieve 9.5% level and again more and above 9.5%, we have to wait and see about third and fourth quarter results.
Shravan Shah : And sir, L1 orders are two MSRDC and one another project or the values are close to Rs.

8,700 odd crore s, if you can reconfirm ?
Sanjay Pusarla : About that number only, ye s.

Shravan Shah : And, sir, just a couple of data points on the balance sheet front , so inventory, data , retention money and loans and investment to your subsidiary and associate ?
Sanjay Pusarla : Can you please recall what you are looking for?
Shravan Shah : Yes, inventory, trade payable, retention money and total investme nt in subsidiary and associates?
Sanjay Pusarla : Inventories as on 31st March is Rs. 1,400 and as on 30th June is Rs. 1,300. Retention money is Rs. 1,500 as on 31st March and it is Rs. 1,532 as on 30th of June. And investments are Rs.
1,033 as at the end of March '24 and it is same level even as of the 30th June.
Shravan Shah : So, what was the loan numbers which was Rs. 509 o dd crore s as of March to subsidiary and associates?
Sanjay Pusarla : Rs. 509 at the end of March and that was Rs. 473 at the end of the 1st Quarter now. There is a reduction.
Shravan Shah : And t rade payable as on June?
Sanjay Pusarla : Trade payable as on June Rs. 5,481 as against Rs. 4,966 as at Marc h.
Shravan Shah : And las tly, possible the CAPEX , how much we have done and for full year, how much we are looking at?
Sanjay Pusarla : Full year , we were budgeting around Rs. 250 crores and we have done around Rs. 51 crores at the end of the 1st Quarter .
Shravan Shah : So, this does not include that J Kumar JV TBM?
Sanjay Pusarla : We have already told in the last year its

elf that when it is coming, it will be added in the
CAPEX additionally.
Moderator : Thank you very much. The next question is from the line of Parvez Qazi from Nuvama Group. Please go ahead , sir.
Parvez Qazi : Sir, you mentioned that on certain projects in Andhra , the payment is still pending. So, what would be the quantum of such payments which we are still yet to receive?
R. S. Raju : Now, two-three parts are t here. The first part is about the funds blocked on account of the
Capital City projects are about Rs. 150 crores. And the running projects are about Rs. 350 or

Rs. 400 crores are there . So, now, already the dialogues are taking place with the government and we expect nearly Rs. 300 crores to materialize in couple of weeks out of that one. Thereafter , some clarity will be known about the continuation of the projects. Some of the products are already running, there is change in the government and what the pri orities of this government from that of the earlier government, what works they ask us to continue, what works they give the priority basing on that clarity, some of that will come. But as far as the pending payments are concerned, we expect about Rs. 300 crores to materialize in a couple of weeks.
Parvez Qazi : So, when we say that Rs. 350-Rs. 4 00 crore is on account of running projects, these are also in Amravati and running or these are projects in the rest of the state?
R. S. Raju : In the rest of the pla ce, these are the projects which are running in the rest of the places , other than if it required in the Amravati projects. They are medical colleges and FPS MIDC projects.
Sanjay Pusarla : Water supply projects are there .
Parvez Qazi : What would be the cas h level at the end of June?
R. S. Raju : Rs. 140 crores.
Parvez Qazi : And last question would be great if you could update us about the status of the Ja l Jeev an Mission project and also the Smart Meter project ?
R. S. Raju : About the Jal Jeevan projects , by end of June '24 we have completed 60% of the projects. And the balance we have about Rs. 6,000 crores as on this date and by March 2025, we expect to complete about 95% of these projects. About the Smart Meter projects , Bihar project is one already we issued the orders for suppl y for meters and supplied the meters , about 80,000 meters supplied and 55,000 meters we installed and also the software system is also installed into that one. Now , the client is verifying the system as a properly synchronized wi th the IT system and communication system. The checking is over and our department, our division is expecting this clearance from the client in a month 's time. So, thereafter, once the clearance comes , there on they continue to install the meters. That is about this Bihar R oad project. We have also drawn the mobilization advances for the first l ot to spend for the project. And about the Maharashtra state, two packages are concerned . Now the client change d, priorities changed

that one and they given priority to install the meters at the offices rather than at the total remote village s. Installation at the office means , it is in a scatter place, the progress of the installation will be low. So, in the first 2 -3 months , the progress w ould be low and once the government gives the clearance to install in the total village , then the progress will pick up. So, thereby we expect that Q2 and Q3 may not be there good progress and in Q4, we expect to pick up the progress on that run.

Parvez Qazi : Sir, b ut you expect any impact of the Maharashtra election on this approval sector ?

R. S. Raju : Certainly , we were also cautiously moving on that one, we are not aggressively moving keeping the elections ahead. And thereby we will also want to do as per th e client go in the slow pace because if severe uncertainty wo

uld be there when elections are there , even if I done as far as bill process , payments are concerned , there are some uncertainties . So, we are going a little bit slow as far as Maharashtra projec ts are concerned and the rest of the things, whatever requirements are there that we are doing except buying and installing the meters.

Moderator : Thank you very much. The next question is from the line of Prem Khurana from Anand Rathi Shares. Please go ah ead, sir.

Prem Khurana : Sir, two questions. One was with respect to TAQA settlement that we had achieved some time back , I think Rs. 175 crore was the number that we are supposed to pay to TAQA and 90 was paid last quarter itself. So, what is the status on the balance amount, has it been paid or it is still to go?

R. S. Raju : We have paid the second installment of Rs. 45 crores.

Sanjay Pusarla : Rs. 45 crores which is due in June and the third last installment, is due in December and we expect to pay on time as scheduled.

Prem Khurana : And sir, second I am not sure , if you in your opening remarks as I joined a little late, so please pardon me, if it is already answered, but if you are l ooking to have a partner for our Smart Meter business , any progress that you could share with us? The two SPV projects we want to open a partner, right, wherein we were willing to enough gave away 50% sort of economic interest. So, have we been able to identify any partner and what sort of dilution would be willing to enough go with them ?

Neerad Sharma : I think my colleague , Mr. Raju has already brought to your attention to the fact that for the Maharashtra project, which is in S PV, we have decided to go a bit slow. That said, we have initiated discussions with couple of potential investors. So, as and when the pace of the project picks up, we should be in a position to finalize the partner.

Prem Khurana : So, the plan sta ys, b ut then obviously, you would want to make some progress before you go ahead with the plan ?

Neerad Sharma : That is right because at the end of the day, there is a mobilization advance and we have to raise the equity when we have to really procure those meters i n bulk. For that we need the money. So, currently as Mr. Raju brought to your attention, we are going a bit slow. As and when this picks up pace, we will have partner on board .

Prem Khurana : Any thoughts on , how many vendors are we dealing with kind of procure meters , given the fact that there were many orders of the same nature, I am not sure if the industry has that sort of capacity to be able to kind of produce those many meters. So, how is the situation? I am sure you have already assessed the situat ion and which is how you would have taken the orders , but if you could just share your thoughts on how easy or difficult is it to be able to find the vendor?

R. S. Raju : And this is a big question. Now, v endors are there in the market and it is not a big c hallenge for th e Company to procure the meter s identifying this one, but a lot of work is going on in that front . Ultimately , what we look for is a reliable quality and lower price. We have the primary objectives. So, on that front, lot of exercise is going on. And currently to keep the progress , hardware enterprise and the suppliers supplying the m eters, but going forward it go in a different manner , not depend on one supplier . So, like that, the exercise is going on at this moment . So, it is not correct to detailed vendors names and other things.

Neerad Sharma : Mr. Khurana, if I may add my sense to your question in this project, the ownership rests with us for about a decade or so. So, at the end of the day, we are responsible for t he performance of the meters for a decade, and in most of the tender, the conditions talk about some kind of technology platform, not a name of the vendor XYZ, ABC or s

o. So, if there are plenty of vendors available in the market, we have to also keep in m ind the fact that to how long these

vendors should be in a position to support these maintenance of these meters , operations of these meters for about a decade 's time. So, the technology platform is available and there are a lot of people who should be abl e to qualify for the SLAs which are required for the performance of these meters. So, we will decide at the right point of time, but I don't think that is going to be a challenge for us.
Prem Khurana : And just one last book keeping question, if you could help me with the bank balance number , you gave the cash number, but if possible the bank balance number , please ?
R. S. Raju : Rs. 140 crores cash and cash equivalents as of 30th June '24 as against Rs. 489 crores of March '24 .
Prem Khurana : As for margin money deposits, how much would that amount be if you could share , please ?
R. S. Raju : Rs. 694 crores now.
Moderator : Thank you very much. The next question is from the line of Parikshit Kandpal from H DFC Securities. Please go ahead.
Parikshit Kandpal : Sir, I am talking about AP in the peak of your order book , AP was contributing about Rs. 18,000 crores to the total overall order book , so just wanted to understand from the point of view of next 3 -4 years , how do you think it would be ? As in the last 3 -4 years, nothing has

happened from ordering point of view. Could there be a catch -up? How substantial can this opportunity be for you?
Neerad Sharma : So, I would answer this question in two parts. Firstly, it is premature to talk about wh at kind of projects are really coming for bidding. What is the competition? What is the size of the project? And who are the people who are finally going to qualify? So, there are lot of , so we will cross the bridge when we get to it. At this point of time , it is really difficult to even estimate what kind of projects are coming ? What is the size , nature , vertical ? So, we will cross the bridge when we get to it. That said, the second thing that I wish to bring to your attention is we are not a Company that is currently dependent on only one state , AP or X , Y or Z, you must have seen in the investor presentation that we have uploaded on our website, we are a Pan India Company . We have projects from almost all the states and we are quite confident to go to any state of the country wherever good projects are available , to bid for the projects , bag the projects and execute the projects. Specifically, coming back to the AP, once the projects are announced, then we should be in a position to really talk about a possible number, whether that may be the top contributing state or the secon d top contributing state or the fifth. That time hasn't come as we speak.
Parikshit Kandpal : But given your current, I think , if you can just help repeat what is the current inf low guidance? I think you spoke about Rs. 20,000 to 25,000 crores for inflows of this year, right?
Neerad Sharma : Yes, let me repeat, the inflow that we have shared with street is a band this time for a change that is Rs. 20,000 to 22,000 crores .
Praikshit Kandpal : And you are not expecting any meaningful contribution in this to come in from AP?
Neerad Sharma : May come , may not come. The kind of media reports which are coming out that the government itself is trying to study, which are the right projects to start, but when.
Parikshit Kandpal : That I understand, sir, your assumptions , you are not building a big order inflow from the AP in this number of 20, so if anything comes from AP, could be positive surprise on this number, right?
Neerad Sharma : Of course, when we share d these numbers with you way back in mid -May, we did not have all these development available with us. So, the guidance that we have shared with street is all these

states minus AP if you prefer you could say that .
Parikshit Kandpal : Sir, my second question is on the entire transmission and distribution opportunity. So, what is the pla y for us there? Do you think now with Power G rid giving large orders on HVDC side , do you think we will participate in that or we wi ll focus on lower vol tage segment and maybe

more on RDS S opportunity and state utility side. So, if you can highlight the opportunity and the play for us there ?
Neerad Sharma : See, there are all three kinds of opportunities which are coming, though we have done lot of projects on the HT side also . We have the qualification for 400 KV transmission line even higher transmission line. We have also done 220 KV , but those kind s of projects which are really coming fo r bidding are some kind of BOOT kind of model in which you have to invest some equity, coming to some d ebt. So, we are actively looking at those projects, but I think the prime activity currently is happening in the LV space that is RD SS scheme. RDS S scheme is a signature project of the Government of India, well-funded . The total outlay available is more

than Rs. 3,00,000 crore s, the funding is already in place largely by P FC and R EC. So, I think that is the main chunk of the market that we are currently focusing upon.

Parikshit Kandpal : And one last question sir, now most of the Indian players similar size like KEC, Kalpataru and all. So, my question was more on the opportunity which they are playing in T&D 400 KV and above , 400-760-5800 K V that was there and related to that, are you revi siting your international strategy? Do you think that now it is time to revisit and start also looking at opportunities in international market or you think that India is self -sufficient wherein you can still grow with domestic orders ?

Neerad Sharma : Curre ntly, we are not focusing any international market. We think this market is sufficiently large for us to give us the inflows that we really need for short to medium term. So, currently our focus continues to be the construction market in India.

Parikshit K andpal : And just last thing, if you can help me understand what is the pending real estate payments on the land we have sold in Vizag ?

Neerad Sharma : That is Rs. 33 crores . That is the equity part and there would be the loan part that is expected to come to us in next couple of years. I repeat the equity portion, the pending payment from the client is about Rs. 33 crores and then we are expecting to get the loan back in next couple of years.

Parikshit Kandpal : What is the loan amount, sir, total loan amount pending ?

Neerad Sharma : Rs. 377 to be accurate as of 30th June.

Parikshit Kandpal : And this is expected by when Rs. 377 crores, a ny revised date or when is?

Neerad Sharma : Next two years.

Parikshit Kandpal : And this balance, Rs. 33 crores is expected when?

Neerad Sharma : In 2-3 months, this quarter .

Moderator : Thank you very much. The next question is from the line of Dhananjay Mishra from Sunidhi Securities. Please go ahead.

Dhananjay Mishra : All my question s are answered , just one question again on AP part. So, given the past experience we had, although you said that this incumbent government is through development and central is also supporting this year or maybe next 4 -5 years going to support the state government and more projects will come , but in terms of our exposure, would you like to be selective and be given the past exper ience or you will be aggressive in bidding for just in AP ?

Neerad Sharma : Let me answer your question a little differently. Being a listed Company , we have a committee of the Board ERM and we look at the state wise , vertical wise risk very carefully. So, not only for the AP , for any state or any vertical for that matter, we do n ot really believe in going aggressively, just bidding for the sake of bidding, b agging a project for the sake of bagging a project , we never have followed that strategy, and we continue to have the same stan d as far as aggressive bidding is concerned.

Mode rator : Thank you. The next question is from the line of N idhi Shah from ICICI Securities. Please go ahead.

Nidhi Shah : I know that you have already answered a couple of questions on the order book, but I still wanted to know the LOS that you said you will be receiving, what is the amount of that is pending , number one ? And how much do you think could be clear in this coming quarter from that? That is my first question.

R. S. Raju : One is that we have already explained you earlier that about Rs. 8,500 crores are the orders which are in the pipeline and we are expecting those orders to get matured maybe in this quarter.

Nidhi Shah : So, you are expecting the entire balance to be matured in this quarter?

Sanjay Pusarla : As on date, it is the expectatio n and we have to wait and see.

R. S. Raju : That said this is a prerogative of the client. When the client inte nds to award the order then only we get it. It doesn't really depend on the kind of effort that we make. We might prefer to have it tomorrow morni ng, but they may not be in a position to award. So, hopefully in this quarter or maybe next quarter, we are quite hopeful to get those pro jects.

Nidhi Shah : And you also of course PPT mentioned the order inflow for the 1st Quarter , but in the last two mont hs since this quarter has started, have we received any new order?

R. S. Raju : You are talking about the second quarter?

Nidhi Shah : Yes, s econd quarter. Have you received any orders in the second quarter?

R. S. Raju : No, w e have not received and even if we receive, we would first submit that to the Stock Exchange . As we speak, we have not received . All that we have is what we have shared in the

PPT.
Moderator : Thank you. The next question is from the line of Vishal Periwal from Antique Stock Broking. Please go ahead.
Vishal Periwal : Sir, in this quarterly presentation , the order book has a composition of mining as one of the segment. So, is that fair to understand that your order book which is working will be executed within this year a nd then 12-month timeframe ?
R. S. Raju : Yes, now the order book, whatever we have given in the order book is for a period of 3 years. So, that is executable in 3 years period. At this moment, the progress in that project is going well and whatever now, we consider in the budget of F Y24-25 from that Company or from the project is achievable. And the o rder book may go on increase every year , since it is a long term project of 25 to 30 years. So, whatever value given in the book that represents 3 years val ue.
Vishal Periwal : So, 8% is 3 years?
R. S. Raju : Yes.
Vishal Periwal : And maybe one clarification , in the initial part of the commentary, you did mention that Andhra roughly like Rs. 5,000 odd crore worth of project could get ordered so this for the project they are part of the order book, or they have been dropped and then further they can come back as an order inflow for us ?
R. S. Raju : It is not there in the present order book that we have dropped earlier.
Moderator : Thank you very much. The next question is from the line of Shravan Shah from Dola t Capital. Please go ahead.
Shravan Shah : So, to continuing, sir, if this Rs. 5,000 crore comes up, so our order inflow that we are looking at Rs. 20,000-Rs. 22,000 crore plus this Rs. 5,000 crore, if it c omes back and plus if AP anything more comes up , so that is the way one can look at ?
R. S. Raju : Already that part was explained by a colleague in the budget orders we consider from the Andhra Pradesh. So, now if any orders come generally partici

pate in the order book. So, again

this Rs. 20,000-Rs. 22, 000, there is no hard and fast rule. That figure also var ies and downward may vary or upward may vary even without Andhra Pradesh. So, when Andhra Pradesh is there, there is a posit ive outlook to book more or less than what we give in the guidance.
Shravan Shah : And sir, in terms of the d ebt level which you have mentioned that it normally increases in the 1H and then it reduces so by end of FY25 how we look at in ter ms of the standalone gross debt level?
R. S. Raju : So, now according to our plan is to stand at Rs. 500 crores debt level by end of FY25.
Shravan Shah : And in terms of the Sembcorp , we were supposed to get Rs. 47 crore s, have we received it?
R. S. Raju : No, it is no t received and there are certain issues for which the Sembcorp went to the court , at the same time NCC also went to the court . Once the court proceedings are over, then only the result will come about that payment. It takes some time.
Moderator : Thank you very much. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.
Vaibhav Shah : First, we mentioned that our exposure to AP, so receivables would be around Rs. 150 crores for Capital City and for running projects a round Rs. 350 to Rs. 400 crores ?
R. S. Raju : Yes
Vaibhav Shah : So, total amount is roughly Rs. 500-Rs. 550 odd crores. So, what was this amount as of March '24?
R. S. Raju : In the same level. There is no change in the 1st Quarter . Since elections have taken place in AP, no significant change tak en place from date of March '24 to June '24 .
Vaibhav Shah : So, we expect this Rs. 550 crores to come down to around Rs. 200 odd crores in next couple of weeks ?
R. S. Raju : Yes, not couple of weeks totally , some p rogress is there gradually, first, they may release Rs. 100 crores , thereafter another Rs. 100 crores like that will be ta ken place . By end of second quarter , some clarity will come . By end of third quarter , some more amounts also may get released.
Moderat or: Thank you very much. The next question is from the line of Saket Kapoor from Kapoor and Company . Please go ahead, sir.

Saket Kapoor : Firstly, when you mentioned about order intake of say Rs. 20,000-Rs. 22,000 crore s, what is our bid pipeline out of which we are looking at the conversion rate of Rs. 20,000 -Rs. 22,000 crores ?
Neerad Sharma : Mr. Kapoor, we have a very healthy prospective pipeline of projects close to Rs. 2,00,000

crore. It is a prospective pipeline of projects, but it depends at what ti me client intends to award which project. So, this is a function of the time and the decision making cycle of the client. But we continue to have a very healthy pipeline of prospective projects for the next 12 to 15 months.

Saket Kapoor : And sir, what is our O &M component in the order book?

R. S. Raju : Now , in this order book , for all the major orders, what we secured in the last two years, particularly the Mallard water treatment project, t he G MLR project , in electrical project , in all the projects whatev er O&M part is there , that we have excluded in the present order book . That will only take into the order book as and when the project is completed , as and when we start the O&M. T hat is the policy of the Company . As such for all these major projects O&M content is not there in the present order book, but in some of the orders, small size of orders, Rs. 300, Rs. 400 , Rs. 500 crores of orders , one year O&M , some Rs. 20 crores , Rs. 30 crores, small amounts , they will be there in the order book along with th e main order value.

Saket Kapoor : But just to hop on it , so for revenue from operation or at a consol level, what is the O &M component there?

R. S. Raju : From the O&M c onte

nt , we can take about 4%-5% of the major order book will be there.

Saket Kapoor : So, the revenue of Rs. 5,500 crore has O&M component of Rs. 550 crore to be precise ?

R. S. Raju : Yes Rs. 400-Rs. 500 crores .

Saket Kapoor : Sir, w hen we look at the order book split up in the various verticals, irrigation part is very small , only 2%. So, can you allude to the factors? Is there not enough work in the irrigation sector or what is the reason for a very small order book ?

Neerad Sharma : Yes, you are right. Unfortunately or fortunately, the irrigation continues to be a state subject. There have been few awards, but this is not a very focused business area for us. We have four large focus areas or divisions. Irrigation is a very small business for us and depending on the experience that we have had in this sector in the past , last two decades or s o. So, we are very selective , let me say that we are very selective in bidding for irrigation projects. In the irrigation project, there are a lot of permissions, forest clearance , these projects are in very vast areas. This involves many times states , so we are very selective in this space . That sa id there

are four large divisions that I take this opportunity to share with you which are giving us the orders that we really need. The first one is the buildings division , the second one is the transportation d ivision , the third one is water division and the fourth one is electrical T &D. So, these four businesses are the focus areas for us. And I have already shared with you that the fact that we have a very healthy prospective pipeline of projects and we are ve ry happy to concentrate on the sectors that we think are profitable, sustainable for us in the long term . I hope that answers your question.

Saket Kapoor : Small concluding point, I think so this time it is mentioned in the notes also that the Board has given principal approval for amalgamation of NCC Infrastructure Holding, so if you could just share your thought process on this procedure, although the rationale has been mentioned, but why have this timing been selected now? And if you can give some more color?

R. S. Raju : NCCIHL is a wholly owned subsidiary. That is the reason we thought okay, we will merge that into this . Two things which we were thinking to achieve , one is on the tax benefits by getting the dividends into the main Company , so that they can get exempted because of the dividend declaration by the main Company , so the second one is on the administrative control and cutting down of the cost and also limiting the number of entities. These are the advantages we thought, okay , we will have it w hen we have the merger of these amalgamation of this NCCIHL with NCC.

Saket Kapoor : Sir, concluding point on the major projects under execution, you alluded to the fact of UP project component having Rs. 6,000 crores of un-executable portion that will get executed by this financial year. However, in your presentation, slide number 23, you allude to the fact of Rs. 1,635 crores as survey design drawing and construction multi -group village schemes , water supply scheme in Agra . So, if you could explain my unde rstanding where I am getting it wrong ?

Neerad Sharma : No, I will try to explai n this question to you. We are executing Jal Jeevan M ission project , different kind of projects. There are two broad buckets of these Jal Jeevan Mission projects, the first bucket of projects is about the household, primarily rural portable water connections to the households. This is the first part. So, we are executing this project as well as we have bulk water supply projects. We have backed two large projects in the Agra, Firozabad , in these two places. So, in this slide , what we intend to do is to share with the investors and analyst community the broad span of projects that we are execut

ing. This is not a total number. If you
add these projects to all the value of the project , this is not Rs. 52,626 crore. What we intend to
do here is to highlight what are these signature marquee projects that we are currently
executing , just to give a sense of the span of the complexity, the different verticals, the projects
that w e are currently executing . That is what the intent is.

Saket Kapoor : And for the UP project, sir, can you give the number , what is the execution amount we have
executed for Q1 and you have given Rs. 6,000 crore s will be displayed over the coming three
quarters, but how much have we done in terms of the billing ?
Neerad Sharma : Let me answer your question, but we had total order value of about Rs. 17,000 crore s from this
mission . We have already executed about 60 %-70% of the project. What remains to be
executed in the next 3 quarters i s about Rs. 6,000 crore s of the project. To answer your
question, how much have we done in the 1st Quarter Rs. 1,212, I repeat what we have done in
the 1st Quarter is Rs. 1,212 crore s.
Saket Kapoor : And for Q4, what was the number , sir?
R. S. Raju : The last year we have the number, last year we have done about Rs. 6,000 crores .
Neerad Sharma : Whole year, we have done Rs. 6,000 crore last year which is there in the investor presentation
of the Q4.
Saket Kapoor : Quarter number do you have, sir, I want to just understand the scale of execution?
Neerad Sharma : That it would be close to Rs. 1,400-Rs. 1,500 per quarter. That is what makes it Rs. 6,000 for
the whole year. So, in any quarter depending on the billing cycle , milestone of the project ,
execution of th e project, so these factors , but broadly, it would be anywhere close to Rs. 1,200
to Rs. 1,600 every quarter.
Moderator : Thank you. The next question is from the line of Prachi , Business Standard. Please go ahead.
Prachi : Sir, this is regarding the real estate segment. I would like to know, would you like to comment
on the reduction of assets? It was Rs. 743 crore s in June 2023 , the quarter ended in June 2023.
And it was Rs. 716 crore in the recently concluded quarter. So, what would you say about it?
And also I would like to know profit after tax consolidated in the real estate segment in
comparison with the last year ?
R. S. Raju : Repeat me the second part.
Prachi : The first part is, sir about the real estate segment assets which reduced on year-on-year basis ?
And second part is profit after tax consolidated in the real estate segment in comparison with
the last year ?
R. S. Raju : So, the current quarter reported a profit of Rs. 7.38 crores as against turnover of Rs. 75.35
crores, s ame time , the profit Rs. 7.38 crores against Rs. 10.08 crores of the last year. So, the
change or the variation in the profitability depends upon the mix of the projects. There are two

parts of projects a re going on. Again, in the second part real estate project, there are several
projects. The profit margins vary from the project to project and also the profit margin s vary
from the other projects. They are also taking up on development on construction basis , some of
the real estate projects from the others. So, it depends upon the mix of the projects on quarter -
on-quarter and year-on-year. The other question is about the reduction in the real estate assets.
So, as we develop the land pocke ts and as we book the income into the profit and loss account,
the value of the investment also gradually comes down. So, you are asking investment by
NCC?
Prachi : Yes, sir. I just wanted to know about segment as sets, the reduction?
R. S. Raju : Last quarte r investment by NC C, the buyback of the sales have taken place in the last part of
the last year, the difference represent the buyback of shares. And we got the money on account

of buyback of shares. As a result, the investment has come down from Rs. 240-Rs. 229 crores.
Prachi : Sir, your future outlook in this real estate segment, particularly in context with Amravati and
the segments order book in the coming days ?
R. S. Raju : There are two parts to your question. Firstly, the real estate business that we h ave reported in
our investor 's presentation is a very small business at the group level. That is less than about
1.5% of our revenue. So, that business is a real estate business. What we do here is we acquire
land and we develop apartments, villas, commerc ial spaces and we sell these to our clients . So,
that is a very small business . In Amravati , what we have tried to do in the past or what possibly
we may get to do in the future is the contracting business. It has nothing really to do with the
real estate business that we have reported . Our contracting business is our bread and butter.
What we do really here is we get the contract from the clients and construct whatever is
required to be constructed. So, in Amravati , we hope to get those construction contra cts that

may be a real estate business for the government or the ministries, not for us.
Moderator : Thank you very much . Ladies and gentlemen , that was the last question. I would now like to hand over the conference to Mr. Vaibhav Shah. Please go ahead , sir.
Vaibhav Shah : Sir, just one question from my end . Sir, out of our standalone order book of around Rs. 47,625 crores as of June, w hat would be the value of those smart meter contracts taken in the standalone book ?
R. S. Raju : Two third of that smart mete rs where you participate in the standalone order book .
Neerad Sharma : Rs. 3,300 crores is considered in our standalone order book related to the smart meters.
Vaibhav Shah : And in consol , how much we have taken ?

R. S. Raju : 927.
Vaibhav Shah : So, consol book is lower?
R. S. Raju : Yes.
Vaibhav Shah : So, thanks a lot for giving us the opportunity. Kindly closing remarks from your end.
R. S. Raju : Thank you very much Mr. Shah, for hosting this call for us. We take this opportunity to thank you and the inves tors and broad analyst community that participated in this discussion. Thank you very much. Thank you all.
Moderator : On behalf of JM Financia l, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

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(Formerly Nagarjuna Construction company Limited)
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ef. No.: NCCL/ Regulation 30/2024
Date : November 11, 202 4
National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G
Bandra – Kurla Complex
Bandra (E)
Mumbai -400051.
Symbol: NCC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Fort
Mumbai -400001
Code: 500294
Dear Sir(s),
Sub: Submission of T ranscript of th e audi o conference c all u nder R egulation 3 0&46 of th e SEBI (LODR) Regulations, 20 15
Please find enclosed herewith the transcript of the earnings audio conference call that took place on November 7, 2024, with analysts discussing the performance & financial results of Q2 of the FY 2024-25 . The transcript is also availa ble on the Company's website at https://ncclimited.com/analyst -column.html .
The T ranscript includes l ist of management attendees a nd the Q&A's, any a ssents/dissents and open points.
Kindly t ake the above information o n record.
Thanking y ou,
Yours faithfully
For NCC Limited
Sisir K M ishra
Company Secretary
Encl : As ab ove

"NCC Limited Q2 FY25 Earnings Conference Call "

November 07, 202 4

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ANAGEMENT : MR. R. S. RAJU – DIRECTOR OF PROJECTS , NCC LIMITED
MR. SANJAY PUSARLA – EXECUTIVE VICE PRESIDENT , FINANCE AND ACCOUNTS , NCC LIMITED
MR. NEERAD SHARMA – HEAD, STRATEGY & INVESTOR RELATIONS
MODERATOR : MR. VAIBHAV SHAH – JM FINANCIAL

NCC Limited
November 07, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the NCC Limited Q2 FY25 Earnings Conference Call hosted by JM Financial .
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing " *" and then " 0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vaibhav Shah from JM Financial. Thank you, and over to you, sir.
Vaibhav Shah: Yes, thank you, Dor win. On behalf of J M Financial, I welcome everybody to 2 Q FY25 earnings conference call of NCC Limited.
We have from the Management today, Shri R S Raju - Director of Projects ; Shri Sanjay Pusarla - Executive Vice President (Finance & Accounts); and Shri Neerad Sharma – Head (Strategy & Investor Relations).
Now, I hand over the call to the Management for "Opening Remarks " and then we can have a Q&A session. Over to you, sir.
Neerad Sharma : Thank you very much, Vaibhav . Good evening everyone. At the very outset, I thank each of you for taking out time to attend this interactive meeting.
I have with me my colleagues, Mr. R.S. Raju – Director of Projects and our CFO, Mr. Sanjay Pusarla.
Today we have declared our results for the 2nd Quarter of the current Financial Year . Hope you had an opportunity to download and study the results and the investor presentation that we have uploaded on our website and s hared with the stock exchanges.
Before I begin the interactive meeting, I will read out the disclaimer. This presentation may contain forward-looking statements concerning NCC's future business prospects and business profitability, which are subject to a number of risks and uncertainties and the actual results could materially differ from those in forward -looking statements. The risks and uncertainties related to these statements include but are not limited to risks and uncertainties regarding fluctuations in earnings, our ability to manage growth, competition, both domestic and international, economic growth in I ndia, and ability to attract and retain highly skilled professionals , time and cost overruns on contracts, our ability to manage operations, government policies, and actions with respect to investments, fiscal deficits, regulations, geopolitical risks, interest, and other fiscal costs generally prevailing in the economy. The past performance of the Company may not be indicative of the future performance of the Company.

This interaction is broadly divided in three parts. In the first part, I will talk about the brief Business Environment and the Prospects of our Company . In the second part, I will request our CFO to give a detailed Presentation on the Financial Performance of the Company . In the third part, we will attempt to answer all your questions and clarifications.
We are seeing a very healthy pipeline of future prospects. As we speak, we have a prospective project pipeline of more than Rs 2 ,10,000 crore. We are currently sitting o n an order book of Rs. 52,370 crore. I also take this opportunity to reiterate the guidance that we have shared with the market participants. The first guidance that we have shared with the street is order inflow of Rs. 20,000 to Rs. 22,000 crore, revenue growth of 15% upwards and EBITDA margin of 9.5% to 10% in the FY25.
Now I will touch upon very briefly on our important divisions :
In our buildings and transportation division, we continue to see good traction and healthy pipeline of projects. We are sitting o n an order book of Rs 19,486 crore which is about 37% of our total order book. In the second large division we have an order book of Rs 11,151 crore that is about 21 % of our

total order book in the transportation division. The third largest division that we have is our electrical division (T & D) . In this division, we have an order book of Rs. 10,931 crore as of September end, whi ch is about 21% of our order book. The fourth large division that we have in our Company is our water division. It has an order book of Rs. 6,071 crore, which is about 12% of our total order book.
The flagship scheme of Government of India, Jal Jeevan Mission that has been launched in partnership with the states continues to be in full operation. This scheme has been planned with an outlay of Rs 3,60,000crore and this scheme has been given a very healthy allocation of Rs. 70,163 crore for the current financial year by the Government of India.
Now, I will hand over to my CFO – Mr. Sanjay Pusarla to talk about the detailed Financial Performance of the Company for the current financial year. Hand over to Mr. Pusarla.
Sanjay Pusarla: Thanks , Neerad . Good evening to all of you. This is Sanjay Pusarla – CFO from NCC Limited.
I am pleased to announce the Financial Results of Q2 of Financial Year '2 5. My announcement will be in the order of order book, r evenue, profitability, debt movement and some of the important balance sheet metrics.

To start with the Order Book :
Our order book stands at Rs. 52,370 crores as at the end of September 24. You are aware the order book at the beginning of the year is at Rs. 57,536 crores and orders received during the H1 is Rs. 5,168 crores of whichQ1 includes Rs. 408 crores and Q2 includes Rs. 4,760 crores. After

the execution of Rs. 10,334 crores of work during the first half of the year, the order book stands at Rs. 52,370 crores.
Coming to the Revenue:
We will talk about the standalone. The budgeted turnover for the quarter is Rs. 4,857 crores and against this we achieved a turnover of Rs. 4,445 crores which is 92 %.And against 6 months, that is period ending September, we achieved a turnover of Rs. 9,158 crores as against Rs. 9,362 crores which is almost 98%. When it comes to consolidated, the budgetary turnover for the quarter is Rs. 5,425 crores. And against this , we achieved a turnover of Rs. 5,196 crores which is 96%. And against 6 months that is endi ng September 24 , we achieved a turnover of Rs. 10,724 crores as against the budgeted turnover of Rs. 10,545 which is 102% of the budget.
Next coming to the Profitability:
At the standalone level , we achieved a gross margin of 15.15% for Q2 as against 11.70% of the corresponding quarter of the previous year. And for H1-25 , we achieved a gross margin of 14.96 as against 13.44% in H1 of the previous year. At the consolidated level , we achieved EBITDA of 9% and PBT of 4.9% and PAT of 3.6% in the current quarter Q2 as against EBITDA of 6.5% and PBT of 2.3% and PAT of 1.6% of the corresponding quarter . The main reason fo r the reduction in Q2 of FY 25 compared to Q2 of F Y24 is on account of lower turnover in our water project in UP as explained by Mr. Neerad before, due to unprecedented rainfall, lower turnover in one of the project, Mallad project in Maharashtra due to the rains , and also granting of approvals and delay in the granting of permission for cutting the mangroves there and also lower turnover in the S mart Meter projects.
Coming to the debt movement :
The debt at the beginning of the year stood at Rs. 1005 crores and net debt after cash and cash equivalent is Rs. 518.36 crores. At the end of Q1, it stood at Rs. 1,820 crores and net debt at Rs. 1,679.56 crores and at the end of the Q2, the same is standing at Rs. 1,732.70 crores and net debt is Rs. 1,624.36 crores. There is a reduction in debt levels by Rs. 87.03 crores compared to the earlier quarter. The debt equity ratio stands at 0.25 at the end of Q2 as against 0.26 at the end of Q1.
Coming to the working capital :
Working capital at the en

d of Q2 stands at Rs. 4,987 crores which is 27% of the turnover and in terms of working capital days , it is 87 days and it is calculated after excluding cash and margin money deposits.

Coming to the debtors :
Outstanding at the end of Q2 has come down from Rs. 3,654 crores at the end of Q1 to Rs. 2,793 crores and the number of days also has come down from 85 days to 65 days in the current quarter. The unbilled revenue stands at Rs. 5,220 crores which is 29% of the revenue for Q2 as against Rs. 4,790 crores at Q1. The reason for increase is in UP projects where we have billed them about Rs. 400 crores in the next month i.e. October and realized the money also.
The mobilization advances stood at Rs. 2096 crores as against Rs. 2417 crores in the previous quarter showing a recovery of mobilization advance by Rs. 321 crores. This is also another reason for rising reason of debt levels. It is standing at 11% of turnover as against 13% of the previous quarter. Of these mobilization advances , 81% are interest bearing and the average interest rate comes to around 9.5%.
Coming to the CAPEX:
We have incurred a CAPEX of Rs. 143 crores in the current financial year up to end of September 24.
So, next coming to the investor -related ratios :
The ROE stands at 13.61 as against 14.04 at FY 24 end. Return on net worth against PBT is 14.02 as against 13.88. Return on net worth against PAT is 10.44 as against 9.62. EPS stands at Rs. 5.80 paisa as at the end of Q2 for March that is the year end, it is Rs. 10. 10 paisa. Book value per share is at Rs. 112, as against Rs. 108. 50 paisa at the Financial Year ‘2 4 end.
With this, I conclude my presentation on the financials for the quarter two. Thank you. Back to Mr. Neerad.
Neerad Sharma: Now, we will take any questions, clarification s that you might have.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Just to recheck, you are maintaining the previous revenue and EBITDA margin guidance I understand. So, just to recheck on that, if I look at 15% revenue growth, we need a (+ 17%) kind of revenue growth in the second half and in terms of the margin level , we need at least 9.7% to 10% kind of EBITDA margin in the second half. So, are we confident that we will be able to do that?

R. S. Raju: Now the guidance what we given at the beginning of the year and we are still confident to achieve the guidance what we given . As far as order book guidance is concerned , we have given about 20,000 to 22,000. So, though the order book in the first half year is lower than what we supposed to do , but the kind of the pipeline of the orders giving a good confidence to us to achieve easily the 20 to 20,000 crores. Even there is a good visibility to surpass the limit what we given for the order booking . As far as invoice booking is concerned, as in the first half year we achieved 13% that you know already we explained. P articularly in the 2nd Quarter because of the rains and floods, we couldn't achieve because of the difficulties happened because of the heavy rains in the season. So, in the second half, so whatever 15% is there, we easily achieve, but the 2% whatever is there, now the backlog, that also we are confident we achieve that one. And ultimately at this moment, we are confident we achieve 15% guidance whatever is given for the invoice booking. As far as EBITDA margins are concerned, as we've given 9.5% bottom lower
band. And in the first half year, we achieved about 9.2% in EBITDA. So, in the second half, we are sure to achieve 9.5% lower band. But what our backlog is there for the first half year, the 0.3, is to be seen that how far we able to achieve 9.8 or 9.9 to make it as 9.5. But at this moment,

we are able to achieve 9.5% in the second half year.
Shravan Shah: Just to clarify sir, in terms of the order inflow including the October 1 is I think 8660 odd and L1 is how much sir, Rs. 8700 odd crore?
Neerad Sharma : The total L1 value would be as of September end would be let us say that close to more than Rs. 9000 crore. And Shravanji, if I may add one point, you talked about the submissions that we have made for the month of October. If we really add these two numbers, we have already achieved about 41% of the lower band. If you really include the announcement that we have
made for the month of October, the total order book is 8,256, which is about 41% of the lower band. So, we are on the journey. And I think we don't see any reason to revise the order inflow guidance that we have shared with the trade.
Shravan Shah: Sir, just a couple of data points just to get it from you. One is how much is retention money and loans and advances and the investment in subsidiaries and associates. So, exposure to associates and subsidiaries is how much?
R. S. Raju: Investments, t here is no surging from the previous quarter. It is now standing at Rs. 2034 crores, against Rs. 1033 of the previous quarter. And the loans, loans now standing at Rs. 381 crores as against Rs. 361 crores of the previous quarter , about Rs. 20 crores increase. Inventories Rs. 1,469 crores against Rs. 1,304. Tr ade receivables, they're there.
Shravan Shah: Yes. Sir, I hav e that. I need retention money.
R. S. Raju: Retention money , we have about Rs. 1,583 crores against Rs. 1,530 crores . It is almost a quarter one and quarter two. What else you want?

Shravan Shah: And the debt level previously you mentioned by end of the year we will be reaching to Rs. 500 odd crore versus Rs. 1730 odd crore. So, that stance remains the same.
R. S. Raju: At this moment , that stance there is no change. As you are aware, generally the collections are good in the fourth quarter. And this is what makes us believe that we should be able to hit that number.
Moderator: Thank you. The next question is from the line of Parth Thakkar from JM Financial . Please go ahead.
Parth Thakkar : My first question is, what are the outstanding receivables from AP and how much recovery are we expecting in 2H?
R. S. Raju: As far as the AP projects are concerned, there are two categories. One is capital city projects and other category is running projects. So, we have received nearly Rs. 220 crores in the last two months from the AP government towards the running projects. As far as capital city projects are concerned, the outstanding is about approximately Rs. 150 crores is there. That also we expect to receive. There is a good movement and discussions going on with the client . And before March of this fiscal , we expect to receive that amount. So, as far as any other points you have

on the AP projects ?
Parth Thakkar: My other question is can you help me understand what is the pending real estate deal and the land that we sold in Vizag?
Neerad Sharma : If you could please repeat your question sir. I think you are talking ab out the Vizag real estate deal.
Parth Thakkar: Yes.
Neerad Sharma : What remains to be received from them , we have received most of the payment. What remains to be received is about Rs. 23 crore. This is what we had disclosed in the last quarter. What remains to be received from them is let us say that negligible amount of Rs. 10 crore and with that receipt it is also important to understand that we have received the full payment as far as the equity portion of that project is concerned.
Sanjay Pusarla: Another Rs. 15 crores from the loan given to them and that l oan is an interest bearing loan.
R. S. Raju : They started paying the loan amount. Since there is some progress, some sales are happening out of that the consideration what they

received, they started paying the loan about Rs. 15 crores we received in the last month.

Moderator: Thank you. We have the next question from the line of Prithvi Raj from Unifi Capital. Please go ahead.
Prithvi Raj: Could you give some color on, in which geographies are you seeing higher projects that are being awarded? Is it central government? Is it state government? C an you throw some color on what kind of projects are you getting?
Neerad Sharma: Are we getting, Mr . Prithvi, are you asking about the projec ts we are getting or bidding?
Prithvi Raj: Yes, that's right. The projects which are in the pipeline, and which ar e being awarded now.
Neerad Sharma: See, primarily we are getting projects. We have shared one slide. I would encourage you to download and see the slide. But we have received few projects from the state of Maharashtra. We have also received few Jal Jeevan Mission projects. Going forward, we expect a very healthy pipeline of projects, more than Rs. 2 lakh crore , to be exact, Rs. 2.10 lakh crore pipeline of projects to come up for bidding. Primarily, it would come f rom four divisions, buildings, transportation, water and electrical T&D and we might get few projects in the irrigation and mining as well.
Prithvi Raj: And then one specific question on AP, are you seeing any traction there when you're having conversat ions with the state government?
Neerad Sharma: We are hopeful. They have initiated the whole process. And we have been given to understand that the previous project they are planning to close. And they will start the process of award soon. So, as per the information that has been made available to us , we should be able to see concrete action by Q3 or Q4 of the current financial year.
Moderator : Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: Sir, first question is on the prospect pipeline. You said that 2 trillion almost 2 lakh crores for the business. I understand for the next 6 months, right?
Neerad Sharma : Yes, but maybe few states difficult to predict subject to the elections. You are aware that elections have been announced in two of the key states. But yes, overall in the six months or this could also spill to nine months also, depending on the new government that comes to the power, their priorities, their preferences.
Parikshit Kandpal: So, you said that you already got the financial year till date about Rs. 8,256 crores and you are sitting L1 at Rs. 9,200, so approximately you have Rs. 17,000 crores plus kind of projects already in the kitty right ?

Neerad Sharma: That is right.
Parikshit Kandpal: So, balance 2 trillion when you are bidding. So, typically, when you look at your historical bidding ratios, so what kind of conversion have you seen? F or the rest of the year, when you are targeting, so Rs. 20,000-Rs. 22,000 crores, do you think there is a decent possibility of this number exceeding like Rs. 30,000 crores of inflows , given that you are talking about a very large number of 2 trillion for the rest of the year?
Neerad Sharma : Two questions, firstly, there is no fixed percentage. It really depends on the lumpiness of the contract. G enerally , this number would vary for 10% -15% anywhere in that range . It really depends on the lumpiness of the contract . What I essentially mean by that is let us say that there are few very large projects, Rs. 25,000 crore s we have seen, very big projects like bullet train , so big packages if we win or lose , this will change the percentage drastically. So, this is the range

that we have seen in the past.
Parikshit Kandpal : So, 10% itself will mean around 20,000. So, that means, ar e you targeting almost another Rs. 20,000 crores of inflows for the rest of the year?
Neer

ad Sharma : But we are not very sure whether that will really get converted into contracts or not. You have seen that there is a delay. There is a timeline between L1 and the formal award of the contract, receipt of the LOA. So, it is really difficult to predict a timeline. This is not something that is really in our span of control, this is a call that our client has to take. We have seen in the past that the L1 announcement is made and it takes a substantial amount of time to receive the LOA. So, that is the reason we want to be a bit on this side.
Parikshit Kandpal : Just on this advances loans, now you said equity portion has come in for the DP project , sorry I could not get, what is the total quantum of loans which were there and how much we have received and what is the timeline for the balance to come in?
Neerad Sharma : I think the loan is close to Rs. 477 crore which is expected to be paid out in the next 2 years.
Sanjay Pusarla: No, it is 320 plus another 64, Rs. 384 crores including the interest that is outstanding. And this year we have already received around Rs. 15 crores and it is expected that we will receive the balance money also the next couple of years. As Mr. Raju has said before, there is a traction going on there and now the sale is also happening and we are expecting that the market w ill improve there because it is near to the airport which is coming up in Vishakhapatnam. So, likely that these sales wi ll happen and we also have an understanding with them whatever sale that happens that they need to share the money with us through escrow mechanism . There is escrow mechanism in place. Whatever sales happen will go to the escrow account and we will get paid. The time frame is 2 -3 years.

Parikshit Kandpal : 384 is right now the current outstanding right after you have received the Rs. 15 crores .
Sanjay Pusarla: 380.
Parikshit Kandpal : After receiving the Rs. 15 crores which you spoke about ?
Sanjay Pusarla: No, a fter that we receiv ed Rs. 15 crores that means 365 is the outstanding.
Parikshit Kandpal : Sir, j ust on the building segment, if you can help us understand how much, is it all the government projects or do you also have some private projects, private residential projects in that?
Neerad Sharma : There are some projects from the private sector as well. There are some data centers from one of the leading power producers. We have some contracts in the building division from the private sector as well.
Parikshit Kandpal : But you are not looking at adding more projects on the private sector because given that we have a strong presence in the building segment and there is shortage of good quality contract ors in the private real estate, which is now doing well. So, do you think there is an opportunity for us to again look at that segment and add incremental orders?
Neerad Sharma : We are always open to look at the private sector contracts in the building space. It depends on what kind of project s are coming ? What is the value of the projects ? What is the location of the project ? Who is the project proponent ? Depending on that, we do a thorough risk assessment and then decide whether to bid or not.
Parikshit Kandpal : But often talks with developers, leading developers like L1_30.51__ developers, are they considering you for their projects like residential, private residential?
R. S. Raju : Yes, we are right about our participation in the private sector and we have internally taken not to participate in the private sector. Only in exceptional cases where the client is good, where the business relationship is there , so only in exceptional cases, after evaluating thoroughly about the clients, our private clients, performance and payments, then only we are entering. That is why the order book is also not much. It is hardly 2%-3% of the total order book.
Parikshit Kandpal : Si

r, just one more question. We have a very strong balance sheet now , you have settled some claims, you have received some money , we a re receiving the real es tate monetization money , so we are talking about Rs. 500 crores of debt by the CRM , but when I look at the order inflows, you talk about very robust prospect pipeline of 2 trillion, you have already got 17,000 and potentially if your conversion at the lower end happens, you are looking at another Rs. 20,000 crores for the rest of the year, even if it fits in L1. So, in the past, we have had the best year in

order inflow was about 27,000. We have been doing 25 to 27 for some time, but do you think now the time has come given the balance sheet is strong? Now this can be really taken up because

we are a very diversified player and can this number now start going up much higher , like if you
are able to convert this year, it could be potentially very close to about Rs. 35,000 -Rs. 40,000
crores of inflows . Even if it is since an L1, do you think you have that scale and capacity now to
execute th at kind of scale?
R. S. Raju : Yes, you are right on that point of view. And in the same similar line also the management is
working to expand its business. So, at the same time, already in the last 2 -3 years, the Company
increased its turnover , you have seen this average ratio, compounding average ratio of the last 3
years in vice-versa, about 35% is there. So, we have grown to a particular level. From here again,
growing to that level, we have to consolidate the business and strengthen all the department.
That process is going on. And one way also the management is looking to expand and there is
also chance to even book beyond 20,000, 25,000, 30,000 orders also since market also
opportunities for themselves is there. Both the ways we are looking that one. So, it is not that
only we confined to 20 ,000 or 22,000.
R. S. Raju : So, that is the reason actually that guidance we said we are strongly that we believe that we will
be able to achieve minimum guidance.
Parikshit Kandpal : And this, I think Neera d earlier spoke about some bullet train projects, so which is this 25,000
crore project in that pipeline? And if you can name a few large projects in that 2 trillion pipeline, which you spoke about ?
Neerad Sharma : No, Parikshit, I did not mean that. What I was trying to do was to explain to you that how this
percentage could vary widely. There is no project line of the bullet train of Rs. 25,000 crore on
the horizon. It was in the past.
Parikshit Kandpal : But this 2 trillion, what are the larger opportunities, like, which are the larger projects that you
have come up with in your prospect?
Neerad Sharma : The projects , I couldn't identify, but I will talk about the sectors, for example, the metro projects,
all the length and breadth of the country, there are metro projects coming up. There are also
plans to lay new railway lines. So, these kind of projects, there are projects planned in the water
space, RDSS, lot of projects are expected to come up for transmission and distribution. So, these
are the verticals that have most of the projects in the pipeline.
Moderator : Thank you. The next question is from the line of Prem Khurana from Anand Rathi Share s &
Stock Brokers. Please go ahead.

Prem Khurana : Sir, I have two questions. One was, would you be able to share some more on the L1 pipeline
that you have almost around Rs. 9,000 odd crores , which all segments were taken? What do you
think you would, the Bharat Net phase bringing awards, is there anything to say about that?
Neerad Sharma : The first question, Mr. Khurana is, a s a matter of policy, we do not really talk about the L1
project except to share the value. We do not know by what time these L1s are going to get
converted into LOAs. So, we ju

st talk about because we were ask ed these questions , so we have
put it in number. But yes, this project that you just talked about is Bharat Broad band Net, we
also got to know about these L1 projects. So, unless and until we receive a formal communication
from the client, we do not really wish to announce that.
Prem Khurana : So, does it mean that we are saying that this 9000 would not include any of these news that has
been there in the market because you have yet to receive any communication, and it is still not
a part of this?
Neerad Sharma : No, but L1 I shared, we have not, we don't share the details of all the projects, but this is part of
the total value that I just . And I said this is upwards of Rs. 9,000 crore. If you a re talking about
this Bharat Net, we understand that some packages have still not been opened, the client will
decide which one to award, when to award, this is something that is ex pected to take some time.
Prem Khurana : If you just to understand the thought process, we recently picked up the smart metering orders where in mind
there will be a significant amount of bought out component, I have been assuming
you have these Bharat Net orders, Bharat Broadband, there again, there will be optical fiber that
you would have to source from someone else. So, has there been some change in the thought
process wherein we are going for projects wherein there is a significant portion which is in the
form of bought out components? Or is it that the size is so favorable that you can't ignore th is
sort of opportunities?
Neerad Sharma : These are really the large opportunities and otherwise also in few of the projects that we execute,
other than these two new areas, there is a significant part of the bought out items. So, we have
been executing those kind of projects in the past. And we have the expertise, and these are the
emerging areas , so why not whenever big opportunit ies come up in front of us, it is better to
evaluat e those opportunities and decide not to participate. So, that is the reason we are always
open to look at these kind of opportunities.
Prem Khurana : I was wondering, given the sort of size that we are targeting these days in terms of the project
sizes, and given these are fairly large, wherein you won't get to the sort of competition that you would get to have with smaller
orders , fair to assume, you are targeting higher margins with

these opportunities, then what we generally tend to deliver in terms of average number ?

Neerad Sharma : It is difficult Mr. Khu rana to really predict a margin at this point of time. As you rightly highlighted, these are the new areas and we have bagged these projects almost for the first time. So, there is going to be a learning curve, and it is premature really to talk about the potential margin that we will really make on these projects. Let the projects move forward. Let us execute 30%-40% of the project. I think that would be the right time to talk about the margin. Otherwise , this would be little premature to commit a number.
Prem Khurana : And just one last if I may, would you be able to share status on the GML R project?
Sanjay Pusarla: As far as the GMLR project is concerned, we have already placed the orders for the TBM machines and both the partners and for clearance, we are waiting for the clearance. There was a change in the location and there is a likely that the tunnel length also will get increased. So, that is the reason we are waiting for permission from BMC. It is expected to come in maybe the third quarter end. So, once it comes , then the project will completely take off.
Moderator : Thank you. The next question is from the line of Nikhil Abhyankar from UTI Mutual Fund. Please go ahead.
Nikhil Abhyankar : I had a speci fic question regarding the smart metering project that we are doing, the two projects. Sir, can you tell

us about the experience as in how is the execution going on, and when should we expect to complete? Have we completed a part of the project wherein we have already started receiving the….
Neerad Sharma : Firstly, as you are aware, we have bagged three projects. Two projects are from the state of Maharashtra. The order value of these two projects is close to Rs. 5,700 crore s. And the third project that we have bagged is from the state of Bihar. The value would be about Rs. 2,300 crore s order value. As we have shared in the last conversation with you, we have started the trials for the Bihar state. We have already installed some meters, a couple of lakh meters have already been installed in the state of Bihar. Maharashtra, we have been asked to go a bit slow. The government has decided to defer this project for a few months and as you are aware, the election has already been announced in the state of Maharashtra. So, we will wait for a couple of month s' time, let the new government come to power and t hen we are hopeful that the execution would start. But to answer your question specifically, this project we have been asked to go slow, Maharashtra project. Bihar, we are making good progress.
Nkhil Abhyankar : I wanted to ask about you mentioned that we have commissioned a couple of million of smart meters. So, have you started receiving annuities on those?
Neerad Sharma : No, we have not received the annuity as per the contract. We have to demonstrate the successful connectivity for the sample size of the project, which is about 5%. So, once we install, it is not about the installation of the meters only. There is a network connectivity. These meters are

expected to work like a mobile phone, either on RF , radio frequency or mobile network. Then we have to connect this with the local server that is going to get connected to the billing server of the DISCOMs. So, the annuity hasn't started. Once the sample testing is done, then we will receive the green signal from the client to start rolling out the project, for the rest of the households. Then this cycle would start. As we speak, this hasn't started.
Sanjay Pusarla: One small correction it was not 2 million , it was 2 lakhs . So, that is the reason you are asking whether annuity has started .
Nikhil Abhyankar : And just a final question regarding sir, there is a lot of opportunities coming out in the renewable sector, especially in the solar EPC segment . So, are we looking to participate in those?
Neerad Sharma : Currently, we are studying the sector. We are not participating currently in these bi ds, but we will evaluate and decide an appropriate point of time.
Moderator : Thank you. The next question is from the line of Vishal Periwal from Antique Stock Broking. Please go ahead.
Vishal Periwal : First is on, I think you mentioned investments in subsidiary and loans given totally to roughly Rs. 1,400 odd crores Is it possible to be broad headline subsidiary where the investment is?
Sanjay Pusarla: The investments and loans together Rs. 3,500 crores , out of that u rban is Rs. 229 crores and NCC IHL is Rs. 559 cror es and NCC IHMPL that is Rs. 223 crores and Oman it is Rs. 57 crores, Vizag urban is Rs. 416 crores and rest of the other things.
Vishal Periwal : So, in this smart metering one, how much ?
Sanjay Pusarla : Still we have not invested anything, we have invested barely Rs. 10 crores in that and once the financial closure is completed and the project takes off it will be done and as you know that one smart meter project is within NCC itself and the two other projects are with the SPVs .

Vishal Periwal : The two in subsidiary is the Maharashtra one ?
Sanjay Pusarla: Both are in Maharashtra. That is the requirement as per the tender events .
Vishal Periwal : And on this order book sir, the console minus standalone order book that if you do, then

the
difference is coming from the Pach hwara or anything else also?
Neerad Sharma : Majority of the part is from Pach hwara, one small part from the smart meters.

Moderator : Thank you. The next question is from the line of Priyesh Babariya from Mahindra Manul ife Mutual Fund. Please go ahead.
Priyesh Babariya : Sir, just similar question to what Prem was asking. Let us say if we look at the pipeline of around Rs. 2.1 lakh crores that you have mentioned, assuming this sort of projects could be a large project and also, we are looking out to bid f or the large projects and especially the projects where the bought out components will be kind of higher. So, what sort of margin profile are we actually looking at or what sort of trajectory do you see , let us say, in the next 2 -3 years that factor the execution of these kinds of projects where value addition for us will be less?
Neerad Sharma : This question has already been answered. I have offered a detailed answer to this question. So, anyway, to reiterate, as you highlighted, some of these segments are new segments and it is really premature to talk about the possible margins. In these pipelines, the projects would come up for bidding, a lot of people would bid, we would be successful i n some bids, some bids will not be successful. Then we will start the execution of the project , then that would be the realistic time to talk abo ut the margin that we will really end up with. It is premature to talk about the margin that we will make on these new segments, new projects.
Priyesh Babariya : And another thing is that it would be really difficult to actually to change the margin beyond 10% or so, considering that this project will be very large ?
Neerad Sharma : See, we have already shared the margin guidance with you, and we do not wish to revise that. The guideline, the margin that we have shared with the state is EBITDA margin of 9.5%- 10%. And we continue to stick with the same number. Maybe , we might hit at the lower end of the band, as things stand today. But we have to wait and watch.
Moderator : Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.
Vaibhav Shah: Sir, out of our current standalone order book as of September, what would be the executable portion, a ballpark number would do?
Sanjay Pusarla: The order book standing for the standalone as at the end of September is Rs. 48,027 crores. And out of this , generally what happens is that 20% to 30 % of this is executable generally. So, if you take 30 % also, 12,000 is executable in the current year.
Vaibhav Shah: What I meant was, how much is currently under execution? What is the value for which the execution is yet to start ?
Sanjay Pusarla: Yet to start there is nothing right now because the project is regarding only the smart meters where the EPC contract was there where t here was a whole little bit in the case of Maharashtra

but there we are going ahead. As far as the Malad is concerned , I have explained you that there is a Supreme Court order to restart the project and we have restarted the project and the land filling everything is over, the tree cutting is happening, we are waiting for some permissions . When that comes and due to the rains also in Mumbai region , the progress was also not as expected but the coming quarter we are expecting a good progress . And as far as the other projects like G MLR , we said very clearly explained before that because of change in alignment or change in the location they are, w e are waiting for the approvals from the BMC. Once that comes in, then that process also will take off. Otherwise, all other projects are going on, running projects.
Vaibhav Shah: So, secondly, what would be our order book of JJM pr ojects from UP as of September?
R. S. Raju:

By the end of September, it's Rs. 5467 crores.
Vaibhav Shah: Earlier indicated that we were targeting to complete the entire book by March ‘2 5. So, what would be a revised target for these now?
R. S. Raju: Like this, as we explained the shortfall in the turnover in the current quarter is also because of the unprecedented rains in UP and also the elections and all. Now we are expecting that majority of the work will be completed by March ‘2 5 and maybe a fraction of work will be left over which will be done before June 25. That is the timeline.
Vaibhav Shah: And lastly, when do we expect to receive the LOAs for the MSRDC 2 packages?
R. S. Raju: We are waiting for the government to come in. And because of the election code, they are not

able to do that. Once the elections ar e over, it's likely can happen.
Vaibhav Shah: And in the previous call, we had mentioned that the outstanding receivables from AP , overall, the total number was somewhere close to Rs. 550 crores. So, is the number still the similar?
R. S. Raju : We received around Rs. 200 crores in AP. We received money from AP in respect of A AIB projects and ADB projects, and also APMSIDC projects. What are all projects which are running, other than capital city projects , we have received the mon ey now. The money flow started.
Vaibhav Shah: So, only 150 is pending from the capital city and entire running projects, money has been received?
Neerad Sharma: There are two parts as my colleague Mr. Raju has already explained. From the old project that is AP Capital City, we have to receive about Rs. 150 crore s. Other than that , there are running projects in which we have already received about Rs. 220 crore s. So, it's a running project. What

it essentially means is every month we will raise the bill, we will do the work and the client will pay. It's a cycle.
Vaibhav Shah: Okay, so what are the current outstanding for the running projects?
Neerad Sharma: Total outstanding including the running projects and the A P Capital City is Rs. 450 crores.
Moderator: Thank you. The next question is from the line of Ankita Shah from Elara Capital. Please go ahead.
Ankita Shah: Out of the total inflow that is received in this year, including the L1, how much portion of projects will be from the state of Maharashtra?
Neerad Sharma: The share of projects in Maharashtra is out of the total order book somewhere around...
Ankita Shah: Not order book sir , inflows.
Neerad Sharma: 42% of this total number.
Ankita Shah: Of inflows you are saying?
Neerad Sharma: And if we include the total order book, about 38 55:41___ is from the state of Maharashtra.
Ankita Shah: No, that I have seen in the presentation. 42% of the inflows that are already announced in the first half of the y ear is 42% is from Maharashtra.
R. S. Raju : That amounts to Rs. 2,150 crores.
Ankita Shah: Plus L1 also, there will be some orders from Maharashtra.
R. S. Raju : That is a different location that is Nagpur.
Neerad Sharma : Madam, we really don't talk about the L1s till the time we receive the LOA. So, we really don't take that into account until that gets converted into LOA.
Ankita Shah: So, this Rs. 2,150 crores doesn't include any L1 orders, only order inflow?
Neerad Sharma : Yes. That's right .
Ankita Shah: And sir, you're talking about reduction in debt in the second half of the year to Rs. 500 crores. So, with this how much would the interest outgoing P& L will reduce to? Last year we reported Rs. 595 crores as interest expenses. How much will this reduce to for FY25?

Neerad Sharma : As it stands today madam , if you see that the debt levels are almost like similar for quarter one end and quarter two end. So, the problem is on the collections. So, the expected collections are there. Then definitely the debt level w

ill come down. Maybe by Rs. 500 crores it may come down. So, it will be in the same range as at the end of last year.
Ankita Shah: So, you are saying interest expense will be same as last year?
Neerad Sharma : Interest expense if you ask me if the percentage in fact if we compare for the last year and current year for the half year, it was exactly the same number. It was coming to 3.12%, in fact it is a reduction . 3.12% in the last year and 2.99% in the current year, that entire finance cost of netting off the interest income. If you talk about only on the loans that is also like 0.88 % last year and that has come down to 0.86% .
Ankita Shah: But the main reduction will happen in the second half of the year only, so what is the expectation of interest cost reduction in the second half of the year?
Neerad Sharma : It will be on the same line, madam. So, it is expected that we'll have the same line, maybe a few points here and there.
Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead.
Saket Kapoor: Sir, when we look at our employee cost and the finance cost Q-on-Q basis, that has gone up. So, what explains this increase in employee benefit expenses from Rs. 182 crore to Rs. 196 crore?
R. S. Raju : Two things in this. The increase is on account of one is on the salary increase which is about 8% and on account of the count of employees increased, the number of employees also increased ,

that is about 2.5% . So, considering that , that increase is there.
Saket Kapoor: And about the finance cost also sir, although you mentioned that as a percentage of turnover , it has reduced but on absolute number , it has gone up Q -on-Q although the turnover on consol level is lower.
R. S. Raju: If you see the immediate quarter, immediate quarter it was Rs. 155 crores and the current quarter at the consolidated level is Rs. 166 crores.
Saket Kapoor: Yes sir, that is why my question. What explains this increase there?
R. S. Raju: The excess utilization or more utilization of bank guarantees and letters of credit.

Moderator: Thank you. The next question is from the line of Shouvik Chakraborty from Dol at Capital. Please go ahead.
Shouvik Chakraborty: Can you just mention the revenue book for the JJM project in quarter 2? I missed that number.
R. S. Raju: The revenue for the JJM project in the Q2 is Rs. 1100 crores.
Shouvik Chakraborty: The pending execution, how much does it stand at?
R. S. Raju: Rs. 5,460 crores.
Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Mr. Vaibhav Shah for closing comments. Over to you, sir.
Vaibhav Shah: There is one question from my end. Sir, we had mentioned that the order book for JJM was around Rs. 6,000 crores as of March '2 4. Now it is 5 ,500. So, how do we explain the execution of Rs. 1100 crores in 2Q?
R. S. Raju: Just to give you a clarification, the order book which was received by us is around Rs. 17,000 crores and the work executed till date that is end of 30th September is Rs. 11,137 crores and the balance order book as at the end of September is Rs. 5,467 crores. So, if there are some other numbers which we have told earlier, please, they stand corrected now.
Vaibhav Shah: Sir, what was the turnover in the first half?
R. S. Raju: In the first half, it is Rs. 2,332 crores. The quarter one is Rs. 1,212 crores and the quarter two it is Rs. 1,120 crores.
Vaibhav Shah: What was your order book as of March '2 4?
R. S. Raju: Rs. 7,700 crores.
Vaibhav Shah: Thank you. Thanks a lot for giving us the opportunity to host the call. So, any closing remarks from your end?
Neerad Sharma : Thank you very much for participating in the interactive meeting that we have had. Should you have any more questions , you are f

ree to get in touch with us. We would be very happy to answer any questions that you might have subsequently. Goodbye. Thank you very much.
Moderator: Thank you. On behalf of JM Financial, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Feb 2025

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Ref. No.: NCCL/ Reg.30/Dec- 24
Date : February 11, 2025

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Mumbai - 400 051
Symbol: NCC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai – 400 001
Code: 500294

Dear Sir,
Sub: Submission of Transcript of the audio conference call held on February 6, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed herewith the transcript of the earnings audio conference call held on February 6, 2025, with analysts discussing the performance & financial
results of Q 3 of the FY 2024- 25. The transcript is also available on the Company's website at
https://www.ncclimited.com/analyst- column.html
Kindly take the above information on record.

Thanking you,
Yours faithfully
For NCC Limited

Sisir K Mishra
Company Secretary
Encl: as above

"NCC Limited Q3 FY25 Earnings Conference Call"

February 0 6, 2025

M
ANAGEMENT : MR. R. S. RAJU – DIRECTOR OF PROJECTS, NCC
LIMITED
MR. SANJAY PUSARLA – EXECUTIVE VICE PRESIDENT ,
FINANCE AND ACCOUNTS , NCC LIMITED
MR. NEERAD SHARMA – HEAD, STRATEGY &
INVESTOR RELATIONS , NCC LIMITED
MODERATOR : MR. VAIBHAV SHAH – JM FINANCIAL

NCC Limited
February 06 , 2025

Moderator : Ladies and gentlemen, good day and welcome to the NCC Limited Q3 FY25 Earnings
Conference Call hosted by JM Financial Institutional Securities Limited .
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing '*' , then ' 0' on your touchtone
phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vaibhav Shah from JM Financial Institutional Securities. Thank you and over to you, sir.
Vaibhav Shah: Thank you. On behalf of JM Financial, I welcome everybody to 3Q FY25 Earnings Conference
Call of NCC Limited.
We have from the Management today, Shri R. S. Raju – Director of Projects ; Shri Sanjay Pus arla
– Executive Vice President and S hri Neerad Sharma – Head, Strategy and I nvestor Relations.
Now, I hand over the call to the Management for "Opening Remarks" which will be followed
by a Q&A session . Over to you , sir.
Neerad Sharma: Good evening, everyone. At the very outset , I thank each of you for taking time to attend this
interactive meeting.
I have with me my colleague, Mr. R. S. Raju - Director of P rojects and Mr. Sanjay Pusarla -
CFO. Today , we have declared our Results for the 3rd Quarter of the Financial Year '25 . Hope
you had an opportunity to download and study the results and the investor presentation uploaded
on our website and shared with the stock exchanges.
Before I begin this interactive meeting, I will read out the disclaimer :
The Presentation may contain certain forward -looking statements concerning NC C's future
business prospects and business profitability, which are subject to a number of risks and
uncertainties and the actual results could materially differ from those in such forward -looking
statements. The risks and uncertainties related to these statements include but are not limited to
risks and uncertainties regarding fluctuations in earning our ability to manage growth,
competition, both domestic and international , econo my growth in India and ability to attract and
retain highly skilled professionals , time and cost overruns on contracts , our ability to manage
operations, government policy and actions with respect to investments, fiscal deficits, regulations, geopolitical risks, interest and other fiscal costs generally prevailing in the economy.
The past performance of the Company may not be indicative of future performance.

This interaction is broadly divided into 3 parts. In the first part, I will talk about a brief overview
of the business environment and prospects for our Company . In the second part, our CFO will
give a brief about the financial performance of the Company for the second quarter. In the third
part, we will attempt to answer any questions and clarifications that you might have. To give
you a brief wrap up of the Indian economy, according to the Economic Survey 2024- 25, the pace
of the Union G overnment 's capital expenditure in major infrastructure sectors was affected
during first quarter of the current financial year , largely due to the mod el code of conduct during
the general elections. Further, the unusual pattern of the last monsoon season also slowed down
the progress of work.
The Union B udget for FY26, which was presented recently, has continued its thrust on
increasing CAPEX . The budgeted CAPEX has increased by 10.1% from Rs. 10.20 lakh crore in
FY25, which is a revised estimate to Rs. 11.2 lakh crore in FY26. The grants i n adds for creation
of capital asset has increased from Rs. 3 lakh crore in FY25 early to Rs. 4.3 lakh crore in FY26.
The CAPEX of central public sector enterprises has increased from Rs. 3.8 lakh crore in FY25
t

o Rs. 4.3 lakh crores in FY26. Therefore, if we take all these factors into account, the total
CAPEX has increased from Rs. 17 lakh crore in FY25 to Rs. 19.8 lakh crore in FY26, which is
an increase of 16.4%.
On the performance of our Company :
We are seeing a healthy pipeline for future projects. We had a prospective project pipeline of
more than Rs. 2. 4 lakh crore. We are currently sitting at an order book of Rs. 55,548 crore s. We
take this opportunity to share with you the fact that we have decided to revise the guidance earlier
shared with you. Earlier , we had shared with you an order inflow guidance of Rs. 20,000 -Rs.
22,000 crore which we decided to retain. But we are revising the revenue growth downwards to
around 5% and EBITDA margin around 9. 25% for the current financial year. We have witnessed
the slow pace of execution due to general elections and elections in some of the states.
Additionally, some of our projects have seen elongated billing and payment cycles, leading to a
slowdown in execution.
Now, coming back to the performance of our business divisions :
In our two large divisions , that is buildings and transportation division, we continue to s ee a very

good traction and healthy pipelin e of project. We have an order book of Rs. 21,085 crore, which is about 38% of our total order book in buildings and Rs. 10,800 crore s which is 19% of our total order book in the Transportation division. Our W ater division has an order book of Rs. 5,450 crore, which is about 10% of our total order book. In our electrical T&D business, we have an order book of Rs. 10,633 crore as of 31st December 2 024 which is about 19% of our o rder book. The order book in the Irrigation division is Rs. 4,496 crore as of December end, which is about

8% of our order book. The order book of the Mining d ivision at the end of 9 months is Rs. 3,050 crore, which is about 5% of our total order book.

Now, I will hand over to our CFO – Mr. Sanjay Pusarla with a request to cover the detailed financial performance of the Company.

Sanjay Pusarla: Good evening to all of you. I am pleased to announce the “Financial Results” of Q3 of Financial Year ‘25 .

My announcement will be in the order of order book, revenue, profitability, debt movement and some of the important balance sheet items. To start with the order book, our order book stands at Rs. 55,548 as at the end of December 2024. You are aware that the order book at the beginning of the year is Rs. 57,536 crores and order received during the 9 months is Rs. 13,608 cores, of which in Q3 we received Rs. 8,440 c rores. So, we have executed Rs. 15,590 cores of work during the first 9 months and the order book stands at Rs. 55,548 crores.

Coming to the Revenue:

On the standalone, turnover reported in Q3 FY25 is Rs. 4,720 crores as against turnover of Rs. 4,773 crores in the previous year. During the 9 months, the cumulative turnover is Rs. 13,947 crores as against Rs. 12,951 crores reported in the previous year 9 months.

Coming to the Consolidated:

The turnover reported in Q3 FY25 is Rs. 5,383 crores as against turnover of Rs. 5,288 crores in the previous year. During the 9 months turnover, it is Rs. 16,166 crores as against Rs. 14,441 crores reported in the previous year 9 months .

Next, coming to the Profitability at the Standalone level :

We achieved EBITDA of 8. 77% for Q3 as against 10.1% of the corresponding quarter of the previous year and for 9 months , current year we achieve d EBITDA of 9.04% as against 8.84% in the 9 months of the previous year. Profit before tax at th e standalone level is 5.18% and PAT is 3.91% in the current quarter as against PBT of 6.24% and PAT of 4. 46% e arlier . At a consolidated level we have achieved EBITDA of 8.25 % and PBT of 5.02% and PAT of 3.59% in the current quar ter that is Q3 as against EBITDA of 9.61% , PBT of 6.1

5% , and PAT of 4.17%

of the previous period. The main reason for the reduction in Q3 of FY25 compared to FY24 is on account of low budgeted turnover and because of the lower turnover, lower absorption of fixed costs what had result ed in lower EBITDA and lower profit.

Coming to the Debt moment :

The de bt at the beginning of the year stood at Rs. 1 ,005 crores and net debt after cash and cash equivalen t is Rs. 517 crores at the end of Q2 which stood at Rs. 1,733 crores and net debt of Rs. 1,624 crores. And at the end of Q3 that is at the end of December 24, the same was at Rs. 2,415 crores and net debt is Rs. 2,343 crores. There is an increase in debt by Rs. 680 crores compared to Q2. The debt equity ratio stands at 0 .33 at the end of Q3 as against 0.25 at the end of Q2.

Coming to the Working Capital:

Working capital at the end of Q3 stands at Rs. 5,488 crores w hich is 32% of the turnover . In terms of working capital days, it is 9 5 days . These working capital days w ere calculated excluding cash and margin money deposits.

So, coming to the Debtors:

Debtors outstanding at the end of Q3 has increased from Rs. 2,793 crores to Rs. 3,142 crores and the number of days also increased from 65 days to 74 days in the current quarter . And unbilled revenue stands at Rs. 6,151 crores, which is 33% of the revenue for Q3 as against Rs. 5,221 crores, which is 29% Q2.

Coming to the Mobilization Advances:

Mobilization advances stand at Rs. 1 ,977 crores as against Rs. 2,096 crores showing a reduction in the mob advances and recovery by the client s by Rs. 119 crores. This is also one of the reasons for our debt levels increase. And it is standing at 4% of turnover . Of these mobilization advances , we have 78% of these advances are interest pairing and the average interest rate comes to 9.57%.

Next coming to CAPEX:

We have incurred a CAPEX of Rs. 253 crores in the current financial year as against the
budgeted CAPEX of Rs. 250 crores for regular projects.
So, coming to the Ratios:
The RoCE stands at 13.13 as against 14.04 at FY24 end. Return on net worth against PBT is
13.87 as against 13.88 . EPS stands at 8.70 as at the end of Q3. For March, it is 10.10.
With this, I conclude the announcement of the "Financial Results" for Q3 FY25. Thank you.
Moderator: Thank you very much, sir. We will now begin with the question -and-answer session. Anyone
who wishes to ask a question may press '*' and 1 on their touchtone telephone. If you wish to
remove yourself from the question queue, you may press '*' and 2. Participants are requested to

use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while
the question queue assembles. The first question comes from the line of Shravan Shah from
Dolat Capital. Please go ahead.
Shravan Shah: Thank you, s ir. Sir, a couple of things. So, first, just trying to even if let us say 5% of the revenue
guidance that we have reduced from 15% plus to 5%. So, that also if I broadly calculating it
means that in the 4th Quarter also we are looking at kind of 1% kind of a degr owth, so if you
can clarify that ? And in terms of the margin when we are saying 9.25% for full year, so 9 months
we have 9% , so in 4th Quarter , are we now again looking at 9.5 %-10% kind of a margin and is
that margin sustainable going forward?
Sanjay Pusarla: So, this margin , whatever we gave the guidance now revised to 9.25% as you said, we are
expecting the margin should be around 9.5% in t his quarter 4, so that the re ason we thought it
will be around 9.25%. So, this at the moment it is sustainable.
R. S. Raju: As far as revenue growth, the first question, what you asked is the de growth in the 4th Quarter
as against what we given the guidance in 4th Quarter about some -1% or 2% will be there in t

he
revenue so that it is close to the 5% growth in the year as a whole.
Shravan Shah: What I am trying to understand is that are we seeing across the board kind of a slowdown in the execution
and that is why we are now significantly lowering the number. So, I understand we
also don't give the guidance for FY26 now, but on the directionally front as now, we have reduced the growth for this year ,
can we see a kind of a 10% kind of a range plus kind of a
growth at least in the FY 26?
Neerad Sharma : Mr. Shravan Shah , FY26, we have not started, really working out the numbers. W hat happens
is, by 31st March, generally we are able to close each of the projects that we are executing, which
are quite a few about 150 -160 odd. Then we are in a position to know how much is possible
from each of these projects for FY26. And generally, we work out these numbers in the month
of April and May. I think once when we announce our annual result s in the month of May, we
should be in a position to talk ab out the guidance for FY26. This is not possibly the right time
to talk about FY26.
R. S. Raju: Now, you talked about across the board. Now , we have several projects across various states. It
did not happen across all the project s the slow movement , but in some of the schemes, some of
the projects only the slowness is experienced, so it is not so for all these things. Whatever new
projects we pick up in the current year , what are projects we are going to pick up and in the
Financial Year '25 -26, the scenario again different, the trend indicates that in the last 3 years,
we have continuously shown growth of around 25%. So, in this year, because of the specific, the
general elections happen and also some elections in some of the states happened, w e have seen
two things now generally given the slow pace for this current year.

Shravan Shah: Got it. Sir, c ouple of data points for the balance it what is left if you can set and also in terms of
the right now what is the value of the L1 projects and then I will spell out the balance numbers
which I need ? Hello sir, are you able to hear me?
Sanjay Pusarla: Yes, we can hear you. The L1 project in the pipeline is roughly about Rs. 9,000-Rs. 10,000
crores.
Shravan Shah: Got it. And what is the retention value and the exposure in terms of the investment in JV s and
associates as on December. So, in September it was Rs. 1,411 odd crores, so what is the value
as on December ?
R. S. Raju: There is no change in the investments.
Shravan Shah: Also, the loans and advances , so that number Rs. 1 ,411 crores stands remains the same as on
December also ?
R. S. Raju: Rs. 1,411 crores and loans are Rs. 388 crores , about Rs. 7 crores increase is there in the 3rd
Quarter .

Shravan Shah: And ret ention value is how much?
R. S. Raju: It was Rs. 1,757 crores.
Shravan Shah: Sir. Thank you. I will be in queue. Thank you.
Moderator: Thank you. The next question comes from the line of Prithvi Raj from Unif i Capital. Please go ahead.
Prithvi Raj: Yes. Sir, I just have a couple of questions. First question in the opening remarks, you have made a point that in some of the project you are seeing a delay in the payment cycle. Could you just explain a bit more on this, which are the kind of projects where you are seeing an issue on the receivable side?
Sanjay Pusarla: It is general in nature because of these elections at the central level and the state level , when there is change in the political parties, in the systems, and there is bound to be some delay in the release of payment. So, that is happening now we are going through t hat cycle. Probably , now the government has settled , improvements will be expected .
Prithvi Raj: And secondly, on the Maharashtra, you have a sizeable exposure there. How is ground level activity? I understand may be last quarter, it got impact

ed because of elections, but are we seeing an improvement on execution in this quarter? Or still there are issues going on there ?

Neerad Sharma : I thin k things should pick up now. The elections are very much behind us and there is a new government in place. So, we expect things to pick up now.
Prithvi Raj: And finally on the order flow, you maintain the guidance, but what kind of pipeline are you witnessing ? Which are the sectors , which are the geographies , where you are seeing an order flow or project pending that is happening that gives you confidence that you will achieve the guidance number ?
Neerad Sharma : Yes, I have shared at the very start, we have a prospective pipeline of project. It is not there in one state, across the s tates and across the verticals and I am happy to share with you this prospective pipeline of project the value is about Rs. 2. 45 lakh crore. It is in all the verticals , all the seven verticals in which we operate and it is in almost all the states, large states at least.
Prithvi Raj: I will join in the queue .
Moderator: Thank you. The next question comes from the line of Jainam Jain from ICICI Securities. Please go ahead.
Jainam Jain: Sir, thank you for the opportunity. Sir, w e have guided the order inf low guidance of Rs. 20,000 crores, but in the 9 months FY25, we have only received the contracts worth Rs. 13,600 crores. So, are there any specific contracts in which we are expecting L 1 in the coming quarter which would help us make the order inflow guidance for this year ?
Sanjay Pusarla: Just before this question, someone was asking us about the L1 orders. We said somewhere Rs. 8,000-Rs. 10,000 crores , we are in the L1 position . So, we are expecting those orders to get materiali zed in the quarter .
Neerad Sharma : That is what makes us confident to achieve the number . This is not one project or two projects. There ar e multiple projects, so the value would be in that range.
Jainam Jain: So, sir, what are the projects included in the L1 amount and like we expect all the LOAs to be received in the Q4 FY25?
Neerad Sharma : It is difficult. See, at the end of the day , it is a client’s call . When the client finally decides to award the contract is somethi ng difficult . But as we speak, we are confident, and we are reasonably hopeful that this L1 should get converted into LO As.
Jainam Jain : So, what are the project s included in that amount?

Neerad Sharma : I think all that we do is we share the bracket of the projects. We don't really spell out the list of all the projects because it is difficult, there are cases where the L 1s do not really get converted into LO As. So, as a matter o f policy , we only talk about a specific project when LOA is received.
Jainam Jain: And sir, we have seen a huge increase in debt levels in this year to Rs. 2,415 crores from Rs. 1,000 crores in F Y24. So, what will be the reason for that? Also, the reason for spike in working capital days ?
Neerad Sharma : Could you repeat your question please? I couldn’t understand, could you please repeat your question? Yes, is there some echo?
Jainam Jain: Am I audible right now?
Neerad Sharma : Yes. Please tell me. There was some echo earlier , so we couldn't understand your question.
Jainam Jain : Sir, we have seen a huge increase in debt levels compared to previous year , so w hat is the reason for that?
Sanjay Pusarla: Debt level increase. We have already explained you that there is a slowdown in the payment

mechanism because of these elections and all that is the reason if you see the d ebt level has increased . At the same time, my unbilled revenue also got increased. So, whatever money we are spending today, it is waiting for the certification from the authorities once that is done and now we expect that the governme

nt is settled at all the places , we expect that conversion will happen and it will help us in reducing our debt levels shortly .

Jainam Jain : Alright. That answers my question. Thank you and all the best .

Moderator: Thank you. The next question comes from the line of Deepak Poddar from Sapph ire Capital. Please g o ahead.

Deepak Poddar: Thank you very much for this opportunity. So, just I wanted to take this de bt level point forward. So, you mentioned about reduction in debt levels, s o what sort of debt target we would have by FY26 end and overall FY26 as well ?

Sanjay Pusarla: Today , I will not be able to tell you what it can be, because we are waiting for the government to act on that and once the payment positions improve then we will be able to fairly estimate and come back to you.

R. S. Raju: So, generally in the construction industry, the inflows that collections from the clients happen in the 4th Quarter , particularly in the March month. So, thereby whatever debt level is there at this moment, we expect that comes down. And moreover, we have a lot of amount to receive from

the clients what we explained already that there is a slow mechanism of b illing , certification happening in various projects. So, already persuasion is made with various clients across various states, t hereby there is a good chance to collect more amount as a result the debt from investment in water is there that comes down, but we can't exactly tell the figure, it may be Rs. 1,500 crores or it may be Rs. 1,000 crores also. So, at this moment , we cannot tell, but there will be some decline in the present level of debt we are expecting.

Deepak Poddar: Rs. 1,350 crores, right. That is the debt level we have?

Sanjay Pusarla: We have the debt level today at Rs. 2,415 crores .

Deepak Poddar: Rs. 2,415 crores is what our current gross debt levels are ?

Sanjay Pusarla: Yes.

Deepak Poddar: Understood. And t he point you mentioned about slowness because of which your F Y25, we are underperforming, right? Earlier we were quite confident of 15% kind of a growth and now we have revised down to 5% kind of a growth.

Sanjay Pusarla: Exactly. That is the purpose where we are restating our expectations.

Deepak Poddar: But things have settled down and you are seeing improvement at the ground in terms of activities and so some comment on that would be helpful, sir?

Sanjay Pusarla: Touchwood, today , we could see there is an improvement that is can be seen physically on the ground.

Deepak Poddar: And just one last query on the margins. So, 4th Quarter , we are targeting around 9 .5% kind of an EBITDA margin, right as per your guidance that you have given. So, what will drive margin improvement?

Sanjay Pusarla: In general, because even earlier also we were expecting because the m oment you have the turnover , say at the expected level, the margin will be at the guidance level of 9.5% . This is what we are expecting in the 4th Quarter . It should normalize. If it normalizes, I will be getting a margin of 9.5% which will help me to average it out to around 9.25%.

Deepak Poddar: And also because of leverage, you are expecting much higher revenue in 4th Quarter , right? That will give you some advantage in terms of higher scale of your revenue right?

Sanjay Pusarla: Generally, what happens in the 4th Quarter in any construction industry, 4th Quarter revenues are higher than all the earlier three quarter. So, the same expectation we are having even today.

Deepak Poddar: Great. And just one final thing. FY26, anything you can, some range you can throw some light, what sort of growth range we are looking at that would be helpful ?

Sanjay Pusarla: Neerad already explained to you that we have our budget meeting somewhere in April and definitely , we wi ll come back to you

with our guidance at that point of time.

Deepak Poddar: Fair enough. That is very helpful. All the very best to you. Thank you so much.

Moderator: Thank you. The next question comes from the line of S hravan Shah from D olat Capital. Please go ahead.

Shravan Shah: Thank you, sir. Sir, 2 -3 data points , inventory and payable as on December is how much?

Sanjay Pusarla: Inventories is Rs. 1,442 crores which is almost Rs. 27 crores less than September 24. And coming

to the payables , it is also Rs. 6,943 crores , retention payable also right?
Shravan Shah: Understood. Second , sir, now , in the 4th Quarter , in terms of the CAPEX, so Rs. 223 crores, we have done , so we will be doing the balance Rs. 25-Rs. 27 odd crore s or it would be lower?
Sanjay Pusarla: It is for the regular project . As and when we require it we buy it. There are no further capital - intensive project maybe for the next one month, but this gap whatever is there the Rs. 27 crores, it is like any other year in a normal course, whenever there is a requirement that comes from the project that will be taken.
Shravan Shah: And for JJM projects , sir, how much now we would have executed and what is the left? So, just wanted to understand there also there is a decent slowdown in terms of the execution ?
Sanjay Pusarla: Rs. 8,000 is at the beginning of the year, a nd Rs. 3,400 we have executed, and balance is somewhere around Rs. 4,700.
Shravan Shah: Got it. And sir, in terms of the employee cost also , last quarter we said there was some increment and everything was there , 8% increment was there, but even this quarter also if I look at the employee cost also , sir Q -o-Q has also it has gone up , so in second quarter it was Rs. 189 odd crores, now Rs. 193 crores, s o can you help us?
R. S. Raju: There are two elements for an increase in the salary cost . The first one is there is an increase in the headcount . Already , we p lanned about 15 %-20% growth for the current year. Accordingly, we appointed the people. So, we appointed the people, but the progress is not taking place. That is number one . Number two is already in July 1st onwards , we have enhanced the salaries about 9%-10% in two parts resulted into the higher percentage of salaries in this quarter .

Shravan Shah: Got it. Thank you.
Moderator: Thank you. The next question comes from the line of Parve z Qazi from Nuvama Group. Please go ahead.
Parvez Qazi: Hi, good afternoon . Thanks for taking my question. So, a couple of questions from our side , with regards to JJM project, have we seen any kind of payment slowdown, especially considering that there will central elections this year or are payments regular and in line with, let us say what you had seen in FY23 or FY24?
Neerad Sharma : Mr. Qazi, g ood afternoon. D uring the course of attempting to answer several questions , we have tried to make this point that t here has been generally an impact on across the scheme, across the states and this project is not an exception . So, we have seen this kind of impact across this scheme, different projects of the government and elections have played a very important role in that.
Parvez Qazi: Sure. So, just to be clear on this point , the kind of payment s lowdown obviously has been seen across industry. Is it restricted only to state government projects or the Central Government projects also seeing payment slowdown?
Neerad Sharma : Mr. Qazi, in most of the infrastructure project s barring a few, g enerally the Central Government and state governments partner with each other. In most of the projects, barring possibly NH AI Road project those kind of schemes. In multitude of the infrastructure projects, both these governments partner with each other and it is difficult to say for us, what really matters is the final payment, whether it is delayed by the s

tate government or Central Government , the i mpact on us continues to be the same.
Parvez Qazi: Second , on the project that we have in Andhra Pradesh, two things on the existing project or let us say , let us forget about the payment part, but have we seen any activit y in terms of new order award in Andhra Pradesh ?
Neerad Sharma : We have seen two kinds of activities. The first one is, our clients are trying to close the projects which were awarded in the past. So, that is a clear direction . That is a clear thinking that we get to see. And our client, the state government is also planning to start the process of awarding the contracts for this capital city . So, we continue to see moment um.
Parvez Qazi: Sure. And lastly, any update on the Smart Meter project would be? Thank you.
Sanjay Pusarla: In the Smart Meter project, as far as the Maharashtra is concerned, earlier in our earlier con - calls, we have told that because of the directions in the government , we slowed down. But we expect that because the government now stabilized and we are getting the clearances also from

the government, we expect the projects will take off now. And as far as the Bihar project is concerned, we have already started, and the installation of the meters is going on there. About 3 lakh meters we have already installed.
Parvez Qazi: Thanks and all the best.
Moderator: Thank you. The next question comes from the line of Dhananjay Mishra from Sunidhi Securities.

Please go ahead.
Dhananjay Mishra: Hello, sir. So, in terms of pipeline, you said Rs. 2.4 lakh crore. So, any big Expressway project we are expecting in this pipeline from the Maharashtra?
Neerad Sharma : Mr. Mishra, it is very difficult, whenever w e talk about a very big prospective pipeline of project, there would be projects from different verticals. I a m not really in a position to identify a particular project as I said with you these projects are prospective pipeline of projects. So, there are several projects there. So, I am not really in a position to identify a particular project.
Dhananjay Mishra: No, I just wanted to know because some big projects are awaited in Maharashtra to be announced in the next 12 months, so w hether we have included in those project s in our pipeline, or it is not part of our pipeline?
Neerad Sharma : They would be. Whenever the projects are announced , generally it would be part of the prospective pipeline of projects.
Dhananjay Mishra: And secondly, on JJM project , the payment delay is because of this revised location for FY 24, which was down from close to Rs. 70,000 crores to now Rs. 22,000 crores. And then again it has increased for FY26. So, that is the major reason the Central Government contribution not coming on time, and that is the reason we are facing delay ?
Neerad Sharma : I think we have already answered this question that the impact has been across the schemes of the different infra projects across the State Governments . So, practically, we have seen the impact and aftereffects in almost all the verticals. It would not possibly be correct to identify a single project because we don't have a single project. We have a lot of projects, about 150-160 odd projects under execution.
Dhananjay Mishra: Got it, sir. That is all from my side.
Moderator: Thank you. The next question comes from the line of Vaibhav Sha h from JM Financial Institutional Securities. Please g o ahead.
Vaibhav Shah: Sir, how have been the recoveries in the 4th Quarter so far?

Sanjay Pusarla: Collections , you mean to say?
Vaibhav Shah: Yes.
Sanjay Pusarla: Colle ctions are fairly good. There is a regular flow.
Vaibhav Shah: We have seen an improvement in a quarter -on-quarter basis ?
Sanjay Pusarla: That we should see now because we just passed

only 1 .5 month and another 1.5 month is there , we need to see and generally, the government project, they will get funds released during the March month because by the time, their budget will get expired.
Vaibhav Shah: Sir, secondly, we are expecting the EBITDA margins to improve on the 4th Quarter to around 9.5% l evels , so going forward, while we are not giving guidance, but is there a possibility that there would be an improvement further as well or these are at more sustainable levels , around 9.5%?
R. S. Raju: We work out on that one . It is not one particular process to work out to tell that one. We have several divisions and across several divisions and across divisions several projects are there. A nd particularly in the 3rd Quarter , we have received new orders and in 4th Quarter also, we are expecting several orders at present alone 16 for LOAs . So, basing on consolidating the totals and when we carry out the budget process, then only we will be able to arrive EBITDA percentage for the FY26.
Vaibhav Shah: And sir, another question was on, if you look at the quarterly interest cost, it is roughly around on an average Rs. 160 o dd crores for the 9 months. So, do we expect the run rate to remain similar in Q4 as well?
R. S. Raju: Yes, in the similar line or a little, but we won't expect any much reduction because i t is the already one, one month, one week over , but we have not seen any good collections from the pending amounts.
Vaibhav Shah: And sir, lastly, what would be our AP exposure as of now , the net number that we share every quarter?
R. S. Raju: So, AP exposure there are two parts , the first part about Capital City projects , we have pending of Rs. 1,150 crores that we expect to receive by end of March. There is a positive momentum happening and they assure us to pay before the March of this current financial year. That is part one. Part 2 , we have around Rs. 400-Rs. 4 50 crores exposure in the running projects out of which we received nearly Rs. 230 crores in the 3rd Quarter itself . So, only balance amount Rs. 200-Rs. 250 crores exposure only is the re in the other running projects.

Vaibhav Shah: So, currently, as of December , it is Rs. 250 crore and we receive Rs. 200 crores in Q3. So, it was

reduced to Rs. 250 crores in December .
R. S. Raju: Yes, t otally Rs. 230 crores we received in Q3, b ut in the general month are also some Rs. 30-Rs. 40 crores payments we collected.
Vaibhav Shah: And sir, last time, you updated on the Vizag deal. So, when do we expect to receive the d ebt amount?
Sanjay Pusarla: So, as far as the investment is concerned completely that is received, equity is completely received, there is no due on that. And as far as the loan is concerned about Rs. 374 is the lo an amount and in the current year, we received about Rs. 15 crores against the interest amount and this Rs. 374 crores also, we are expecting to get realized in the next couple of years.
Vaibhav Shah: I will come back in the queue .
Moderator: Thank you. The next question comes from the line of Dheeraj R am from Ashika Institutional Equities. Please go ahead.
Dheeraj Ram: Hi, sir. Thank you for taking my question. Sir, we have recently received the project related to River Interlinking for Ken Betwa. So, how do we see the pipeline of the project in the river interlinking and what kind of opportunities can we expect going forward?
Neerad Sharma : We understand from the various media reports that this interlinking of river is a very important project for the Government of India and the respective state governments. We believe the action has just started . We have a lot of road to cover. We are hopeful that we will continue to see healthy pipeline of projects in the interlinking of rivers as well.
Dheeraj Ram: Sir, if you can put a figure to it, what is the maximum of opportu

nity that we can expect in the project ?
Neerad Sharma : Sir, we don't really make any assessment of these kind of opportunities . At the end of the day, this is the call of the government and the respective agencies. What we try to do is to when this NIT what we call, notice for the b id is announced we try to study the final nuances of the project , look at the risk reward equation and then we have to decide, whether to participate or not, depending on the technical complexity of the project, depending on the permissions which might be required, depending on the funding that might be required, then we take a view.
Dheeraj Ram: Understood, sir. Last question, sir, have we started the ex ecution for this product?
Neerad Sharma : Say it again . Could you please repeat your question?

Dheeraj Ram: Have we started the execution for the Ken Betwa project?
Neerad Sharma : No, we have not as of now.
Dheeraj Ram: So, we can expect it to start in Q1 FY26?
Neerad Sharma : Sorry, could you please repeat? Your voice is also not very clear. There i s a lot of echo.
Dheeraj Ram: Sir, can you hear me now?
Neerad Sharma : Yes, please tell me.
Dheeraj Ram: Sir, can you expect the execution to start in Q 1 FY26?
Neerad Sharma : It depends on the permissions , approval of the drawings and all , we are hopeful.
Dheeraj Ram: Thank you.
Neerad Sharma : Thank you.
Moderator: Thank you. The next question comes from the line of Parth Thakkar from JM Financial. Please go ahead.
Parth Thakkar: Sir, what would be the share of our smart meter orders in a standalone order backlog?
Sanjay Pusarla: Somewhere around 9%.
Parth Thakkar: And we were expecting to complete our JJM order book of Rs. 4,700 crores by June 2025 , are we still on track for that?
Neerad Sharma : It would essentially depend on the permission , repayment , our ability to mobilize. It would depend on a lot of parameters.
Parth Thakkar: So, we cannot put a particular timeline on it, can we?
Neerad Sharma : No, we would hope to meet the guidance, but we have to wait and watch.
Parth Thakkar: And my last question, what would be your CAPEX guidance for this whole year? For the balancing 3 months?
Sanjay Pusarla: It was Rs. 250 crores and we have spent so far Rs. 223 crores. We expect that we will be spending up to that limit.

Parth Thakkar: Thanks . That is all from my side. Thank you.
Sanjay Pusarla: Thank you.
Moderator: Thank you. L adies and gentlemen, a reminder, you may press ‘*’ and 1 to ask a question. The next question comes from the line of Prithvi Raj from Unifi Capital. Please g o ahead.

Prithvi Raj: I just have one bookkeeping question. If you look at the tax rates for 9 months, it is almost at 25%-26%. Can we assume a similar tax rate even for Q4?
Sanjay Pusarla: So, the effective tax rate is lesser actually because we have received dividend which is a pass-through mechanism. It is not taxable. The recently effective tax rate is lesser.
R. S. Raju: He is asking for 4th Quarter .
Prithvi Raj: I didn't get you, even for Q4, is it going to be a similar number or will it be higher?
R. S. Raju : Similar percentage.
Prithvi Raj: Thanks.
Moderator: Thank you. The next question comes from the line of Vishal P eriwal from Antique Stock Broking. Please go ahead.
Vishal Periwal: Yes, sir. T hanks for the opportunity. One data point , in terms of smart meter order that we have, we did mention Bihar we have executed 3 lakh odd meters, so w hat is the total size of it? And similarly, what is the total size of Maharashtra order?
Neerad Sharma : The total order value, I repeat the total order value that we have received for the Bihar project is approximately Rs. 2,300 crore. And for the state of Maharashtra , we have received 2 smart meter projects. The approximat

e value of these two order s, I repeat the word order value would be Rs. 5,700 crore s.
Vishal Periwal: Sir. In terms of number of meters, will it be tantamount to work?
Neerad Sharma : It would run into millions, multiples of millions.
Vishal Periwal: Will it be fair to g ive some number , Bihar and Maharashtra strategy?
Neerad Sharma : Difficult at this stage to share any number .

Vishal Periwal: And then, maybe one last thing , I think in terms of execution t hat we have seen in the pie chart that we have given , maybe just before that , so the JJM work is a part of irrigation, right? Is it fair to understand it is a part of water and railways ?
Neerad Sharma : Which one ? Could you repeat the name of the project ?
Vishal Periwal: Yes, the JJM work that we do , is it a part of water plus railway segment in the execution , the pie that we have given it is a part of irrigation ?
Sanjay Pusarla: Irrigation is separate, water and railways together.
Vishal Periwal: So, the JJM is part of which segment, s ir?
R. S. Raju: You are asking about Jal Jeevan project, correct?
Vishal Periwal: Correct.
R. S. Raju: Since this project s have come at a time in at a level , we have 3 divisions are exe cuting the Jal Jeevan project , water division, mainly executing that one plus some part of the work taken over basic building division and some part of the work taken over the e lectrical division , three divisions executed in different parts of the sta ge. And the turnover from these water projects also included in the respective divisional numbers.
Moderator: Thank you, s ir. We will move to the next participant that is Saket Kapoor from Kapoor Company . Please g o ahead.
Saket Kapoor: Namaskar sir, and thank you for the opportunity. Sir, firstly, if you could just reiterate our Q4 execution growth in percentage terms, as you have mentioned that Q4 is generally the largest of the preceding three quarters and last year , we did a revenue closer to Rs. 6,500 crore on a cons ole level. So, when you were giving the grow th number for the entire year, if you could just elaborate more on the same, I missed your comments on the same?
R. S. Raju: Now, the 4th Quarter , the execution would be on consol idated between Rs. 6,000-Rs. 6,400 crores , we are expecting.
Saket Kapoor: So, we are within the bank from Rs. 6,000-Rs. 6,400 crores for the 4th Quarter , so it will be a flattish quarter in that sense when you look at the year -on-year numbers in terms of execution.
Sanjay Pusarla: It will be similar, or it will be lit tle less.

Saket Kapoor: And sir about the Bharat Net project also, what is the current status on the same and I think so we were participant in quite of the circus, so any update on the same, sir?
Neerad Sharma : Mr. Kapoor, could you please repeat your question?
Saket Kapoor: Sir, I was looking at our order intake from the Bharat Net Phase-3 . Any update on the same? What are we in terms of? Where are we in terms of the order intake from this project ?
Neerad Sharma : We have not received any order from them as of now and as a matter of po licy, until and unless we get a confirm order from a client, we do not really talk ab out that. Because that is quite speculative in nature, until and unless we receive formal communication from the client which hasn't happened as we speak.

Saket Kapoor: And lastly, s ir, for the month of January, in your press release, in the opening month very first date, you mentioned that we did not receive any order. Sir, if you could just articulate ?
Sanjay Pusarla: It is like this . What happened is that there was news on the M oney Control about received couple of project s, then there was enquiry like request from the Stock Exchange on what is that project ? Why it was not announced? Genera

lly , as a policy in a normal course of business , we give an announcement of the project only at the end of the month. That is the reason we did not announce it. Since they have watched us, so we have to reply to them saying that it has happened on somewhere 7th of January , so we had to reply to them sa ying that as this project is received , awarded to us, but we did not disclose it as a matter of policy, we disclose it at the end of the month. Since we have already told them, we said that we have not received any other project other than this. So, that is how it has come.
Saket Kapoor: Sorry to dwell on it, b ut when you read the notification, it is mentioned there , correct me there, but for the entire month of January, there was no order intake for the Company that w as my point ?
Sanjay Pusarla: It was like because there was no other project other than this which has been received during the month and we give at the end of the month the disclosure on the projects awarded we to avoid confusion, it was told very clearly because we have already disclosed it earlier and i t was there on the website and informed the stock exchanges . To avoid confusion, i t was told that. Other than that, nothing has been received.
Moderator: I am sorry to interrupt , Saket . I would request you to rejoin the queue if you have more questions .
Saket Kapoor: Yes. I will join, please give me an opportunity later.

Moderator: Thank you. The next question comes from the line of Vaibhav Shah from J M Financial Institutional Securities. Please go ahead.
Vaibhav Shah: Just a couple of data points. So, you mentioned the working capital number in terms of rupees crore. So, what was it as of December?
Sanjay Pusarla: As of December, so you wanted this December ?
Vaibhav Shah: Yes, this December and September as well?
Sanjay Pusarla: September is 4,987. In December, it was 5 ,488.
Vaibhav Shah: So, secondly, what was retention money? Was it 1 ,757 if I heard it correctly?
Sanjay Pusarla: Yes.
Vaibhav Shah: And sir, what was the i nventory number ?
Sanjay Pusarla: Inventory is 1 ,442.
Vaibhav Shah: Thank you, s ir.
Moderator: Thank you. Ladies and gentlemen, that brings us to the end of the question -and-answer session. I would now like to hand the conference over to Mr. Vaibhav Shah from JM Financial Institutes for the closing comments.
Vaibhav Shah: Thank you, sir for giving us the opportunity, any closing remarks from your end.
Neerad Sharma : Thank you very much. We appreciate your time and patience, and should you have any more questions about anything, we encourage you to get in touch with us. Thank you very much. Good night. Bye.
Moderator: Thank you. Ladies and gentlemen, on behalf of J M Financial Institutional Securities, that concludes this conference. Y ou m ay now disconnect your line s.

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National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G
Bandra – Kurla Complex, Bandra (E)
Mumbai - 400 051
Symbol: NCC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai – 400 001
Code: 500294

Dear Sir,
Sub: Submission of Transcript of the audio conference call held on May 16, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed herewith the transcript of the earnings audio conference call held on May 1 6, 2025, with analysts discussing the performance & financial
results of Q 4 of the FY 2024- 25. The transcript is also available on the Company's website at
https://www.ncclimited.com/analyst- column.html
Kindly take the above information on record.

Thanking you,
Yours faithfully
For NCC Limited

Sisir K Mishra
Company Secretary
Encl: as above

"NCC Limited
4Q & FY '2 5 Earnings Conference Call "
May 16, 202 5

MANAGEMENT : MR. R.S. RAJU – DIRECTOR PROJECTS – NCC LIMITED
MR. SANJAY PUSARLA – EXECUTIVE VICE PRESIDENT
– NCC LIMITED
MR. NEERAD SHARMA – HEAD STRATEGY A ND
INVESTOR RELATIONS – NCC LIMITED

MODERATOR : MR. VAIBHAV SHAH - JM FINANCIAL

Moderator: Ladies and gentlemen, good day, and welcome to the NCC Limited 4Q and FY '25 Earnings Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference

is being recorded.
I now hand the conference over to Mr. Vaibhav Shah from JM Financial Institutional Securities.
Thank you, and over to you, sir.
Vaibhav Shah: Thank you. On behalf of JM Financial, I welcome everybody to 4Q and FY '25 Earnings Conference Call of NCC Limited. We have from the management today Shri R.S. Raju, Director
of Projects; Shri Sanjay Pusarla, Executive Vice President; and Shri Neerad Sharma, Head
Strategy and Investor Relations.
Now, I hand over the call to the management for opening remarks, post which we can do the
Q&A session. Over to you, sir.
Neerad Sharma : Thank you very much, Vaibhav. Very good morning, everyone. This is Neerad. At the very
outset, I thank each of you for taking out time to attend this interactive meeting. I have with me
my colleagues, Mr. R.S. Raju, Director, Projects; and Mr. Sanjay Pusar la, CFO.
Yesterday, we have declared our audited financial results for the fourth quarter and for the financial year 2024 -'25. Hope you had an opportunity to download and study the results, and the
investor presentation uploaded on our website and shared with the stock exchanges. Before I
begin this interactive meeting, I will read out a very brief disclaimer. You may read the detailed
disclaimer mentioned -- highlighted in our investor's presentation.
This presentation may contain certain forward -looking statements concerning NCC's future
business prospects and business profitability, which are subject to a number of risks and
uncertainties, and the actual results could materially differ from those in s uch forward-looking
statements. End of the disclaimer.
This interaction is broadly divided into 3 parts. In the first part, I will talk about a brief overview
of the business environment, our prospects and also an update on the guidance. In the second
part, our CFO will give a brief about the financial perform ance of the company for the fourth
quarter and for the financial year '25.
In the third and last part, we will attempt to answer all your questions and clarifications. We are happy to share with you the fact that we have achieved the revised guidance shared with you in
the last earnings call. We are sitting at the highest ever or der book of INR71,568 crores. And in
the financial year FY '25, we have booked orders worth INR 32,888 crores, which is about 50%
more than the upper band of our guidance shared with you.
The revenue on a stand -alone basis increased by 5%, which is in line with the guidance that we
have shared with the Street. The EBITDA margin was 9.1%, which is closely in line with the

guidance that we had shared with you. For the FY '26, that is the current financial year, we are
seeing a healthy pipeline of future projects.
We have a prospective pipeline of about INR 2.55 lakh crores, and we are pleased to share with
you a guidance of INR 22,000 crores to INR 25,000 crores for the order inflow. I repeat the order
inflow guidance for the FY '26 is INR 22,000 crores to INR 25,000 crores. The revenue growth
of 10% and EBITDA margin between 9% to 9.25%.
Now I will very briefly touch upon a few of our large divisions. In our Buildings and
Transportation division, we continue to see good traction and healthy pipeline of projects. We
have an order book of INR 22,440 crores. I repeat, INR 22,440 crores in the Buildings division,
which i

s about 31% of our total order book. In the Transportation division, we have an order
book of INR17,929 crores, which is about 25% of our total order book.
The third large division that we have is Electrical T&D. Order book as of end of March is
INR16,666 crores. Let me repeat, INR 16,666 crores as of 31st March, which is about 23% of
our order book. The order book in the Irrigation division is INR 4,189 crores; I repeat, INR 4,189
crores, which is about 6% of our order book.
In our Water division, we have an order book of INR4,782 crores, which is 7% of our order
book. Similarly, the order book in our Mining division is INR 5,555 crores, which is about 8%
of our total order book.
Now I will hand over to our CFO with a request to cover the detailed financial performance of the company. Over to you, Mr. Pusarla.
Sanjay Pusarla: Good morning, everyone. This is Sanjay Pusarla, CFO from NCC Limited. I am pleased to
announce the financial results for Q4 of FY '25 and also for the year ending March '25. My
announcement will be in the order of order book, revenue profitability, debt movement and some
of the important balance sheet items.
The order book. Our order book stands at INR 71,568 crores as at the end of March '25. As you
are aware, the order book at the beginning of the year stood at INR 60,437 crores and orders
received during the 12-month period is INR32,888 crores, which is the highest orders we have
ever received in a financial year. And in Q4, we received orders around INR 19,280 crores. After

execution of INR 21,756 crores of work during the 12 months, the order book stands at
INR71,568 crores.
Coming to the revenues, standalone. Turnover reported in Q4 is INR5,376 crores as against
turnover of INR5,446 crores in the previous year. During the 12 months, turnover is INR 19,205
crores as against INR 18,314 crores, which is reported in the previous 12 months. This will record
a 5% growth over the previous year.
Coming to the standalone. Turnover reported in Q4 is INR 6,131 crores against the turnover of
INR6,485 crores in the previous year. During the 12 months, the turnover is INR 22,199 crores
as against INR 20,845 crores, showing a growth of around 7%.

Coming to the profitability, stand -alone. We achieved EBITDA margin of 9.21% for Q4 as
against 9.36% of the corresponding quarter of the previous year. And for the 12 months of the
financial year '25, we achieved EBITDA of 9.09% as against 9% in 12 months of the previous
year. PBT, we achieved 6.2% and PAT we achiev ed 3.94% in the current quarter, that is Q4 as
against PBT of 6.29% and PAT of 3.41% of the corresponding period.
Coming to the consolidated profitability. We achieved EBITDA of 9.7% and PBT of 5.95% and
PAT of 4.28% in the current quarter, that is Q4; as against EBITDA of 8.49%, PBT of 5.97%
and PAT of 3.66%.
Coming to the debt movement. The debt at the beginning of the year stood at INR 1,005 crores
and net debt after cash and cash equivalent standing at INR 517 crores. At the end of quarter 4,
it stood at INR 1,484 crores and net debt of INR 710 crores. And at the end of quarter 3, the same
debt was INR 2,415 crores and net debt was INR 2,344 crores. That means the net debt from Q3
ending to Q4 is reduced from INR 2,344 crores to INR 710 crores.
There is a decrease in debt by INR 931 crores. The debt -to-equity ratio stands at 0.2% at the end
of Q4 as against 0.33% at the end of Q3 and 0.15% at the end of March '24, w orking capital.
Working capital, excluding cash and margin money deposits. At the end of Q4, it stands at INR4,374 crores, which is 17% of
the turnover. In terms of working capital days, it counts for
77 days.
Debtors i.e. receivables , outstanding at the end of Q4 has reduced from INR 3,142 crores to
INR3,098 crores, and the number of days also decreased from 74 days to 65 days in the current
quarter and unbilled revenue. It s

tands at INR 5,937 crores, which is 31% for Q4 as against
INR6,151 crores, which is 33% at Q3 ending.
Coming to the mobilization advances. The mobilization advances stood at INR 2,098 crores as
against INR1,977 crores in Q4, increased by INR 120 crores. It is standing at 11% of the turnover.
Of these mobilization advances, 79% are interest -bearing and 21% are interest -free. The average
interest rate works out to 9.52% on these mobilization advances, which are interest bearing.
Coming to the capex . We have incurred a capex of INR305 crores in the current financial year
as against the budgeted capex of INR250 crores for the regular projects. So as far as the dividend
is concerned, this year, it was decided to declare a dividend of 110%, which will be INR 2.20 per
share. Total amount of outflow will be INR 139 crores on this account.
And coming to the investor -related ratios, the ROCE stands at 14.61% as against 14.04% at the
financial year '24 end. And EPS stands at INR 12.10 as at the end of Q4 against INR 10.10 in the
last year. I think with this, I end my presentation. We can invite for the questions.
Moderator: We take the first question from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Sir, the first question is on the revenue. So, though we have achieved our revised guidance for
FY '25, 5% growth, but compared to the original where we were looking at 15% and now, we
are saying 10% growth in FY '26. Don't you think this is on the lower side given the kind of the

order inflow that we have received, which is even higher than what we were looking at in FY
'25?
Neerad Sharma: I think you're absolutely right. The last year, we had guided the market for about 15% growth,
but we have been able to deliver only 5% growth, right? So, when we talk about 10% growth
for FY '26, there is a handsome growth, right? Last year, we have grown at 5% in that range,
and now we are talking about 10%. So that's a growth. Now I mean, let us -- I mean, I will also
try to dig a bit deeper. This is als o a reflection on the ability of our clients to mobilize to make
the payments on time.
This is a statement also on the uncertain environment that we are operating in. Primarily, this is

dependent on the timely payments. It is not only about the execution. At the same time, we have to be cognizant of the fact that how much working capital we are committing. So, this is also a reflection on the ability of our clients to mobilize, make timely payments. So, this is the reason we have shared this guidance with you. Should there be any change going forward, we would be very happy to come to you and update you.

Shravan Shah: Got it. Second, sir, this order inflow of INR 22,000 crores to INR 25,000 crores that we are looking at in FY '26, if you can clarify. I think last time we were having INR 8,000 crores to INR10,000 crores as the L1 orders. So how much L1 do we right now have? And if it is, does this include -- the INR22,000 crores to INR 25,000 crores include the L1? Or are we looking at the fresh INR 22,000 crores to INR 25,000 crores?

Neerad Sharma: See, your question has 2 parts. Firstly, the -- some of the L1s that we had talked about in the past got converted in firm orders. And this is something that is reflected in our performance of INR32,888 crores order book. Some of those L1 projects, we hope will get converted in the coming quarters. As of now, we have an L1 project of about INR 7,000 crores to INR8,000 crores.

Shravan Shah: Okay. Okay. So INR22,000 crores to INR 25,000 crores include the L1 of INR7,000 crores to INR8,000 crores ?

Neerad Sharma: Yes, yes.

Shravan Shah: Okay, okay, got it.

Sanjay Pusarla: What we were saying is that, at any point of time, if you see, there will be L1 project and there will be conversion from L1 to the order. It is a cycle, okay? It is not that L1 projects of the previo

us year will be taken in the last year order book and current year. It is a cycle. It comes to L1. Sometimes it gets matured into an order. Sometimes it doesn't get matured into an order. It is a cycle it happens every time.

Shravan Shah: Got it. Sir, a couple of data points. Can you share the stand-alone order inflow for FY '25 and returns on money and for capex for FY '26?

Sanjay Pusarla: This order inflow for stand-alone -- for -- against INR32,888 crores, the order inflow for stand-alone is INR 29,588 crores, okay? And you asked for what else?

Shravan Shah: Retention money and capex for FY '26.

Sanjay Pusarla: Yes. Retention money as on 31st March '25 is INR 1,870 crores as against INR 1,757 crores of the corresponding previous year -- sorry, INR1,505 crores of the corresponding previous year. And capex for FY '26 is at INR 750 crores.

Shravan Shah: Yes. And lastly, the loans and advances and investment in subsidiaries and associates?

Sanjay Pusarla: One second. Investment is INR 1,065 crores as against INR 1,033 crores. And the loans are INR452 crores as against INR 354 crores.

Moderator: Next question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: My first question is, again, I'm probing -- I'm going back to the revenue growth guidance. I think it looks a bit low. So, does it mean that there are too many slow -moving orders in the book as of now? And is it the fact that the order which you received in the Q4, especially BSNL Phase 2 contract, what is the duration of the execution?

Sanjay Pusarla: 3 years.

Neerad Sharma: 3 years. 3 years is the capex time. The time to complete the project is 3 years.

Mohit Kumar: And sir, any comment on the slow -moving orders in the book, sir?

Sanjay Pusarla: It is not a question of slow -moving orders for the guidance at 10%. It is dependent -- as Mr. Neerad said earlier, it is dependent on how the government takes this infrastructure segment and how the payments are going to come and how the clients are going to cooperate in the case of execution.

And also, the projects which have come will have a little gestation period. It's not that immediately it gets converted after the order is received. It will have a little gestation period. Considering all those things -- and we have also seen what happened in the previous year in the Jal Jeevan Mission projects. So, considering all these things, we gave the guidance of 10%.

Mohit Kumar: Understood, sir. The second question is, sir, what is the Jal Jeevan Mission order book right now? And are you seeing an improvement in execution and payment?

Sanjay Pusarla: Payment is a little getting delayed. But otherwise, the order book for Jal Jeevan mission...

R. S. Raju : About 2/3 of the Jal Jeevan projects were completed. 1/3 of the projects are still pending. You are aware that for the last 7, 8 months, there is a slow progress because of the delay in the payments by the client, that is Jal Jeevan payments by the central government, particularly. Now -- we received some part payment in the last 2, 3 months, but still about INR 1,000 crores are yet to receive it.

Sanjay Pusarla: INR1,500 crores.

R. S. Raju : INR1,500 crores, yet to receive from the Jal Jeevan projects.

Sanjay Pusarla: And the order book balance as on date is INR 4,300 crores.
Mohit Kumar: Understood. That's very helpful. Sir, my last question, sir. How is the traction in smart meter execution? Have you achieved any financial closure? If not, when do you think to achieve the financial closure? And any guidance on the order execution in F '26 of the orders?
Sanjay Pusarla: So, in financial closure for smart meters in the case of Ray, that is already achieved in the last year itself, and we have started running the load. In the case of Marathwada, the financial closure is

yet to happen. We have received a term sheet from the len ders. We are yet to go for the financial closure. And as you are aware that these projects in Maharashtra, they were slow moving in the last year. But now we have got all the clearances to execute them, and we are showing good progress i n these projects, expecting a good turnover in the current year.
Moderator: Next question is from the line of Prithvi Raj from Unifi Capital.
Prithvi Raj: Sir, I just have a couple of questions. The first one is on the Maharashtra projects. Obviously, in the last couple of quarters, we have seen a delay with respect to execution. How is the activity now? Are we seeing any uptick with respect to execution and the payments from the Maharashtra side?
Sanjay Pusarla: Yes. In the case of Maharashtra projects, we have seen -- we have got even the instructions even from the government also that we can go ahead with the pace of the projects -- increasing the pace of the project execution. And we have been doing it and all the tests; everything has been completed. Now we have got a very good -- green signal from the government also, from the client also to go aggressively on these projects.
Prithvi Raj: Okay. The second one is on the Andhra Pradesh state capital projects. You obviously received a couple of projects in the last few months. Is there any more activity that is happening there? And any more pending orders that you are expecting or everything i s done from the state capital side?
Sanjay Pusarla: From the state capital, you are aware that we have received a good number of orders for the infrastructure development, also for construction of some residential blocks and also the High Court also. So, these are the orders which we have received. About INR9,000 crores, INR 9,500 crores orders are on hand from the capital city.
And as we see that the Chief Minister of Andhra Pradesh is announcing every day, some or the other project that he is announcing, but we do not know how much more projects that will be announced in the near future. But as of now, we have projects about INR9,000 crores, INR 9,500 crores. And the work and execution at the sites is in good progress, as we can see from the social media. And we also feel the same thing from the execution from our teams also that there is a lot of demand from the clients to execut e the projects at a very fast pace.
Prithvi Raj: Okay. Final question on the debt number. So, what's the target for the end of the year? Do we expect a significant reduction in the debt number?

R. S. Raju: Yes. Now current year, you have seen our debt is closed at about INR 1,400 crores or so, current year. And next year, about 10% growth shown. At the same time, we need to invest in the smart meter projects, smart meter projects. But we expect that debt stands around that one with an increase of INR 300 crores to INR 400 crores above the INR 1,400 crores.
Moderator: We take the next question from the line of Sarvesh Gupta from Maximal Capital.
Sarvesh Gupta: Sir, first question is basically on the transportation and water verticals. So, I think especially in transportation, we have seen that orders -- new orders have been a little bit slow to come by in the last 5, 6 quarters. So how are we seeing this space now? And are you seeing any green shoots in terms of new order inflows, especial ly given the fact that last many quarters, we have not seen anything. And on the water side, I wanted to understand, excluding Jal Jeevan, are you seeing some state government projects, et cetera, which could be meaningful for the order inflows?
Neerad Sharma: Thank you, Mr. Gupta. As you are aware, most of the projects that were awarded in last 4, 5 years in the water space were primarily from this Jal Jeevan mission. And as of last month, I mean, let me give you a little overview of this scheme. The scheme was announ

ced in year 2019.
The outlay from the central government was more than INR 360,000 crores, and they attempted to provide portable water connection to all the households. About 80% of the target has already

been achieved.
So, what remains to be provided portable water connection is about 20% of the households. So, this is the update on the Jal Jeevan mission. And as you are aware, my colleague has already highlighted that there has been some slow movement in Jal Jeevan mission projects across the companies. I mean, everybody who has been working in this space had f aced payment delays, these kinds of issues . So, this is the update on this space as we speak.
But going forward, once the households are given portable water connection, naturally, this will lead to lot of wastewater treatment plants, STP kind of projects. So, we are quite hopeful that going forward, these 2 sub verticals should see some traction.
Sarvesh Gupta: And sir, on the transportation road space?
Neerad Sharma: Transportation, we have a healthy order book. We have been able to bag good number of projects in the transportation. If we really talk about the -- about 25% of our total order book is from the transportation division. In terms of value, it is INR 17,929 crores. So, it is already about 1/4 of our total order book. And we believe that we will see a good number of projects coming up for bidding in transportation segment.
Sarvesh Gupta: But at an industry level, I think generally, people have not got much of orders. So, I think are your orders more related to the state government side rather than NHAI and MoRT H?
Neerad Sharma: The awards that we have got are from a variety of the projects in most of the projects. For example, when we talk about the metro projects, the state government and the central government, they both partner with each other. NHAI, unfortunately, we have not been very successful in the NHAI projects in the past.

Sarvesh Gupta: Okay. Okay. And sir, finally, on the guidance. So, I think this question was asked before also. But I think with INR 72,000 crores sort of an order book plus an order inflow of maybe INR20,000 crores, INR 25,000 crores; from that bucket, if we are executing only around INR25,000-odd crores, then it becomes like a very small sort of a ratio of order execution versus the order book.
So, I mean, if you can give us some more color as to what are you seeing from the client side? Are they not sort of -- after giving the orders, they are not sort of proceeding to the next steps, including the central government -related orders? Or are we anticipating in any other procedural delays? Why should the order execution be so low compared to our large order book? Hello?
Moderator: The management's line seems to have disconnected. Please wait while we rejoin them. The management line has been reconnected.
Neerad Sharma: The first point that I wanted to share with you was the ability to execute the project. I mean, having the required number of people, machinery, everything to execute the project. So, this we do have. The second important part is whenever a project is announced, the client should make us available all the land, which is required to execute, all the permissions, all the drawing approvals.
So, when this link is missing, there is little that we could do. So unfortunately, this is something that is going to impact our execution. The third important point is our -- the ability of the clients to make payments, certify bills on time, make payments o n time. So, unless those things are in place, we will not be able to really execute from larger share from our order book.
And the fourth important thing that we need to keep in mind is we have been able to bag a lot of projects in the last quarter, that is fourth quarter. So, it takes about 3, 4 months time to mobilize the project, get the land, get

all the ROWs in place. So, there is a delay in award of a project and the billing cycle really to start. So, I think these are the 4 important points that I wish to bring to your attention.
Sarvesh Gupta: And on the order inflows also, I think we have guided for a lower order inflow compared to what we have received this year. So, any color on that, sir?
Neerad Sharma: I think most -- I mean, my colleague has already touched about -- touched upon this capital city project. So, we were -- fortunately, most of these capital city projects, if not all, got converted in the Q4 of the last financial year. So, we expect to see some movement, some new projects that might come up for bidding in the capital city. So that is the reason, or you could say that the project that we should have ideally bagged in FY '26, we have been able to bag in FY '25. So, if you really add these 2 numbers, they look very attractive, right?
Sarvesh Gupta: How much is Andhra, by the way, sir, of your overall order book?
Sanjay Pusarla: It's somewhere around INR 9,500 crores.
Neerad Sharma: INR8,900 crores.

Moderator: We take the next question from the line of Vaibhav Shah from JM Financial Limited.
Vaibhav Shah: Yes. Sir, you mentioned the capex number at INR 750 crores for FY '27. So, is it at stand -alone level?
Sanjay Pusarla: '26.
Vaibhav Shah: So, it is for standalone of FY '26?
Sanjay Pusarla: This is INR 750 crores.
Vaibhav Shah: For standalone, or console?
Neerad Sharma: Yes, standalone.
Sanjay Pusarla: Yes, please.
Vaibhav Shah: So, sir, why is it so high the number versus the last year's number? So, are we including smart meter capex as well?
Sanjay Pusarla: It was somewhere around INR 305 crores. This year, we are expecting the TBM, which will be used for tunnelling project in Mumbai. That is expected to come this year, okay? That itself is around INR300 crores. So, rest of the money is expected to be invested in other projects, capex .
Vaibhav Shah: Okay. And sir, what is the status of the GMLR project?
Sanjay Pusarla: GMLR project, they have got all the clearances. They have started building the approach roads. They have also started building their facilities for casting yard and also started landing station also for the TBM and they also started for the cut and cover p ortion of the project, okay? So, these are the things which are happening now. It is expected that TBM machines can arrive any time maybe in the next 1 month, 1.5 months. And thereafter, they should assemble them and put them in place at the landing statio n and start the work. This is the present status.
Vaibhav Shah: Okay. And sir, TBM investment will be done from stand-alone books?
Neerad Sharma: Could you repeat your question, Mr. Vaibhav Shah ?
Vaibhav Shah: Yes, TBM investment of INR 300 crores, that will be done from the stand-alone books?
Sanjay Pusarla: Yes, it will be done in the stand -alone books. Both the partners are buying 1, 1 TBM and they are deploying those TBMs from the owner side.
Vaibhav Shah: So, our share is INR 300 crores?
Sanjay Pusarla: Yes.
Neerad Sharma: Approximately.

Vaibhav Shah: Okay. And sir, secondly, what investments are we planning to do in the smart meter project for '26 and '27?
Sanjay Pusarla: About INR280 crores is the total investment that need to be made. And we are expecting to do around INR130 crores by Q2. And balance investments depend on the financial closure; it needs to be done.
Vaibhav Shah: So, you are planning to bring any -- bring some partner with us? So INR 280 crores would be entirely done by us, or we are still looking out for a partner?
Sanjay Pusarla: At the moment, it is only the investment from NCCL, and we are on the lookout for the partners. We are scouting for them.
Vaibhav Shah: Okay. Okay. An

d sir, what is the outstanding number for the receivables from AP? Last year, it was around INR 400 crores.
Sanjay Pusarla: No, it was INR 147 crores last time, okay, capital city projects. Out of that INR 147 crores, we received some, and we are -- the outstanding at the moment is INR 110 crores for the capital city projects where there was an issue.
Vaibhav Shah: And in running projects?
Sanjay Pusarla: Running projects, we are getting the money realization on time. And basis there is a realization only, the execution is happening. There is no worry on the running projects.
Vaibhav Shah: And what would be the number? Last time, it was around INR 250-odd crores as of December?
Sanjay Pusarla: I think around INR 220 crores.
Vaibhav Shah: Okay. And sir, on the margin side, do we expect improvement in FY '27, while it should be around 9.25% for '26?
Sanjay Pusarla: It's a too long period to predict today.
Neerad Sharma: Difficult really to talk about FY '27 margin. I mean in the next year, when we finalize the budget for FY '27, we should be in a position to commit a number to you. I think this is a little far away.
Vaibhav Shah: Sir, but given the mix of the backlog and the new orders you have received, are we hopeful for an improvement on a Y -o-Y basis or...
R. S. Raju: We are looking for improvement at the bottom line. And about this EBITDA margin level, it depends upon the mix of the projects. So, at this moment, the larger size projects, what we taken up for BSNL about -- including O&M about INR10,000 crores to INR 11,000 crores project. The

projects which have the more machinery- oriented generally reports the higher margins as a result
of high EBITDA margin rise.
But in case of NCC, the mix of the projects contains not the much of machinery-oriented projects. As a result, our EBITDA margin and gross margin is generally low compared to the

industry level. So, in the current coming 2 years, our mix of the projects, particularly the BSNL
projects were INR 10,000 crores. There is not much capex investment.
So -- and also, we do not have a major portfolio of the roads. Generally, the roads and the mining
industry where more machinery we use, generally, they give margin. Then there is a chance of
increasing the EBITDA margins. So going forward in the next 2 years, we expect an
improvement at the bottom line, but not at the EBITDA level.
Moderator: We take the next question from the line of Anupam Gupta from IIFL Securities.
Anupam Gupta: So firstly, on the order book, so like Bharat Net , I think, has almost like 50%, which is the O&M
portion of the order. So, of the total INR 71,000 crore s order book, how much is the O&M order
book, which gets executed over a longer period of time rather than the next 3 years?
Sanjay Pusarla: So whatever O&M execution to be done after the capex portion, that was not included in the
order book. Generally, what we do is that what we can execute in the next 3 years, that only will
be considered in the order book. Out of that, around INR 7,127 crores, I think we have taken in
the current order book. Balance value of the order book is still lying in the order book.
Neerad Sharma: Mr. Gupta, same way for the smart meters also, if you recall, we had a discussion about smart meters. We have not considered O&M in our order book. O&M, we only take into our order
book once the EPC part, that is the construction part is done.
Anupam Gupta: Okay. Understand, sir. And then going by your earlier commentary on the G MLR project plus
the AP project and also given the fact that a lot of orders came in the fourth quarter, which you
said will ramp up over the second half possibly of this year, should FY '27 -- should be a much
stronger growth than the 10% which you are doing in FY '26 because order book plus the inflows
which you'll get in this year, all of th

at will support that?
Neerad Sharma: Mr. Gupta, hopefully, yes, but give us some time, give us some time. It's changing. It's a dynamic
world. So, once we have a better visibility, better assessment, we should be able to update you.
Anupam Gupta: Okay. And just one last question. What is the status of the Vizag land receipts?
Sanjay Pusarla: In the case of Vizag land, whatever investment we have made, it is completely received back
and equity. Whatever equity is there; it is received. And whatever loan is there, out of the loan
also, we received about INR 15 crores in the current year, expect to receive about INR 120 crores
in the next year, balance thereafter.
Anupam Gupta: Okay. So, what is the total balance left, sir?
Sanjay Pusarla: It's including interest about INR 375 crores.
Moderator: We'll take the next question from the line of Parvez Qazi from Nuvama Group.
Parvez Qazi: So, a couple of questions from my side. Sir, did I get it correct that of the total INR 10,800 crores
BSNL order, as of now, we have included only about INR 7,100 crores in our order book?

Neerad Sharma: Correct. Yes. That's right.
Parvez Qazi: Sure. The second question was what would have been our total execution or construction
revenues in FY '25, including the work that we would have done in our mining projects in our
SPV?
R. S. Raju: INR21,756 crores. That is a construction business.
Parvez Qazi: Sure, sir. And lastly, I mean, you mentioned that I think in Andhra capital city, we have about INR9,000 crores of orders currently. So, of these orders, how much quantum would we have
received in FY '25?
Sanjay Pusarla: Almost all the orders were received in FY '25 last quarter. A small portion maybe paid. INR 600
crores, INR700 crores we received in the April month.
Parvez Qazi: Okay. And of the L1 orders that we have, does that also include some portion from the capital city projects?
Neerad Sharma: No, no, no, not for the capital city project. This is from the -- all these states put together.
Parvez Qazi: Sure. And lastly, I mean, did we mention that there are more projects coming up for bidding in
the capital city project? Or -- just wanted to get that clear?
Neerad Sharma: We understand that a lot of projects have already been awarded, and that is reflective in the
orders that we have already bagged in the last quarter. But at the end of the day, it's call of the
government. We understand that a few projects might also get -- come up for bidding, let's say

that, come up for bidding this year as well, but we have to wait and watch.
Moderator: Next question is from the line of Ankita Shah from Elara Capital.
Ankita Shah: Sir, what is the gross debt on the stand-alone level as of now?
Sanjay Pusarla: INR1,484 crores.
Ankita Shah: Sorry, INR1,400?
Sanjay Pusarla: INR1,484 crores.
Ankita Shah: Okay. And do we expect finance expenses to go down because we -- that has not gone down, that is why?
Sanjay Pusarla: Yes. We expect to take some steps like arranging some CPs and other things, okay? And we are also trying to use the other products like trades and purchase invoice discounting. We are hopeful that it may bring some savings in the current year.
Ankita Shah: Okay. Any quantum? How much are you expecting?

Sanjay Pusarla: We'll not be able to estimate at the moment because we need to even explore that how can we convert the people who are on other modes of payment to these modes of payment. It depends on how the sellers will take it.
R. S. Raju: The reason here is -- one of the reasons for increase in the debt in the year '24-'25, most of the mobilization advance earlier, we used to take from the clients. Generally, the interest cost is also lower than the 9% of what the banks are levying. But in the recent past, we observed that the cost of the mobili

zation advances sometimes exceeding 12%. Wherever the cost of the mobilization advance is more than 11% or 12%, we are not availing that mobilization advance, we are dropping that one. Instead of using mobilization advance from the clients, we are relying on the bank loans where we are getting around 9% to 9.3%. That is one of the reasons for, again to increase in the debt in the year '24 -'25. And also in the coming years, the debt may s lowly rise up about INR 200 crores to INR 300 crores every year. It depends upon how the mobilization advance, how the terms and conditions they stipulate in the tender documents.
But most of the clients putting the interest clause. That is also -- that clause is also more than the bank interest. That is discouraging us to take the mobilization advance. That is the reason the debt -- gross debt is appearing on the high side.
Sanjay Pusarla: To give you more color on this, earlier in '23, the interest -bearing advances are only 53%. As we pass and now at the end of FY '25, the interest -bearing advances are 79%. That is the main reason why the debt is being opted than the interest mobilization a dvance. And the mobilized advances, today, they carry interest and the costing for the mobilized advance at the end of the day is much higher than what we are getting from the lenders.
Ankita Shah: Got it. And sir, we are also seeing increase in exposure to subsidiaries. I mean this had gone down earlier, but now again, increased, and we've got some impairment also done during the quarter in some subsidiary. We're looking at emerging NCC Infra with t he parent. What are we trying to do in the subsidiaries?
Sanjay Pusarla: Two things, madam. One is the impairment is on account of Oman subsidiary in Oman, okay? So that -- we feel that we may not be able to realize whatever we have invested. So, we have created an impairment of that. And second thing is that the investment is going to be there. Now we have started investing in the smart meter projects. We've invested about INR 70 crores in the smart meter projects. And we also have another LLP, which we have started for producing some specialized concrete girders . So there also, we started ...
Ankita Shah: Okay. Fine. And sir, lastly, in the BSNL project, how much would be the bought -out component?
Moderator: I am so sorry to interrupt you. We have lost the management's line. I'll reconnect them. Just a moment please. The management's line has been reconnected. Ma'am, please go ahead.
Ankita Shah: Yes. I was asking, sir, how much is the bought -out component in the recent BSNL order?
Sanjay Pusarla: Not sure about it. We need to evaluate it, madam.

Neerad Sharma: Madam, we have -- Ms. Shah -- Ms. Ankita Shah. We have just recently backed this BSNL project. So, we will have to do a thorough assessment of the project. Then only we shall be in a position to really determine how much is the bought -out component. And then we should be in a position to share that same with you.
Ankita Shah: Done. I'll take this up later with you.
Moderator: We take the next question from the line of Parth Thakkar from JM Financial.
Parth Thakkar: Sir, can you help me with the PAT number for the Pachhwara SPV for FY '25?

R. S. Raju : Hello, repeat me your question.
Parth Thakkar: The profit for Pachhwara for FY '25 full year?
R. S. Raju : PBT is INR 104 crores.
Parth Thakkar: No, no. Sir, I'm asking profit after tax.
R. S. Raju : INR78 crores.
Parth Thakkar: Okay. And can you also -- can you repeat the total investment in smart meters for FY '26 and FY '27?
Sanjay Pusarla: So, we have already explained it before. It was INR 280 crores, the total investment needs to be made.
Parth Thakkar: So, can you help me with the -- how much in FY '26 and how much in FY '27?
Sanjay Pusarla: By Q2, we need to invest about INR130 crores and balance, it w

ill be decided based on the progress and financial closure of the other projects.
Parth Thakkar: And also, sir, what led to the net working capital improvement in 4Q '25? Was it largely driven through the improvement in JJM payments? Or was there any other factor?
Sanjay Pusarla: No, it was the JJM payment, we are expecting that to come in now.
Moderator: Next question is from the line of Jainam Jain from ICICI Securities.
Jainam Jain: Sir, my first question is like as we have given the initial commentary of INR 2.55 lakh crores of tender pipeline, how is the outlook on the building segment side? And which are the major key projects which we expect to be tender out in this year?
Neerad Sharma: See, we don't -- I mean, we don't really talk about the breakup division-wise of the prospective pipeline. When we talk about a prospective future pipeline of projects, what this essentially means is these are the projects which have been announced by the respective -- the clients, central government, state government, different PSUs, some kind of approval has been given. So, we compile this information across all our lines of businesses. So, we really don't share the breakup of this prospect ive pipeline of projects division-wise.

Jainam Jain: All right, sir. And sir, what is the amount of loan given to subcontractors as of March '25?
Sanjay Pusarla: Any loans to the subcontractors, it will be only a mobilization advance as a part of the work.
Jainam Jain: All right, sir. And sir, what is the reason for higher other income which we had in FY '25 , Y-o-Y growth and...
Sanjay Pusarla: Other income in FY '25, one is on the dividend, which is almost like INR 44 crores, but that has come from Pachhwara. And the other one is there was sale of flats in Bangalore. That is also a part of the other income.
Jainam Jain: Okay Sir, Alright. That answers my question.
Moderator: Next question is from the line of Saket Kapoor from Kapoor & Company.
Saket Kapoor : Sir, firstly, on this coal part, sir. What are we anticipating in terms of the contribution from the JV and the milestones for which we are expecting any ramp -up in the output going ahead, if you could just give some color there, sir?
R. S. Raju: About the coal. Okay. The Pachhwara coal mining projects where we are executing along with other joint venture partner, almost we have achieved the rated capacity of 15 million tons per annum, that already we achieved. And at this moment, we are in a position to produce more than 15 million tons in a year that we are trying to increase, and from our side capabilities are there. And West Bengal Power Development Corporation Limited, they have the environment clearance for 15 million tons per year. They are trying to enhance that 15 million tons to some 18 million tons and thereafter to some other things basing on the requirement and demand for the coal they have for the power projects. And in the meantime, we are building up our capacities. And also, sometimes we are achieving more than 15 million tons in some months also, which establishing our capacity to produce more than 15 mil lion tons. So once the West Bengal Power Development Corporation, that is the client receives that environment clearance for more than 15 million tons , so we're able to produce that one. At this moment, the other milestones to fulfil the R&R activity, first village R&R we have completed and accordingly, the land of that village taken out into the project. And the second village is in progress and West Bengal already awarded the civil work to build the houses for the villages of the second village. That also -- that co ntract also we have taken. So, we are executing that one. In a period of 6 to 9 months, we're able to complete that one. That village also they shift to the new houses. So as of this moment and work front is available to d

o
the 15 million tons or more than 15 million tons, whatever West Bengal requires for that one. And the other one is the railway siding. That is the biggest issue for the project. And West Bengal Power Development Corporation issued at the time of tender in a 5 -year

period, they bring the CHP, the coal handling plant or the railway siding to the pit mouth, but that work still is on the paper. And so far, the contract is not awarded to lay the railway line that has to come from 50 kilometres to the pit mouth.

So, at this moment, still we are doing the coal transport by road, but for which we developed alternative railway sidings apart from the existing railway -- the road line what originally given. So, by developing other 2 alternative sidings, and now at this moment, we are transporting through 3 routes -- and distributed the density to 3 routes. And at this moment, coal transportation also going and meeting the requirement of the 50 million tons . That is a brief about the coal mining project.

Saket Kapoor : Right, sir. And sir, we have also seen that this Ken-Betwa project, DPR has also been floated. So, any update on the same in terms of...

R. S. Raju: Yes, the Ken -Betwa project, we have bided and already the division started the work, now in the survey work and mobilizing the resources, establishing the site camp and mobilizing the required equipment and all these things are going on. And at this moment, work as per schedule and taking some cl earances, permissions are going on.

And the division has required equipment also from the -- division also planning to take some of the equipment from the mining division to carry out the initial earth work required for the project.

So some more update will come after 3, 4 months -- some clarity or visibility will come in another 3, 4 months' time.

And moreover, coming monsoon season is there. And prior to monsoon, there won't be any good progress of physical work happens, except establishing the resources and bringing the resources at the project level. And from September onwards, the real physical work will move.

Saket Kapoor: So as of now, the order book for the ..

Moderator: Sir, I'm so sorry to interrupt.

Saket Kapoor : Yes, yes. Ma'am, I am just -- only concluding ma'am. No questions. Sir, as per the current order book status, do we have a portion of this Ken-Betwa, or it is only the preparatory work that is going on currently?

Sanjay Pusarla: Ken-Betwa is a part of the order book.

Saket Kapoor : Can you quantify the amount, sir?

R. S. Raju: It is around -- around INR4,000 crores are there. That is out of the order book. What we explained INR71,000 crores, in that INR 4,000 crores are there.

Moderator: We take the last question from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, just to understand on the finance cost. So, this year, FY '25, around INR 650 crores, INR 653-odd crores. So, whatever we have said in terms of the mobilization advance also having the interest -bearing. So broadly, is it fair to say this number more or less will remain the same in FY '26 also?

R. S. Raju: No. Some more increase -- about the 10% increase we have given the top line. The interest cost may go by another 4% to 5%.

Shravan Shah: Got it. Got it. And sir, is it possible to give a breakup of order inflow and execution...

Neerad Sharma: Shravanji, at the very outset in the introductory remarks, I have already talked about broadly the order book in the important divisions.

Shravan Shah: Yes, yes. No, no, I'm talking about the order inflow. So, what we have received, can we give a segment -wise breakup and if possible, the Q4 FY '25 revenue segment -wise?

Neerad Sharma: Mr. Shah, the broad contribution from different divisions of the order book, I have already shared. Now I will talk about th

e breakup of the division-wise orders. For example, this total INR32,888 crores that we have had, about 26% is from buildings. I repeat, 26% from the buildings. The number is INR 8,447 crores.

The second largest contribution is from Transportation division, which is 24%. The value is INR7,837 crores. The third large contribution is from electrical T&D, which is again 24%. The value is INR 8,031 crores. The fourth large contribution is from the Irrigation division, which is 13%. The value is INR 4,138 crores. The last one is from the Water division, which is 3%, INR1,102 crores. That's all. And this total number will, of course, include the change in scope of various projects that we have in our order book.

Shravan Shah: True, true. And nothing is in mining in terms of the entire order inflow that we have received in FY '25?

Neerad Sharma: We have made INR 3,338 crores, 10%. INR3,338 crores, 10%.

Shravan Shah: Got it, got it. Okay. And possible for Q4 FY '25 revenue segment -wise breakup, sir?
Neerad Sharma: I don't have the numbers ready, Shravanji. Maybe offline, we can -- I will try to share that with you.
Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments.
Neerad Sharma: Thank you very much for your enthusiastic participation in this interactive meeting. In the investor presentation that we have uploaded on our website and also shared with the stock exchanges, we have given one e -mail ID. Should you have any questions post this call, you can get in touch with us. Thank you very much. Thank you.
Sanjay Pusarla: Thank you so much.
Moderator: On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

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Dear Sir,
Sub: Submission of Transcript of the audio conference call held on August 6, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed herewith the transcript of the earnings audio conference call held on August 6, 2025, with analysts discussing the performance & financial
results of Q 1 of the FY 202 5-26. The transcript is also available on the Company's website at
https://www.ncclimited.com/analyst- column.html
Kindly take the above on record.

Thanking you,
Yours faithfully
For NCC Limited

Sisir K Mishra
Company Secretary
Encl: as above

"NCC Limited
Q1 FY 26 Earnings Conference Call "
August 06 , 202 5

MANAGEMENT : MR. R.S. RAJU – DIRECTOR OF PROJECTS – NCC LIMITED
MR. SANJAY PUSARLA – EXECUTIVE VICE PRESIDENT – FINANCE AND ACCOUNTS AND CHIEF FINANCIAL OFFICER – NCC LIMITED
MR. NEERAD SHARMA – HEAD STRATEGY AND INVESTOR RELATIONS – NCC LIMITED

MODERATOR : MR. VAIBHAV SHAH – JM FINANCIAL

Moderator: Ladies and gentlemen, good day, and welcome to the NCC Limited Q1 FY '26 Earnings

Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vaibhav Shah. Thank you, and over to you, sir.
Vaibhav Shah: On behalf of JM Financial, I welcome everybody to 1Q FY '26 E arnings Conference Call of NCC Limited. We have from the management today, Shri. R.S. Raju, Director of Projects; Shri. Sanjay Pusarla, Executive Vice President, Finance and Accounts and Shri. Neerad Sharma, Head Strategy and Investor Relations.
Now I hand over the call to the management for their opening remarks and then we can have the Q&A session. Over to you, sir.
Neerad Sharma: Thank you very much, Vaibhav. Good morning, everyone. This is Neerad. At the very outset, I thank each of you for taking time to attend this interactive meeting. I have with me my colleagues, Mr. R.S. Raju, Director of Projects; and Mr. Sanjay Pusarla, CFO. Yesterday, we have declared our audited -- unaudited financial results for the first quarter of the financial year FY '26. Hope you had an opportunity to download and study the results and investors presentation uploaded on our website and shared with the stock exchanges.
Before I begin this interactive meeting, I will read a brief disclaimer. You may read the detailed disclaimer in our investors presentation. The presentation may contain certain forward -looking statements concerning NCC's future business prospects and business profitability, which are subject to a number of risks and uncertainties, and the actual results could materially differ from those in such forward -looking statements.
This interaction is broadly divided into three parts. In the first part, I will briefly talk about the business environment and the prospects for our company. In the second part, CFO will give a brief about the financial performance of the company for the first quarter of the financial year. In the third part, we will attempt to answer all your questions and clarifications.
As you are aware, we're sitting at a strong order book of INR70,087 crore s. And in the first quarter of FY '26, we have booked orders worth INR3,658 crore s. If we take into account all the projects back till today, this value is INR6,719 crore s, which is about 31% of the lower band of the guidance shared with the Street.
In the first quarter of FY '26, the company has reported a turnover of INR4,430 crore s as against INR4,747 crore s in the corresponding quarter of the previous year. EBITDA margin is 9% on a standalone basis, which is in line with our guidance for the current financial year. For FY '26, we are seeing a healthy prospective pipeline of projects of about INR2.5 lakh crore s. In our buildings and transportation division, we continue to see good traction and healthy pipeline of projects.

We have an order book of INR23,577 crore s, which is about 34% of our total order book in buildings and INR17,957 crore s, which is about 26% of our total order book in the transportation division. In our electrical T&D division, the order book is INR15,737 crore s as of end of June, which is about 22% of our order book. The order book in the irrigation division is INR3,863 crore s as of end June, which is 6% of our order book.
Our water division has an order book of INR4,215 crore s, which is about 6% of our total order book. The order book of the mining division is INR4,733 crore s as of end

of June, which is 7%
of our order book. Now I will hand over to CFO with a request to cover the detailed financial performance of the company.
Sanjay Pusarla: Good morning, ladies and gentlemen. This is Sanjay Pusarla, CFO of NCC Limited. I am pleased to announce the financial results of Q1 of FY '26 of NCC Limited. My announcement will cover order book, revenue, profitability, debt movement and some of the important balance sheet items in the same order.
So coming to the order book. Our order book, you know that it stands at INR71,568 crores at the beginning of the year, and we secured orders of INR3,658 crores in the first quarter. After eliminating the execution, we are standing at an order book of INR70,087 crores as of the end of June.
Coming to the revenue. First, I'll cover on the stand -alone. Turnover reported in Q1 FY '26 is INR4,430 crores against a turnover of INR4,747 crores in the corresponding quarter of the previous year, which is almost like 7% lower than what we reported in the same quarter of the last year. At consolidated, the turnover reported is INR5,208 crores as against turnover of INR5,558 crores in the corresponding quarter of the previous year, which is about 6% lower.
Coming to profitability. At stand -alone level, we achieved EBITDA of 9.02% for Q1 as

against 9.33% of the corresponding quarter of the previous year, which is in line with the indications given to the market. PBT is 5.44% and PAT is at 4.29% in the current quarter that is ending June '26 as against PBT of 5.63% and PAT of 4.3% of the corresponding quarter of the last year.

At consolidated level, we achieved an EBITDA of 8.81% and PBT of 5.15% and PAT of 3.69% in the current quarter, as against EBITDA of 8.65%, PBT of 5.39% and PAT of 3.78% reported in the last year. Coming to the debt movement. The debt at the beginning of the year stands at INR1,484 crores and net debt after cash and cash equivalent is INR695 crores.

At the end of Q1 '26, it is standing at INR1,852 crores and net debt of INR1,497 crores. And at the end of Q1 '25 -- FY '25, that is the corresponding period of the last year, the same is at INR1,820 crores and net debt is INR1,680 crores. There is an increase in debt by INR368 crores compared to March.

The debt -to-equity ratio stands at 0.21 at the end of the quarter 1 of FY '26, as against 0.26 at the end of quarter 1 of FY '25. The same is at 0.20 at the end of March '25. Coming to the working capital. So working capital, I will be covering excluding cash and margin money

deposits. So at the end of Q1 FY '26, it stands at INR5,314 crores, which is 30% of the turnover. And in terms of number of days, it is 102 days.

So coming to the debtors, receivables position. Debtors outstanding at the end of Q1 has increased from INR3,098 crores to INR3,296 crores. And the number of days has also increased from 65 to 77 days in the current quarter. And 85 days -- it was 85 days for the corresponding quarter of the previous year.

Coming to the unbilled revenue. Unbilled revenue stands at INR6,442 crores, which is 37% of the revenue, as against INR5,937 crores, which is 31% at Q4, that is March '25. Retention money stands at INR2,008 crores, which is 11% for Q1, as against INR1,870 crores, which is 10% at Q4, at the end of March '25.

Coming to the mobilized advances. Mobilized advances stands at INR2,944 crores as at the end of June '25, as against INR2,098 crores as of March '25, increased by INR846 crores. Of these mobilized advances, interest -bearing advances are 62% and average interest comes to around 9.24%. Interest -bearing advances decreased from 79% to 62% during this quarter.

Coming to the cash and cash equivalents. Cash and cash equivalents are INR355 crores as at the end of June 2025, against INR789 crores at the end of March '25. Same is the case with margin money deposits, INR671 crores as at

the end of June '25 and INR639 crores at March '25.

Coming to the capex . We have budgeted a capex of INR750 crores for the regular projects, against which we have spent INR92 crores in the quarter 1 of FY '26. So investor -related ratios. ROCE stands at 12.62%, as against 14.61% at the end of -- at February -- sorry, at March '25. Return on net worth against PBT is 13.14% as against 14.23%. EPC stands at INR3.03 as at the end of quarter 1 of FY '26, as against INR3.2 in Q1 of FY '25.

With this, I conclude the presentation on the financial numbers. Thank you, all. Mr. Vaibhav, we can take questions now.

Moderator: Thank you very much. We will now begin the question and answer session. T he first question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, first on the -- our guidance front. So this quarter, 7%, 7.1% revenue degrowth, and we were looking at 10% growth for FY '26. So the -- for balance three quarters, the ask rate is 15.5% odd. So what's the revised guidance? And in terms of margin also, will it be a kind of a lower end of 9% or still we can have a 9%, 9.25%?

Sanjay Pusarla: Yes. Coming to the guidance. So I think you are aware that whatever orders we have received, we have received at the end of March, major orders, okay? And in generally, what happens when the new orders are received, you need to mobilize the site, you need to have the work front availability. The designs and trying stage, clearances, everything will be there.

They are all in place now. Probably by end of September or September onwards, the new works will also start producing the results now. They will have the revenue. We expect to

maintain the guidance in the coming quarters. Probably in the quarter 3 and quarter 4, we will be looking at numbers -- achieving these numbers.

Shravan Shah: Okay. Great. And then margin also -- will it be 9% or 9.25% is also possible?

Sanjay Pusarla: 9% is definitely we are expecting that we'll be reaching that 9%. We'll be maintaining sustaining that level. And there is a possibility once the growth is there in the revenue, there is a possibility of adding some more basis points.
Shravan Shah: Okay. And just a clarification, though in terms of order inflow, we are INR22,000 crores, INR25,000 -odd crore s. And till now, we have received INR6,719 -odd crores. So the L1 status, if you can help us currently how much value of projects are L1? And including this L1, are we looking at total INR22,000 crores to INR25,000 -odd crore s kind of order inflow for this year?
Neerad Sharma: Yes. Vaibhav ji, the L1 value would be between INR5,000 crore s to INR6,000 crore s. And as we speak, we reiterate that we are quite convinced that we should be able to achieve the guidance that we have shared with the Street. And the number that you quoted, INR6,700 -odd crores number, which is already about 30% of the lower band of the guidance that we have shared with the Street. So we are reasonably confident of achieving that target.
Shravan Shah: Okay. Got it. And lastly, in terms of the finance cost, last time we said it would be 3% to 4% can be higher. So that number is likely to remain the same?
Sanjay Pusarla: It's likely to remain same. And probably, we are also having discussions with the bankers are also exploring some alternative means of finance also, alternative products. It may be a little bit of lower side when compared to the previous year. Yes.
Shravan Shah: Lastly, sir, two , three data points on balance sheet, trade payable, inventory, loans and sir, total investment in subsidiaries and associate, and also if you can break it up in loans and investment?
Sanjay Pusarla: One second. Investments is INR1,052 crores. Inventories is INR1,476 crores. These two numbers. And coming to the payables...
Shravan Shah: 1,400 -- sorry. Inventory...
Sanjay Pusarla: 472.
Shrava

n Shah: Okay. 472, okay, 1 -4-7-2. Yes. Trade payable, sir?
Sanjay Pusarla: Trade payables is INR6,062 crores.
Shravan Shah: INR6,062 crores?
Sanjay Pusarla: Yes.
Moderator: The next question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Sir, my questions are related on institution. The first question is smart meter. We believe the smart meter has picked up in general in Maharashtra and UP. For us, are you seeing the pick up in institution? And has the institution normalized now?
Sanjay Pusarla: Yes. In the case of smart meters for both Maharashtra projects, we have got the go -live and the pace is picked up and is expected to be doing well in the quarter 2 and quarter 3.
Neerad Sharma: Mr. Mohit, we have made reasonably good progress on the installation of these smart meters. We have already installed close to three orders close to 15 lakh meters.
Mohit Kumar: Second question is on the Ken -Betwa, river interlinking project. How is the execution going right now? And are you seeing more order inflow, more inquiry from the company side for the balance of the year?
Neerad Sharma: Mr. Mohit, firstly, this Ken -Betwa project, this project is required to be executed in 6 years' time. So for a project like this, there are a lot of processes involved, design, permissions in place. So the project is currently at this stage. But we are hopeful that more projects should come for bidding for interlinking of rivers, but we have to wait and watch.
Mohit Kumar: Are you seeing more tenders, sir, at this point of time it is more status quo as of now?
Neerad Sharma: We expect to see because if we were to go by the different media reports, there are different interlinking of river projects are being talked about in a few states. So we have to just wait and watch how these developments finally pan out.
Mohit Kumar: Yes, sir. My last question, sir, on the order book. Are there slow -moving order books which has inched up compared to, let's say, last fiscal?
Neerad Sharma: We cannot -- I mean, most of the projects that we have currently in our order book, Mr. Mohit, are moving at a good pace. And whenever we take a view that these projects are not moving, they are not expected to make progress, generally, we try to remove those projects from our order book. This is an exercise that we have done in the past. So as we speak, I mean, we have taken a view that these projects should make reasonably good progress in quarters to come.
Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.
Parikshit Kandpal: Yes. Sir, my first question is out of the total order book of INR 70,000 crores, what quantum of the order book the work hasn't -- has not started until now?
Sanjay Pusarla: It was almost like whatever projects we have got in the month of March. All those projects are in the initial phase of designing and getting clearances and also having the work available -- for work build availability. So those are the projects which are taking up now. And there are no

projects which have been stalled in the order book.
Parikshit Kandpal: So if you can quantify? I mean...
Sanjay Pusarla: So Parikshit, I would like to answer that a little different. The -- in the FY '25, we have bagged projects about close to INR33,000 crore s. The projects that we have bagged in the month of

March, they are expected to take some few more months to really get started. So whenever we bag a project, there are a lot of -- there is a process involved, the taking over the site, mobilization, completing the documentation, having all the ROWs in place.
So it will take some time for the projects that we have recently bagged. Otherwise, all the projects that we have in our book are making good progress.
Parikshit Kandpal: So what will be

the order inflow in March, sir?
Neerad Sharma : It would be about a little less than INR20,000 crores.
Parikshit Kandpal: So INR20,000 crores was bagged in March. So that is where -- the work will start by sec ond half of this financial year?
Sanjay Pusarla: Right. You're right.
Neerad Sharma: Depending on the site, depending on the -- I mean, different sites will have different conditions. But by and large, we could say that.
Parikshit Kandpal: Okay. Got it. Second question is on the JJM. So what's the progress on JJM? And what are the debtors currently outstanding and revenue for Q1 and order book?
Sanjay Pusarla: So as far as JJM are concerned, the total order book is about INR16,000 crores. Out of that, we have already executed about INR12,000 crores. INR4,000 crores is the balance order book that needs to be executed. And this year also, we are expecting to execute a major portion of that.
And coming to the receivables, it was somewhere around -- one second, I'll just give you the receivables number.
Parikshit Kandpal: Okay. And just another question on this Versova, NCC Urban has won a redevelopment project of 0.4 million square feet. So this is under the listed entity, right? And if yes, then what is the plan for real estate now beyond the current land parcel? How are you looking at this business?
Neerad Sharma: Could you please repeat your question?
Parikshit Kandpal: Sir, NCC Urban has won a redevelopment mandate for 0.4 million square feet in Versova in Mumbai. So I just wanted to check, is this the part of the listed entity? And if yes, then what are the plans for the real estate development in the listed entity beyond the current land banks?
Neerad Sharma: For the -- our real estate business, we have a subsidiary company called NCC Urban. And this company has bagged that project, the project that you are talking about.
Parikshit Kandpal: Right. Yes, that I understand, sir. But I was asking, are we looking at more projects like this for development within NCC. So that was my question, sir. How are you looking at the real estate development now from here on?
Sanjay Pusarla: It was not at the NCC level. It was at the urban level only, and they are looking for these kind of projects also in the near future.

Parikshit Kandpal: And this will be part of the listed entity, right?
Neerad Sharma: This is a subsidiary company of the listed entity. The parent company listed entity is NCC Limited. Our subsidiary company's name is NCC Urban. That company is not listed. It's an unlisted entity, but it's a subsidiary company of the parent company, listed company, NCC Limited.
Parikshit Kandpal: Okay. That I understand, sir. But I'm saying the revenues, and the profit will accrue to the listed entity NCC, the parent holdco company, right?
Neerad Sharma: In the consol idation , it will come.
Parikshit Kandpal: Yes. So as a business -- so I was asking as a strategy, how is the parent now -- if the business is done under subsidiary, the capital requirement and everything as we have been supporting our entities in the past. So I wanted to know how are we looking at this business and outside our existing land parcels? How are you looking at the real estate opportunity from mid - to long-term? So what is our strategy there?
Neerad Sharma: Yes. If you could repeat your question, Mr. Parikshit? You are asking about the long -term strategy for this kind.
Parikshit Kandpal: Yes.
Neerad Sharma: See, this unlisted subsidiary company of NCC, they are always in lookout for all kinds of

opportunities, including redevelopment projects. As and when they are able to identify a good
project, they will evaluate and then decide the next course of action.
Parikshit Kandpal: Okay. Sure, sir. And just last that JJM, the receivables.
Sanjay Pusarla: That was around INR300 crores is the receivabl

es, INR286 crores precisely, yes, SWSM
projects. Yes.
Moderator: The next question is from the line of Nishit Jain from S&J Investments.
Nishit Jain : I would like to know regarding your projects in MMR region. So if I'm not wrong, some two
BMC projects company is executing with -- in JV with J Kumar, right?
Neerad Sharma: Yes. You're talking about GMLR project, Mr. Jain?
Nishit Jain : Yes. One is GMLR and I guess the other one is Versova -Dahisar coastal road also, right?
Sanjay Pusarla: Yes, the VDCR, right.
Neerad Sharma: That's right.
Nishit Jain : So have we received this -- the clearances and is the on -ground work started in this?
Sanjay Pusarla: So as far as the GMLR tunnel project is concerned, we have received all the clearances. Only
we are just waiting for the tree cutting permissions, which is expected very shortly. Once it

comes, then the project progress will also happen. And whatever equipment that is required for
this project is also reaching India, which is actually an imported equipment, which is coming
from outside. It is reaching now.
And as far as VDCR is concerned, we are just waiting for some clearances to come. Once that
comes, that project also will take off. And as far as GMLR is concerned, we already started all
the approach roads and everything, and also the casting yard also for the purpose of tunnel
lining.
Nishit Jain : Okay. In this follow -up, so for this Versova -Dahisar project, so is -- for that, is the -- is there
will be a requirement of casting yard? And if yes, is it finalized?
Sanjay Pusarla: No. No. It is not for Versova, this Dahisar coastal road. It is for the tunnel project, GMLR
tunnel project.
Nishit Jain : So for they -- Versova, they said, you won't require any casting yard. Is it like that?
Sanjay Pusarla: No, no. There, we don't require anything.
Nishit Jain : Okay. And second thing is on the Virar -Alibaug MSRDC project. I think now they are going
to do it on BOT model. So company will be participating in this BOT model tenders?
Sanjay Pusarla: Which project you were mentioning about?
Nishit Jain : Virar -Alibaug multi -model, which they have cancel led and now they will issue in BOT model,
I think so ?
Neerad Sharma: We will evaluate. We'll evaluate. But our focus always is on EPC kind of projects. But
whenever these projects comes up for bidding, we will evaluate and then decide. It is really
premature to really commit whether we will participate or not. It would depend on the project,
the various terms and conditions, and our decision would depend on that.
Nishit Jain : The only idea was, does the company participate in the BOT model that is...
Neerad Sharma: Generally -- I think I have already answered that question. Generally, our focus currently is on
the EPC kind of projects.
Moderator: The next question is from the line of Prithvi Raj from Unifi Capital.
Prithvi Raj: I just have a couple of questions on balance sheet. We saw increase in the working capital and
debt numbers on a sequential basis. Could you please explain this? Are we facing any d elays
with respect to payments o r has the situation improved? Could you throw some colour on this?
Sanjay Pusarla: Generally, the debt position at the end of the first quarter will be a little higher when compared
to your March, okay? So the reason being in the end of the year, as we more concentrate on the
government projects, the government project, generally, they tend to release all the payments
because of the expiry of their budgets and other things. So you have your debt position will be
low at the end of year -end.

At the end of the first quarter, the debt position, I think, were comparatively better than what
we were there in the last year. And we are not expecting any delay in the receivables, except
for the few project

s where the central funds are expected to be released sooner.
Prithvi Raj: Okay. And on the Maharashtra, I think last year, you had a certain delay with respect to

execution. Has the things improved after the elections? Now is Maharashtra execution and payments seems to be normal?
Sanjay Pusarla: Yes, definitely. Because after the elections, we even started getting all the clearances. We got the go -live for all the smart meter projects, and we started executing the projects and the payments are also flowing in now.
Prithvi Raj: How should we look at the debt number by the end of the year? Do you have any number saying by March '26, you would like to reach certain level?
Neerad Sharma: Mr. Prithvi Raj, we do not really give any guidance for the debt number. I think we have shared three set of guidance numbers for the current financial year FY '26, which you already know. So we do -- really don't share any specific number for the debt.
Prithvi Raj: So one final question on the execution front. I mean in addition to high base last year, has there been anything else that impacted the execution specifically in this quarter, early monsoon, something of that sort?
Sanjay Pusarla: So this quarter, the execution impact is not on that account. Actually, the execution impacted in certain category of projects like SWSM projects. As you know that the -- there were delays in the release of payment from these government. So that is the reason there was a dip in the turnover. Otherwise, there is no other impact. And we expect these things will also set in right in the quarter 2 and expect that we'll be meeting the market expectations as the guidance given by us.
Moderator: The next question is from the line of Vaibhav Shah from JM Financial.
Vaibhav Shah: How much have we invested in the smart meter projects as equity?
Sanjay Pusarla: As of now, it is INR70 crores.
Vaibhav Shah: And what would be the total investment in the time period?
Sanjay Pusarla: It is like INR430 crores is the total equity that is required over a period of 1.5 year. And this year, it is expected that we may have to invest another INR150 crores to INR200 crores.
Vaibhav Shah: Incrementally?
Sanjay Pusarla: Yes.
Vaibhav Shah: Okay. And any thoughts on bringing some partner? We were earlier looking for a partner to share the equity burden. So any thoughts on that?

Sanjay Pusarla: Still, we have not shelved that proposal. We are still active on that. And we are also looking for someone who will come to us at our terms. If someone is coming up, then definitely, we will look for that opportunity.
Vaibhav Shah: But otherwise, we are open to put the entire equity?
Sanjay Pusarla: Obviously.
Vaibhav Shah: Okay. Sir, secondly, on the Vizag deal. So there was an outstanding loan of INR375 crores. So what is our plan to recover that? And how much have we recovered in this year so far?
Sanjay Pusarla: This year, we have not recovered anything. The -- actually, there was launching of the project happened by them in the current year. And there was a little restructuring done. Starting September '25, they will start releasing the funds. This year, they have not released anything so far. But end of September, they will start releasing as per the agreed schedule.
Vaibhav Shah: So you are earlier targeting INR120 crores in '26. So we maintain the target?
Sanjay Pusarla: Yes. That was the agreed target with them.
Vaibhav Shah: Okay. Sir, secondly, on the AP side, sir, what would be the outstanding receivables?
Sanjay Pusarla: And as AP Capital City, the outstanding is INR104 crores as of now. And we started getting some money from there. And we are expecting this money also to get realized by end of second quarter.
Vaibhav Shah: And sir, in the running projects?
Sanjay Pusarla: Running projects, it is good, absolutely no problem. Even

the new projects which have been awarded to us in the last quarter, they have already started mobilizing, and we have already started working on those projects and initial bills were also raised in some of the projects because all the projects were not taken off immediately. Some projects have taken up, and we started billing them and we are getting the money.
Vaibhav Shah: And what would be the amount, sir, outstanding from running projects?
Sanjay Pusarla: New projects, as of now, there is no outstanding, whatever bills that have been raised that have been -- those have been paid off.
Vaibhav Shah: Okay. And sir, lastly, what would be the share of AP in the consol order book?
Sanjay Pusarla: Around 13%, 14%. Yes. It will be around 13% to 14%.
Vaibhav Shah: Okay. And sir, lastly, what would be the capex for FY '26?
Sanjay Pusarla: FY '26, INR750 crores we have put the capex for the normal projects. Out of that, INR92 crores we have already procured in quarter 1.

Vaibhav Shah: Okay. Sir, one clarification. You mentioned that the JJM receivables is around INR286 crores. As of March, it was around INR1,500 crores, right?
Sanjay Pusarla: No, that is including all your unbilled revenue also and other JJM projects also in addition to SWSM.
Vaibhav Shah: Okay. So the number corresponding to March INR1,500 crores would be what number right now?
Sanjay Pusarla: It will be INR1,700 crores.
Moderator: Next question is from the line of Deepak Poddar from Sapphire Capital.
Deepak Poddar: Sir, just wanted to understand this first quarter, our net debt was around INR1,500 crores, right?
Sanjay Pusarla: Yes.
Deepak Poddar: Okay. And what's the target for FY '26 end? I mean, in the past, we had some target of debt reduction. So now the debt has increased. So what sort of target we can have for FY '26 end debt levels at the gross level maybe?
Neerad Sharma: Mr. Poddar, we don't really share any target for the debt. But we expect that we may end up at around INR1,400 crores to INR1,500 crores.
Deepak Poddar: INR1,400 crores to INR1,500 crores. Okay. Similar to what we have -- we had at the end of FY '25?
Sanjay Pusarla: Yes.
Deepak Poddar: And so -- and interest cost also, I mean, do you expect the interest cost on a Y -o-Y basis because debt levels have increased right now to kind of remain flattish or we can see some increase?
Sanjay Pusarla: No, it was like -- similarly like last year only. There will not be any significant change in that.
Deepak Poddar: Okay. And just -- I mean, if I have to see, I mean, last four, five quarters, I mean, consistently, we have seen a degrowth on a Y -o-Y basis in terms of our quarterly revenue. So -- and we do have a very healthy strong order book. So just wanted to understand where we are -- I mean, we are finding it difficult to grow our business. I mean, is it the execution part? So some understanding on t hat would be very helpful, sir?
Sanjay Pusarla: Yes. It's like this. If you see the year 24 -25, half 23 -24, the growth rate is very high. If you see that it was around 35% is the growth rate, okay? And coming to '25 here, we have given, I think, a guidance of 15% at that point of time. And midterm, we revised it to 10%, okay? So the actual growth that happened is around 5%, okay?

And the projects which have come in the last year, okay, those have come in the latter part of the year. Because in the beginning of the year, because of the political -- the elections and other things, there was no order book that was building up in the beginning of the year. The order book was built only at the end of the year.
That is the reason you have a -- comparatively, if you compare with the previous year, there is a reduction in quarter -on-quarter. But these orders which have come in the month of February and Ma

rch of this current year, they will result in producing your revenues maybe from the quarter 2 ending or quarter 3 of the current year.
Moderator: We take the next question from the line of Bhavin Modi from Anand Rathi.
Bhavin Modi: So when I was looking to the execution part, so I see the execution is being like lagged from the transportation business and from the electricals business. So sir, what is the reason for that? Why is a slow execution? So like the conversion is around 4% to 5% of the opening order book of this quarter?
Neerad Sharma: See, Mr. Modi, about this T&D, I think we are on record. We have already shared in the previous con calls that execution got a little impacted in the state of Maharashtra for rolling out the smart meter projects. So whenever a delay of this kind takes place, naturally, it will have some implication on the project progress. But we are quite hopeful. As we have shared in this call earlier, we have the go live, and we are making reasonably good progress for the electrical T&D.
Bhavin Modi: Okay. And sir, second question, can we expect a good amount of execution from our BSNL order, which we won in the first part of the last financial year? And can we also expect a good amount of execution for GMLR projects? So can we expect execution to ramp up because of these two major orders?

Sanjay Pusarla: So as far as the BSNL is concerned, now that groundwork is happening, that design clearances, approvals are in place, probably from Q3 onwards, we'll start billing and executing. And by end of the year, maybe Q4, it will pick up. As far as the GMLR is concerned, the preparations are happening for launching these TBMs. That is a very complex job.
Once the TBMs are launched, then only the increase in the revenue is expected. Till such time, you will have a pproach roads, you will have box tunnels, cut and cover tunnels, all these things, they will be doing it. So you will not expect higher revenue in respect of GMLR now until the TBM starts working.
Bhavin Modi: Okay, sir. And last question, sir, how do you see the impact of monsoon till date? How have we seen the execution impact?
Sanjay Pusarla: Generally, the execution in Q2 because of the monsoon, we even expect to do moderately. So that is going to be there.
Moderator: The next question is from the line of Vishal Periwal from Antique Stock Broking.

Vishal Periwal: Sir, in terms of order book, can you give some colour like in terms of state -wise top 5, 6 states and also central state, how the fit is for us?
Neerad Sharma: Mr. Periwal, these projects will have a very good mix from all the leading states. So all the large states that are rolling out this infrastructure projects, we have a very good mix from all these states.
Vishal Periwal: Okay. And maybe in central state private, will that be handy, sir, with you?
Sanjay Pusarla: Yes. Out of the order book, you have a composition of like 20% is from the central government, about 15% from the state government and other entities like PSU state government entities, ADB, AIB banks and all. That's about 60%, 65%.
Vishal Periwal: Okay. So private is clubbed in that last part. Is that what?
Sanjay Pusarla: Yes. Private is not very substantial. It is somewhere around 5%.
Vishal Periwal: Okay. And maybe one last thing. So order inflow, you mentioned a number of INR6,000 crore s plus. So that is till July, INR6,700 crore s.
Neerad Sharma: Yes, that's an L1 number, Mr. Periwal. Yes.
Vishal Periwal: No, you are mentioned two things sir ?
Neerad Sharma: The order inflows, right, in July. This is INR6,792 crores. INR6,792 crores.
Moderator: The next question is from the line of Vasudev from Nuvama.
Vasudev: Are we seeing any slowdown in the state government payments from any state?
Sanjay Pusarla: Right now, not. We are expecting the payments to co

me. As usual, as we discussed earlier also, the payments from Telangana government was a little slower. But otherwise, rest of the places, we are not facing any serious issues.
Vasudev: Okay. And sir, just one data -related question. We had cash and cash equivalents last quarter end was about INR1,300 crores. So can you just give a like -to-like number for this quarter as well?
Sanjay Pusarla: Yes. So it is cash and cash equivalents, including the MM deposits, margin money deposits. As at the end of March -- so cash and cash equivalents, you want on the pure cash and cash equivalents, you want including margin money deposits. If it is including margin money deposits as at the end of June '25, it is INR826 crores. And as at the end of March, it is somewhere around INR1,400 crores.
Vasudev: Okay. And sir, just last one, how much investment are we anticipating in the smart meter project?

Sanjay Pusarla: So the total investment required is INR430 crores. We have answered this question earlier, about INR150 crores, we need to invest more in the current year -- expecting to invest more in the current year.
Moderator: The next question is from the line of Lokesh Kashikar from SMIFS Institutional Equities . Please proceed.
Lokesh Kashikar: Most of the questions have been asked. Just a question from my side. What is the labour situation for us considering that we are sitting on one of the highest order book position? And also there has been the impact in Q1 as well considering that there has been a marriage season and festivals also there. So t hat's the question from my side?
Sanjay Pusarla: Marriage season, festival season, it is always factored, okay? It is there every year. So that is always factored. But as far as the labour is concerned, as you said, it is very, very important for

our industry. And as you know that everywhere the infrastructure boom is there and a lot of scarcity is there, but still we are managing and trying to retain the people.
Lokesh Kashikar: But do you see that our order book position of around INR70,000 crores, we have enough labour to ramp -up the execution pace at it?
Sanjay Pusarla: We do not see any problem in terms of availability of the labour for executing these projects.
Neerad Sharma: See, the fact of the matter is the situation keeps changing from city to city, place to place. There would be places in which it is not as challenging as in some cities. But we are able to manage. There are various things that we are trying to do on the ground to make sure that people are comfortable, labour force is able to come, do their job to take care of their requirements. So we are trying to do all these things on the ground so that we are able to execute the orders that we already have in our hand.
Moderator: The next question is from the line of Jainam Jain from ICICI Securities.
Jainam Jain: Sir, my first question is we have been hearing from the peers that there has been a labour shortage issue in the construction space, especially within the building segment, whereas we have been -- we had a -- we see a potential decline in labour expenses. Can you throw some light on that part?
Neerad Sharma: I think we have already answered that question. This is a reality. This is a reality. But just saying that this is a challenge doesn't improve the situation. So as I have already shared in a -- trying to answer a question previous to your question, the situation is not uniform. In some places, this would be more challenging than the other places. But we are a company that has been in this business for more than 47 years.
So we have what it takes to make sure that the labour force is available for the sites. But you are absolutely right when you make this observation that this is a systemic issue and this is a challenge.

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ainam Jain: And then sir, the way we have a very good orders from A P Capital project, are we eying for any similar good opportunities just like …
Neerad Sharma: You are not audible. Could you speak a bit louder, please?
Jainam Jain: Sir, the way we have bagged good orders from AP Capital project, are we eying any similar good opportunity which we expect to be tendered out in this fiscal?
Neerad Sharma: That is very difficult to say. What do you mean by similar projects like capital city?
Jainam Jain: I mean projects with similar size of projects ?
Neerad Sharma: It depends. As and when if the real big projects come, we are always in lookout for interesting projects. But that's a new capital city that is getting constructed in Amravati. So -- but whenever similar projects come up for other places, we will definitely evaluate and then decide the next course of action.
Jainam Jain: Okay. And sir, have we started the execution of AP Capital project, which w e have received in last fiscal a nd when do we expect to...
Neerad Sharma: Your voice is not very clear. At times you are audible, at times you are not.
Jainam Jain: Hello. Am I audible right now?
Neerad Sharma: Yes.
Jainam Jain: Sir, have we started the execution of AP Capital projects, which we had received in FY '25?
Neerad Sharma: We have alrea dy answered that question earlier that the projects that we have bagged for the capital city, it has -- it is in the stage of design, engineering, the predevelopment stage of the project. Once the project crosses these milestones, the construction would start.
Jainam Jain: So sir, when do we expect that thing to happen l ike when do we expect the execution to start on the full pace?
Sanjay Pusarla: It is going to happen maybe in the coupl e of weeks. Already in those some of the projects, we started billing also because it is not one single project, it is a comp osition of many packages. It is not one single project, the entire order. It is different packages and it is a different projects like building up roads, infrastructure, constructing drainage system and hostel, buildings and high court.
There are several packages which have come in. So each package is at a different stage. But some of the package, we have already started working on them, and we started even the initial billing also.
Moderator: The next question is from the line of Saket from Kapoor Co. Please proceed.

Saket: Sir, firstly, if you could just correct me here. Sir, some of the slides we have removed from our presentation for this quarter, especially about the coal mining aspect and the urban part. So any particular reason why we chose to do so? And what is the update firstly from the contribution from our mining MDO work and what are the targets we have set out for ourselves for this year?
Sanjay Pusarla: For mining, we have set a target of about INR2,600 crores for the current year. And we have achieved about INR720 crores, I think, in the first quarter. And we expect to reach the target whatever we have fixed for that. And there is no specific reason why we have taken...
Neerad Sharma: It is not this pattern, Saket ji, because as per the improvement quarter -to-quarter, we try to share what information that we think best describes our business in that quarter. So that's the reason. There is no other reason.
Saket: Sir, secondly, on the real estate part of the business and some inventories in terms of the real estate that is being held as inventory. What should we expect going ahead in terms of monetization of those assets?
Sanjay Pusarla: It's like this, in the case of real estate, the inventory will become -- we can monetize only when the OC comes in. But as far as the order booking is concerned, there will be a payment -- presale booking will be there. The bookings are good. Only we are not able to show the orders

because of the occupancy certificate because the revenue recognition under that particular standard calls for OC, then only we can book the orders, we can book the revenue. So presales are going on, and they are at a good number. We expect them once the OCs are coming, we expect the revenue also to come into the books. And as on date, what we are seeing is that there is a delay in giving the clearances occupancy certificate, and there were a lot of procedures that have been coming in between. Earlier, it was taking only 3 to 4 months. Now it is taking 4 to 6 months for getting the OC.
Saket: And what would be the number we can expect for this year, sir, in terms of the contribution to the top -line and bottom -line from this segment?
Sanjay Pusarla: INR350 crores we are expecting.
Neerad Sharma: It is there in the segmental results.
Moderator: The next question is from the line of Tejas Shah from Unique Stock.
Tejas Shah: Sir, how do you go about for order? Because I think in infrastructure companies, your major is taking orders. Now what is the order intake we are looking for this year or next year?
Neerad Sharma: The order inflow guidance that we have shared with the Street is a band INR22,000 crores to INR25,000 crores for FY '26. For FY '27, after the completion of this financial year, we will start working on the budget of FY '27, and then we should be in a position to share that number with you.
Tejas Shah: Okay. Thank you.

Neerad Sharma : Thank you very much.
Moderator: Due to time constraints, we take this as the last question, and I would now like to hand the conference over to the management for closing.
Neerad Sharma: Thank you very much for your time and questions. Hope we have been able to answer all your questions. Should you have any more questions, clarification, you may get in touch with us at the e -mail mentioned in the investor s presentation. Thank you very much.
Sanjay Pusarla: Thank you so much.
Moderator: On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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Ref. No.: NCCL/ Reg.30/Transcript
Date : November 12, 2025

National Stock Exchange of India Ltd
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Bandra – Kurla Complex, Bandra (E)
Mumbai - 400 051
Symbol: NCC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai – 400 001
Code: 500294

Dear Sir,
Sub: Submission of Transcript of the audio conference call held on November 7 , 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed herewith the transcript of the earnings audio conference call held on November 7, 2025, with analysts discussing the performance &
financial results of Q 2 of the FY 2025- 26. The transcript is also available on the Company's
website at https://www.ncclimited.com/analyst- column.html
Kindly take the above on record.

Thanking you,
Yours faithfully
For NCC Limited

Sisir K Mishra
Company Secretary
Encl: as above

"NCC Limited
Q2 FY26 Earnings Conference Call "
November 07, 202 5

MANAGEMENT : MR. R.S. RAJU – DIRECTOR OF PROJECTS – NCC LIMITED
MR. SANJAY PUSARLA – EXECUTIVE VICE PRESIDENT – FINANCE AND ACCOUNTS AND CHIEF FINANCIAL OFFICER – NCC LIMITED
MR. NEERAD SHARMA – HEAD STRATEGY A ND INVESTOR RELATIONS – NCC LIMITED

MODERATOR : MR. VAIBHAV SHAH -- JM FINANCIAL INSTITUTIONAL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the NCC Limited Q2 FY '26 Earnings

Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vaibhav Shah from JM Financial Institutional Securities Limited. Thank you, and over to you, sir.
Vaibhav Shah: Thank you. On behalf of JM Financial, I welcome everybody to Q2 FY '26 earnings conference call of NCC Limited. We have from the management, Shri R.S. Raju, Director of Projects; Shri Sanjay Pusarla, Executive Vice President, Finance and Accounts; and Shri Neerad Sharma, Head Strategy and Investor Relations.
Now I hand over the call to the management for their opening remarks, followed by Q&A session. Over to you, sir.
Neerad Sharma: Hi. Good morning, everyone. This is Neerad. It gives me great pleasure to welcome you all to our earnings call for the second quarter of the financial year '25-'26. At the very outset, I would like to thank each of you for joining this interactive session and for your continued interest and trust in NCC. I have with me my colleagues, Mr. R.S. Raju, Director, Projects; Mr. Sanjay Pusarla, our CFO.
Yesterday, we announced our unaudited financial results for second quarter of the current financial year, which have been uploaded on our website and shared with the stock exchanges. We believe you have had the opportunity to review the financial statement s and the investors presentation.
Before we begin, I would like to draw your attention to the standard disclaimer, which is also available in the investor presentation. This presentation may contain certain forward- looking statements concerning NCC's future business prospects and profitabi lity, which are subject to several risks and uncertainties. The actual results could materially differ from those indicated in such forward -looking statements.
This interaction is broadly divided into 3 parts. I will first present a brief overview of the business environment, operational highlights and our outlook for the remaining part of the financial year.
In the second part, our CFO will cover the financial performance for the second quarter. In the last part, we will take up your questions and clarifications.
Due to the challenging external business environment and elongated payment cycles, we have decided to withdraw the guidance for the financial year '26 and will be able to share any update by March '26.
As of 30th September '25, our order book stands at INR 71,957 crores compared to INR 7,087 crores at the end of the previous quarter. During the quarter, we booked new orders worth INR6,223 crores, which is mainly from Buildings, Water and Irrigation divisions. In the second

quarter of the FY '26, the company has reported a turnover of INR 4,585 crores as against INR5,224 crores in the corresponding quarter of the previous year. The EBITDA margin stood at 8.7% on a consol basis.
For the first half of FY '26, the company achieved a cumulative turnover of INR 9,793 crores compared to INR 10,782 crores in the same period last year. The cumulative order inflow for H1 FY '26 stood at INR 9,881 crores. Now I will break down the order book segment -wise as of second quarter.
The order book in the Building division stands at INR 22,492 crores, which is about 31% of the total order book. The Transportation division has an order book of INR 17,361 crores, which is about 24% of the order book. The order book in the Electrical division s

tands at INR 15,013
crores, which is 21% of the total order book.
The Water and Railway division holds INR 7,553 crores, which is about 10% of the total order book. The Irrigation division has INR5,394 crores, which is about 7% of the total order book.
The Mining division order book stands at INR 4,137 crores, which is about 6% of the total order book.
Now I will hand over to Mr. Sanjay Pusarla with a request to take us through the detailed financial performance of the company. Over to you.
Sanjay Pusarla: Good morning, ladies and gentlemen. This is Sanjay Pusarla, CFO from NCC Limited. I'm pleased to announce the financial results of Q2 of FY '26 of NCC Limited. My announcement will be in the sequence of order book, revenue, profitability, debt movement and some of the important balance sheet items. To start with order book.
Our order book stands at INR 71,957 crores at the end of September '25. You are aware the order book at the beginning of the year is INR 71,568 crores. Orders received in Q2 is INR 6,223 crores.
And cumulatively, as Mr. Neerad said, we have received orders, including the orders in the

month of October stands at INR 17,420 crores. So the order book of INR 71,957 crores includes stand -alone order book of INR 64,326 crores and INR 7,632 crores of the subsidiaries.
Coming to the revenue. Turnover reported in Q2 of FY '26 is INR 3,774 crores as against turnover of INR4,480 crores in the corresponding quarter of the previous year, which was a decline of 16% at the stand-alone level. When it comes to 6 months, the turnover for Q2 for the H1 of FY '26 is INR 8,204 crores as against INR 9,227 crores, which was a decline of only 11% at the consolidated level.
The turnover reported in Q2 FY '26 is INR 4,585 crores as against the turnover of INR5,224 crores in the corresponding quarter of the previous year, a decline of 12%. When it comes to 6 months for the H1 of FY '26, it is INR9,793 crores as against INR 10,783 crores shows a decline of 9%.
Let's get into the profitability. At the stand -alone level, we achieved EBITDA of 7.45% for Q2 as against 9.03% of the corresponding quarter of the previous year. PBT, we achieved 3.1% and

PAT we achieved 2.68% in the current quarter, that is Q2 FY '26 as against PBT of 4.86% and PAT of 3.58% reported in corresponding quarter of the previous year.
At consolidated level, we achieved EBITDA of 8.66% and PBT of 4.51% and PAT of 3.37% in the current quarter as against EBITDA of 8.52%, PBT of 4.79% and PAT of 3.12% reported in the corresponding quarter of the previous year. Let's get into the debt moveme nt.
The debt at the beginning of the quarter stood at INR 1,852 crores and net debt after cash and cash equivalents is INR 1,497 crores. At the end of quarter 2 FY '26, it stood at INR 2,115 crores and net debt of INR 1,890 crores. And at the end of Q2 FY '25, the same is INR1,773 crores and net debt of INR 1,624 crores. There is an increase in debt by INR 263 crores. The debt -equity ratio stands at 0.28 at the end of Q2 FY '26 as against 0.25 at the end of Q2 FY '25. And beginning of this year, it was 0.20.
So coming to the working capital, excluding cash and margin money deposits. At the end of Q2 FY '26, it stands at INR 5,406 crores, which is 33% of the turnover. In terms of working capital days, it is 110 days. Debtors outstanding at the end of Q2 has decreased from INR 3,296 crores to INR3,277 crores and the number of days increased from 77 to 78 days in the current quarter. It is 65 days for the corresponding period of the -- corresponding quarter of the previous year.
Coming to unbilled revenue. It stands at INR 6,662 crores, which is 41% up for Q2 as against INR5,937 crores at Q4 of the last year. Retention money stands at INR1,993 crores for Q2 as against INR1,870 crores at the beginning of the year.
Coming to the mobilization advances. Advances

stood at INR 2,961 crores as at the end of September '25 as against INR 2,944 crores as at the end of June, a net increase of about INR 17 crores. Of these mobilized advances, 63% are interest -bearing and the average interest comes to around 9.17% and interest -bearing advances decreased from 79% to 63% during the half year.
Cash and cash equivalents, it is INR 224 crores as on 30th September '25 and INR 355 crores as at the end of June '25. Margin money deposits, INR671 crores at the end of September and same is the number at the end of June '25 also.
Coming to the capex . We have incurred a capex of INR77 crores in Q2 and cumulatively, we incurred INR169 crores for the first half of '26 as against the budgeted capex of INR1,050 crores for the regular projects. Earlier -- in the earlier call, we said the INR 750 crores is the capex , but the capex now revised to INR 1,050 crores.
Coming to the investor -related ratios. The ROCE stands at 9.82 as against 14.61 at end of February -- financial year '25 end. Return on net worth is 9.53 as against 14.43. EPS stands at INR1.61 as at the end of Q2 FY '26 as against INR 2.55 for the corresponding quarter. Inventory stood at INR 1,725 crores as at end of September. The investments are INR 1,191 crores as at the end of September.
With this, I conclude my results announcement. Thank you. Over to Neerad.
Neerad Sharma: Yes, Mr. Vaibhav.

Vaibhav Shah: Yes, sir. We can start the Q&A.
Neerad Sharma: We can start the question -and-answer session now.
Moderator: We will now begin the question -and-answer session. The first question is from the line of Mohit from ICICI Securities.
Mohit Kumar: My question is, what exactly has changed compared to the last quarter that you have dropped

the guidance despite having very large order book. Is it that the work has not started for a very
significant part of the order book and you're finding it difficult to book revenues?
Sanjay Pusarla: It is very clear, sir. Even Mr. Neerad has covered in his initial opening remarks. There is unprecedented rains that happened in the Q2. In addition to that, there were elongated payment cycle. These are the 2 main reasons which has caused a drop in the tu rnover. And nothing else
than that. And order book is strong, and we are able to execute, and we are positive in the coming quarters.
Neerad Sharma: The other thing is -- yes, Mr. Mohit, please continue.
Mohit Kumar: So my question is why drop the guidance? Why not give some guidance for the H2 and something like? Is it possible to have 5% growth in the entire fiscal compared to F '25?
Neerad Sharma: This is the decision of the management. So this decision...
Sanjay Pusarla: No, at the moment, it is very difficult to predict because considering the situation, it is very difficult to predict what is going to happen. That is the reason even Mr. Neerad said at the end
of the year, we'll be able to give a concrete picture.
Mohit Kumar: Understood, sir. And are we seeing a recovery now, sir, as you're already in the midst of Q3,
middle of Q3. So are you seeing a recovery some sort of which can help us post a better number
compared to last year -- last year H2?
Neerad Sharma : We have already shared with you, Mr. Mohit, that we will update you, give us some time. We
will update you by end of March, we will have more clarity, and I hope the situation improves,
then we should be in a position to talk about this.
Mohit Kumar: Understood, sir. And sir, how is the order inflow environment? Are you seeing the weakness
also percolating to the ordering environment in general?
Neerad Sharma : I mean ordering, if you really see the number of orders that we have bagged as today, this continues to be healthy in line with what we had anticipated. And as we speak, we already have
as of today, INR 17,420 crore orders. So I mean we -- the order in

flow is moving in line with our
anticipation.
Mohit Kumar: Understood, sir. Thank you very much and All the best.
Moderator: The next question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: I understand that we withdraw the revenue guidance, but still trying to understand further in
which segment. So broadly, if I look at the numbers, it seems that the Building and Water
segment, we have seen a decent degrowth, where particularly the Building segment, which is in
terms of order book, if you look at even for last 3, 4 quarters also, it is in the similar line.
So not able to understand is it that there, again, we are facing major issues apart from whatever the recent projects that we have bagged in last 6 to 9 months, there obviously, it seems that the
execution has not picked up. But still not able to understan d why we are withdrawing the revenue
guidance?
Neerad Sharma: Yes. Let me -- I think my colleague, Mr. Pusarla, has already answered this question, but let me
try to reiterate. Firstly, what we have seen is in the second quarter, we have had extended and
aggressive sort of monsoon. So some of the projects got impacte d. The second one is some of
the projects that we had anticipated would pick up pace in this quarter has not happened. Some
of the permission, some of the ROWs, they have delayed the start of those projects.
The third and important reason is we have -- I have already talked about this at the very outset.
We have noticed elongated payment cycle. The clients are not able to make the stipulated payments on time. So these are the 3 important factors that has sort of convinced us to revisit
the guidance. And we believe that in the fitness of things, it is always better to communicate
openly with the market. So this is what we have done.
Shravan Shah: Okay. Got it. Second, in terms of the margin also, so there previously, we are looking at 9%. So
already in 1H, we are 8.3%. So there still one can see the similar 8%, 8.5% in the second half or there is a possibility that we can even have a 9% in the seco nd half EBITDA margin?
Neerad Sharma: Mr. Shah, it is very difficult to say. When we say that we have withdrawn the guidance, we have withdrawn the guidance, right? It is very difficult to anticipate. If it was possible, I mean, we would have shared that number with you. But we will revisit al l these things and come back to
you by March.
Sanjay Pusarla: But one thing is that we are very near to whatever lower band we have given. And it depends on how it will move in Q3, okay? If you see that the turnover revenue was low in the first half. And
when the turnover is low, obviously, it is understood that absorbing the fixed cost will be low.
So depending on the turnover, depending on the situation that improvement that will happen in
Q3, we may reach the lower guidance.
Shravan Shah: So lower guidance is the 9% or what's the lower guidance?
Sanjay Pusarla: It is 9%.
Shravan Shah: Okay. And is it even to some extent with some probability this third quarter till now whatever

the October and November 7, we are here, still we are seeing the degrowth kind of on the
execution front? Or are we -- have we seen the improvement? A broader sense, I understand we
have withdrawn the guidance because now it is becoming a very, very difficult. So that's what
I'm trying to understand.

Sanjay Pusarla: No, I think Mr. Neerad has sufficiently answered on this. He has told very clearly that we'll be
able to help you out maybe over the year -end.
Shravan Shah: Okay. Got it. So -- and on the finance cost front and the data points on the loans and -- to
subsidiary and associates. So if you can share the number there? And finance cost, will it remain
in the similar the current run rate quarterly?
Sanjay Pusarla: It has gone down.
Shrav

an Shah: Yes. It is 4.3% down in 1H. So the similar INR 150-odd crores quarterly will remain for next 2
quarters?
Sanjay Pusarla: It is like this. If you see the finance cost, it is 3.25%. So it will be in the similar lines.
Neerad Sharma: Hopefully.
Sanjay Pusarla: Hopefully, it will be on the similar lines.
Shravan Shah: Got it. And on the data point on the investment -- total investment in subsidiaries and associates,
if you can spell also break it into the loans to subsidiary and associates.
Sanjay Pusarla: Investments into subsidiaries INR 1,191 crores and loans to the group companies INR 179 crores.
Shravan Shah: INR179 crores?
Sanjay Pusarla: Yes.
Shravan Shah: Okay. So it seems there is a significant repayment on the loan front would have happened from INR452-odd
crores, which was the number from March to INR 179 crores.
Sanjay Pusarla: No, this is other body corporate, which is Vizag Urban, which is there. That was not part of this number what I
told you. That number was INR 391 crores.
Shravan Shah: Got it. And lastly, on the JJM payment, so last time we said INR1,700- odd crore kind of a
receivable were there. So have you seen some payment coming in or still the debtors are at
INR1,700- odd crores?
Sanjay Pusarla: Some traction is happening, but it is very, quite confidential to reveal anything about client
information today given the situation. So it is moving, there's some traction is happening.
Shravan Shah: Thank You.
Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.
Parikshit Kandpal: First question is in the last call, you had said that almost INR 28,000 crores of the orders yet to
receive the notice to proceed. So out of the current order book, the work has not started on what quantum of the orders?

Sanjay Pusarla: It is like this. Last time we said INR28,000 proceed to work that was orders received in the
month of March. That is the reason it was told that orders had to be started for execution. So
same is the case even the orders which have come in March '25. Generally, what happens, you
will have a mo bilization period, one. Second thing, you will have a design clearances that are
required to be done and also the clearances which are required to start the work at the work front.
These are all the things which generally take 5 to 6 months, it will take. So now all those orders, which have come in the
month of March '25 will start getting executed maybe in Q3 and Q4.
Parikshit Kandpal: Okay. The second question is again the continuation of the same. So besides these INR 28,000
crores of orders of the order book, are there any orders where -- if you can quantify where the
approvals like NGT or environmental issues or other approvals have not come in from the
statutory bodies and we have not been able to execute. So is ther e any other -- any further
pipeline of orders beyond the INR28,000 crores or that is included in INR 28,000 crores?
Sanjay Pusarla: No, INR28,000 crores is not that it was held back because of some clearances or NGT order or
other things. Those orders that have come in the month of March at the fag end of the last year.
So that was the reason the execution getting happening only maybe in Q3 a nd Q4.
And the second question, you're asking that as at the moment, are there any orders which have
been stalled because of these reasons. At the moment, there are no orders which have been
hampered because of this.
Parikshit Kandpal: Okay. Now on the building side, sir, I mean, when we look at the other developers of the players,
we have seen very strong build- out in the private sector building orders, especially on the
residential side. So I just want to understand how is your thought process on the private building
orders on the resi side? Are we bidding there? Are we do we have order books there? And what's

the outlook

on that segment beyond the government buildings, which we typically do?
Neerad Sharma: Yes. Mr. Kandpal, we are actively looking at the private capital development space as well. And we do have some projects from the private sector as well.
Parikshit Kandpal: Private residential, I'm talking about, sir. So private residential sector, I'm talking about players like...
Neerad Sharma: A couple of them, a couple of projects we have for the private developers.
Parikshit Kandpal: Okay. And just lastly, on the JJM outstanding receivables, which was INR 1,700 crores last quarter. So what's the number now? And what would be overdue beyond 6 months here where you would have like -- should have come. So I just want to understand on the debt side, if these numbers would have come in, so what our debt would ha ve been?
Sanjay Pusarla: It is almost similar to those numbers, okay? There are -- we are waiting for some certifications from them. Once the certifications happen, the money flow also will happen. It's almost on the similar lines.

Parikshit Kandpal: How much is overdue on this? I wanted to know that if the timely payments that have come in, so...
Sanjay Pusarla: Generally, this is a running bill contract. So what happens in the construction contract, they keep on paying. And if you go on existing on first in, first out basis, generally, the outstanding will be well within the limits.
Parikshit Kandpal: I'm saying, sir, how much of this INR 1,700 crores is overdue right now beyond 6 months, I mean, which should have come in. So I understand that last time we had INR 4,000 crores of order backlog from JJM and we were planning to execute this entirely in this year. So against that INR4,000 crores of pending, how much should have been the working capital or the debtor is outstanding? It was more generalized basis rather than being overdue right now?
Sanjay Pusarla: Yes. So the order -- let me give you some picture on this Jal Jeevan projects. We have about INR7,000 crores of order pending to be executed, okay? Then that is a number that includes not only the projects of UP, the projects which are there in other states also, which are under the same mission. So INR 9,000 crores is the -- INR7,000 crores is the order book that need to be executed.
And as far as the receivables are concerned, it is also in the similar range as like what we said at INR1,700 crores. It is in the similar range. . We are also expecting some payments to happen in this month, maybe month end or so or maybe the first week of -- first fortnight of December, we are expecting. Once these things are coming, probably the improvement will be there in all these cases.
Parikshit Kandpal: My question was, sir, out of this INR 1,700 crores, how much is overdue. I mean client -- because of the delay, the client is not paying. So the receivable collection would have passed from the deadline, which was originally supposed to happen. So how much is the overdue in this INR1,700 crores?
Sanjay Pusarla: There is no overdue as such because last time we said INR 1,700 crores, even now also the same level. But we used to keep billing and we are getting money also. The money is getting churned and the outstandings will become latest. It's not the overdue.
Parikshit Kandpal: Okay. Okay. So let me put it another way. What is the revenue from JJM in this quarter, sir, in Q2?
Sanjay Pusarla: In Q2?
Parikshit Kandpal: Yes.
Sanjay Pusarla: INR1,000 crores. So it was up to H1, it was INR 1,082 crores. And if you take Q2, it will be around INR600 crores.
Parikshit Kandpal: So you have collected INR 600 crores in Q2 from the government?
Sanjay Pusarla: It is about that money only, near to that.

Parikshit Kandpal: Okay Understood. Thank you.
Moderator: The next question is from the line of Ashish Shah

from HDFC Mutual Fund.
Ashish Shah: Sir, just wanted to dwell a little bit more upon
Moderator: I'm sorry to interrupt in between. Your voice is not audible.
Ashish Shah: Yes, is it better now? Yes. So sir, what I wanted to probably understand a bit, you said that there is obviously the heavy rain impact and there is elongated payment cycles. Now you just mentioned to the previous participant question that you've done about close to INR 600 crores in JJM in the second quarter.
So is that what you're primarily referring to by saying that because of elongated payment cycles,

you have not been able to execute? Or are there other areas, other sectors or other projects where also you're not able to execute because of this payment cyc le?
Sanjay Pusarla: I think we need to give a little elaborate reply on this. So like if you see in other states, like in AP, you have got heavy rains, which are even continuing even today. In Maharashtra, you have got heavy rains. In Karnataka, you have got heavy rains, which are unprecedented, unexpected rainfall was there in this year. And UP, same thing.
So considering all these things, the impact is there. It is not only the UP projects. It is also the projects which are being executed in other states because of these rains, heavy rains. If you see the rains, which were unprecedented and if you see the ra ins in south, like in Karnataka or in Andhra Pradesh, the rains were so heavy that it was never expected, maybe the heaviest rainfall. And even beyond the season, the rains are happening. So that is the reason why there was a reduction in the execution.
Ashish Shah: Understood. On the rain part, it is understood, sir. What I'm also saying is in terms of slow payment cycles, it is obvious that Jal Jeevan is moving slower. Besides the Jal Jeevan, is there any specific thing that you want to highlight where the payments are probably slower than expected, hence, you're not able to execute as much as you would have liked?
Sanjay Pusarla: No, sir. It was only those payments which are related to the water project. But otherwise, we are okay with all other areas.
Ashish Shah: Okay. So just hypothetically, if -- as you are saying by the end of November or December, if some of the payment issues are getting resolved, there should not be other constraints according to you apart from what we've already discussed, okay?
Sanjay Pusarla: You are right.
Ashish Shah: Okay. The other thing, sir, is you said INR 7,000 crores is the total JJM. How much of that is UP?
Sanjay Pusarla: You see right now, I don't think I have right on my hand, 1 minute. It is INR 3,840 crores.

Ashish Shah: Okay. And the rest is primarily which other state besides UP?
Sanjay Pusarla: It is Odisha is there, Jharkhand is there and Karnataka is there.
Ashish Shah: Understood. The other thing, sir, is in terms of capex , we just mentioned that we've increased our capex outlook from INR 750 crores earlier to INR 1,050 crores. On what is this account, sir?
Sanjay Pusarla: We have received one major order in the mining in the month of October, okay? So for that, we have not envisaged before. So that is the reason we have increased the capex from INR750 crores to INR1,050 crores.
Neerad Sharma: Mr. Shah, it's a large order. It's a large order of INR 6,800- odd crores. So that is the reason we need to incur that capex for this specific project. So that is the reason we have decided to increase the capex .
Ashish Shah: Understood. And as I understand, this is like a development order. Am I audible, sir?
Moderator: Ladies and gentlemen, the lines of the management has been connected. Thank you and over to you, sir.
Neerad Sharma: Yes. We can start.
Ashish Shah: Can I continue, sir? My other thing -- this is Ashish here. So my other question is that if I look at the numbers in terms of stand -alone and c

onsol, this time, there is about INR 50 crores incremental profit coming in consol accounts from stand -alone. Can you just broadly break it up from where is this coming? And is there any one -off there? Also, where are we capturing the value of the smart metering projects in Maharashtra? Is th at getting captured in consol or in stand -alone? That's all from my side.
Sanjay Pusarla: So the profit increase in -- one second. So the profit is coming from subsidiaries like Pachhwara Coal Mining, Urban and also on the smart meters. And as far as your question for smart meters are concerned, the execution is happening at NCC level as an EPC contractor. And the profit is captured partly at the SPV level and also at the NCC level.
Ashish Shah: Okay Understood. Thank you.
Moderator: The next question is from the line of Parvez Qazi from Nuvama Group.
Parvez Qazi: So 2 questions from my side. We have already won about INR 17,000 -odd crores orders till October. In addition to that, do we have any other L1 projects currently?
Neerad Sharma: The value would be about INR 1,000 crores to INR 1,500 crores. What is your second question, Mr. Qazi?
Parvez Qazi: Also did I get it correctly that you said that the payment issues that we are facing are largely there only in the Water segment and in other segments, I mean, there are not really any great payment issues. Is that correct?

Sanjay Pusarla: Yes. Yes. You heard rightly.
Parvez Qazi: Okay. So then the related question is, I mean, of our overall order book, ultimately, the water projects are only around -- or projects where we are facing payment issues are maybe only around 10% of the order book. So if we remove that, then let's say, what are the kind of projects where work is yet to start because maybe we got them only towards March or so. In other words, what I want to ask is what is the current executable order book where work is already underway?
Sanjay Pusarla: So the entire order book is executable, okay? One thing is that about INR 7,000 crores orders, which we talked about on the water projects. The second question is that some of the projects like tunnel project, which we are executing in Mumbai and also the coastal road project, which is being executed in Mumbai. These 2 are the p rojects where we require lots of clearances and all those clearances are now in place.
So even those projects also, which were not being moving in the last 2, 3 quarters, I think those projects also will start moving now. Rest of the projects, we are able to move. There is absolutely no problem. And those projects which have been awarded in the first and second quarters, maybe those projects will get start producing the revenue maybe in the Q4 onwards.
Parvez Qazi: Sure, Thanks and All the Best.
Moderator: The next question is from the line of Vaibhav Shah from JM Financial Institutional Securities Limited.
Vaibhav Shah: Yes. Sir, have we made any investment in smart meters in the second quarter?
Sanjay Pusarla: Yes, we have about INR 230 crores of investment in...
Neerad Sharma: This year, we have made investment of in the first -- in H1 about INR 140 crores. The last year, we had made about INR 70 crores. So total, if you add this up, it would be close to INR 210 crores.
Vaibhav Shah: And what would be the numberin g...
Neerad Sharma: The number ing means?
Vaibhav Shah: Number of -- the total investment ...
Neerad Sharma: Hello?
Vaibhav Shah: You have invested INR 140 crores in the first half. What would be the number in second quarter?
Neerad Sharma: Your voice is not clear.
Vaibhav Shah: Sir, I mean in the first half, it is INR 140 crores. So what is the number in the second quarter?
Neerad Sharma: Second quarter number?
Sanjay Pusarla: Second quarter, you mean to say investment?

Vaibhav Sh

ah: Yes. Second quarter investment in smart meters.
Sanjay Pusarla: Yes, it was INR 230 crores. In the first quarter, it was INR 70 crores. The total investment what we have made so far is INR 300 crores. The INR 70 crores was up to March '25.
Neerad Sharma: Last year.
Sanjay Pusarla: And in the current half year, we have invested INR 230 crores. The total investment that has gone into the smart meters till now is INR 300 crores.
Vaibhav Shah: Okay. Fine. Sir, secondly, what would be our AP receivables?
Sanjay Pusarla: AP receivables as on date, they are very live because all the projects we started executing and whatever projects we are executing and billing, we are getting the money in time.
Vaibhav Shah: Okay. And sir, what is our current bid pipeline?
Neerad Sharma: We have already shared the number at the start of the -- we continue to see a very healthy prospective project pipeline. It would be about INR 2,50,000 crores.
Vaibhav Shah: Okay. And sir, lastly, on the Vizag land deal, so what would be the outstanding loan to be recovered? And have we received any money this year?
Neerad Sharma: INR391 crores.
Vaibhav Shah: Okay. And have we received anything in first half?
Sanjay Pusarla: No, we have not received anything in the first half, expecting in the second half.
Vaibhav Shah: So what are you targeting to -- so what do we expect to receive in this year and next year?
Sanjay Pusarla: This year, we expect to receive as per the agreement about INR 80 crores -- INR120 crores, sorry, INR120 crores.
Vaibhav Shah: And the remainder amount.
Sanjay Pusarla: Subsequent period.
Neerad Sharma: Next 2 years.
Sanjay Pusarla: 1.5 years. Yes.
Vaibhav Shah: Thank you.
Moderator: The next question is from the line of Darshil Javeri from Crown Capital.

Darshil Javeri : So sorry if my question feels a bit repetitive, but I think it's a bit in line with earlier participants. So just wanted to know, sir, like H2 is usually the better half execution, and I think rain has died

down in most of the parts of the country. So can we at least be able to deliver similar performance to last year H2?
Neerad Sharma: We have already answered that question that we have withdrawn the guidance. So it is not prudent to talk about H2. We will come back to you and update in the March '26.
Darshil Javeri : Okay. Okay. Fair enough, sir. But even if some kind of qualitative statement like how the work is going now better or that would just give us some kind of color, sir.
Neerad Sharma: We hope things to improve by -- on the basis of the media reports, it looks like that monsoon is already retreating and things should improve going forward.
Darshil Javeri : Okay. Very fair. Okay. And sir, I just want to know like we have been able to receive a lot of good set of orders. So how do we look at like next year? I know we're going to give a firm guidance. But in general, like our order inflow, at least that's nearl y stacking up to the guidance that we've given. So how do we look at that right now? Like that will help us execute much better in the next year? Is that a fair assumption, sir?
Neerad Sharma: See, most of the orders that we generally bag will have some kind of time gestation period to report for the revenues. And all these projects that we have recently bagged will have different contractual milestones, different kind of prevailing conditions l ike permissions, ROWs. So it is
not helpful really to generalize that. But depending on the situation, we should be able to make good progress. And for the future, we will come back to you and hopefully talk about how are
we really looking a t the future.
Darshil Javeri : Okay, Thank you.
Moderator: The next question is from the line of Saket Kapoor from Kapoor Co.
Saket Kapoor: Sir, we can understand for the reasons mentioned by you and our learned team that w

e are
withdrawing the guidance and we are not in a position to guide about growth. But sir, as earlier participant and every participants have put forward that request that during the normal course of
business, now set aside the monsoon impact and set aside the receivable passing on account of receivables, our debt has already gone up.
So if there is another 3 months that goes without any further movement in the same, how -- what has the company planned be to prepare to be -- to continue with the execution, number one point.
And number two is in terms of the order intake, how will this a ffect even the order intake going ahead? How will this mismatch of the receivable days and the receivable amount will lead to affecting the prospective business going ahead?
Neerad Sharma: What is your question, Mr. Kapoor. The first question is about the...
Saket Kapoor: Sir, I just re -frame it once again. Sir, we are an engineering company, construction company. So there must be a normal course of business plan that we have set aside the growth number, what we have, what we were guided earlier, what we'll execute. But there is some normal business

activity that will go ahead irrespective of the receivable issue, irrespective of the monsoon impact.
So monsoon impact have receded or will muted by another 15 days. Receivable may or may not be achieved during the course of the business. So we as investor would like to understand what is the plan we have in terms of the execution going ahead if the recei vables issue still persist going ahead? That is what my question is.
Neerad Sharma: Mr. Kapoor, I mean, we don't only look at the revenue growth as a prudent measure, we also try to limit or try to look at the working capital that we commit for all the businesses. So that is also an important factor for us. If all the payments are not com ing, there is no way we can continue to invest, borrow and invest, right? As an investor, that is in your ultimate interest. So we do have all those measures in place.
Sanjay Pusarla: But I need to add something more to this. I just want to tell you that the projects which are being executed other than those projects where the receivables are held up, we have no problem in receiving the money. So as it is the project execution will cont inue to happen.
And we expect that the clients also continue to release the payments, except maybe in a few cases where there may be elongated payments. But other cases, we are even seeing them that they are releasing the payments on time. So we expect that in the normal course of business, it should happen.

Saket Kapoor: Right, sir. Only the point I'm trying to make myself and the other people understand is if that is the case, set aside the slow -moving orders or the higher -- the elongated days of receivables, we have that understanding of how H2 will shape up.
So why is the management deferring to give some color to how the execution will be and will be speaking only in March. This has not been the case earlier in my recent memory. So that was the reason I'm asking the question. Even if we set aside the issues w ith the orders, we have a huge order book even excluding the one that is affected.
So as Neeradji, Neerad, sir itself mentioned that we will not be progressing in case the receivables remain elongated for further. And then you are also particularly with the fact that other orders are moving good and we are getting the payment on time. So then what stops us from giving us at least a picture of how H2 will look? That was my question, sir, question, and that's all.
Sanjay Pusarla: I think we were discussing on about water projects where we said the order book at the beginning of the year was about INR 8,000 crores and about INR 1,000 crores were executed in H1, right? About INR7,000 crores is a big number, a tall number, okay, which a substantial por

tion is expected to be executed in the current financial year.
So if elongated payments are there in a particular segment, definitely, it will impact. And today, we are not in a position to predict and anticipate what will happen in the near future for those cases. That is the reason we are very optimistic that -- and we have given our withdrawal of the guidance.

Saket Kapoor: Okay Sir, Thank you. But it is not clear to me. We are only being hopeful now.
Moderator: The next question is from the line of Shubham Shelar from Antique Stock Broking Limited. Sorry to interrupt. Your voice is not audible to us.
Shubham Shelar: Yes. Sir, in terms of our earlier guidance, I mean, 10% -odd revenue growth, so what was -- I mean, like we were pitching for the JJM work that INR 8,000 crore order book will fall to what level if we don't receive any orders in FY '26?
Neerad Sharma: Could you please repeat your question?
Shubham Shelar: I'll just rephrase it, sir. Sir, in terms of our JJM order book, what was our earlier thought process of executing this INR8,000- odd crores...
Moderator: I'm sorry to interrupt again. Mr. Shubham, your voice is breaking in between.
Neerad Sharma: Your voice is not very clear, Mr. Shubham.
Shubham Shelar: Yes. Sir, is it better now?
Neerad Sharma: Yes. Please ask.
Shubham Shelar: At the start of the year, almost like INR 8,000- odd crores. So what was our earlier execution looking? you're looking when we have given a guidance of 10% revenue growth?
Neerad Sharma: Your voice is not clear.
Moderator: Sorry to interrupt, Mr. Shubham. I would request you to rejoin the queue again as your voice is not audible. Thank you.
The next question is from the line of Vaibhav Shah from JM Financial Institutional Securities Limited.
Vaibhav Shah: Sir, what is the incremental investment that we need to make in the smart city -- in the smart meter projects?
Sanjay Pusarla: Another INR280 crores we have to make.
Vaibhav Shah: And the time period?
Sanjay Pusarla: Our time period may be another 1 year to 1.5 years.
Vaibhav Shah: INR280 crores, right?
Sanjay Pusarla: Yes.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Neerad Sharma: Thank you very much for a very enthusiastic participation. I thank all of you. Thank you very much.
Sanjay Pusarla: Thank you, everyone. Thank you.
Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us today, and you may now disconnect your lines.

Call: Feb 2026

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Ref. No.: NCCL/Reg.30/Transcript
Date : February 10, 2026

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Bandra – Kurla Complex, Bandra (E)
Mumbai - 400 051
Symbol: NCC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai – 400 001
Code: 500294

Dear Sir,

Sub: Submission of Transcript of the audio conference call held on February 6, 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings audio conference call held on February 6, 2026, with analysts discussing the performance & financial results of Q3 of the FY 2025-26. The transcript is also available on the Company's website at https://www.ncclimited.com/analyst-column.html

Kindly take the above on record.

Thanking you,
Yours faithfully
For NCC Limited

Sisir K Mishra
Company Secretary
Encl: as above

"NCC Limited
Q3 FY '26 Earnings Conference Call "
February 06, 202 6

MANAGEMENT : MR. R.S. RAJU – DIRECTOR OF PROJECTS – NCC LIMITED
MR. SANJAY PUSARLA – EXECUTIVE VICE PRESIDENT – FINANCE AND ACCOUNTS AND CHIEF FINANCIAL OFFICER – NCC LIMITED
MR. NEERAD SHARMA – HEAD STRATEGY A ND INVESTOR RELATIONS – NCC LIMITED

MODERATOR : MR. VAIBHAV SHAH – JM FINANCIAL

Moderator: Ladies and gentlemen, good day, and welcome to the NCC Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vaibhav Shah from JM Financial. Thank you, and over to you, sir.
Vaibhav Shah: Thank you, Steeve. On behalf of JM Financial, I welcome everybody to Q3 FY '26 Earnings Conference Call of NCC Limited. We have from the management, Shri R.S. Raju, Director of Projects; Shri Sanjay Pusarla, Executive Vice President, Finance and Accounts; and Shri Neerad Sharma, Head Strategy and Investor Relations.
Now I hand over the call to the management for their opening remarks, followed by Q&A session. Over to you, sir.
Neerad Sharma: Good morning, everyone, and thank you for joining us today. This is Neerad, and I welcome you to our earnings call for the third quarter of FY '26. And thank you for your continued engagement and confidence in NCC. Joining me on the call are my colleagues, Mr. R.S. Raju, Director, Projects; and Mr. Sanjay Pusarla, our CFO.
We announced our unaudited financial results for Q3 FY '26 yesterday, and the results along with the investor presentation have been uploaded on our website and shared with the stock exchanges. We believe you have had an opportunity to review the same.
Before we proceed, I would like to draw your attention to the brief disclaimer. Certain statements are made during today's call may be forward -looking in nature and are subject to risks and uncertainties. Actual results may differ materially from those exp ressed or implied. I encourage you to read a detailed statement on Page 2 of the investors' presentation.
We have witnessed headwinds in the third quarter on the execution and profitability parameters, combined with a healthy traction on the order inflow side, strengthening our medium -term visibility.
As of 31st December, ' 25, NCC's consolidated order book stood at INR 79,571 crores, supported by fresh order inflows of INR 12,430 crores during Q3 FY '26. Importantly, the order book remains well diversified across segments and geographies, providing a strong foundation for execution -led recovery as operating conditions normalize.
During the quarter, the company reported a consolidated revenue of INR 4,900 crores compared to INR5,383 crores in the corresponding quarter of the previous year. Despite moderation in revenue, profitability remained resilient with EBITDA margin approximately at 9%, remaining consistent with the company's margin profile during periods of strong executio n, supported by our operational discipline and cost rationalization.

On a 9 -month basis, cumulative revenue for 9 months FY '26 stood at INR 14,693 crores, while cumulative order inflows during the same period amounted to INR 22,311 crores, underscoring continued confidence from clients and sustained bidding momentum. If we take into account the orders bagged in month of January, the total order inflow stands at INR24,768 crores.
From a segmental perspective, the order book continues to be well diversified with Buildings accounting for approximately 31%; Transportation, 22%; Electrical T&D, 18%; Mining, 13%; Water & Railway, 10%; and Irrigation and others, 7%. This diversification provides resilience despite short -term volatility in individual segments.
With this, I now hand over to my colleague, Mr. Sanjay Pusarla, to take you through the detailed financial performance for the last quarter. Over to you.
Sanjay Pusarla: Good morning,

ladies and gentlemen. This is Sanjay Pusarla, CFO from NCC Limited. I'm pleased to announce the financial results for the period ending 31st December, 2025, that is Q3 of FY '26. My announcement will cover the order book, revenue profitabilit y, debt movement and some of the important balance sheet items.
Starting with order book. Our order book stands at INR 79,571 crores as of the end of December 31, 2025. As you are aware, the order book at the beginning of the year stood at INR 71,568 crores and orders received during Q3 FY '26 is INR 12,430 crores. The order book at the end of December stands at INR 79,571 crores, which contains stand-alone INR72,748 crores and INR6,823 crores of the subsidiaries.
Coming to the revenue. The stand-alone revenue reported in Q3 FY '26 is INR 4,082 crores as against a turnover of INR 4,720 crores in the corresponding period of the previous year, which is down by 12.2%. At consolidated level, the turnover reported in Q3 is INR 4,900 crores as against turnover of INR 5,383 crores in the corresponding quarter of the previous year, which is down by 9%.

Coming to the profitability. At stand-alone level, we achieved EBITDA of 8.1%, which is INR327.31 crores for Q3 as against 8.76%, which is INR 409.39 crores of the corresponding
quarter of the previous year, which is less by 20%. PBT we achieved at 3.47% before exceptional items and PAT of 2.01% in the current quarter, that is Q3 FY '26 as against PBT of 5.18% and PAT of 3.93% reported in Q3 FY '25.
The profitability at the consolidated level. We achieved EBITDA of 8.96%, which is INR 436.24 crores and PBT of 4.4%, which is INR 213.43 crores before exceptional item, and PAT of 2.5%, which is INR 122.46 crores in the current quarter that is ending 31st December, 2025 as against the EBITDA of 8.25%, PBT of 5.02% and PAT of 3.59% reported in the corresponding quarter of the previous year.
Coming to the debt movement. The debt at the beginning of the quarter stood at INR 2,115 crores and net debt after cash and cash equivalent is INR 1,890 crores. At the end of Q3 FY '26, it stood at INR2,980 crores and net debt INR 2,830 crores. And at the end of Q3 FY '25, the same is at INR2,415 crores and net debt of INR 2,344 crores.

There is an increase in debt by INR 865 crores in Q3 FY '26. The debt equity ratio stands at 0.40x at the end of Q3 FY '26 as against 0.29x at the end of Q2 FY '25 and 0.21x at the end of March '25.
Coming to the working capital, excluding cash and margin money deposits. At the end of Q3 FY '26, it stands at INR 6,036 crores, which is 37% of the turnover. And in terms of working capital days, it is 119 days. The debtors outstanding at the end of Q3 has increased from INR3,277 crores to INR 3,505 crores. And the number of days also increased from 78 days to 87
days in the current quarter, and 74 days for corresponding quarter of the previous year.
The unbilled revenue, this stands at INR 7,129 crores, which is 44% of the turnover for Q3 FY '26 as against INR 6,663 crores, that is 41% of the revenue at Q2 FY '26. Retention money stands at INR2,999 crores -- sorry, INR2,099 crores, which is 8% for Q3 FY '26 as against INR 1,993 crores, which is 7% at the end of Q2 FY '26.
Coming to the mobilization advances. Mobilization advances stood at INR 3,162 crores as on 31st December, 2025, as against INR 2,961 crores as on September 30, 2025, indicating a net increase by INR 210 crores. Of these mobilized advances, 67% are interest -bearing and the average interest rate comes to 9.1%. Interest -bearing advances increased from 63% to 67% in the current quarter, Q3 FY '26.
Cash and cash equivalents, it is INR 150 crores as on 31st December, 2025 and INR 224 crores as on 30th September, 2025. Margin money deposits, INR 671 crores as at 31st December, '25 and INR671 crores -- similar -- same level at 30th September, 2025.
Comin

g to the capex . We have incurred a capex of INR96 crores in the current quarter and INR265 crores in the 9 months period in FY '26. As against the budgeted capex of INR1,050 crores for regular projects, it was revised to INR 1,050 crores from INR 750 crores. And we have a CWIP that is a capex incurred on TBM kept under CWIP as the machine is yet to be put to use.
Coming to the investor -related ratios. EPS stands at INR 1.30 as at the end of Q3 FY '26, as against INR1.62 in Q3 '25. The inventories stands at INR 1,696 crores as at the end of December '25 and the investment in subsidiaries stands at INR 896 crores as at the end of December '25.
The loans to group companies is INR 233 crores as at 31st December, 2025 and the Vizag Urban status as at the end of December '25 is INR 391 crores.
I think I have covered most of the P&L items and the balance sheet items. With this, I conclude my announcement for the Q3 FY '26. Thank you so much.
Moderator: Thank you very much, sir . We will now begin the question and answer session. First question comes from the line of Parikshit Kandpal with HDFC Securities.
Parikshit Kandpal: My first question is on the execution. So if you can help us understand, I mean, last call, you had highlighted INR28,000 crores of orders won in March have not moved into execution. And even JJM, I think INR 7,000 crores were under slow execution. So if you can help us understand the movement of these orders into execution?

And also, if you can tie that up with your increase in debt of INR 1,000 crores. So does it pertain to mobilization of these sites? Because that's a substantial jump without a commensurate increase in execution in this quarter?
Neerad Sharma: So I think the first part of your question was about these 2 specific projects, right?

Parikshit Kandpal: Yes, sir. INR 7,000 crores JJM and INR 28,000 crores of projects won in March quarter of last...
Neerad Sharma: Yes. JJM as you know, there is -- this information is already available in the public domain that payments have not been coming. Though we are happy to report that we have started receiving payments slowly. We have already received about INR 560 crores right, about?
Sanjay Pusarla: INR560 crores for this.
Neerad Sharma: INR560 crores, approximately we have already received. And we are hopeful that looking at the very handsome provision that has been made in the FY '27 budget, we believe that payments should start flowing in. And as and when the payment starts flowing in, we will try to evaluate and try to see how to move forward. This would depend on the payment release pattern of our clients.
The second part of your question was about? Which project, Mr. Kandpal?
Parikshit Kandpal: Just quickly on JJM, sir. INR 1,700 crores was the receivable last quarter, and 6 months' execution was INR 1,082 crores. So if you can help us understand what is the receivables now after you have received this INR 500-odd crores? And what is the execution in this quarter or for the 9 months? Anyone of those numbers/
Sanjay Pusarla: Yes. This INR 1,700 crores, whatever receivables we said in the last quarter, that includes my receivables, even retention money and also the unbilled revenue also for the JJM projects in Uttar Pradesh. So out of this, we have already received an amount of INR 560 crores in the current period. And we are expecting that we'll be getting some more money in the coming period.
The good news is that, the center has done a revised estimates. They have created INR 17,000 crores provision to be released in the next 2 months, that is before end of March. For the next year also, they have created an estimate of -- they provided a budget of INR 67,670 crores. So we are expecting that the payments will start flowing in.
And we have also started executing those projects, which we have substantially completed an

d
where the payments are coming in. So this momentum, I think it will be maintained for the next 2 months or 3 months, then we'll be progressing well in the current quarter or the coming quarters on the JJM projects. As far as the other...
Parikshit Kandpal: So what's the outstanding now, sir?
Sanjay Pusarla: Sorry?

Parikshit Kandpal: What's the outstanding against the INR 1,700 crores -- last quarter was INR 1,700 crores, what is it now? INR 1,200 crores…
Sanjay Pusarla: About INR1,200 crores.
Neerad Sharma: Only for UP.
Sanjay Pusarla: Only for the UP -- sorry?
Parikshit Kandpal: So INR1700 crores was for UP last quarter, now it has come down to INR 1,200 crores?
Sanjay Pusarla: Yes, yes, please.
Parikshit Kandpal: And what was the execution in this quarter from the JJM?
Sanjay Pusarla: Execution in the quarter is not much. In this quarter, we have done somewhere around -- 1 second, I'll let you know. INR 82 crores, we have done.
Parikshit Kandpal: INR82 crores.
Sanjay Pusarla: Yes.
Parikshit Kandpal: Understood. Sir, second question is on the projects which have not moved. So is the entire order book of INR72,000 crores now under execution? Because last quarter, we have said that about INR28,000 crores won in the Q4 is in initial stages of execution. So now has the entire order book moved up? And will that result in substantial ramp-up in execution in Q4? And will that also mean that you will give guidance for FY '26 now?
Sanjay Pusarla: FY guidance will be -- for '26 guidance is already...
Neerad Sharma: We have formally withdrawn -- that is no guidance as we speak for FY '26.
Sanjay Pusarla: As a second thing, you were talking about the projects which were in the mobilization stage earlier. All the projects which were in the mobilization stage, now they've got all the clearances, mobilizations are also completed, including those projects -- large projects like tunnel project and coastal road project. There also, we have got all the clearances, even the equipment has also received.
Because for the TBM, we have to prepare the landing shaft and that landing shaft is also now got cleared, and we are getting ready for that. This quarter, definitely, we'll see a lot of progress. And we expect that these projects will start executing and also give some kind of revenue from this quarter onwards.
Parikshit Kandpal: So Q4, sir, last year, we have done INR 5,400 crores. So are we expecting any growth? Or do you think that all these efforts are moving the entire order book, so we'll still not fructify in Q4,

maybe from Q1? So are we looking at a number or some growth on last year number of -- March
number of INR5,400 crores. So INR6,000 crores plus kind of turnover are you looking at this
fourth quarter?

Neerad Sharma: Yes. I wish to submit 2 things to you, Mr. Kandpal. The first one is, as you know, formally, we have withdrawn the guidance for FY '26. So naturally, the Q4 is a part of '26. That said, we will make all the possible attempts to report the -- whatever best tha t is possible for the current quarter, that is Q4.

Parikshit Kandpal: Sir, I mean half of the quarter is gone, and still you don't have handle on the business and on the growth or the guidance, so I don't think what is going wrong despite having such a strong order book. So why you're not getting confidence when you're getti ng payments from JJM? So what is still holding you on to give your revised guidance?

I mean even if it is negative, it's fine. But directionally, it seems that you're not confident on the business is what signaling me. Because in Q4 also now you're already -- half the quarter is gone and still we don't know whether -- what kind of revenues or directionally whether we'll see a growth Y -o-Y. So just wanted some color on that?

Sanjay Pusarla:

I think what you need to understand with drawal guidance is already given earlier. As far as third quarter is concerned, it is completed. The fourth quarter is on the way. We are also expecting that because the Jal Jeevan Mission payments also going down and other projects also started execution where we were in the mobilizati on phase in the earlier period.

We definitely expect that this quarter will be good. But what number we will reach, how we will reach, we'll not be able to tell right now. But definitely, it will be a good quarter, maybe compared to the previous period, we may reach to that number or nea r to that number. Yes.

Parikshit Kandpal: Understood, sir. And just lastly, sir, why has the debt gone up INR 1,000 crores? I mean so what has happened? What has led to that despite you receiving INR 550 crores from JJM and not much execution happening in JJM, still the debt has gone up significantly?

Sanjay Pusarla: The money what we have received from JJM is in the month of January. It started receiving from 30th or 31st of December. We received very less amount in quarter 3. And whatever money we said, we have received only in January. That is one reason.

The other reason is on the capex . The other reason is on the capex also. In addition to the capex , we have got smart meter projects also. We have also taken some loans on the smart meter projects, so those loan reprisal is also added to the debt movement.

Moderator: The next question comes from the line of Shravan Shah with Dolat Capital.

Shravan Shah: Sir, again, trying to harp on what Parikshit has said, let's assume that what sir has just mentioned that we'll try to have a kind of reach what we have achieved INR 5,300 crores in the fourth quarter of FY '25. If we do that, then broadly -- and also if you can help us how much is L1 and how much more order is it likely there in this quarter?

So even if I remove that broadly, we should be a INR 67,000 crores, INR 68,000 crores kind of order book at the end of the March, assuming 0 inflow further in the next 2 months. And 3 months -- 3 years, if we assume our execution rate, that means in FY '27, we should be doing closer to a kind of a INR 23,000 -- INR22,000 crores, INR 23,000 crores.

So that ultimately means FY '25, then 10% growth, which was our original guidance and then again, a 10% growth. So is that the understanding right? Though that means that FY '27, because of the low base of FY '26, we should be doing a 28% to 34% kind of a revenue growth. So is my understanding in the right direction? Or will there be a significant cut? Maybe maximum, we can look kind of a 15% kind of a growth in FY '27?

Neerad Sharma: Mr. Shah, firstly, it is a little premature to talk about FY '27 guidance. We have to first close. We have about 150, 160-odd projects. We have to close each of the projects, evaluate what is the revenue, what is the profitability for each of these project s. Generally, we do this exercise in the month of April. And when we do our Q4 call, at that point of time, we should be able to work out some number and hopefully share with you. So give us some time.

As we speak, we don't have any number to share with you. And it doesn't make sense from our part to just hypothetically talk about any number without evaluating each of the projects that we have, how much revenue is possible. So we will do a thorough exerc ise, give us some time, and then we will get back to you.

Shravan Shah: No, I understand. So I'm not even asking for the clear kind of a guidance. But directionally, so that's what I

tried to explain you, let's say, INR 68,000 crores kind of order book at the end of the March, 3 years execution, so that directionally, that's the way one can look at? Or is -- there are projects where the execution time line is maybe of 5 years plus, and that's why we are not kind of confident.
So di

rectionally, I wanted to understand. So or simple -- let's say, simply put it together, whatever we have lost in FY '26 in terms of the revenue, the 10% growth, which we wanted to achieve, can -- we can recoup in the FY '27 with further more growth in FY '27?
Neerad Sharma: Yes. Let me answer that question little differently, Shravan ji. There are 2 important. One important variable that we many times miss is the ability of the clients to make timely payment.
If you do a thorough analysis, there are a few signature projects that have given us very good profitability and revenue in the past. Those projects have not been making timely payment. You know that. So we have to always keep that in mind.
The second factor is the ability of the clients to get the permissions, all the ROWs in place. We have what it really takes to execute the projects. There is nothing that is missing from our side.
But unless the payments are forthcoming on time, unless all the ROWs, every permit, everything is in place, there is little that we could do, right? And as a person who has been tracking this sector for so long, you know this. You know this is possibly better than us.
Shravan Shah: Yes. But sir, if I just go by the numbers, for 9 months also, if I look at, the degrowth actually is happening in the building space, which is our core. So there -- if I just look at the number, it is a 14% degrowth and that's why the entire -- versus what we kind of highlighted that it is because of the JJM, the payment is sues, that we have slowed down.
But we are nowhere highlighting that it is the Building, which is actually dragging down and we withdraw the kind of a guidance. So are we also facing challenge in the Buildings in terms of the payment clearance, whatever you want to name it?

Neerad Sharma: No, no. Some of the projects that we are doing in the JJM, Building plays an important role in that, right? So some of the impact that you are talking about is because of that factor also. And when we talk about buildings, if you really see the Slide Number 6, we have given all the kind of projects that we execute in our Buildings segment. So it is -- I think it is possibly not correct to summarize that. But all the factors that we have been talking about in the past in last till last 4, 5 qu arters has really impacted the performance.
Shravan Shah: And now, sir, in terms of margins...
Moderator: Mr. Shravan Shah, I would request you to please come back in the queue for further questions.
The next question comes from the line of Karan Gupta with CAVI Capital.
Karan Gupta: Yes. So just wanted to check on the status of the Vizag...
Moderator: Mr. Karan, could you please use your handset?
Karan Gupta: Is this better?
Moderator: Yes.
Karan Gupta: Yes. So just wanted to check on the status of the Vizag receivable. You mentioned it was INR 391 crores at the end of Q3, which was the same as last quarter. So there was an expectation of INR120 crore s receivable in FY '26. So is that still on track?
Sanjay Pusarla: Yes. There was some agreement that was made with them. That money we'll be getting in the month of -- in the current quarter, we'll be getting that money. Yes.
Karan Gupta: Okay. And sir, can you just throw some light on the nature of this receivable? Is this -- was this for a sale of some real estate? Or why is the time line so long, especially when the market has been doing well?
Neerad Sharma: Could you please repeat your question? Your voice is also not very clear, Mr. Gupta.
Karan Gupta: Okay. I just wanted to understand what is the nature of this receivable? Was this against some sale of real estate? And why is the time line so long? The balance is expected in another, [inaudible 0:30:43] month from the receivable, why it stands the way it is ?
Neerad Sharma: Your question is not clear to us, Mr. Gupta, if you could

speak a bit louder or come -- bring your
-- the speaker a little closer.
Karan Gupta: Okay, I will join back in queue. I think I have a bad network, so I will join back.
Moderator: The next question comes from the line of Vaibhav Shah with JM Financial.
Vaibhav Shah: Yes. Sir, so what would be our outstanding order backlog in JJM?
Neerad Sharma: Yes. Yes, Mr. Vaibhav.

Vaibhav Shah: What would be our outstanding order backlog in JJM including all the states?
Sanjay Pusarla: It is INR 7,000 crores and reduced by somewhere around INR 80 crores, INR 85 crores, which we have done in...
Neerad Sharma: Q3.
Sanjay Pusarla: Q3.
Vaibhav Shah: And the receivables number total, including all the states?
Sanjay Pusarla: Including all the states, including the water for...
Neerad Sharma: I think it will be less than INR 7,000 crores.
Vaibhav Shah: UP was INR 1,200 crores. And what about other states?
Sanjay Pusarla: Including all the projects of JJM were we are executing, not only in UP, in all other states also, considering the work what we have done and to be built and whatever receivables are there, if I take that, that comes to somewhere around INR 3,700 crores as at the end of December. After that, we received about INR 560 crores, and we are expecting some more payments to come in this current quarter.
Vaibhav Shah: So, sir, in non-UP states, we have around INR 2,000 crores outstanding as of now after even considering the INR 560 crores we received in JJM?
Neerad Sharma: Two type of projects.
Sanjay Pusarla: There are 2 types of projects. One is the projects which are executed borewell and which are under surface water, okay? Both the projects together we were talking about.
Vaibhav Shah: Both are under JJM?
Sanjay Pusarla: Both are under JJM.
Vaibhav Shah: Okay. Sir, secondly, what would be our -- so we will be maintaining our capex number of INR1,050 crores for this year?
Sanjay Pusarla: Yes. Definitely, we'll be maintaining the same number because we...
Vaibhav Shah: And sir, for next year?
Sanjay Pusarla: We have got a project in the Mining division where we need to invest somewhere around INR300 crores to INR 350 crores. And TBM, we have purchased, which is about INR 300 crores and rest of the equipment is required for our regular operations.
Vaibhav Shah: Number for '27 would be somewhere around INR 300 odd crores?
Neerad Sharma: Difficult to say currently for the FY '27.

Sanjay Pusarla: FY '27 depends on the project we'll be getting it. Definitely, it will be somewhere around INR 400 crores. INR400 crores, it will be. Mining, we don't require all the equipment at one time, so we'll be requiring in phased manner.
Neerad Sharma: So, when we talk about the FY '27, we will share that exact number with you. But approximately, it should be in the same range what we just talked about, INR 400 crores.
Vaibhav Shah: Okay. And sir, I wanted 2 data points. What would be our investment in subsidiaries and loans to subsidiaries? I missed those numbers?
Sanjay Pusarla: The loans to group companies stands at INR 233 crores as at 31st December. The investment is INR896 crores as at 31st December, '25.
Vaibhav Shah: No, this number has come down significantly on a quarter -on-quarter basis, both the numbers?
Sanjay Pusarla: Yes. It has come down. I think you are aware that NCCIHL merger has been approved, and we have consolidated those numbers into our accounts now.
Vaibhav Shah: Okay. And sir, lastly, on the smart meter side, we were talking about tying up with a partner. So any progress on that front? And what investments have we made till date in smart meters?
Sanjay Pusarla: Till date, we have made an investment of INR 377 crores in both of our smart meter projects.
Vaibhav Shah: And what portion remains now?
San

jay Pusarla: About INR150 crores -- INR120 crores, I think, is remaining now.
Vaibhav Shah: Which should be done in FY '27?
Sanjay Pusarla: Obviously, it has to be done.
Moderator: The next question comes from the line of Ashish Shah with HDFC Mutual Funds.
Ashish Shah: Yes. Could you highlight if there is this merger that you talked about, whether that had any impact on the stand -alone debt levels that we have talked about?
Sanjay Pusarla: There is no impact on the debt levels of the stand -alone because of the merger.
Ashish Shah: All right. The other thing is on the capex . So if I heard you right, in 9 months, we have spent only INR265 crores, is it?
Sanjay Pusarla: We have kept it in CWIP because the TBM equipment which has been imported and received at the project site that has not commenced operations. That's why that was kept in CWIP. So with that, including that, it will be somewhere around INR 610 crores, INR 620 crores.
Ashish Shah: Okay. So basically, if INR 1,050 crores is what you intend to spend for the year, give or take

around INR400 crores thereabouts is what you -- will be a cash outgo in the fourth quarter
towards if the...

Sanjay Pusarla: It's not a complete outgo because we'll be taking the equipment loans. Yes, where only 10% will be the margin money. Rest of the money will be funded by the institutions.
Ashish Shah: Sure. But basically, from a balance sheet perspective, you'll be adding a certain amount of debt. So what I'm coming to my final...
Sanjay Pusarla: Capex will be an addition.
Ashish Shah: Right. So from a March perspective, from an end of the year perspective, what's the kind of debt level that you will be targeting given the expectation that there will be some improvement in the payments, etc. ? What's the debt level that you will target for the end of the year, given the capex and given the expected improvement in the receivables?
Sanjay Pusarla: Today, we are not very sure about how much money that JJM projects will contribute, okay? Right now, we have received about INR 550 crores, INR 560 crores, and we are expecting some more money. We do not know what is the quantum that is going to come in. But we expect that good money should come from there. And the debt level somewhere around INR 2,400 crores, around that level it will be there.
Ashish Shah: Okay. This, we are saying at the net debt level or the gross debt level, just to clarify, sir?
Sanjay Pusarla: The gross debt level.
Ashish Shah: Gross debt level of INR 2,400 crores.
Moderator: The next question comes from the line of Balasubramanian with Arihant Capital.
Balasubramanian: Sir, that smart metering SPV, I think we have already invested INR 300 crores. I think another INR280 crores is planned. I just want to understand what is the expected time line for breakeven and profit contribution from this SPV? And how this profit share is split between NCC, EPC and the SPV structure?
Sanjay Pusarla: I think the structure part of it, I think it is not very feasible to discuss on this call, one. And second thing is that as far as the investment is concerned, we have already done an investment of INR365 crores and about INR 120 crores further investment is required for the balance period of the project.
Sanjay Pusarla : Any more questions on this?
Balasubramanian: Yes, sir. Sir, second question, I think we are also exploring private capital projects. I just want to understand what is the targeted scale and margin profile in this segments? And how it will complement our existing NCC Urban pipeline?
Neerad Sharma: Could you please repeat your question?
Balasubramanian: Sir, actually, we are exploring private capital projects also. I just want to understand what is the targeted scale and margin profile in those segments and how it will complement our existing NCC Urban pipeline?

Sanjay Pusarla: We want to understand what is the private capital projects.
Neerad Sharma: Private capital, we always try and work with the private sector. Private sector, there are projects that we are doing. There are projects that we have done in the past.
Balasubramanian: Sir, I'm trying to understand what kind of scale -- yes, sir. I'm trying to understand what kind of scale we are targeting, what kind of projects scale in terms of numbers, whether we are targeting INR500 crores, INR 1,000 crores or up to INR 5,000 crores. I'm try ing to understand those aspects?
Sanjay Pusarla: You mean to say that in the private sector, you are saying that? Because we have been on government sector. And in the private sector, we started doing some projects, which almost contributes about 4% to 5% of the total order book.
Neerad Sharma: Regarding the targeting a project, we don't really have a value that we will only target X or Y crore s or INR1,000 crore s projects. We try to holistically look at the projects, what is the nature of the project. Value is also important, but that is not the only driver. What kind of projects is this? What is the complexity? Who is the client? Who is developing the project? What is the funding in place? What kind of skills are required to draw from in- house too? So we try to look at the project holistically, not we are not driven only by a particular value.
Moderator: Mr. Balasubramanian, I would request you to please come back in t he queue for further questions.
The next question comes from the line of Parvez Qazi with Nuvama Group.

Parvez Qazi: So as Neerad ji obviously highlighted that the quantum of execution that you can do depends on 2 things. One is what is the ROW that your client has provided to you? And second, what is the payment that we can make. I mean only then can we successfully execute the project.
So 2 related questions from my side of this INR 80,000 -odd crores order book that we have.
What is the quantum of projects where work has not started because the client has not provided you with ROW or because of whatever approval -related reasons?
And the second is, I mean, you did talk about JJM. But apart from JJM, which are the other sectors and projects which are facing payment issues?
Sanjay Pusarla: Two things, sir. One is as far as the payment issue is concerned, little delays will be there in the case of government projects, you are aware of that. The delay -- more delay happened only in the JJM projects. Other than JJM projects, we have not seen much of delay. We are getting the payments on regular basis, and we are able to deploy the funds again in the projects.
Coming to the other question on the projects which are there at the moment. All the projects which are there at the moment, we have got all the clearances. In the past, when we were talking about, we were talking about Malad project, we were talking about GMLR project where we had to get the clearances and there were delays in starting the project.

Today, we are sitting in January '26, and we feel that all the projects which are there on the order book, we do not have any such kind of issues. The projects have been going on now.
Neerad Sharma: Mr. Qazi if I add my two cents to you. I think my colleague, Mr. Pusarla, already highlighted that most of the projects are now already in the execute stage. And in a public forum like this, it is not appropriate for us really to call out a client's name that he is n ot giving approval, he's not given approval. This is not the right platform. If you have any specific questions, we can always connect offline. There are contractual issues related to confidentiality. We cannot just call a client' s name out. Right?
Parvez Qazi: No, no, I anyway wanted detail about segments, but yes, I mean, we'll connect offline.

Not an issue.
Moderator: The next question comes from the line of Prithvi Raj with Unifi Capital.
Prithvi Raj: Yes. I just have one question. Given the high commodity prices, could you give us a sense of how much of your contracts are fixed price, how much are variable price? And what can be the impact because of the commodity prices?
Sanjay Pusarla: 79% of our contracts have got escalation clauses. So any escalation that happens, that will get compensated because of the escalation clauses available in the contracts.
Neerad Sharma: In terms of value.
Moderator: The next question comes from the line of Vasudev with Nuvama.
Vasudev: Yes. So can you help us with the bid pipeline across segments? And are we currently L1 in any projects?
Neerad Sharma: The L1 value would be approximately INR 2,000 crores.
Vasudev: Okay. And what would be our bid pipeline if you can quantify across segments?
Neerad Sharma: At the -- generally, at the start of the financial year, we talk about a bid pipeline. We have already shared that number in the call. It was a little more than INR 2 lakh crores for the whole year.
Moderator: The next qu estion comes from the line of Darshil Jhaveri from Crown Capital.
Darshil Jhaveri: Sir, just wanted to know, like I know we're not giving any guidance per se, but just when we -- can you hear me, sir?
Sanjay Pusarla: Yes, we can hear you. Please go ahead.
Darshil Jhaveri: So just wanted to know when the start of the year, we were estimating around 10% growth happening. But even if we match Q4 -- last year's Q4 number, we might have a slight degrowth happening, right, around 5% to 7%. So we've kind of missed our target by 15%. So I understand JJM issues were there. So can you quantify like what was our expected revenue that we expected from JJM?

And is there any other segment that has also underperformed if you can call out on that? I don't want any clients' name or anything. Maybe just a segment overall where maybe we faced a challenge. And for FY '27 also, will that challenge persist?
My question is just coming from the perspective, like we understand it's a cycle that happens, right? So FY '26 had some troubles, but will that continue in FY '27? That's where I'm just coming from. So yes, I just wanted to know, like, is there any other segment? Because I think

JJM was not that big part of our book where we could kind of missed it by around 1 5%. Yes, that's it from my side?

Sanjay Pusarla: Just to give you an overview, JJM projects, we said that this INR 7,000 crores is the order book that is pending. And we have expected that we will be executing somewhere around between INR4,000 crores to INR 5,000 crores in the current year. Because the projects were going very fast, we expect that same momentum will be maintained.

Unfortunately, because of other matters, the project -- like delay in the payment, the projects could not be executed. So that is the main reason where we could not even achieve the number what we have promised and also led to withdrawal of the guidance. T hat is one. Any other question, please.

Darshil Jhaveri: Yes. I just wanted to ask, so in terms of FY '27, if I completely remove JJM, like if it happens, it happens, right? So with that, like we are looking at normal business, right? Like, if...

Sanjay Pusarla: Yes.

Darshil Jhaveri: Okay. Thank you so much.

Moderator: The next question comes from the line of Abhishek Maheshwari with SkyRidge Fund Managers.

Abhishek Maheshwari: Happy to hear that payments have been released now. Sir, I have only one question regarding unbilled revenue. That has increased from INR 6,600 crores in H1 to upwards of INR 7,500 crores now. So now that the payments are being released, do you expect that the flow from unbilled revenue to -- from balance sheet to income statement will improve from Q4 onwards, thereby adding to y

our revenue growth?

Sanjay Pusarla: Yes, you are spot on the question. Actually, the unbilled revenue will come down because whatever money we are getting from JJM, it will lead to conversion of my unbilled revenue in the billing again. Earlier, the JJM project, the billing was not done beca use of the certification. And the client also did not certify because the payments are not being made.

Now the payments are coming -- forthcoming, and we expect that this unbilled revenue will get converted into billing and into the realization. There will be definitely some traction on this, and we can see an improvement in the Q4.

Abhishek Maheshwari: So this will not only contribute to revenue, but also help your working capital cycle improve, right?

Sanjay Pusarla: Yes, please. You are right.

Moderator: The next question comes from the line of Bharat with MC Pro Research.

Bharat: Yes, sir. Just getting one clarification on the previous question. So you said that you were expecting execution of INR 4,000 crores to INR5,000 crores in FY '26 under JJM. So just wanted to check till now, what has been the actual execute for 9 months? And if you can give the figure for Janua ry as well, that would be great?

Sanjay Pusarla: It was INR 1,500 crores for all the projects, both the projects together, like surface water and the Borewell projects.

Neerad Sharma: Borewell.

Sanjay Pusarla: Yes, together. It was about INR 1,300 crores to INR 1,500 crores between that, yes.

Bharat: Okay. So this is for 9-month period or it is still January?

Sanjay Pusarla: 9 months period, please.

Bharat: 9 months period. Okay.

Moderator: The next question comes from the line of Saket Kapoor with Kapoor & Co.

Saket Kapoor: Sir, firstly, if you could give us some color on the pace of execution for the previous month as we have received money for this month of February. So was our pace of execution on the pending orders where mobilization was good has taken pace? Or any color you can give on the same?

Neerad Sharma: Saket ji, the payment has just come last month in month of January. That is also a very small amount. And we are doing lot of projects. We have already talked about the total projects that we are doing in state of UP. So depending on the pattern, depending how i n the next 2 months, payments are received and then we will evaluate the conditions of all the sites and accordingly decide, right?

Saket Kapoor: No, no. Sir, I was looking at the NCC, as an entity, how have we performed on execution for the month of January? How has been the pace of execution? Yes. Have we gathered momentum or...

Sanjay Pusarla: We gathered momentum in the month of January. There is no doubt in that because the money flow is coming in. And we gathered momentum may not be on the same JJM project, but other projects also, they have started picking up now.

Moderator: Mr. Saket, I would request you to please come back in t he queue for further questions.

The next question comes from the line of Krish with Anand Rathi.

Krish: Just one question from my side. I just wanted to know if there are any slow -moving projects like

I mean, Ken -Betwa optical fiber projects, I mean, how are they progressing?

Sanjay Pusarla: Both the projects are progressing well. In the case of Ken -Betwa, we have already completed all the infrastructure facilities. And now this is the season we are starting now further work, because of the rains and other things, we could not do before. But now during that period, we have done complete mobilization. Now we have started working in a good season, may be coming months. And as far as the BharatNet is concerned, we have been working on that, and we are making a good progress. And compared to the peers in the industry, I think we are much ahead of the other people

in terms of execution.
Moderator: The next question comes from the line of Shravan Shah with Dolat Capital.
Shravan Shah: Yes. Sir, trade payable as on December what was the number? And in terms of the EBITDA margin, this 8.1% at stand -alone for 9 months, so how one can look at that number?
Sanjay Pusarla: EBITDA we have already explained to you before...
Neerad Sharma: 8.1% standalone, 9%...
Shravan Shah: Yes, no, no. I know the number. What I'm saying is this number -- what's the possibility that this number can go up to 9%?
Sanjay Pusarla: Today, we will not be able to comment on that. But definitely, we see that there will be a good growth in the quarter 4.
Shravan Shah: And trade payable number as on December, sir?
Sanjay Pusarla: As on December its INR 6,214 crores, including the retention money.
Shravan Shah: Okay. And the cash and cash equivalent, which was the number reported in balance sheet as on September, which was INR 666-odd crores, so that similar number would be -- as on December would be how much?
Sanjay Pusarla: Can you repeat it again? Cash and cash equivalents...
Shravan Shah: Cash and cash equivalent, which is part of current asset, as per the September balance it was around INR667 crores. So similar number as on December would be how much?
Sanjay Pusarla: No. As on September '25, the cash and cash equivalents and the margin money deposits together is INR900 crores, okay? And at the end of December '25, it is INR820 crores. There is a reduction by INR 80 crores compared to September '25.
Moderator: The next question comes from the line of Aditya Sahu with HDFC Securities.
Aditya Sahu: I wanted to understand on the stand alone level, the INR 72,000 crores -- INR73,000 crores order book that we have, if you could provide a bifurcation of the or der book, that would be helpful?
Sanjay Pusarla: It is there in the website.

Neerad Sharma: It's already there. I don't -- if you really see our investors presentation uploaded on our website. So in the Slide Number 8, all the details are given.
Aditya Sahu: That would be for the consolidated one? Or is it for the stand alone one, because...
Neerad Sharma: Consolidated one.
Aditya Sahu: At the stand -alone level, do we have any bifurcation of the order book?
Sanjay Pusarla: The stand -alone level, it is INR 72,748 crores.
Aditya Sahu: Right. And the bifurcation of that number?
Neerad Sharma: And consolidated is INR 72,823 crores . Yes.
Aditya Sahu: Okay. Like do we have the bifurcation for the INR 72,000 crores stand-alone order book?
Sanjay Pusarla: If you see the order book, what is given on the investor's presentation, if you remove the Mining, which is a major part of the subsidiaries, you will get to know other things.
Moderator: The next question comes from the line of Balasubramanian with Arihant Capital.
Balasubramanian: Sir, this out of INR 1,200 crores outstanding in JJM, is INR 1,000 crores is expected next 1 or 2 months? I missed that point actually?
Sanjay Pusarla: We expect to receive good money, but we do not know what is the quantum …
Neerad Sharma: About INR500 crores, which we have already received. But it would really depend on the client to what extent they are able to release the payment.
Moderator: The next question comes from the line of Vaibhav Shah with JM Financial.
Vaibhav Shah: Sir, just one data point. What would be our electricals order book at standalone and consol level?
Neerad Sharma: Electrical, you are asking?
Vaibhav Shah: Yes.
Neerad Sharma: Electrical on the consol, it is 18% of INR 79,571 crores.
Vaibhav Shah: And on standalone?

Sanjay Pusarla: INR800 crores, that's it.
Neerad Sharma: You can just remove INR 800 crores or less, or just wait for a moment, I will give you the number.
On the consol level, the exact number is INR 14,323 crores. The standalone

number is INR 13,523
crores.
Moderator: The next question comes from the line of Saket Kapoor with Kapoor & Co.

Saket Kapoor: Sir, just pertaining to the merger part of the story, wherein in your slides also you have highlighted that the figures have been regrouped in terms of debt and receivable part also, sir, if you could just quantify to us what has been the material impact d ue to the merger part? And secondly, pertaining to the Mining JV, sir, what are we anticipating in terms of the ramp-up for the coming years and then the revenue profile moving ahead?
Sanjay Pusarla: Ramp -up for the coming years...
Neerad Sharma: Merger, there is -- there is debt. There is money...
Sanjay Pusarla: Sir, on the merger, you were asking, so I didn't get your question. Can you just repeat the question?
Saket Kapoor: Sir, I have asked the question on the -- first on the merger part. As in the slide, it has been mentioned, particularly wh en we look at our -- the Slide Number 17, performance trend stand-alone, wherein we have mentioned under the asterisk that restated after merger of NCCIHL with NCC Limited. So had that any impact on the debt? I think so you have clarified earlier. So what has been the material impact with this merger on the financials? And my second question...
Sanjay Pusarla: There is no impact on the debt. But the impact is only on account of the realistic value of the investments that have been accounted in the consol books. So we have an investment of INR 558 crores earlier, which is represented by some of the assets in the NCCIHL at a fair value, which is more than even INR 558 crores. When we started merging those NCCIHL into my console, there is a reduction of INR 270 crores or INR 330 crores in the overall balance sheet, that is what we have written after merg er.
Neerad Sharma: P&L, there is no impact.
Sanjay Pusarla: Yes. No, there is no impact on the P&L.
Neerad Sharma: No debt.
Saket Kapoor: Correct. And for the Mining part, can you throw some light? How is the Mining JV going to perform when it will reach its peak optimum level of evacuation, the coal JV?
Sanjay Pusarla: I think we have already reached the optimum and we are doing at the optimum level only. And we expect to...
Neerad Sharma: We have a new project.
Sanjay Pusarla: We have got a new project also at Amrapali in Jharkhand, where it was INR 6,800 crores of -- worth of project, which is for the 7 years. We started mobilizing the equipment for this project, likely to start working on the project maybe from next month onwards.
Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Neerad Sharma: Thank you, Mr. Vaibhav Shah. I take this opportunity to thank each of you for your enthusiastic participation in the call. Thanks, and take care. Thank you.
Sanjay Pusarla: Thank you so much. Thank you, everyone.
Moderator: Thank you. On behalf of JM Financial, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

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Ref. No.: NCCL/ Reg.30/Transcript /2026- 27
Date : May 20, 2026

National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G
Bandra – Kurla Complex, Bandra (E)
Mumbai - 400 051
Symbol: NCC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai – 400 001
Code: 500294

Dear Sir,
Sub: Submission of Transcript of the audio conference call held on May 16, 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed herewith the transcript of the earnings audio conference call held on May 1 6, 2026, with analysts discussing the performance & financial
results of Q 4 of the FY 202 5-26. The transcript is also available on the Company's website at
https://www.ncclimited.com/analyst- column.html
Kindly take the above on record.

Thanking you,
Yours faithfully
For NCC Limited

A Karthik
Company Secretary
Encl: as above

"NCC Limited
Q4 FY26 Earnings Conference Call "
May 16, 202 6

MANAGEMENT : MR. R.S. RAJU – DIRECTOR PROJECTS – NCC LIMITED
MR. SANJAY PUSARLA – EXECUTIVE VICE PRESIDENT – FINANCE AND ACCOUNTS AND CHIEF FINANCIAL OFFICER – NCC LIMITED
MR. NEERAD SHARMA – HEAD STRATEGY A ND INVESTOR RELATIONS – NCC LIMITED

MODERATOR : MR. VAIBHAV SHAH – JM FINANCIAL INSTITUTIONAL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the NCC Limited Q4 FY2 6 Earnings

Conference Call hosted by JM Financial Services -- JM Financial Institutional Securities
Limited. As a reminder, all participle lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vaibhav Shah from JM Financial Institutional Securities Limited. Thank you, and over to you, sir.
Vaibhav Shah: Yes. Thank you, Jitesh. On behalf of JM Financial, I welcome everybody to 4Q and FY2 6 Earnings Conference Call of NCC Limited. We have from the management today, Shri R.S. Raju, Director of Projects; Shri Sanjay Pusarla, Executive Vice President, Finance and Accounts; and Shri Neerad Sharma, Head Strategy and Investor Relations.
Now I hand over the call to the management for their opening remarks, post which we can start with the Q&A session. Over to you, sir.
Neerad Sharma: Thank you very much, Vaibhav. Very good morning, everyone. This is Neerad. And on behalf of NCC, I thank you for joining us as we close out the financial year '25-'26. With me today are Mr. R.S. Raju, Director Projects. and Mr. Sanjay Pusarla, our CFO. We appreciate your continued engagement with the company, though -- through what has been an eventful year for the sector.
Safe Harbor. Before we proceed, I would like to draw your attention to a brief disclaimer. Certain statements made during today's call may be forward -looking in nature and are subject to risks and uncertainties, actual results may differ materially from t hose expressed or implied. I encourage you to read the detailed statement on Page 2 of the investors' presentation. Order book, the foundation.
Our consolidated order book as of 31st March '26, stood at INR 83,004 crores, which is about 16% increase over the last year, and highest in the company's history. The fourth quarter contributed INR9,573 crores of fresh consolidated inflows and full year inflows totaled
INR31,884 crores. This book -- this order book gives us multiyear revenue visibility and a book-to-bill ratio of roughly 4x, and it is spread across seven verticals, viz, buildings, transportation, mining, electrical, electrical T&D, water and railways and irrigation, which is what gives the portfolio its resilience.
Now I will hand over to my colleague, Mr. Sanjay Pusarla, he will share the details of the financial performance of the company. Post that, we will open for questions, any questions, any queries that you might have. Over to you, Mr. Pusarla.
Sanjay Pusarla: Good morning, ladies and gentlemen. This is Sanjay Pusarla, Executive Vice President and CFO of NCC Limited. I am pleased to announce the financial results for Q4 FY2 6 of NCC Limited and also for the year ending 31st March 2026. My announcement basically covers order book revenue, profitability, debt movement and some of the important balance sheet items.

The order book stands at INR 83,004 crores as of the end of 31st March '26, you are aware the order book at the beginning of the year stood at INR 71,568 crores and orders received in Q4 is INR9,573 crores and balance at the end of the year is say INR 83,004 crores.
The revenue for the stand-alone. Turnover reported in Q4 FY2 6 is INR 5,382 crores, as against turnover of INR5,445 crores in the corresponding quarter of the previous year. It is decreased by 1%. For the full year, the turnover stands at INR 17,669 crores as against INR 19,393 crores of the previous year, a decline by 9%.
At consolidated level, the turnover is reported in Q4 at INR 6,251 crores a

s against INR 6,189
crores in the corresponding quarter of the previous year, which shows an increase by 1%. For the full year, the turnover is INR 20,944 crores as against INR 22,355 crores, which is a decrease of 6%.
Next on the profitability. At the stand -alone level, we achieved an EBITDA of 8.44% for Q4 FY26 as against 9.21% of the corresponding quarter of the previous year. PBT, we achieved 5.2% before exceptional items and PAT of 3.77% in the current quarter, that is Q4 FY2 6, as against PBT of 6.18% and PAT of 3.93% reported in the quarter 4 of FY2 5.
At consolidated level, we achieved EBITDA of 8.83% and PBT of 4.70% before exceptional items and PAT of 3.3% in the current quarter. In the current quarter, that is Q4 FY2 6 as against EBITDA of 9.07% and PBT of 5.93% and PAT of 4.1% reported in the corresponding quarter of the last year.
Then getting into the debt movement. The debt at the beginning of the quarter stood at INR 2,980 crores and net debt after cash and cash equivalents is INR 2,830 crores . At the end of quarter 4 of FY26, it stood at INR 2,251 crores and net debt at INR 1,667 crores. And at the end of Q4 FY25, the same is at INR 1,484 crores and net debt of INR 706 crores. There is a decrease of debt by INR729 crores in Q4 FY26.

The debt -to-equity ratio stands at 0.30x at the end of Q4 FY2 6 as against 0.40 at the end of Q3 FY26 and 0.21 at the end of March '25. Getting into working capital. Working capital, excluding cash and margin money deposits at the end of Q4 FY2 6, it stands at INR 4,847 crores, which is 28% of the turnover. In terms of working capital days, it is 97 days.
The trade receivables outstanding at the end of Q4 has decreased from INR 3,505 crores to INR3,336 crores, and the number of days also has decreased from 87 days to 73 days in the current quarter and 65 days for the corresponding quarter of the previous year. Unbilled revenue. It has decreased from INR 7,129 crores, which is 44% to INR 6,675 crores, which is 38% in Q4 FY26. And at the end of the previous year, it was INR 5,937 crores, which is 31%. Retention money stands at INR 2,253 crores for quarter 4 FY26 as against INR 2,099 crores Q3 FY26. And at the end of the March '25 that is the corresponding previous year, INR 8,870 crores. Coming to the mobilization advances.
Mobilization advances are standing at INR 3,386 crores as at the end of March 31, 2026, as against INR3,162 crores at the end of December '25 and INR 2,098 crores at the end of March

2025. Of these mobilized advances, 64% are interest -bearing and the average interest comes to 9.2%. Interest -bearing advances decreased from 67% to 64% during the current quarter. Cash and cash equivalents, INR 585 crores as on 31st March 2026 and INR 150 crores as on 31/12/2025 and INR778 crores as on 31/03/2025.
Margin money deposits and others. It is standing at INR 631 crores as of the end of March '26, INR671 crores at the end of December '25 and INR650 crores -- INR654 crores at the end of March '25.
Coming to the capex , we have incurred a capex of INR344 crores in Q4 FY2 6 and INR 912 crores we have incurred in the current year, which includes a capital work in progress for TBM about INR320 crores as against the budgeted capex of INR1,050 crores, which was revised earlier from INR 750 crores to INR1,050 crores in the year FY2 6. EPS stands at INR 3.23 at the end of Q4 FY2 6 as against INR 3.4 in Q4 FY25. And in FY26, it is INR 9.19 as against INR 12.12 in the previous year.
With the end of -- with this, I'll be ending the announcement of the results. Thank you so much.
Moderator : The first question is from the line of Shravan Shah from Dolat Capital.
Shravan Shah: A couple of questions. So first, we'll start with your broad guidance on revenue margin and order inflow for FY2 7. And also please specify this will be for stand -alone or at a consol level

?
Neerad Sharma: I mean there are too many variables in the equation as we speak. The whole environment is very uncertain. So we have decided not to give any guidance for FY2 7. However, we will revisit this decision, maybe when we will have -- we have some clarity after conclusion of the first quarter. If there is any guidance, we would be happy to come and share that with you.
Shravan Shah: So for order inflow also, no guidance?
Neerad Sharma: No guidance for all these parameters. But as I shared with you, because there are too many variables. It is very difficult really to look forward. You are already aware about the uncertain world that we are currently living in, but we will revisit this de cision maybe, say, after first quarter or so. Should there be any clarity, should there be any change in the environment, we would be very pleased to revisit and come back to you with the guidance for '27.
Shravan Shah: Sir, there just still -- I understand that we don't give, but still trying to get some sense. So obviously, the order book is at a historic high, and we must be knowing what kind of projects in which segments is going on and still 1.5 months is already there for this quarter also. So you -- we must be knowing a broad idea. I understand for last 2 quarters, we are not giving and again, we are not giving. So it is becoming a very, very difficult.
So are we still of the opinion that still the working capital pressure, the payment issues and then whatever is happening at the world level obviously with the crisis. But at the India level, I understand the commodity prices, inflation will be there. But still we'll be having some kind of
a minimal that this definitely we should be doing. Some color more would be helpful whether at least we will see a kind of a minimum 10% plus kind of a growth because already we have seen

a 9% degrowth in FY2 6. So that would be helpful. And at the margin level also, the current level, 8.3% is maintainable? Or can we see a kind of a 0.5% kind of a pressure or some improvement? Something would be helpful there.
Neerad Sharma: Yes, Mr. Shah. I really very much appreciate your concern. You talked about the cost element

in the whole economy. Finally, this might also affect the ability of our clients to move -- take the projects forward, make timely payments.

So, all these situations will finally are expected to play out in days to come. So, as we have already shared with you that we will revisit this subject once we have some more clarity say that post about 3, 4 months' time, I mean, it is not really helpful to talk about any hypothetical number and tomorrow revise that number.

I hope you appreciate the spirit in which we have decided to share this information with you. So should there be any change in our view, should we have more clarity, we will be very happy to come back to you, Mr. Shah and share what we have, what is it tha t is really possible for FY27.

Shravan Shah: Yes. And on the capex , working capital and net debt also some kind of a color would be helpful how we want to look for FY2 7 or there also no guidance?

Neerad Sharma: Mr. Shah, this is finally a function of the revenue growth, degrowth, the cost element, how the final -- the raw material prices will finally get impacted in next few months. So, it will be a function of that. It is not that the working capital exists in a vacuum. It's an outcome of all these variables.

Shravan Shah: Got it. Sir, on JJM front, so whatever the numbers if you can provide? So, both at total JJM and the U.P. So, the outstanding order book, the data both for U.P. and the total and how even post March and till now? What's the status there?

Sanjay Pusarla: For U.P. project, JJM projects, the order book outstanding at the end of March '26 is INR 3,619 crores for all the groundwater. For the surface water projects, the outstanding order book is INR2,562 crores. That means INR 6,181 crores is the total order book pending as on 31st March 2026.

The amount of work executed in U.P. projects is INR 1,730 crores for both groundwater and surface water. As far as the receivables are concerned, the receivables have come down to INR3,015 crores, which includes groundwater, surface water, trade receivables and unbilled revenue. That is coming to INR 3,015 crores.

Shravan Shah: Okay. So, this is only U.P. -- and the total debtors is also from the JJM across all the states would be how much?

Sanjay Pusarla: This is what I have told you, it was INR 3,015 crores.

R.S. Raju: He is asking debtors only.

Sanjay Pusarla: Only debtors, if you are asking me, it is only INR 695 crores.

Shravan Shah: Okay. So, the number, which was INR 1,700 crores as on December, now it is INR695 crores you're saying?

Sanjay Pusarla: Correct. Correct. You are right. About INR 1,000 crores we have collected in the current quarter.

Shravan Shah: Okay. Okay. And lastly, any more kind of a write -off impairment at the subsidiary level because last 2 years, I think we are slowly, slowly doing it. So -- and at the same time, the NCC Urban Infra, how much is outstanding and how much we will like to get repayment in FY2 7?

Sanjay Pusarla: In the case of international projects, the impairment is done in the case of an investment at Oman, where the project is completed and whatever claims we have to receive, we have received, we have made an impairment of INR21.3 crores as an exceptional item. With this, the international outstanding, whatever is there, that completely impaired. That is one. As far as the Vizag Urban is concerned, we are expecting about INR 250 crores in the current year.

Moderator: The next question is from Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal : Can you hear me, sir, hello?

Neerad Sharma: Yes. Yes, Mr. Kandpal. You're audible, but you please speak a bit loudly.

Parikshit Kandpal : Okay, sure. So sir, in this environment, there are so many uncertainties. So are you bidding for orders? Or are you stop bidding for orders also?

Neerad Sharma: No, no. We will continue to bid depending on the projects which are coming up for bidding. We will continue to bid depending on the risk/reward equation. In fact, we have already bagged a few projects in this financial year as well, that is FY2 7. We have already reported about INR1,700 crores odd projects in month of April.

Parikshit Kandpal : So are we seeing any slowdown in our execution because we have INR 83,000 crores of order book. So I just wanted to check if we are -- the work is going on entirely on the books -- entire orders or there are still some orders where the work has not started. Has the clients asked us to slow down the work? So that doesn't give you confidence to give guidance. So just wanted some color on that.

Neerad Sharma : Nothing of that sort, wherever the fronts are available, and the clients are taking the forward. Nothing is really substantial to report. By and large, things are moving forward.

Sanjay Pusarla: To add further, the order book of INR83,000 crores, whatever INR 80,000 -- INR83,000 crores. All the orders we have got the clearances, we'll be able to execute. There is absolutely no issue on account of any holdups or resigns or write -off bases. Whatever orders are considered in this,

they are all fully available for execution.
Parikshit Kandpal : No, no, sir, I was coming from the point that L&T is the largest infra company despite having a huge exports order, they have given a guidance. Kalpataru yesterday gave guidance, other infra companies are giving guidance. So if we are not confident, I mean somehow we as an analyst kind of getting confident that you will be able to execute -- it looks like you've taken a lot of orders, either you are facing some challenges

on execution internally.

So just wanted a clarity whether internally, you have any challenges on execution or execution capability, you're not getting the client front, not able to get labor, not able to get your supply chain in order. So maybe that's the reason we are sensing you are able to give the guidance. So just wanted clarity on that.
Neerad Sharma: Mr. Kandpal, I think I have already tried to answer this question in a -- I think previous -- I think Mr. Shah asked this question. We will revisit this. We have -- all that we are saying is we need some clarity.
You are aware about the pricing pressure in the whole economy. All that we are saying is we need 1 more quarter. We expect some more clarity, then we should be in a position to talk about the guidance for FY2 7. So this is what we have already stated.
Parikshit Kandpal : So the current levels of execution of INR 6,000 crores, are we geared up to go below that now given the order book? Or do you think that at least in the base case, we will be able to maintain this level of execution of INR 6,000 crores, which we reported in this quarter?
Neerad Sharma: No, no. Please -- could you please repeat your question?
Parikshit Kandpal : In this quarter, we have reported execution or revenues of INR 5,300-odd crores. So in the base case, are we geared up to at least do this much, not asking any guidance on the full year, but at least from here on the execution should not go down below this because we have already mobilized the entire order book?
Sanjay Pusarla: So I think we need to understand one thing. Today, considering the unpredictable situation, unpredictable development that are happening on a day-to -day basis. They are very dynamic, and there is nothing which we'll be able to predict. That is the reason we were telling very clearly that we'll wait for a quarter to understand how it is going to move forward, then we'll be giving the guidance.
Parikshit Kandpal : No sir, I'm not asking guidance. I'm saying, are we able to maintain the current execution rate of INR5,300 crores, which we reported in this quarter? Or can it go down?
Sanjay Pusarla: That also depends, we have still 1.5 months more because this situation is developing day by day. If you see that in the last -- beginning of the year and today, there is a lot of development that was happening. And we are seeing the prices going up, the dollar is weakening and how the economy is going to move. All these things will also have a bearing on the balance 15 days. So we'll be able to tell you at the end of the quarter, we have to wait, watch and see patiently.
Parikshit Kandpal : Yes. Okay. Just the last thing, sir, just one advice. I mean NCC is one of the oldest company in infra, which I have been covering more than 18 years now. And you have seen cycles. This is not the first time you have seen challenges or headwinds. You have GST, you have demonetizing. So many things have happened. We have never desisted away from even the AP crisis, which happened where a large part of the order book got and we have to lose it. But still we have guided.

I don't know. I mean, when the size has become so big, so is this an advice, I mean, you should be considered, discussed with your Board. I mean you need to give the guidance if you have such a large order book, you need to take a call. I know you can grow at 30%, 40% maybe next year, but at least you can guide 10% or 15% or 20%, some number to start with where you are at least confident you can grow. That's my advice. Thank you.
Moderator: The next question is from the line of Parvez Qazi from Nuvama Group.
Parvez Qazi: So, my first question is regarding the payment cycle. I mean, you mentioned you've received about INR1,000-odd crores in U.P. in Q4 on JJM. Now overall, regarding payments across all proje

cts. Would you say the payment cycle has improved in Q4 compared to, let's say, what it was in CY2 5 or do you think issues still remain here and there?
Sanjay Pusarla: In Q4, we have seen improvement in the payment cycle. Absolutely, that is correct. And as far as the U.P. is

concerned, we have received about INR1,000 crores in the quarter 4, about INR 400 crores, INR450 crores in the month of April. And we are expecting further payments also in the coming months.

So we are confident that the -- with the way the payments are being released, some more payments related to U.P. projects also will come. So this will improve the situation. And as far as others are concerned, now it is continued to be a good pay masters. So we are not seeing any -- we are not foreseeing any problem.

Parvez Qazi: That's great to hear. Second, you gave the numbers about JJM projects in U.P. Would it be possible to get those numbers about our overall JJM order book, I mean, including orders that we might have in other cases also, what is the order book and what are the payment outstanding there?

Sanjay Pusarla: The overall order book we have already covered, but I will give you for better clarity. The overall order book, what we have received for the JJM projects, including groundwater, surface water is INR26,000 crores. We have already executed projects up to INR 20,142 crores, leaving a balance of INR 6,181 crores. Is this clear?

Parvez Qazi: Sir, I think you have given me the numbers for U.P. I was asking if we have JJM projects and other projects, other states also, but I will take it offline. I mean, not an issue.

Sanjay Pusarla: Yes. Okay.

Parvez Qazi: My second question is what would be our total exposure to our subsidiaries, including investments and....

Neerad Sharma : Could you repeat your question? I think you asked about our total investment in the subsidiaries, right?

Parvez Qazi: Yes. Total exposure, investments plus loans and advances, whatever you might have done.

Sanjay Pusarla: Yes, investment is INR 887 crores at the end of March '26. And loans to the group companies is INR309 crores at the end of March '26. Coming to the Vizag Urban status, I've already explained to you, we will be collecting about INR 250 crores and the outstanding is INR 291 crores.

Parvez Qazi: Sure. And last question, some update on the smart meter projects, what is the kind of investment you've already done there?

Sanjay Pusarla: In the smart meters, in the 2 SPVs, we have already invested about INR 460 crores. And in the case of our own project, which is executed under the name of NCC Limited, about INR 130 crores, INR140 crores, we have used as working capital. The total investment in SPV is about INR460 crores.

Moderator: The next question is from the line of Vaibhav Shah from JM Financial Institutional Securities.

Vaibhav Shah: Yes. Sir, in December, the outstanding loan from Vizag Urban was around INR 390 crores. So now it is INR 290 crores. So we have received INR 100 crores in Q4?

Sanjay Pusarla: Yes, we have received INR 100 crores in Q4.

Vaibhav Shah: Okay. And INR 270 crores this year and the remainder in next year?

Sanjay Pusarla : No, we are expecting about INR 250 crores or INR291 crores whatever is there, it will be coming in the current year itself.

Vaibhav Shah: Okay. Okay. Sir secondly, on smart meters, you have invested INR460 crores, any pending investment now remaining?

Sanjay Pusarla: No, nothing is there. The -- what our investment calls were for both the projects in the SPVs, it has been fully invested.

Vaibhav Shah: Okay. And sir, in the stand-alone order backlog, what would be the value of smart meter order book on the stand-alone books?

Sanjay Pusarla: In the standalone, 1 minute. Out of 72,000 -- 1 second. Yes. You can ask the next question. In the meantime, I'll get you that number.

Vaibhav Sh

ah: Yes. So what is our capex plan for next year FY 27?

Sanjay Pusarla: FY27, the capex plan is INR 500 crores.

Vaibhav Shah: Okay.

Sanjay Pusarla: And the order book in the stand-alone is INR 4,456 crores in the case of smart meters.

Vaibhav Shah: Okay. And sir, lastly, in order inflow number, it was INR 9,573 crores for consol and INR 4,775 crores for stand -alone. So, what was the difference of roughly INR 4,800 crores in Q4?

Sanjay Pusarla: PCMPL for Pachhwara Coal Mining. So, we generally take -- look ahead for 3 years as the order book. That was INR4,800 crores.

Vaibhav Shah: So, we have added that order book for the mining portion?

Sanjay Pusarla: Yes.
Moderator: The next question is from the line of Sucrit D. Patil from Eyesight Fintrade P rivate Limited .
Sucrit D. Patil : I have 2 questions, forward-looking ones, both the questions. My first question, Mr. Raju is in your point of view, how is NCC preparing to capture future opportunities in infra and construction while thoughtfully addressing challenges such as project dela ys, regulatory compliance and pricing input cost, what strategic levers do you see as important for sustaining growth and execution discipline in FY2 7 and beyond? That's my first question. I'll ask the second question afterwards.
Neerad Sharma : Could you please repeat your question? I don't think I have understood your question correctly.
Sucrit D. Patil : I'm referring to any practical steps like project pipeline expansion, technological adoption and operational efficiencies that reinforce NCC's leadership in the infrastructure space. I want to understand the forward guidance on this.
Neerad Sharma : Yes, that's a very interesting question. We continue to see a very interesting pipeline of prospective projects. If I were to put a number, this number would be close to INR 2.5 lakh crores. So, we continue to see a lot of infrastructure projects coming up for bidding. And as you are aware, we have been active in this space for a little less than 5 decades.
So, we believe we have what it takes to identify a good project, put a competitive bid on the table and at the same time, execute the project with profitable margin on time. So, this is what we have been doing for last little less than 5 decades, and we hope we will continue on that path. Regarding you talked about we have a stated policy to take care of the ESG, all these parameters, all these priorities are already in place, an d we are very conscious to impact the local economies, the local communities wherever we are executing our projects.
Sucrit D. Patil : My second question is to Mr. Sanjay is from a technical point of view, how is the company optimizing its capital structure to balance project financing requirements with debt sustainability, especially given the long -term decision period of infrastructure projects, could you elaborate on the framework being used for cash flow forecasting, interest rate risk management and working capital efficiencies to ensure liquidity while maintaining the profits?
Sanjay Pusarla: In the case of the projects which we are executing, we do not have much long -term high -value high-ticket infrastructure projects, okay? The projects which we are executing basically of a contracting nature on EPC board. That is one.
As far as the projects which we have received on smart meters are concerned, we have done financial closure for those projects at a very competitive rate of 9.15%. And we have been using that facility to complete those projects. As far as other projects ar e concerned, which are in general nature and general contracting or EPC nature, we have facilities tied up, working capital facilities tied up both in terms of fund -based and non-fund -based. Our interest rates are very competitive. And today, we are just nearing 9% average interest rate.

And we have capabilities of raising good products in the market, which are like purchase invoice discounting, trades, commercial paper, which are at a very competitive rate of interest, which is even below 8%. And we have enough bandwidth when we compare t o the facilities, we have never crossed 80% or 90% of the working capital. We have enough working capital limits also to meet any kind of gaps that are going to come. This is how we are managing our financing.
Moderator: The next question is from the line of Bhavin Modi from Anand Rathi.
Bhavin Modi: The first question is, sir, do we have any international exposure?
Sanjay Pusarla: At the moment, we do not have any international exposure. We have only one project in Qatar, which is almost completed at the final stage. We have to probably execute a few -- maybe INR20 crores, INR25 crores of work in INR.
Bhavin Modi: Okay. Understood. Sir, second question, again to dwell on the guidance part. Sir, like there can be two issues, right? Either we are facing some execution issues, or the company is facing challenges in terms of the margin. So, what is it that is refraining us from giving the guidance?
Sanjay Pusarla: I think Mr. Neerad has already covered. We have the execution capabilities we have built up over the last 5 decades -- less than 5 decades we have built up. So, resource capabilities is not a constraint at all. Order book is not a constraint at all, given the uncertainties, which are prevailing today, we thought that we will just wait and give the guidance. We'll watch for this next 2 months. At the end of the first quarter, we will revisit the situation and then give the guidance.
Bhavin Modi: Okay. Sir, I understand there's an uncertainty, but that can impact 2 things, right, either your execution or your margins. So, where you see -- I am not asking for the guidance, but where you see it's impacting the more or where the uncertainty lies? Is it the margin or is it the execution?
Sanjay Pusarla: At the moment, what I can say is that we have all our contracts -- many of the contracts, we have escalation clauses. About 74% of the contracts, we have escalation clauses. But I'm not very sure whether the increase in the prices will completely get covered under the escalation clauses. There

may be some impact. There is no doubt in that.
And second thing on that, availability of the materials because of the logistics problems and also the problems on account of the fuel prices and other things, there can be some availability issues in the case of materials. But as of now, we are following a path of buying the material -- required materials just in time so that our execution pace and progress will not get hampered.
Bhavin Modi: Understood. And just last question, sir. Almost 50% of our order book comes from the buildings and the transportation, leaving aside mining and water and irrigation. So just wanted to understand, sir, what is the share of private and the government client in the order book?
Question being, are there any pressure coming from the private clients, any cancellation of orders or something like that, that you're seeing?
Sanjay Pusarla: No, we have not seen any kind of pressure from the private lines because our private lines orders comprises about 4% to 5% -- yes about 5% in the entire order book.

Bhavin Modi: So, 95% is from the government?
Sanjay Pusarla: Yes, that's right.
Neerad Sharma : And government when we say government, means state government, central government, central government agencies, PSUs, all put together.
Bhavin Modi: So, any payment -- in transportation or from the building side, any payment related issues? Or is it going fine?
Sanjay Pusarla: Today, we have not seen any payment issues. Things are going fine.
Moderator: The next question is from the line of Saket Kapoor from Kapoo

r & Co.
Saket Kapoor: Sir, as in the cash flow and in your opening remarks, we could see that we did a capex closer to INR900 crores for the last year and our guidance for the current year is INR 500 crores. So, if you could just spell out what kind of capability building are we eyeing in that space? And for which particular projects are we going to put this capex into?
Sanjay Pusarla: So generally, what happens, our capex is around INR 350 crores to INR 400 crores on a regular basis because we need to replace the equipment, we need to buy the new formworks and other things. In the last year, INR900 crores, we have got 2 components. Basically, one is on the TBM, which we are acquiring for the GMLR project, which we are executing in Mumbai, about INR310 crores. About INR 150 crores, INR 160 crores, we have acquired -- we have purchased the machinery for the new mining project. So that was the composition of the last year.
And the current year, which we have projected about INR 500 crores, about INR 100 crores, INR150 crores we will be requiring for the mining because mining requires a huge capital - intensive project. It requires in a phased manner acquisition of the equipment. About INR 100 crores to INR 150 crores, we are expecting equipment for the mining and remaining INR 350 crores or INR 400 crores, which will be required for our regular capex , refurbishment, replenishment or the new equipment for all the projects which we ar e executing.
Saket Kapoor: Sir, for the TBM project, what would be the execution cycle and the size of the orders that we will be -- our endeavor will be to execute for the current year?
Sanjay Pusarla: The overall project value is about INR 6,000 crores. And the part of execution, which we need to do is INR 3,000 crores.
Saket Kapoor: Okay. And what are our timeline for the same, sir with respect to our clients, deliverables?
Sanjay Pusarla : About 5 years' time -- 5 years' time.
Saket Kapoor: Right. Sir, we have also seen some -- the status of investment property under construction. So, if you could dwell on the same, what is that pertaining to INR 110 crores or INR 105 crores?
Sanjay Pusarla: So, there are buildings and offices and central workshops that are being constructed across all the states wherever we have the projects and wherever there is a requirement of having such

workshops. In addition to that, there is one project in Hyderabad, which is called a Jubilee Hills Landmark project, where we have done the investment and the project is not getting executed at the moment. And the case is being heard, and it is sub judice to talk about that at this moment.
Moderator: Sorry to interrupt. Mr. Kapoor, I would request you to join the queue for more questions. The next question is from the line of Vaibhav Shah JM Financial.
Vaibhav Shah: So, we have provided a breakup of order backlog on consol front in PPT. Can we give you the same for the stand -alone side? INR 70,000 crores breakup?
Sanjay Pusarla : You want the divisional wise breakup?
Vaibhav Shah: Yes. Division wise breakup or stand -alone order backlog?

Sanjay Pusarla : I think the order component...
Sanjay Pusarla: Standalone order backlog is INR 72,259 crores, and for a subsidiary company, it is INR 10,745 crores.
Vaibhav Shah: So, breakup of -- segment -wise breakup for stand-alone backlog?
Sanjay Pusarla: We will give you, 1 minute.
Neerad Sharma : Wait for a moment, Mr. Shah, or maybe we can take this offline, these numbers are not ready with us currently. But I will tell you, mostly other than the mining consol orders, mining, transportation, only 1 project, the value we have already shared, that is GMLR about INR 3,000 crores. And mining projects and 1 in T&D smart meters. Otherwise, everything else is the same. What we have to...
Vaibhav Shah: Sir, mining book is roughly INR 15,000 cro

res in consol, so it is -- so nothing is -- what would be stand -alone? Because difference of order book is INR 10,000 crores, consol and stand -alone for Q4?
Sanjay Pusarla: Buildings, it is INR 22,740 crores. Transportation, INR 15,320 crores. Water and Railways, INR10,400 crores. Electrical, you can take INR 13,800 crores. Irrigation, you can take it as INR4,950 crores and mining, INR 6,750 crores.
Vaibhav Shah: Okay. Okay. Got it. And sir, the smart meter order book, you said INR 4,456 crores in standalone, so what could be the value in consol?
Sanjay Pusarla: INR646 crores.
Moderator: The next question is from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Sir, just wanted to first check on the depreciation. So now the TBM depreciation would be starting. So, this quarter, the stand -alone level, INR 62 crores depreciation, so which obviously has increased INR 5 crores, INR 6 crores. So how one can look at -- given the INR 500 crores

kind of a capex that we will be doing. So how one can look at the depreciation for this year FY27? Will it be inching up?
Sanjay Pusarla: It will be inching up because the TBM capitalization will be done at the end of the second quarter. So, third quarter onwards, we will get the depreciation of the TBM. So, to that extent, will go up.
Shravan Shah: Any rough idea? So, it will be a kind of a 5, 7 years, we will be depreciating this INR 320 crores, that's the way one can look at the depreciation?
Neerad Sharma : I will. Mostly, the TBM machine Mr. Shah is getting lowered now. It is expected to start working from in the next 2 months' time. The TBM machine is specifically designed for this project, and the total capex will fully expensed in about 3 years' time. By the time we complete the whole depreciation, we will book.
Shravan Shah: Okay. Okay. And second, in terms of the other income, so if you can help us how one can look at this other income and whether for this year stand-alone, let's say, we got a INR 20-odd crores kind of other income in P&L. Have we received this entire amount in the form of cash and same goes for the even FY2 6? So just trying to understand, is there a lag in terms of the cash conversion of the other income and how one can look at the other income? If you can give it a breakup, maybe it will help.
Sanjay Pusarla: The other income includes interest income of INR 91 crores, dividend income and a buyback of INR97 crores that includes dividend from our subsidiaries, Pachhwara Coal Mining and also [inaudible 0:53:09] project. And interest income comprises mainly on account of margin money deposits.
Shravan Shah: Okay. So broadly, this entire other income is this kind of a one can say 90% plus is getting converted into the cash?
Sanjay Pusarla: 100% is converted into cash.
Shravan Shah: Okay. And same way, sir, is it possible to give a broad breakup of the finance cost of INR 645 crores for FY2 6. So primarily on the -- what we are paying on the mobilization and what we are paying on the bank guarantee charges and other -- so broadly, I wanted to understand that.
Sanjay Pusarla: For FY26, the finance cost comes to 3.7%, okay? In that, the component of interest on loans comes to around INR 220 crores. On mobilization advance, it comes to INR 154 crores, the commissions on BGs, LCs, etcetera, INR162 crores. Interest charges, bank charges, processing charges, all those things comes to INR109 crores. So total INR 645 crores. And if we net off with the income, what we are earning towards interest, it comes to INR 554 crores, which is 3.18%.
Moderator: The next question is from the line of Chandramouli Jagannathan from -- as an individual investor.
Chandramouli J.: How is the preapproval projects order update, sir, which you have secured a year back? Is the project execution happening on time?

Sanjay Pusarla: Yes. The project execution has started, and it is going well. And out of the peers, what we understand is that the NCC execution is in a good shape now. And we have executed about INR430 crores till date.
Chandramouli J.: Okay. Out of INR 10,000 -plus crores.
Sanjay Pusarla: Yes.
Neerad Sharma: INR7,000 crores.
Sanjay Pusarla: Including...
Chandramouli J.: And when it comes to a consolidated cash flow, the last financial year is looking negative. There is any reason for it, sir?
Sanjay Pusarla: Which financial year? Last year?
R.S. Raju: No, no it is negative.
Chandramouli J.: This financial year '25 -'36. Yes.
Sanjay Pusarla: You see the net cash, net loans, it was INR 7,884 crores negative. In the current year, it is INR2,118 crores positive. The reason being, we have availed the loans from smart meter projects from SBI, about INR 1,100 crores. And there is an increase in utilization of working capital NCC Limited by about INR 500 crores. That is the reference between these 2 years.
Chandramouli J.: Okay. Okay. And also for the last quarter, I mean, look at the interest cost in stand -alone versus consolidated, there is a huge jump. So there is any...
Sanjay Pusarla: Because of the smart meter loans. We are taking the loans from first smart meters, which comes into SPVs. When we do the consolidation, they get added to the stand-alone.
Chandramouli J.: So which will not recur in the future years, right? It's one -off?
Sanjay Pusarla: Sorry?
Chandramouli J.: So no, I don't think it can continue to happen in the consecutive quarters, right?
Sanjay Pusarla: This is only because of the execution that happened in SPVs. For stand-alone, it will remain as it is. For SPVs, when we are taking the further disbursal, then it may increase a little bit.
Moderator: The next question is from the line of Saket Kapoor from Kapoor Company .
Saket Kapoor: Yes. Just to take the previous point in respect to the finance cost. Sir, on a consolidated basis, the quarterly number was INR 213 crores. So -- and you mentioned that as a percentage of our revenue, it is 3.7%. What should be the likelihood sir, with the type of mobilization that we have done for the fourth quarter? And also, I think some more amount has been received under the JJM or receivables. How should this, as a percentage of revenue we should look forward for the finance cost?

Sanjay Pusarla: At the moment, we'll not be able to estimate. I have said very clearly in my earlier replies and answers very clearly that it is unpredictable today how the payment cycles will impact because of the recent developments. If that impacts, this may go up. If that's not impacting the payments are flowing freely, then it will be have some kind of relief.
Saket Kapoor: Okay. So just to take things into -- on a conclusive note, we have already said half -- towards this quarter -- for the first quarter and already the factors that are affecting the performance for many needs are already passed through -- are in the system . So how has the execution being shaping up for this current ensuing quarter? Just to get a sense whether -- we have already started facing the issues in terms of mobilization of resources and also supply chain issue that the management has been alluding during the opening remark?
Neerad Sharma : Mr. Kapoor, I think we have answered this question before as well. So it is very difficult to predict. We are waiting for some clarity to emerge, and we are hopeful that, that clarity should emerge in about next few months' time. Should we have more clari ty, if we are able to see clearly,
we have already updated you that we would be happy to come back to you and update about what is it that we intend to do going forward in next few quarters.
Saket Kapoor: Yes, sir. I got your point. I'm not looking at the forward-looking part

. I'm only looking at the
time spend, which has already elapsed. I'm just talking about the 45 days that we are through.
So are we facing the same issues which we are contemplating currently, which is prohibiting us to give any guidance on how the way forward looks like, just to get a holistic approach clear,
sir?
Sanjay Pusarla: Sure. Today, at -- on 45th day in this current year. So whatever execution that is happening, it is not impacting today. But today, we do not know how the supplies will shape up. What will be

the logistic constraint that is going to happen? But as of today, we are seeing in the past 45 days, the execution remains normal.

Saket Kapoor: Okay. Sir, last point is on the coal mining output. Sir, how will this JV output pan out for the current year since our revenue and the profitability has remained flattened for the current financial year. Correct me here, what our presentation speaks. So how should the JV performance would likely be since this is a separate entity altogether. I think this year, we did INR2,700 crores for the coal mining -- and the profitability also -- yes please.

Neerad Sharma : Mr. Kapoor, this mine has a rated capacity of 15 MTPA, that is 15 million tonne per annum. This has already achieved this rated capacity in FY2 3, '24 in that time. So more or less, going forward, we should be able to maintain at the same level.

Saket Kapoor: Okay. So the revenue and the profitability will be aligned in the similar way what we posted for the last 2 fiscal?

Neerad Sharma : In the same range, there could be some variation, but it could be in the -- it would be in the same range.

Saket Kapoor: Okay. And sir, in respect to any litigation that is still pending where some awards or wherein we have our -- some final order being pending from any of the entity that we may have in the ensuing period? Or are we done with all the arbitration that we're spending against the company?

Neerad Sharma : No, no. There would be a lot of similar kind of arbitrations pending at different forums. So as and when they materialize, as and when we finally receive the award or the cash, we only update.
Until the time a finality emerges, it is really premature to talk about that.

Saket Kapoor: Right, sir. Thank you, sir, for all the engagements, and we hope that by the next end of this quarter's results and the con call, we will have a much better picture about how the company is going to trade going ahead.

Moderator: As there are no further questions from the participants. Just a moment. I have one more question from the line of Chandramouli Jagannath, an Individual Investor .

Chandramouli J.: One more. Sir, you are talking about when it comes to coal mining, you have a capital expenditure of about INR 100 crores to INR 150 crores where you have to replenish, things like that. But when I look at the number, the profit after tax, I mean, PBT is only about INR 100 crores to INR 150 crores. So that means you need the return that we get out of it?

Neerad Sharma : You're not audible, Mr. Chandramouli. Could you please repeat? Your line is breaking. It's not very clear.

Chandramouli J.: So, you were talking about when it comes to a capital expenditure, where you need about INR100 crores to INR 150 crores for the coal mining projects, equipment buying and things like that.

Neerad Sharma: Yes, sir. Yes, sir.

Chandramouli J.: Yes. But when it comes to the numbers, the coal mining is giving you only about INR100 crores to INR150 crores. Correct me if I'm right, wrong.

Neerad Sharma : No, no, no. There are -- firstly, there are two projects, Mr. Chandramouli. One project is an MDO project, which is already giving us -- this is reported in our investors presentation as well. It is already giving us revenue upwards of INR 2,000 crores. So that project is very much operational, and it has already achieved it

s rated output of 15 MTPA.
The capex that my colleague, Mr. Pusarla talked about. Recently, we have bagged a big mining project, a little more than INR 6,000 crores. For that project, we are planning to commit this capex . So these two are different projects. One is in the SPV, and one project has been directly awarded to the parent company, listed entity that is NCC Limited.

Chandramouli J.: So in which case, the number -- we will see further more, I mean, consolidated numbers, apart from this to Pachhwara Coal Mining. Am I right?

Neerad Sharma : Not consolidated number. This will get counted in the stand-alone number because the second project that I just talked about has been awarded to us recently. This will contribute to the

revenue and profitability of the -- on the stand-alone basis to the listed entity that is NCC Limited.

Chandramouli J.: From the final year '27, right?

Neerad Sharma: Yes, yes. '27 onwards.

Moderator: The next question is from the line of Vaibhav Shah from JM Financial Services Limited.

Vaibhav Shah: Sir, in the breakup of interest cost for FY2 6, you mentioned that BG charges and other charges are roughly INR 270-odd crores, so it's a sharp jump over last year's INR 223 crores. So any one -

offs in this year? Or there should be a normal rate going forward?
Sanjay Pusarla: BG charges is INR 162 crores, we said as against INR 198 crores. So this...
Vaibhav Shah: And other charges were INR 109 crores?
Sanj ay Pusarla : Yes, yes. This year, what happened in the LC and BGs because of the dullness in the business of water because we have not executed this U.P. Jal Jeevan projects. Generally, what happens all the water projects, we'll be buying the material against the LC. This time, we have not done much in the water business, especially in the third and fourth quarters.
So that is the reason there is a reduction in the -- there appears to be a reduction in the BG and LC charges. And the same is reflected in the top line also. And there is a little bit of softening of the charges also.
Vaibhav Shah: So, if you add both the charges, the bank charges and B G charges is roughly INR 270 crores for FY26. It was INR223 crores in FY25. So going forward, this is a normal run rate. So as a percentage of revenue comes around 1.5%?
Sanjay Pusarla : FY25, if you see both the charges together is about INR 300 crores.
Vaibhav Shah: Okay. Got it. And sir, lastly, one bookkeeping question. On the -- you mentioned that our JJM order book is INR 6,181 crores, this includes everything U.P. and non -U.P. as well?
Sanjay Pusarala: Yes, yes, yes.
Vaibhav Shah: And receivables of INR3,000 crores also includes everything?
Sanjay Pusarla: Yes, yes. You're right.
Vaibhav Shah: So, this was the last question in any closing remarks from your end?
Sanjay Pusarla: Neerad?
Neerad Sharma: Yes. Thank you once again for being part of this call and for your continued confidence in NCC. Thank you, and take care.
Sanjay Pusarla: Thank you so much.

Moderator: On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.